

Maharashtra Seamless (MAHSEAMLES)

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E-Communication

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National Stock Exchange of India Limited
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Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of Analyst/ Investor Meeting dated 26th July, 2022

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of the conference call held on 26th July, 2022.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q1-FY23-Earnings-Presentation.pdf>

The same is also available on the website of the Company www.jindal.com .

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited Q1 FY23
Earnings Conference Call

26 July 2022

MANAGEMENT : MR. D. P. JINDAL – CHAIRMAN , MAHARASHTRA SEAMLESS LIMITED

MR. SAKET JINDAL – MANAGING DIRECTOR , MAHARASHTRA SEAMLESS LIMITED
MR. KAUSHAL BENGANI – SENIOR MANAGER – INVESTOR RELATIONS , MAHARASHTRA SEAMLESS LIMITED

MODERATOR: MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Maharashtra Seamless Limited Earnings Conference Call hosted by PhillipCapital (India) Private Limited. As a reminder, all participant lines will be in the listen only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Vikash Singh from PhillipCapital . Thank you and over to you sir.

Vikash Singh: Good evening everyone. A very warm welcome to all . Welcome to the Maharashtra Seamless 1Q FY23 concall . I would like to thank the management for giving us the opportunity for hosting the call and without taking any more time. Basically, I'll forward it to the management , today we have with us Mr. D. P. Jindal – Chairman, Mr. Saket Jindal – MD, and Mr. Kaushal Bengani – Senior Manager Investor Relations. Over to you sir, for your opening remark .

Kaushal Bengani : Thank you Vikash. Good evening investors and thank you for taking the time to join us on the quarterly earnings call. We have declared our results yesterday and released our investor presentation. I hope you 've been able to go through it. The quarter ending June 2023 has been the best quarter for Maharashtra Seamless in terms of EBITDA. This revenue has grown by 93%. EBITDA has grown by 83% , profit after tax has grown by 59% and earnings per share has grown by 60%. Such phenomenal growth has been made possible by significant increase in export and domestic demand on account of increase in drilling activities. This has primarily been brought upon by high crude oil prices. Supply constraints in Europe, the geopolitical tensions in Russia and Ukraine have also aided in improving demand.

Internally we have rationalized various processes and have obtained better efficiencies. Our sales and marketing team have developed new customers in the past and have been able to retain existing customers by providing quality products and enhancing their purchase bucket with high value addition products. I would now like to take you through the presentation .

Most of the investors would be aware of the four segments of Maharashtra Seamless and the various capacities we have . We continue to maintain our market share and we want to improve the market share that we have going forward. Our management has realigned its strategy towards growth, we are focusing on pipes and renewable energy segments and reducing exposure in other segments. Currently, our internal accruals are being used for working capital requirements keeping in view the elevated demand position right now.

Going forward we will earmark a total amount of Rs.530 crore which will be utilized for Maharashtra Seamless Limited

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repayment of Rs.300 crore of bank loan taken for acquisition of United Seamless, Rs. 150 crores for capacity enhancement in United Seamless so that we are able to have better capacity utilization. And we want to reduce our power cost further which is why we will set up a solar power plant for captive consumption.

The total outlay for this would be Rs.530 crores. In the current quarter and based on the impetus given by the management for developing new products and adding value to customers , we have been able to obtain an order for subsea sour service seamless pipes , these pipes are an import substitution product and it will be the first time that they will be supplied in India by an Indian manufacturer. This development has been done by the company 's in house product team who have also developed various value addition products in the past, including cylinder pipes, drill pipes, cold drawn pipes, and premium connections .

This bucket of high value addition product provides us with greater customer loyalty as we are able to cater to all requirements of the domestic and export customer. Internally we have implemented new processes to improve production and have a better

product mix. Further we have been able to add new customers and going forward we want to add more customers so that we are able to have better capacity utilization and improve d profits.

The industries that we serve are known to a lot investors . 70% of our exposure is to the oil and gas segment , the balance 15% is to other industries and 15% to boiler segment. On consolidated level, Maharashtra Seamless has performed really well. The profits have increased from 96 crores to 153 crores on an year-on-year basis. And from 99 crores to 153 crores on quarter -on-quarter basis. This growth of more than 50% is phenomenal, and we believe we will be able to sustain this level of growth. At EBITDA level also we have been able to generate extraord inary growth and we believe that we will maintain the new levels of EBITDA as per our guidance given in the call for the previous quarter.

The next two slides detail upon the performance of Maharashtra Seamless and United Seamless . On United Seamless, you will notice that the profitability growth , the EBITDA growth has been particularly sharp that has been due to increase in the quantum of value addition products that we 've been able to successfully dispatch in the past quarter versus the previous quarter. The margins too are better in United Seamless on account of better efficiencies and high value addition products. United Seamless has been the biggest driver of growth for Maharashtra Seamless and we expect it to sustain going forward . We've received feed back from few investors to incorporate the profit and loss account of Maharashtra Seamless and United Seamless within the presentation which we have done so that you 're able to make a better assessment of the company when you 're reviewing .

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The annual highl ights of Maharashtra Seamless have also been put in so that the presentation becomes more comprehensive.

The next slide is on operational and financial performance. In the call for the previous quarter, we had given guidance of Rs.15000 a ton ne for Seamless and Rs.8000 a ton ne for ERW. We have exceeded that guidance. However going forward we will stick to the guidance that we have given because we believe that we will be able to do better but for the moment we don 't want to make a statement which we w ill not be able to adhere to . We like surprising investors and for that reason we would want to maintain the guidance given .

The EBITDA per ton ne for United Seamless has been particularly high on account of the value addition products that they manufacture , and also on account of better efficiency since that 's the new plant.

The next slide is on EBITDA mix which shows that Seamless is the biggest EBITDA generator for the company. Our investments in ICDs and in uncoated equity and preference share investment s are detailed in the next slide. The investments remain at the same level . In the past quarter we have put in an application with NCLT Mumbai for amalgamation of United Seamless with Maharashtra Seamless. W e expect that amalgamation to be completed by February , March of 2023. Our ICD s have also gone down as was committed to investors, we expect that by March of 202 4 all IC Ds will be realized. However, we have set an internal target that we want to do it much sooner than that .

Our Treasury position rema ins strong . It has shown a slight dip from the previous quarter that is on account of increased working capital requirements since we have an elevated demand position right now, which I will talk about more towards the later part of the presentation . We continue to hold our bonds on

long term basis and we want to keep them

till maturity . The investments in mutual funds and fixed deposits they are used on need basis for working capital requirements.

Our gross debt levels have fallen , one of the loans that t he company has is denominated in USD which is why in rupee terms the reduction is not sharp, but the reduction is as per the repayment schedule of the bank and this loan will be fully repaid by March of 2026. On this point, I would like to mention that the EBITDA for Maharashtra Seamless would have been higher by Rs.11 crore. But that was not the case on account of non -cash item which was Forex fluctuation . Since we h ad to restate the loan in USD to be in compli ance with the existing accounting standards. There was a Forex fluctuation loss of Rs.11 crore.

However, the rental income of the rig is also in USD therefore, there will be no cash loss on account of adverse foreign exchange fluctuation . On net debt level s we are at Rs.23 crore and if you consider short -term borrowing then it will be around Rs.47 crore. In the next quarter we expect to become net debt negative as has been our case in the past .

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The corporate guarantee and SBLC amortization schedule has also been provided, you will see that the company is not giving any new corporate guarantees or S BLC and the corporate guarantee position will reduce substantially , although it has reduced substantially from previous levels , going forward as well it will reduce in March 2023 and will fully nullify by September of 2024. The order book of Maharashtra Seamless and United Seamless at a combined level stands at 1967 crores which is the highest order book that Maharashtra Seamless has ever had. And the elevated order book will be the reason why capacity utilization along with internal efficiencies will improve . The order book from exports particularly is that 32% in Maharashtra Seamless and at 70% in United Seamless, which has been the driving factor for growth for both these companies.

In the previous presentation, we have provided a target dispatch level for seamless and ERW segments in Maharashtra Seamless and for United Seamless. We have achieved 24% dispatches in the seamless segment of Maharashtra Seamless and 19 % in ERW segment, and 18% in United Seamless. During any financial year, our dispatches will increase progressively in each quarter and therefore we are confident of achieving our stated targets for the financial year 23 . So, in total, we will dispatch 470 ,000 tonnes of seamless pipe and 88,000 tonnes of ERW pipes. We see margins of export segment of MSL and UST PL to improve going forward based on buoyant seamless pipe prices .

The government policies which were in place in the previous quarter, they remain and they continue to assist the company in supporting the domestic industry. There is a sales and marketing update of Maharashtra Seamless and United Seamless which I will request all investors to particularly go through as it will give you a better idea of where the demand is originating from and how we will be able to perform going forward.

The market trends generally speaking, indicate sustained level of demand and without resumption of capacities in either Russia or Ukraine. Further, there has been an increase in rig counts in the US . In the current calendar year there has been an increase in rig counts by 30% and by 55% in the past 12 months. The rig count data in the US from Baker Hughes is around 730 rigs currently, which is 55% higher than it was in the past 12 months. Further due to the geopolitical situation and difficulty in transportation of coal in Germany , energy costs in Europe have increased substantially which has led to certain European customers reducing production or shutting down their operations.

In the domestic front there is good demand from ONGC and Oil India

a , good consistent

demand, we expect them to generate fresh requirement of 100,000 tonnes every year in addition to the requirements generated from development and work over wells. The city gas distribution scheme has also provided good demand in the past and we expect that to Maharashtra Seamless Limited

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continue going forward considering the impetus given by the Government of India towards installing pipelines for distribution of gas .

The shareholding structure of the company is displayed on the next slide. Promoters have continued to increase their stake in the company as well as institutional investors . Both domestic institutional investors and foreign institutional investors have increased their holding . We have had some new institutional investors in the company and we are thankful to the larger investor community for instilling support in Maharashtra Seamless and we wish to perform more than your expectations going forward as we have been able to do in the past quarter. We thank you for taking the time out to join us on the call and I would like to hand over back to Vikash so that he can start the question -and-answer session .

Vikash Singh: Thank you. Operator we can start the question -and-answer session.

Moderator: Sure sir. We will now begin with the question -and-answer session. We have the first question from the line of Pratiksha from Aequitas Equity Investments. Please go-ahead ma'am.

Pratiksha Daftari: My first question was regarding steel prices. So, post the export duties that have been levied we have seen falling steel prices, so just wanted to understand when can we start seeing the impact on our numbers and does this consequently means that our realizations will also go down for the future order?

Saket Jindal : Right. So, the impact of steel prices is that , simply the steel prices have been corrected and that has led to increased margins and increase profit and going forward is expected to remain range bound and not too much fluctuation and we expect to maintain our margins going forward and maintain the profitability. So, the steel export duty which was put over the debate on whether to remove it or to keep it. So, that is not clear , it is still status quo and if there is removal of the export duty, then the steel price can go up.

Pratiksha Daftari: Okay . So, the steel prices is going down as compared to quarter one, can we expect the margins to go up?

Saket Jindal : Yes, it's already went up and further it can go up, but still the customer also requires the benefit. So, it won't be much difference it will be similar.

Pratiksha Daftari: Okay . And if you could just , in the current quarter what was our export volume and how does this compare to Q4 FY 22?

Saket Jindal : Exports have been good; we have been exporting to USA and US market is giving better realizations than other markets and that has given good profitability and also the demand is

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strong in USA and the rig count is good. So, we expect in the near future to maintain this market and also the Canadian market there is investigation happening , it will be known later on , the impact of the duties. But currently the USA market is more promising the Canadian market .

Pratiksha Daftari: And what would be EBITDA per tonne for Seamless in export segment ?

Saket Jindal : Right. So, the operating margins, we are exporting at around \$1500 which at Rs.80 is Rs. 120 and our costing currently is above 90. So, the margins are almost 30% .

Pratiksha Daftari: You mentioned , the realization is \$300 ?

Saket Jindal : No, realization is around \$1,400 to \$1,500.

Pratiksha Daftari: Okay. And 30% margin on export , okay. And we expect this to continue for ongoing for future quarters also right?

Saket Jindal : Right, that's true.

Pratiksha Daftari: And a last question

now, we are envisaging from new solar capacity. So, just wanted to understand what will be the , how many megawatts are we looking at and how much of , after this expansion how much of our captive power plant we cater to our current requirement ?

Saket Jindal : So, we are not having any concrete plans of expansion as of now but we can look into it. And currently, on captive requirements our met largely through this renewable energy, solar and wind and almost 70 % , 75%.

Pratiksha Daftari: Okay . And this heat treatment facility at UST PL if you could explain, how does this improve our efficiency or whether this will be a debottlenecking , so what will be the changes at the plant level because of this heat treatment facility?

Saket Jindal : Yes, so there is OCTL which is, we are bidding for it and it's still not processed and if it comes through then, it's a joining facility where you can heat treat your pipes and finish your pipes in connection with you also. So, it gives you a forward integration and value addition.

Pratiksha Daftari: Okay , understood. And with regards to profitability at United Seamless, you mentioned that 70% of the revenues this time were from export markets. So, for USTPL what would be the share of , what would be the realizations and what will be the profitability for export?

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Saket Jindal : Similar as MSL, it's a similar market and similar realization .

Moderator: Thank you. We take the next question from the line of Faisal Hawa from HD Hawa & Co. Please go ahead.

Faisal Hawa: Sir, what is our capacity utilization in the new unit that we have taken over through NCLT . And what is our overall capacity utilization at this point of time and what kind of order book are we seeing from USA alone in the next two to three years ?

Saket Jindal : So, in MSL around 70% utilization and in USTPL also around 60% utilization . So, there is a lot of scope for production increase looking at the capacity available.

Faisal Hawa: Okay. So, at 100% capacity utilization what do you feel will be the EBITDA increase?

Saket Jindal : No, EBITDA, if we increase the production through economy of scale the cost will come down. So, it can make a 5% difference in the margin.

Faisal Hawa: And what will be stopping us at this point of time is the orders ?

Saket Jindal : The order booking is strong otherwise, but in a stiff competition, this year is a good period for orders but it's been possible to make improvement .

Faisal Hawa: So, just if we cut our rates by like 2%, 2.5% and increase our EBITDA by 5% by operational efficiency, would it not make much sense to really work at better capacity utilization ?

Saket Jindal : Sorry?

Faisal Hawa: We stand to gain by at least 5% because of higher capacity utilization. So, would it not make sense to cut our rate by 2% and try to bag more tenders , more orders?

Saket Jindal : Its case-to-case basis.

Faisal Hawa: Okay. But that you feel that the competitive intensity is down overall in the industry?

Saket Jindal : No, competition is still there and we have Jindal Saw and ISMT plus we are protected from China to some extent but there is still some material which can come in because the raw materials in the past had gone up and we wanted an increase in the floor price which had in the past.

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Faisal Hawa: And in any way, if you feel that we are being assisted by this, India having so many steel mills of its own and having these good iron ore deposits and so that is actually a very big tailwind for you to be a very big export hub from India ?

Saket Jindal : Yes, export from India, can you repeat your question ?

Faisal Hawa: My question is, the presence of so many very large steel mills helping us in the being a large exporter from India for seamless tubes ?

Saket Jindal

: Yes. So, we are exporting we have a good export market .

Faisal Hawa: Yes, so in the presence of so many steel mills, and large steel mills a very big factor in your emerging as a large exporter, or that doesn't have too much of ?

Saket Jindal : Domestic capacity is there, so it helps to procure the raw material. So, it is giving us competitive raw material.

Moderator: Thank you. We take the next question from the line of Aashav Patel from Molecule Ventures PMS . Please go-ahead sir.

Aashav Patel: So, earlier as per the last concall in Q3 FY 22 you mentioned our seamless pipe capacity at around 4.5 lakh tonnes and US TPL capacity around 2 lakh tonnes and ERW capacity at around 1.25 lakh tonnes but in Q2 FY22 presentation an earlier presentation our capacity was showing higher say for example standalone stainless pipe capacity was reflected as 5.5 lakh tonnes, United Seamless was 3.5 lakh tonnes and ERW pipe was 2 lakh tonne . So, what exactly has changed in this capacity?

Kaushal Bengani : The capacities that were mentioned earlier were nameplate capacities which were theoretical in nature. The actual capacities of Maharashtra Seamless is 4,50,000 tonnes in seamless segment , in ERW segment it is 1,25,000 tonnes in United Seamless the theoretical capacity is 3,50,000 tonnes but based on the existing infrastructure that is there it is 2,00,000 tonnes and currently we will produce and dispatch 1,20,000 tonnes and going forward we will put in a capacity enhancement which will ensure that we go up to 2,00,000 tonnes .

Aashav Patel : Okay. And sir other question is that ISMT is our peer and it was recently acquired by Kirloskar Ferrous Group, they were operating earlier at around one lakh metric tonnes annual sales of seamless tubes, but now that they have a strong financial backing unlike the earlier times, and having capacity of around four lakh metric tonne so do you see competition improving because of their presence in the industry ?

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Kaushal Bengani : We do not believe that there will be substantial competition from ISMT. The financial backing that is required is not the only criteria that is required to be successful in the seamless pipes market. If that was the case, then even United Seamless had extremely strong financial backing. And there were other entities as well globally who had extremely strong financial backing, but there is a certain type of skill set which is required in terms of managerial expertise and in terms of technical expertise. This is not prevalent with other competitors, which is why we have been able to excel in the industry and we've been able to continuously acquire plants, turn them around and make them profitable. For these reasons, we do not believe that there will be any substantial competition from ISMT. Further, I would like to just touch upon this a little more . The order book visibility that Maharashtra Seamless has for the entire financial year , we do not believe that ISMT has that sort of visibility . Plus there is a lot of money which is required to be put into working capital to be able to sustain the order book on a consistent basis because sometimes things do not go according to plan and which is why we think we will be able to move the market better than other competitors .

Aashav Patel: Got it sir. Sir last question , did we also bid for ISMT capacity?

D P Jindal : We have tried but they were not keen to sell it to us.

Moderator: Thank you. We take the next question from the line of Hetal Gada from ITI Mutual Funds . Please go ahead.

Hetal Gada: So, firstly, I wanted to understand , did we have any inventory losses cover in the quarter given that steel prices have corrected for much?

Kaushal Bengani : No, we did not have any.

Saket Jindal : The steel price correction , after the correction we also corrected our prices, but at the same

time, the inventory which we had earlier we were covered by the order that high prices for that inventory. So, I don't think it makes much difference.

Hetal Gada: Okay. And so sir post the correction , you have also corrected your prices. So, is it in line with the fall in the pricing , will we see any major or some sort of margin pressure going forward , or can you see these margins sustainable on a longer -term basis?

Saket Jindal : The correction which we did was nominal and the margins are intact and in fact might have increased only.

Hetal Gada: Okay. And sir the difference in your margins with standalone and seamless division at USTPL, so there the margins have been better than what we are reporting at our standalone Maharashtra Seamless Limited

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division any particular reason for that and do we think that that kind of difference is sustainable going forward as well?

D P Jindal : Yes, United Seamless actually compared to is a new plant and yield is better and we have supplied cylinder pipes also at a added value and most of it has gone to export market also at the time when the export was booming .

Hetal Gada: So, that is for the going forward do we see these trend to sustain and the margins also to remain at higher levels or there will be a catch up between the two units ?

D P Jindal : Yes, United Seamless is having limited finishing capacity , that's why we want to add this heat treatment facilities . Once heat treatment facility is there then we can produce more value -added product in United Seamless.

Hetal Gada: Okay. So, this unit will largely remain for a value -added segment at Maharashtra Seamless can we assume that ?

D P Jindal : Partly yes, 50%.

Hetal Gada: Okay . So, there is no kind of margin trend also is likely to remain high on similar lines ?

D P Jindal : Right.

Moderator: Thank you ma'am . We take the next question from the line of Anurag Dinkar Patil from Roha Asset Managers . Please go-ahead sir.

Anurag Patil: Thank you for the opportunity. Sir, in the results in the other unallocated segment, our EBIT has increased sequentially to 57 crore versus 32 crore last quarter. So, can you just explain what is the reason behind and what are the activities accounted in this segment?

Kaushal Bengani : In the unallocated segment on consolidated level, the reason for increase is United Seamless, United Seamless, and other entities, so since performance at United Seamless level has improved, therefore there has been an increase.

Moderator: Thank you sir. We take the next question from the line of Yachna Bhatia, Investor . Please go-ahead ma'am.

Yachna Bhatia: Congratulations on a very good set of numbers. My question was more from a longer -term perspective, given the strong visibility we have on the profitability and the cash flows. Can you outline your capital allocation strategy over the next three years and also is it possible to quantify, what percentage of profit are you open to distributing?

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D P Jindal : Well, about 150 crores is required for United Seamless to gear up the production and added value product and we will be repaying the loans which we have taken for the United Seamless . And we will be spending about 80 crores or so for setting up a solar power plant to meet our energy requirement . This dividends , of course, we will be having investors friendly policy to give more and more dividends distribution .

Yachna Bhatia: So, I just had a follow up there. If we're looking at say the numbers for this year, we can probably look at the EBITDA of Rs. 900 to Rs. 1,000 odd crores . So, I understand that you had outlined how you're going to use Rs. 530 crores of these internal accruals , but what about the balance and also my question was a little longer term over the next two to three years how do you

intend to use the cash flows?

D P Jindal : Yes, one is because of high steel price, the working capital requirement is more. So, we are not taking from bank limits and all. And coming forward , of course we will have a growth plan and we would like to expand the capacity or the acquisition in the same line.

Moderator: Thank you. We take the next question from the line of Mr. Kashyap Zaveri. Please go ahead, sir.

Kashyap Zaveri: I have just one question, you mentioned about the spending in oil and gas in US and the rig count, can you help us with the same assessment on what's happening in the Middle East and how is our order book in terms of exports, is there any meaningful number from there?

Kaushal Bengani: We have some sales in the Middle East, but right now our biggest market is the United States. And therefore, we are not focusing a lot on Middle East at the moment. Our export market is also Canada and Europe which is where, the western region is where our focus lies at the moment because we are getting better margins. Domestically, I can tell you some information which we have come across. We have been informed that ONGC has acquired 27 new land rigs and for which there will be sustained demand in the upstream segment.

Kashyap Zaveri: The last comment that you made about ONGC is the domestic market?

Kaushal Bengani: Yes.

Moderator: Thank you Mr. Zaveri. We take the next question from the line of Bhavin Chheda from Enam Holdings. Please go-ahead sir.

Bhavin Chheda: Good evening Sir. Congratulations on excellent results and very good presentation. Plans to obviously get out of the non-core business and reduce intercompany deposits, that's very exciting. Couple of questions on the business front, what would be the capital
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expenditure plan mainly in United Seamless, and as well as how much would be the maintenance capex in Maharashtra Seamless for next two, three years?

D P Jindal: United Seamless is 150 crores and Maharashtra Seamless will be normal as in the last two years. So, 20, 25 crore every year.

Bhavin Chheda: Per annum, okay. And 150 crores in United Seamless would be about 24 months?

D P Jindal: Right. Unless we take over the OCTL.

Bhavin Chheda: And how much would be OCTL if we take it over?

D P Jindal: No, if we take our OCTL then we don't have to spend this capital expenditure because OCTL is the right product mix, right unit for United Seamless for finishing the pipes. So, 150 crore in either of the case, whether we put up our own finishing capacity or we take out the OCTL.

Bhavin Chheda: Right. Second is what is our current export volume run rate on a quarterly basis, majority Seamless only we had the export?

D P Jindal: Yes.

Bhavin Chheda: The last quarter what was the export volumes in Seamless?

D P Jindal: 39,000 tonne in last quarter.

Moderator: Thank you, sir. We take the next question from the line of Mr. Ketan Doshi, Investor. Please go ahead.

Ketan Doshi: My main question is that one new order 150 crore you're not specified which customer. So, this is a import substitute as well as what prospects you see in this particular product segment. And what are your plans if you look over to the increase capacity for this product than what is the current installed capacity and how much you want to expand on this particular product line?

D P Jindal: You mean the subsea pipeline. It is subsea pipeline; it is domestic only we got the order. Previously it was being imported.

Ketan Doshi: Sir, which customer?

Saket Jindal: ONGC, L&T is the contractor.

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Ketan Doshi: Okay, thank you and how much you expect in the current year if this product is running successfully on the rigs, then what is the market segment you are looking at

and if at all if

that goes through then are you planning to increase the capacity in this product line particularly?

D P Jindal: Total is 70,000 tonne. So, we are expecting at least 40,000 tonne in this segment and certainly we can produce these pipes in the existing capacity.

Ketan Doshi: And what is the GP on this particular product?

D P Jindal: 30% is the margin.

Moderator: Thank you. We take the next question from the line of Mr. Saket Kapoor from Kapoor & Company. Please go ahead.

Saket Kapoor: Just a small clarification. Firstly, Mr. Jindal you mentioned about some inquiry in the OCTG market in Canada. Could you please dwell further on the same what are you trying to explain us here sir?

Saket Jindal : In Canada there is no duty online pipe, but there was duty which was a floor price on OCTG and they want to revise that so they are investigating and they took data from all exporters. And in due course of time they will decide the revision in the normal value or the floor price. So, that will determine the viability of the exports to Canada. But line pipe we can currently also export , that is the scenario .

Saket Kapoor: So, in the product profile we are only exporting line pipes or also OCTG to Canada ?

Saket Jindal : No we are exporting OCTG significantly to USA .

Saket Kapoor: And the Canadian region also?

Saket Jindal : Canadian we are not doing currently because of this investigation.

Saket Kapoor: So, any negative influence , would not have any negative ramification on our volume ?

D P Jindal : It will be on the betterment of the export .

Saket Kapoor: Didn't get you sir, can you please come again.

Saket Jindal : We are fighting to reduce the duty so that we can export more OCTG .

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Saket Kapoor: Right. And Mr. Jindal you also mentioned about this sealed price correction adding to the margin and the steel price correcting upward if the export duties are uplifted. So, moment the steel prices are globally driven, the steel prices have corrected globally and that implications are for the domestic market. So, even if the export duties are removed, how will steel prices start moving up, if you could explain that analogy?

D P Jindal : It should move like it was in the past because government has taken it negatively that why the steel price is so high .

Saket Kapoor: And a small point on the capital allocation part that you did allude to the fact of where the money would be spent to , but if we take at the last payout also we paid Rs.5 per share and if we get it around 30, 35 crore was distributed to the investor community of which 65% is being held by the promoters. So, taking the holistic view of this entire exercise of capital allocation, we would request the management , the promoters to deliberate on a dividend distribution policy since you are on the path of growth and you are trying to communicate definite information to the investor and that is very well appreciated by the total market capitalization. So, for things to be on a continue basis, there should be much clarity this is a request from investors and analysts committee that they should be further clarity on your distribution strategy on the dividend part and also Mr. Jindal we mentioned about buyback also a good option but then through tax incidence part still remains, what is your current understanding on the same if you could just throw some more light.

D P Jindal : At present we are going ahead with the creeping acquisitions and certainly in times to come we will come out with a distribution policy.

Saket Kapoor: Absolutely sir. And so, the areas of improvement, so Kaushal sir did mention that we are seeing significant increase in the volumes and so, this is very good scenario for the industry and MSL in particular. So, where are the steps for that, how much money can be spent on improving

the efficiency therefore reducing the cost on a long-term basis and therefore adding to the margins and what portion of our sales are towards the automotive segment , and we think that there 's a good revival happening in the delivery segment in the automotive segment, so what you would say on that?

D P Jindal : So, basically cost reduction is , our main cost is power and oil fuel. So, fuel we cannot do much. So, power as the solar energy will lead, give us a better competitiveness reducing the cost and about the capex . Yes , you have made the right point , in MSL we have plan to go for a cold drawn plant. That means making those bearing pipes and other automotive pipes. So, we have a plan for that.

Saket Kapoor: Those will be value added products sir?

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D P Jindal : Yes value added.

Saket Kapoor: And sir we are also looking to bid for Oil Country Tubular I heard somewhere or correct me there sir?

D P Jindal : Oil Country Tubular?

Saket Kapoor: Yes, I miss the point you were mentioning about that we may go for oil.

D P Jindal : OCTL company?

Saket Kapoor: Yes, OCTL company, is it the one which is on block and we are looking to acquire it ?

D P Jindal : That's right , OCTL is a neighbor of US TPL. USTPL product was finished in OCTL, all those heat treatment product and threading, so it 's a complementary to each other.

Saket Kapoor: It's a forward integration for us for the United Seamless .

D P Jindal : That's right.

Saket Kapoor: Sir, in this process where are we in the midst of that and when can we hear something concrete ?

D P Jindal : We have already bid for it. So, it's a legal battle so let's see.

Saket Kapoor: Okay, it is through the insolvency to come here?

D P Jindal : Going through on it, there is going to be insolvency , NCLT.

Saket Kapoor: Sir, I'll come in the queue for more questions and suggestions I will write to be investor relations team due to the paucity of time . For the premium connections part for which we earlier mentioned, if you could give us some understanding, where do we stand there and what kind of margins or volumes are we expecting for the premium connection segment, which was mentioned earlier ?

Saket Jindal : So, premium connections earlier we had a technical tie up with Tenaris so now we no longer have that. And we 're looking at new partner for premium connection license and there are few parties which you're talking to , in the near future we should be able to crystallize that and start the premium connection production and even in OCTL there is facility for that . In case we acquire it there will be option to supply from there also. So, that is the scenario.

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Saket Kapoor: Right sir. And sir for the continuity of the product profile and also continuity to have the right product any seasonality factor during which we will take any plant shutdown so that the efficiency improve and the quality of product. Do we have done anything for this year or last year?

Saket Jindal : We already had a plant shut down in 7 inch mill and started again. So, maintenance was taken and also 14 inch next year we're taking the plant shutdown .

Saket Kapoor: Okay. And lastly sir on the implemented demand sir, something about the Russian sanctions by the US was mentioned. So, what is the size of this addressable market which should be vacated or rather vacated that would be sanctioned by US on Russia sir?

Saket Jindal : Russia, because of this geopolitical situation, the supply from Russia and Ukraine has reduced into the US market. And that is opened up more demand, that is why the prices have risen for our product also.

Saket Kapoor: And so, I was just looking for the addressable markets , supposing the one which was catered by the Ukraine or the Russian market and now can be

addressed by us, so what is

the size of the market, the US market which we 're looking ?

Saket Jindal : A substantial demand has opened up and that is why the prices have increased. So, it is means much larger than what we are exporting. So, there is a substantial demand opened up.

Saket Kapoor: Thank you for this elaborate answer. And the investors perception about MSL and also for the group needs to be reassessed with the type of efforts you are taking to educate investors. So, we look forward for the continuity and to have better clarity definitely on the capital allocation policy going forward , the dividend distribution , payout ratio, all these things will go a long way in serving the purpose for which these are being conducted. And I hope the management would look at the suggestions of all the investors and analyst in the call. Thank you once again, and we hope for continuity as well and a good job done by the investor relations team.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Vikash Singh for closing comments.

Vikash Singh: Thank you, everyone, for joining the call today with us. I 'd like to thank again the management for giving us the opportunity. And sir over to you for any closing remarks if you would like to make .

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D P Jindal : Thank you. We are looking forward to serve the investors better and we would like to give a free and frank discussions and we would like to share our policies. Now, more and more statements are coming to the investors for whatever is our policy regarding all these subjects we have discussed. Thank you very much.

Kaushal Bengani : Thank you Vikash for organizing the call. Thank you to Mr. Jindal , Chairman and Mr. Jindal , MD for taking time out from the schedule to participate in the call and helping the investor relations team in communicating better with the investor community. And we are extremely thankful to the investors for showing confidence in the company and we look forward to engaging with them more .

Saket Jindal : Thank you to all.

Moderator: Sir should we conclude?

Vikash Singh: Yes.

Moderator: On behalf of PhillipCapital (India) Private Limited, that concludes this conference call.

Thank you for joining and you may now disconnect your lines. Thank you.

Call: Oct 2022

E-Communication

MSL/SEC/SE/202 2-23 25th October , 2022

BSE Limited
25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of Analyst/ Investor Meeting dated 18th October , 2022

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of the conference call held on 18th October , 2022.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript -of-Conference -Call-Q2-FY23 -Earnings -Call.pdf>

The same is also available on the website of the Company www.jindal.com .

You are requested to kindly take the same on record.

Thanking you,
Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited Q2 FY23
Earnings Conference Call

18 October 2022

MANAGEMENT : MR. D. P. JINDAL – CHAIRMAN , MAHARASHTRA SEAMLESS LIMITED
MR. SAKET JINDAL – MANAGING DIRECTOR , MAHARASHTRA SEAMLESS
LIMITED

MR. KAUSHAL BENGANI – SENIOR MANAGER , INVESTOR RELATIONS ,
MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

Maharashtra Seamless Limited
18 October 2022

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Moderator: Ladies and gentlemen, good day and welcome to Maharashtra Seamless Limited Q2 FY23 Earnings Conference Call hosted by PhillipCapital (India) Private Limited . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Singh from PhillipCapital (India) Private Limited . Thank you and over to you sir.

Vikash Singh: Good afternoon, everyone . On behalf of PhillipCapital and Maharashtra Seamless , I welcome all of you on Q2 FY 23 Earnings Conference Call. Today from the management side we have with us Mr. D. P. Jindal – Chairman, Mr. Saket Jindal – Managing Director, and Mr. Kaushal Bengani – Senior Manager Investor Relations.

Without taking any much time I would hand over the floor to Mr. Kaushal Bengani for opening remarks. Kaushal over to you.

Kaushal Bengani: Thank you Vikash. Good afternoon shareholders. We are pleased to have this call with you and thank you for joining us. We hope you 've been able to go through our recent announcements, results and earnings presentations. Keeping in view the upcoming festive holidays, we have put tremendous effort in declaring our quarterly results within 17 days.

Our performance in the previous quarter improved substantially. On year -on-year basis revenue and profit increased 46 % and 86% respectively, quarter -on-quarter basis revenue and profit increased by 6% and 15% respectively.

In the previous quarter, Maharashtra Seamless has supplied two key value addition products, sour service subsea seamless pipes and drill pipes and more orders are expected. As domestic market for subsea pipes is around 70,000 tonnes and the market for drill pipes is 12,000 tonnes, we expect more orders to be received by us. In United Seamless cylinder pipes and export markets comprise 60% of total dispatches leading to extraordinary margins. As communicated in our earlier call we have also announced a bonus issue of 1:1 and have prepaid long term debt of Rs.315 crore. We have also provided an update on capital expenditure which we will commence shortly . This is in line with our continuous efforts to improve operations and improve our participation in value addition segments. I would like to quickly take you through the presentation now.

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The first few slides detail the operational performance of the company and of United Seamless. Our profit after tax has increased by 86% in Maharashtra Seamless and have really ramped up in United Seamless , primarily because of increase in dispatches . On quarter -on-quarter basis we've also done well keeping in view the buoyant market and our market leadership position. United Seamless is currently doing really well and the company has filed an application with NCLT Mumbai for amalgamation of United Seamless with Maharashtra Seamless. We have been advised by Price Waterhouse in this regard and we expect this amalgamation to be concluded within this financial year.

The next slide talks about the operational and financial performance of Maharashtra Seamless and United Seamless . EBITDA margins have remained consistent in Maharashtra Seamless. However, in the ERW segment we faced a slight dip on account of change in the products which were dispatched during the quarter. In United Seamless the EBITDA margins has gone up primarily due to the exposure in value addition segments and certain very high value export orders being dispatched . Our total exposure in un quoted equity and preference shares and ICD s have remained consistent in the

past

six months. Specifically, ICDs have come down from 144 crores to 102 crores. Our liquid investments in the previous quarter have increased by 300 crores . This is on account of reduction in working capital and improved operations. Because of an increase in liquid investments in the previous quarter we 've become net debt negative to the extent of 334 crores . On account of this liquidity position we have prepaid loan of 315

crores which was also communicated in our earlier investor calls. There is only one long term debt in Maharashtra Seamless which is for the rig and which is backed by cash flows in USD. Corporate guarantee and SB LCs are reducing as per our committed schedule. And we expect this entire exposure in corporate guarantees and SBLC to reduce fully by September of 2024.

The next slide talks about capital allocation in core business. We are focused exclusively towards the core segment and we want to increase our participation in high value addition segments. We've given a capital allocation update of 852 crores at various locations of the company out of which 43 crore is normal replacement expenditure and the rest 809 crores is towards capital expenditure which will help us in improving our market position. As capacity utilization of Maharashtra Seamless and United Seamless will increase, we will also have increased working capital requirements of 550 crores in both companies. Thereafter, we are also exploring opportunities for drill pipes ID coating, premium joints and even a new ERW API pipe mill. Our order book remains very strong, usually our order would be around 1000 crores however, it is at 1780 crores which is indicative of good sustainable demand. We expect this order book position to

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continue for entire FY 23 and going forward as well. The export orders are still coming in and our exposure to the export segment on consolidated basis is around 35%.

We have also put out our dispatch targets and margin outlook and our performance in the past six months. On the dispatch front we have slightly revised our bifurcation of Seamless dispatch between Maharashtra Seamless and United Seamless. The target has been revised from 3,50,000 tonnes to 3,65,000 tonnes in Maharashtra Seamless and from 1,20,000 to 1,05,000 tonnes in United Seamless. This is because in United Seamless we are making high value addition pipes which takes more time to manufacture but which leads to a lower quantity dispatch and generates much higher margins. We've talked about the government policies and the sales and marketing update on Maharashtra Seamless and United Seamless in the subsequent slides. We've listed out the places from where we are expecting orders to come in. I will urge all participants and the wider investor community to especially go through the last three slides of the presentation so that they will get a better idea about the market and the way the company is positioned in the market. Rig counts are still at a high level and on account of the under investment in the oil and gas sector over the past decade, crude oil trajectory is still upward. Further, since the US has made consistent draws from its strategic petroleum reserve, in order to contain the rise in crude oil prices we expect that further draws will not happen as the strategic petroleum reserve is at a very low level. India's oil demand is also projected to rise 50% from the current levels to 7.2 million barrels. The gas demand is also expected to rise going forward. On the shareholding structure of the company, we've had new institutional investors participating in Maharashtra Seamless. Further, there has been a sustained increase in promoter holding as also a sustained increase in the holdings of DII and FII. I will now go back to Vikash and open the floor for questions.

Moderator: Thank you

. Ladies and gentlemen we will now begin with the question-and-answer session. The first question is from the line of Bhavin Chheda from Enam Holdings. Please go ahead.

Bhavin Chheda: Sir, few questions first on the CAPEX plans of this 850 odd crores. Sir this is a big number which we are planning over the next three years and if I see the breakup, this 350 crores is for hot mill upgrade. And, you have given the estimated turnover increase overall from this CAPEX of close to 1900 odd crores. So, can you elaborate more the need for this big CAPEX of 850 crores whether there would be increase in capacity also or it will lead to more value-added products and what kind of value addition will be there which will require this big CAPEX?

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D P Jindal: In Nagothane 14-inch mill, this mill design is very old and after that a lot of technological development is there. Like, we have in Hyderabad, United Seamless which is latest one. So, at one time we have to replace one of the machine in 14 inch mill that is we call it PQF or MPM mill, and that is capital intensive.

Bhavin Chheda: So, this would be the replacement of existing mill it won't lead to additional capacity Mr. Jindal?

D P Jindal: Certainly, it will add some capacity, because the new mill will be faster and of course

better quality and better yield.

Bhavin Chheda: Sure. So, very well understood sir obviously it is upgradation of mill and except for this there are some other items like cold drawn pipes and OCTG line so, all this will help only in leading to additional value-added products right sir?

D P Jindal : That's right , but in Narketpally if we add an additional line, then we can run more of hot mill. At present we are running only one shift because we have a constraint of finishing the pipe.

Bhavin Chheda: Sure. And so after completion of this capital expenditure probably over next two to three years in Maharashtra Seamless can we deliver half a million of Seamless and another two lakhs at United Seamless so basically we are looking at say 0.7 million tonnes of Seamless including some portion of value-added in over three , four years.

D P Jindal: Yes around that .

Bhavin Chheda: Around that , and in that according to you sir, value-added would be how much if we deliver volumes of say seven lakh tonnes after this CAPEX after three to four years, how much would we value-added in that sir?

D P Jindal: Value-added means we are already having value-added product .

Bhavin Chheda: That will increase .

D P Jindal: Additional .

Bhavin Chheda: Additional value so, overall value-added portion in that seven lakh volumes would be how much sir?

D P Jindal: Around two lakh tonne.

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Moderator: Thank you. The next question is from the line of Pratiksha Daftari from Aequitas Investment Consultancy. Please go ahead.

Pratiksha Daftari: Just wanted to understand if you could elaborate on the timelines on this CAPEX plan that what CAPEX we are going to undertake first, or is it going to go simultaneously and when do we expect completion of this ?

Kaushal Bengani : We'll undertake the CAPEX plans over a period of two to three years. The two projects which will get priority is heat treatment and finishing facilities at United Seamless, so that we can immediately ramp up our capacity utilization. The second project would be the cold drawn pipe mill which we want to set up in Mangaon .

Pratiksha Daftari: Okay and this US TPL finishing line would take how much time approximately ?

Kaushal Bengani : Once it starts, it will take one year to complete. And we have already started certain portion .

D P Jindal : Started placing orders.

Kaushal Bengani : And we've identified vendors and we are in the process of obtaining inquiries and placing

orders.

Pratiksha Daftari: Okay understood and with regards to ERWR profitability was particularly low in this quarter. So, what were the reasons for the same and how do we look at profitability going ahead?

Kaushal Bengani : In the ERW segment, we've not done very well as compared to the previous quarter, this is on account of a different ERW product which was manufactured. So, we are making product for the oil sector which have low margins . Going forward we expect to gradually move away from non-oil sector to oil sector.

Pratiksha Daftari: Okay, so going ahead in our order book the non-oil segment would be how much percent if it's possible to?

Saket Jindal : Usually it's 50: 50, so oil sector is 50% and non-oil is 50%.

Pratiksha Daftari: Okay . And profitability for USTPL again improved quite a bit in this quarter. So, do we expect this profitability to sustain given the value-added segment in the order book, composition of the order book?

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Sanket Jindal : Means the production will sustain and the value-added this last quarter was higher because of cylinder pipe and export. So, this was a little on the higher side so it will correct itself to the usual level of 18,000 to 20,000.

Moderator: Thank you. The next question is from the line of Darshil Pandya from Finterest Capital . Please go ahead.

Darshil Pandya: So, I precisely have two questions. So, the first one is I would like to understand how you see for H2 that is the second half of this fiscal, how you see the demand and the second question is which we saw that is a liquid investment, the liquid mutual funds

schemes which we have invested. So, the numbers have gone very high it is probably up 10x so what do you think of this amount is this for working capital or is this some something for preparing the debt or something, if you can please give me an idea.

Saket Jindal : So, the next six months we expecting to maintain the profitability and the production level. And there 's a good demand and also i n export, the Canadian market has opened up and in US we are maintaining our export. So, export is promising , plus in domestic the oil sector especially , as we mentioned the subsea pipelines and also the demand for cylinder pipes so all that will remain. S o, we expecting to maintain the results EBITDA in the next six months. And second question was the mutual funds. So, we have funds extra, which as we just mentioned, can be deployed either in CAPEX or any other diversification if we come across in the near future.

Darshil Pandya: All right. And sir any specific guidance as to how what growth you 're seeing for the next half year ?

Saket Jindal: We're maintaining this same growth what we are doing currently. So, the first six months we will at least repeat I think .

Darshil Pandya: Okay fair enough sir. And as you have mentioned that the Seamless merger will be completed by this fiscal right ?

Saket Jindal: Right. So, we expecting as soon as possible the NCLT merger approval to come, but we are still , and there is some delay from NCL T which we are trying to pursue.

Moderator: Thank you. The next question is from the line of Chetan Doshi, an Individual Investor . Please go ahead .

Chetan Doshi: Sir, I would like to ask you one very specific question, you have introduce some new pipe for ONGC deep drilling into the s ea. So, what the market segment, how the Maharashtra Seamless Limited
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performance of the products what we have supplied to them, what is the feedback from the customer and how we are planning to get this product line increase in coming days ?

Saket Jindal: So, this is the drill pipe which we are manufacturing in the Mangaon facility and we already supplied to other customers in the past and it was accepted the quality and we have API license for this pro

duct. So, there is no problem in the quality so far and we are adding one more line of this drill pipe to cater to the addit ional demand. So, it's a high value -added product and additional capacity will help in meeting the demand.

Chetan Doshi: So, what kind of order inflow we expect in next two quarters in this product segment?

Kaushal Bengani : We expect three more tenders to be awarded to us by ONGC and Oil India for drill pipes.

Chetan Doshi: Thank you very much. Th at was a very specific question and there is no competition in this product line right ?

D P Jindal: From India, there is no competi tion.

Chetan Doshi: Yes, in India there is no competition from any manufacturer ?

Kaushal Bengani : That is right.

Saket Jindal : There is competition from Jindal Saw.

D P Jindal: We mean, there are two products one is drill pipe, drill pipe Jindal Saw is also making but subsea pipeline there is no competition.

Moderator: Thank you. The next question is from the line of Rohit Suresh from Samatva Investments. Please go ahead.

Rohit Suresh: I just wanted to know how is the demand for the API line pipes and h ow do you see the demand going forward in H2?

Saket Jindal: In the Seamless or ERW?

Rohit Suresh: ERW.

Saket Jindal : So, in ERW there is a constant demand and IFCL and other customers, there is always requirements and there are a lot of tenders expected and we have many players in India who were catering to this requirement. So, means there is no shortfall of orders in this area.

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Rohit Suresh: Got it and s ir in the ERW segment would API line type s be one of the highest margin products if I'm not wrong ?

Saket Jindal : Yes, so in the ERW , the API category is higher margin then the highest product.

Moderator: Thank you. The next question is from the line of Hetal Gada from ITI M utual Fund. Please go ahead.

Hetal Gada: I just wanted to ask a couple of questions. Firstly, on the ERW pipe performance , sir even though our pipes are required in the water segment, the EBITDA per tonne is not as

low as Rs.1000. So, can you please throw some light on what happened in this quarter and why is the EBITDA per tonne declined so much in the ERW segment ?

Saket Jindal : So, there was a testing of the pipe where there was more time taken in the testing. So, we lost time in the testing and production was less so because of less production cost being higher there was less profit.

Hetal Gada: There was, sorry I did not get your last part?

Saket Jindal : The production was less and the cost was higher , so profit was low .

Hetal Gada: You mean to say the operating leverage was not available and that impacted but even when there is a huge decline was there any inventory drawdown or high-cost raw materials which impacted the number ?

Saket Jindal : Some inventory impact also because of the higher price deal which was in stock .

D P Jindal: So, basically whatever dispatches we can see that is non-oil sector .

Hetal Gada: So, that was non -oil segment, okay. And?

D P Jindal: The oil sector dispatches were very minimum.

Hetal Gada: So, on a sustainable basis sir so if it is a non -oil segment orders, what will be the per tonne EBITDA level for those orders, can you just throw some light on that ?

D P Jindal: Rs.2000 a tonne in non -oil.

Hetal Gada: Okay, and sir oil?

Saket Jindal : Oil is higher 6-7.

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Hetal Gada: Okay. And sir if it is possible for you can you please tell me what was the inventory impact on per tonne basis for this quarter?

Saket Jindal : We will send it to you separately.

Hetal Gada: Okay, sir . Sir secondly, just wanted to understand like for other businesses like standalone Seamless business and United Seamless also, what is a sustainable EBITDA per tonne that we can expect going

forward?

Saket Jindal : I didn't get the question ?

Hetal Gada: On a sustainable basis what will be, any guidance on EBITDA per tonne for the seamless segment in both standalone business as well as the United Seamless ?

Saket Jindal : 18,000 to 20,000 is the thumb rule for the margin.

Hetal Gada: Okay , sir. And sir one more question wanted to understand like your order book if I see from Q1 -to-Q2 it has remained quite high, but there is a decline in value term. So, because there has been a decline in steel prices that also could have affected but I just wanted to get a sense from you whether on volume terms the numbers are on a higher trajectory or what have impacted the order book value?

Saket Jindal : Right. So, order book has what has been the impact .

Kaushal Bengani : Our order book is at 1780 crores , which is lower than the previous quarter but it is still at a very high level, on tonnage basis it is still much higher than it was at this time previous year.

Hetal Gada: But from Q -o-Q basis, tonnage basis I don't want the number but at least can you directionally say whether it is up or low?

Kaushal Bengani : On tonnage basis it is lower, but that is on account of reduction in our working capital as well.

Hetal Gada: Okay, fair enough. And sir lastly about the dividend policy, can you throw any light on that, what will be our dividend policy ?

Saket Jindal : Currently we have already paid the dividend of last year which was at par value and we are maintaining that 100% on the par value. And we also in this board meeting, we are doing a bonus issue where 1:1 bonus share will be given, that will increase the share

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capital and number of shares will be doubled, so this would help in the volume of trading and also overall market cap should also be improving due to this issuance .

Hetal Gada: Okay. So, right now in fact the dividend policy will be maintained at 100% of the fair value did I hear it right?

Saket Jindal : Yes par value.

Moderator: Thank you. The next question is from the line of Anurag Patil from Roha Asset Managers . Please go ahead.

Anurag Patil: Sir, in our rig business despite higher day rate , we have mentioned EBIT losses in the Q2. So, can you just explain the reason behind it and how can you expect the rest of the two quarter , what kind of EBIT margins we can expect there?

Kaushal Bengani : In the rig segment there was forex loss on account of restatement of the USD loan , so there was forex loss of around Rs.11 crore in the first quarter and Rs.8 crore in the second quarter. However, if you look at operational profit, then we made around 17 crores of operational profit in the two quarters which is in line with what was projected. The loan taken for the rig is in USD and cash flow of the rig are also in USD there will be no cash loss going forward. It is only a notional restatement which we have to do at the end of every quarter.

Anurag Patil: Okay. And sir for next two quarters we have strong order books so production levels can be maintained. But how do you see FY24 do you see this high order book sustaining in the next year or two and the production levels ?

Kaushal Bengani : As of now we expect good orders to continue and we see no reason why that will change.

Moderator: Thank you. The next question from the line of Vignesh Iyer from Sequent Investments . Please go ahead.

Vignesh Iyer: Sir there are two questions on my site. One is , in H1 for USTPL there is around dispatch of around 44,000 KMT . And you have a target 105 KMT for FY23 year . I just wanted to know out of 44 KMT how much percentage goes towards export and what is the target for export, for the entire year . And second question is coming to the raw material part of it. I just wanted to know quarter one to quarter two of this year what is the fall in the price

or if the price has been stable, I just wanted to know the, to understand the inventory part of it.

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Kaushal Bengani : In United Seamless, in the first quarter 50% of the dispatches were towards exports , in the second quarter 40% of the dispatches were towards exports. And going forward we expect similar levels for the export market in United Seamless. Regarding raw material, so in the first quarter, on account of imposition of export duty, raw material prices fell and they have been on the lower side since that point in time.

Moderator: Thank you. The next question is from the line of Vishal Rampuria from Julius Baer. Please go ahead.

Vishal Rampuria: Sir when you spoke about the outlook you spoke about cylinder pipes , can you talk about opportunity in cylinder pipes ?

Kaushal Bengani : Cylinder pipes are manufactured in United Seamless; this is an import substitution product and the annual market is around 50 to 60,000 metric tonnes. We are the only domestic manufacturers of cylinder pipes and we supply to cylinder manufacturers who use our pipes to sell to companies like Linde and to companies like Tata Motors, Eicher Motors and all automobile companies .

Vishal Rampuria: Sir out of 50, 60,000 industry size how much we are able to cater ?

Kaushal Bengani : I'll tell you the exact numbers , in the first quarter 20% of dispatches from United Seamless was towards cylinder pipes , in the second quarter also 20% of dispatches were towards cylinder pipes . So, we expect we 'll be able to cater to let's say 45% of the market right now.

Vishal Rampuria: And how much this number was last year ?

Kaushal Bengani : Last year it was very high because last year there was a shortage of oxygen cylinders in India on account of Coronavirus. So, there was an increased demand for cylinder pipes because there was a shortage of oxygen cylinders.

Vishal Rampuria: Okay. So, my question was largely the fact that because of the surge in the CNG prices, we have seen softening of CNG cylinder demand. So, are you also witnessing similar kind of lower demand for the pipes, for the cylinder pipes?

Kaushal Bengani : No, that is because in the automobile segment there is also demand for CNG cylinders.

Vishal Rampuria: Right, when I say lower demand, I was largely referring to the auto demand because ultimately it's a spread between the CNG and the diesel prices. So, given that CNG is all market linked and diesel is largely frozen. So, last few months, we have seen lower

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demand for the CNG vehicles. So, in that respect, are you also witnessing any slowdown in demand?

Kaushal Bengani : No.

Moderator: Thank you. Next question from the line of Saket Kapoor from Kapoor Company . Please go ahead.

Saket Kapoor: Sir firstly as you mentioned that the margin for USTPL were inordinately high and would get corrected for the next quarter. And also, we have also given the dispatch

number lower by 22 K for USTPL for H2. And, as dealers have mentioned that we are very likely to maintain the EBITDA number. So, how will the math work when we are anticipating 18,000 per tonne margin for USTPL 20,000 reduction in volume and we are looking for this I think so we did 470 crore of EBITDA for H1. And if you could explain sir where I'm missing the numbers ?

Kaushal Bengani : Saket ji we have reduced the dispatch target in United Seamless by 15,000 tonnes however, we have increased the dispatch target in Maharashtra Seamless by 15,000 tonnes. So, overall we will dispatch the same tonnage of Seamless pipes.

Saket Kapoor: Correct, but from 30,000 EBITDA per tonne it will go down to 18,000 as Jindal sir has said that it is even out and this one extraordinary number for USTPL . So, how will that then the bottom line will not be affected. Even though

the volume will remain same, the EBITDA numbers will go down.

D P Jindal : Dispatch will not be reduced if we don't make the value addition. See either of it will reduce when we are producing the normal product, then the production will be high only when we produce cylinder pipe and other value-added product, then only dispatches will be low.

Saket Kapoor: Yes, sir on the dispatch point it is correct, I was only asking on the EBITDA per tonne for USTPL, sir has mentioned that it will go down from 30,000 to 18,000 that is a reduction of 12000?

Kaushal Bengani : That reduction will not be immediate, it will be gradual. And if you look at our achievement in dispatch number , 48% has been achieved in Maharashtra Seamless out of the target in the first six months ..., and 42% has been achieved in United Seamless out of the target in the first six months. However, more than 50% of EBITDA has Of the 900 crores of EBITDA guidance, which we had given six months ago, we've achieved much more than 50% and since the second half of the financial year is generally better than the Maharashtra Seamless Limited

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first half, we expect the EBITDA guidance to be met and also the dispatch guidance to be met.

Saket Kapoor: Okay. So, we are holding on to this 490 numbers , 470 has been done for this first half. So, if you look at the 490 numbers we are looking at lower EBITDA, however the dispatchers are going to be higher, 430 is then the ballpark number. So, in that case, we should be looking forward for the higher EBITDA ballpark number upwards of 900 that understanding is correct sir?

Kaushal Bengani : That is correct.

Saket Kapoor: Sir, then coming to this growth part of the story sir if you could give us some more color what are the pillars that we have I read your slides there, but this has also been a cyclical part of the business for us. So, we are committing this money 800 crore especially for the CAPEX part. So, if you could explain how likelihood there is likely to be the continuity in demand going ahead, because there is some type of scenario did played out in 2013 , 14 also correct me there. So, we are talking about recession in the global economy, we are talking about a lot of geopolitical things to add , are these things aligned in favor of the demand of pipe that is what we are concluding if you could throw some more light on the same, how prudent is our CAPEX that we have planned because it's a substantial one.

Kaushal Bengani : On the CAPEX front, we expect the demand to sustain and the cycle to continue because in our assessment, the oil cycle turned around in 2014 for a period of seven, seven and a half years . Reversal had started in 2021 and what cemented further by the Russia, Ukraine war. On account of the turbulent geopolitical situation, we expect crude oil prices to remain firm and we are getting good demand for our pipes. The rig count levels in the US is similar as it was prior to the onset of COVID and the crude oil price trajectory is still upward . A very good indicator for this strategic petroleum reserve, which is at its lowest point in the past 28 years. So, we do not expect crude oil to fall and this crude oil does not fall and rig counts continue to increase there will be good demand for OCT G products which is why we have planned our expansion activities.

D P Jindal: Basically, these are not increasing much of the quantity it is value addition. So, the demand is already there for these products. So, we have to be supplying more quantity in these items.

Saket Kapoor: The last two points and firstly, for this Oil Country Tubular NCLT proceedings what is the current update on the same . When can we hear something on it?

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D P Jindal: There was some notice that and they have taken out of NCLT and the promoter want to

revive that unit. So, let's see what happens

Saket Kapoor: And then our bid, what is the status of our bid when it gets nullified with the same account being now non classified as NPA?

D P Jindal: Yes, our bid was never opened and so, if they want to go to NCLT they will call it again.

Saket Kapoor: Correct. And last question to Jindal sir only, sir when we look at this creeping acquisition exercises, to be very categorically mentioned that buyback being a costlier tax incidence measure then the promoters look for creeping acquisition other than the availability of fund, what are the other factors that are kept in mind by you people so, that will give us some understanding how are you, yourself being the largest shareholder valuing this enterprise, but what we have seen that there has been a steady increase with market cap and also steady increase in your creeping acquisitions pattern. So, now would like to understand are we done with it or how are you evaluating it, what is the valuation that you yourself are looking forward because it is first the ability of fund and then the valuation on these two factors only you are going, you have a substantial stake way above 67% now, if you could throw some light here.

D P Jindal: Our target is to go up to 75%. And as other shareholders we are also shareholders so same wavelength will go as per the market.

Moderator: Thank you. The next question is from the line of Bhavin Chheda from Enam Holdings. Please go ahead.

Bhavin Chheda: On ERW pipes business our capacity is 1,25,000 tonnes but I understand being a old mill and depending order sizes we have never reached peak volumes of even 90,000, to one lakh tonne, so after the current round of CAPEX, what would be the peak potential volumes of ERW pipes?

Kaushal Bengani: We expect it to be very close to the stated capacity of 1,25,000 tonnes.

Bhavin Chheda: Okay. And the second one on the margin outflow for ERW I missed on that point. So, the current quarter was low margin so, what's the outlook for second half and what would be the normalized margin in ERW pipes going forward?

Kaushal Bengani: Could you repeat that again please?

Bhavin Chheda: Yes, so ERW pipe margins were very low at around Rs.1000 a tonne in this quarter historically they have been higher but they have remained volatile. So, based on current Maharashtra Seamless Limited
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order book what margins you expect in ERW pipes in second half and overall, over a longer term, what would be your target normalized margin in ERW pipes business?

D P Jindal: See ERW has got two segments, one is the ordinary pipe for water purposes and other things. So, there the margin is only say Rs. 2000 per tonne and there are other segments that is oil sector, this gas pipeline and all pipelines, there the margin is Rs.7000 to Rs.8000 per tonne. So, in last quarter we have least supplied to the oil sector because of certain problems. So, we have supplied to the general market. So, the margins has dropped down, that is the main reason otherwise in future we would like to maintain 50:50, 50% oil sector and 50% market segments.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Vikash Singh for his closing comments.

Vikash Singh: Thank you everyone. On behalf of PhillipCapital, I would like to thank Maharashtra Seamless to give us the opportunity to host the call. And I hand over the call to Maharashtra Seamless management for any closing comments. Over to you sir.

Kaushal Bengani: We thank the investors and the shareholders for participating in the call. The activism shown by some of the shareholders have been guiding us in taking decisions which have been beneficial for the organization and has also improved our profitability and our position in the market. We value the contribution

that we get from our shareholders, and

we want to improve our engagement with them. And we've taken a lot of feedback from shareholders and implemented them. Please connect with us in case of any additional queries and we thank you again for participating in the call. I would also like to thank Mr. Jindal, Chairman and Mr. Jindal, MD for taking time out from their schedule so that we are able to organize this call and communicate with our shareholders. I would also like to thank Mr. Vikash for organizing the call and assisting us in whichever way possible. Thank you, Vikash and thank you shareholders.

Vikash Singh: Thank you.

D P Jindal: Thank you very much.

Moderator: Thank you. Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited , that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you .

Call: Feb 2023

E-Communication

MSL/SEC/SE/202 2-23 1st February , 202 3

BSE Limited
25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of Analyst/ Investor Meeting dated 24th January, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of the conference call held on 24th January , 202 3.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q3-FY23-Earnings-Call.pdf>

The same is also available on the website of the Company www.jindal.com .

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited Q 3 FY23
Earnings Conference Call

24 January 2023

MANAGEMENT : MR. SAKET JINDAL – MANAGING DIRECTOR , MAHARASHTRA SEAMLESS LIMITED
MR. KAUSHAL BENGANI – SENIOR MANAGER , INVESTOR RELATIONS ,
MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to Maharashtra Seamless Q3 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr . Vikash Singh from PhillipCapital (India) Private Limited. Thank you and over to you , Mr. Vikash Singh .

Vikash Singh: Thank you, operator . Good afternoon everyone . I am pleased to welcome you on Maharashtra Seamless Q3 FY 23 Earnings Call. From the management side , today , we have with us Mr . Saket Jindal - Managing Director , Mr. Kaushal Bengani - Senior Manager , Investor Relations .

I just like to announce that unfortunately , due to some urgent work , Mr. D. P. Jindal has to travel at the last moment , and he cannot join the call right now . We are still hoping that in the second half of the call , he will be able to join us . But Mr. Saket and Kaushal are there to help you out with your query .

Without taking any much time , I would like to hand over the dais to Maharashtra Seamless management for the opening remark . Over to you, sir.

Saket Jindal: Hi. Welcome everybody , and we are here to answer the investor queries and give the outlook of the company . And Kaushal will start with it .

Kaushal Bengani: Thank you, sir. Good afternoon , shareholders . Thank you for taking time out and joining us in our discussion of quarterly results for the December quarter. We have had another good quarter where margins have been very good and enabled us to maintain absolute EBITDA despite taking a maintenance shutdown in one of our Seamless pipe mills. This shutdown was targeted for the first quarter of FY24, but in view of our large order book , it was taken in the third quarter of FY23.

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We have undertaken maintenance activities and repaired and overhauled the furnace , motors and gears , which has enabled us to improve our production . We expect production volume in this mill to improve by 10 % , and this increase will be immediately apparent in the fourth quarter of FY 23. Generally, such maintenance activities are conducted once every 2 to 2.5 years , and therefore , we expect uninterrupted production from this mill going forward .

In the third quarter of FY 23, we have also undertaken prepayment of long -term debt of 315 crores , thereby bringing down our interest costs substantially . We have also completed a bonus issue in the ratio of 1:1, thereby doubling the equity capital of the company . We are set to meet our EBITDA guidance given at the start of the year as margins have remained firm throughout the year , and our order book remains strong . We also have good visibility of orders for next quarter as well .

I would like to quickly take you through our presentation before opening the stage up for queries. At the consolidated level of Maharashtra Seamless, margins remain consistent , and we have generated a similar level of EBITDA despite having lower production . It is clearly evident that our operations and sales are at a very strong level , and we expect a similar pattern to continue going forward .

In United Seamless, we are pleased to announce that we have maintained absolute EBITDA and, in fact , improved our margins despite having slightly lower dispatches in the third quarter of FY 23. Our profit margin has also improved and so has the earnings per share in United Seamless. We have

provided a comparison of the profit and loss statements of Maharashtra Seamless

ss

and United Seamless in the next slide .

On the front regarding amalgamation of United Seamless with Maharashtra Seamless, the first motion has been approved by NCLT Mumbai , and the second motion has been admitted with them . Next hearing is scheduled in February 2023 , and we are hopeful that the amalgamation will go through within this financial year .

On Slide # 10, we have detailed operational and financial performance indicators . And again , we talk about the steady margins , which have remained despite taking a production dip on account of maintenance in one of our mills.

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Slide # 11 talks about the EBITDA mix. As you can see , more than 80 % of the EBITDA is generated through the Seamless segment , and we would want the participants to take note that the Seamless segment of Maharashtra Seamless and United Seamless are the growth drivers of the entire organization .

ICDs continue to reduce gradually as was committed . Currently, they stand at 95 crores , and we expect ICDs to be fully realized by next year March .

Our cash balances have improved . We have reached a level of 640 crores as total liquid investments of Maharashtra Seamless, and our net debt is minus 469 crores after prepayment of debt of 315 crores . This is indicative of the cash generated from our strong order book and good margins . Corporate guarantee and SBLCs continue to reduce as was committed , and we expect them to be fully discharged by September of 2024.

We have given some more input on our capital allocation plan . The total capital expenditure that we are targeting is 852 crores , and this will be entirely funded from internal accruals . Of the projects detailed in this slide , two have been given priority . The heat treatment and finishing line at United Seamless so that we are immediately able to double production at United Seamless and Cold Drawn pipes , which we want to expand in Maharashtra Seamless.

We are also targeting setting up an OCTG line and Billet reheating surface in next financial year as demand for Seamless products is expected to remain consistent . We reiterate that there will not be any requirement of any debt , and all capital expenditure and working capital requirements will be met from internal accruals.

Order book has improved from last quarter , and we expect similar levels of order book to continue going forward . In Maharashtra Seamless, you have an order book in the Seamless segment of 1660 crores , and in United Seamless, you have an order book of 122 crores . The sustained order book will translate in improvement of capacity utilization by 5% in FY23.

We have also received orders for value addition products , especially drill pipes in Maharashtra Seamless. We have received three new tenders , and we have completed supplies against the previous tender. We are talking about dispatch

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targets of 365 ,000 tons in Maharashtra Seamless . Maybe we will fall short by a few thousand tons , but we expect to come very close to the given target both in Maharashtra Seamless and United Seamless.

The next three slides talk about the development undertaken by the company towards its customers and the marketing initiatives that have been undertaken .

We have also dispatched subsea sour service seamless pipes in the previous quarter and are continuing our dispatches in the current quarter , and we expect more orders to come in this new value addition product that we have developed . Similarly, in United Seamless, we are rapidly expanding our customer base , and we expect to capture a greater share of the market.

In terms of general visibility of orders , we expect orders to remain strong , because rig count have not declined . They remain consistent , and strategic petroleum reserve in the US continues to be at an

all-time low . Therefore, crude

is expected to remain strong and so will our order book . The impact of the

Russia-Ukraine war remains in the Seamless pipes industry as it does in quite a few other industries, and despite the longevity of this situation, it does not appear that there will be any abatement, and we can expect good orders to come from our export market going forward.

Promoters continue to increase their holding in the company, thereby reiterating confidence for all shareholders. We have had some marquee investors in our company, and they continue to remain invested. I would now like to open the floor for questions and hand over back to Vikash.

Vikash Singh: Thank you, Kaushal. Operator, please announce the Q&A session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Pratiksha with Aequis Investments. Please go ahead.

Pratiksha: Good evening. Congratulations on a good set of numbers. My first question was on the order book front. So, what would be the execution period for this order book? And what gives us the confidence of, you know, like, basically, just wanted to understand that, you know, Q4 target, volume targets seem to be pretty

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high. So, what gives us the confidence that we will be able to do that kind of margins in Q4?

Kaushal Bengani: In the fourth quarter, we expect good level of production, because we have undertaken refurbishment activities and maintenance activities in three of our mills in the past three quarters. In the first quarter, we have undertaken maintenance activities in our seven inch mill at Nagothane. In the third quarter, we have undertaken maintenance activities at our 14 inch mill at Nagothane. In the second quarter, we had undertaken maintenance activities in our ERW mill. So, production is expected to increase, and we are confident of achieving our stated target, because mill efficiency has increased. This is because we have overhauled the motor, gears, and furnace in our largest mill and also in our 7-inch mill. And therefore, we are quite confident of achieving our stated targets. Regarding the order book, this order book of Maharashtra Seamless is expected to be executed over a period of four months and that of United Seamless in a month and a half.

Pratiksha: Okay. And on the ERW front, just wanted to understand the mix in terms of application as in, you know, the sector, and how should we look at the margins going ahead, since we have had a very volatile margin profile in that segment?

Saket Jindal: Right. So, in the ERW, let me explain the ERW. In the past quarter, there was less margin, and the last quarter it came back, because previously, there was certain quality control issues where there was testing happening for IOCL projects. So, there we took some time to complete the testing process. And in the last quarter, we made a double shift, and also there was a regularization means it came back to normal, the operations, and the shift also increased. So, production was better in the last quarter, and also the margins were intact, because we are supplying to the oil and gas sector where API 5L X 70, that is the product which is being used.

Pratiksha: So, the current quarter margins are a good trajectory going ahead, right? They are more or less the same I think.

Saket Jindal: Yes, that's right.

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Moderator: Thank you. Our next question is from the line of Saket Kapoor with Kapoor Co. Please go ahead.

Saket Kapoor: Thank you for the opportunity. As been articulated by you in the opening remark, Kaushalji and Jindal Sahab, that we have taken a refurbishment. There would be a better yield that we are expecting. So, if

you could give us some understanding

what kind of key benefits in terms of tonnage or EBITDA we can expect over a period of time with the overhauling done?

Saket Jindal: So, if I understand clearly, the refurbishment is basically to regularize and to avoid any breakdowns. So, it wasn't any upgradation in technology as such. It was just a regular maintenance where we have to overhaul certain equipments to avoid any as a preventive maintenance. So, it will be regularized, and the yield

and everything will be maintained . So, there is no additional increase in yield . It is the same , and we continue and post the same kind of output as earlier .
Saket Kapoor: In the presentation and in the order book breakup also , we find a very strong client concentration that is from the PSU basket of ONGC and Oil India. So, going ahead, they are taking the nature of the business and we having a dominant market share in Seamless side, what other steps of mitigating the client concentration rate can we look forward ? Or how are we going to tap the export market in terms of in your commentary , it was mentioned that because of the Ukraine crisis , many European companies have stopped participating in the similar segment ? So, if you could give us some more color of what steps in the annual or the nature of the business is such that we will be having a larger price from dependence would be from ONGC and Oil India ?

Saket Jindal: Right . So, let me address the second part , which is the export target . So, Canada has opened up for us recently , because the normal value or the floor prices have been revised , which is making it more conducive and workable to export . So, Canada OCTG , the oil and gas sector has opened up again , and line pipe we were doing earlier also . So, the market in Can ada and USA combined is significant volume where there is no shortfall as such . So, additional requirements for orders besides domestic can be exported to USA and Canada .

So, we did not focus on other markets besides these two , because this is sufficient enough . But we still have our eyes open for orders in Middle East ,
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North Africa and South America , but this is may not be essential , because USA and Canada is sufficient . But at the same time , we have to keep our trust on the marketing initiative where a quality is well established , and looking at even domestic market , the quality complaints are bare minimum , which is very encouraging . And the USA customers also are very happy with the quality . So, minor complaints are there , but at the same time , we are well -established , reputable vendor . And also, the China , Chinese pipes are restricted in these markets by WTO . So, the restriction on Chinese pipes , we are more open for these markets , because we are in India , there is a level playing field because it is avoiding the dumping of goods by China . So, we are confident with the domestic market and export . We will have a healthy order book , and there is no risk as such that way.

Saket Kapoor: Right. And lastly, sir, about our investment in this rig segment , although as in your commentary mentioned that the rig counts are at the pre -COV ID levels , and the demand for more oil exploration activities is on an uptake globally , but since the nature of the investment , the returns are not commensurate with our main business . So, those gets diluted with the ROI . So, taking that aspect into account , since we are contracted for a three -year period with ONGC , does this divide us for contemplating any selling of our rigs? It is a workable proposition or we will be, the ownership has to be there with the person with whom the same has been contracted . In the case there is a significant demand or there is an option wherein you can sell the rig even if it is contracted, just understanding that tha

t is the

option or we can only think of it once the contract get over .

Saket Jindal: No, let me clarify . The rig oil prices are high currently , and the day rates in the drilling sector is going up . Recently a group company contracted , made a contract with ONGC at almost double the price of the previous contract . So, instead of say \$40,000, it's come to \$75,000. So, that is encouraging that day rates have gone up , and in our rig , which is in MSL , has also been operated by group company , and once this contract gets over , we will surely renew the contract at a much higher price . So, this is something positive we expect . And at the same time in the future , if it's lucrative , and if it's beneficial to the company , we can hi ve off the rig to any other comp any and encash the capex . So, means
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that is depends on the situation , but currently , it is operational , and it should remain operational in the near future , and the rates are expected to go up .

Saket Kapoor: No, sir, my point was since we are contracted for a period of three years , so whatever the additional benefit that is there in the current rate prices won't be

percolating to our number . It's only an indicative that these are the --

Saket Jindal: These are contract with the fixed price . So, during this contract , there will be no change in the financials .

Saket Kapoor: Yes, sir, and since we have just contracted , I think just a few months , in the month of May only , so three years down the line , nobody can predict what the charter rates are going to be . It may be a higher of 70 ,000 or lower of below 40,000 also . So, my point was only a small understanding that in this interim period wherein we have contracted , can that management contemplate change in ownership in depending upon if there is emergency buyers or any other understanding where we can hive off or whether it's in the because of the contextual terms , we have to continue for three years ? That was my question .

Saket Jindal: No, the contract is there's obligation to fulfill the contract for three years . So, we will have to fulfill the contractual liability . And secondly , talking of hive off , there is no surety as of now . It all depends on the scenario .

Saket Kapoor: And very last point in the presentation , it was mentioned about value -added segments of a good opportunity to address in drill pipe, Subsea Sour pipe and premium connection markets . So, if you could throw some more light what are the advancement we are taking and going ahead , how about these three segments going to contribute to the profitability of the company ? Drill pipes , Subsea Sour pipes , and the premium connection market .

Saket Jindal: Right . Drill pipe orders we already have in hand currently , and in Oil India also, and we are executing . And it is as per schedule in , I mean , next month onwards , it will be delivering . So, this is a high value-added product where we benefit more than the regular pipes because of more value addition and more margins . So, this is number one . Number two is the premium connections . So, there we are talking of a license agreement with JFE premium connections , and they have Maharashtra Seamless Limited

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audited the mill . And they are very happy with the facilities , and they are doing the final stage for signing the agreement and commencing operations .

Moderator: Thank you. Our next question comes from the line of Ramanan Venkateswaran with MK Ventures . Please go ahead .

Ramanan V : Good evening . This quarter, we have the order book, you know, which almost covers more than four months of our production at MSL , and given that, you know, we have the order book with the pricing and also inventory that we would have in terms of raw material , how do we see the margins going forward

into the

current quarter and possibly the next quarter as well ? Is it better than the previous quarter ? Or is it, you know, similar to that ? How do you characterize that ?

Saket Jindal: I think , more or less the margins are consistent , and the steel price has corrected slightly towards the lower side . So, that might give us some additional margin , and if we do value-added products , like we just mentioned , premium connections and drill pipe, so that will add to our overall margins , operating margins , and also exports will help . I think in export , if we are targeting more exports , then, actually , overall contribution will be higher , because there we can get higher realizations .

Ramanan V : When I actually look at the order book over the last few quarters , is the share of exports in the order book has actually kind of dipped ? Is it intentional or, you know, and it's back to the higher levels , how is it like ?

Saket Jindal: No, I think in the recent past , the Canadian Market was a little under investigation for duties . Now it has been crystallized . So, the Canada market is once again open to us . So, it will come back . In fact, we want to export more than what we did in the past . So, I am sure we shall be able to achieve record exports in the near future .

Ramanan V : And one last question on the , we talked about the IOCL.

Kaushal Bengani: Mr. Ramanan, we cannot hear you .

Moderator: The line of the current participant is disconnected . We seem to have lost the current participant . The next question is from the line of Hemant Soni , individual investor . Please go ahead .

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Hemant Soni: Congratulations on a good set of numbers and thank you for providing me the

opportunity . Sir, I have basically two questions . The first question is like you mentioned in the opening remarks , that there was a plant maintenance shutdown . So, for how many days the plant was shut down ? And what is the loss of revenue ? And sir, second question is , you had earlier guided in I think Q1 of the conference call that the company is targeting 890 crores of EBITDA in FY 23. So, sir, will it be possible for you to throw some light on the EBITDA numbers for FY24 as well ?

Kaushal Bengani: Mr. Soni, we had taken a preventive maintenance shut down in our 14 inch mill in December for a period of four weeks , and plant resumed operations towards end of December . And we are getting a higher level of production in that plant as per our standards . Secondly , regarding EBITDA , we had given a guidance of 895 crores , and out of that we have completed 75% of that in the first three quarters . So, right now , actually , we have done more than that . We have done around 85 % of guidance . So, I think , we will probably end up closer to 1,000 crores than 900 crores, which will be evident in due course . In the next financial year , if we take an absolutely conservative number and factor in the increased level of production in the Seamless segment , then we should have an EBITDA guidance in excess of 800 crores , although it is difficult for us to specify a number in absence of orders , which extend through the entirety of next year . We will come up with more accurate guidance in our next investor call after conclusion of quarter .

Hemant Soni: That is fine , sir. Any tentative number would be fine , like 800 crores you have guided for Seamless division . What about the ERW segment ?

Kaushal Bengani: Sir, more than 800 crores for the entire organization . This includes Maharashtra Seamless, ERW , wind and solar , rig, and United Seamless.

Hemant Soni: So, sir, basically, there will be a drop of 20% in EBITDA. Can we assume that?

Kaushal Bengani: You cannot assume that because I do not have enough data to present you with a number . This is just a ballpark number on an extremely conser

vative basis .

Moderator: Thank you. Our next question is from the line of Saket Kapoor with Kapoor and Co.

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Saket Kapoor: Just to reiterate what Kaushalji just mentioned , sir, I think you would be in a much better position I think to post your first quarter numbers maybe for the next financial year when proper EBITDA guidance could be given to us . I think , so when you first give the guidance for annual guidance , it was in the first quarter of this financial year . So, whether 800 number or a 1,000 number or any number between that or a conservative guidance , I think , so, if I am not wrong , you would be in a better position . The team would be in a better position to guide us on the path during the first quarter . Is that understanding correct ? Or we should keep this conservative number of 800 ?

Kaushal Bengani: Your understanding is correct . And thank you for clarifying that .

Saket Kapoor: So, we will wait for the first quarter to get , but what the underlying fundamentals are, they are getting to a strong story ahead . That is very well given in the sheets presented to us . So, I think that understanding also should be taken in that way .

Sir, it is mentioned that we are also taking steps for this monetization of investment in the Singapore subsidiary. So, if you could give us some understanding what is that current net and NAV or net asset value ? Or what are we trying to explain by this steps for monetization of investments , sir?

Kaushal Bengani: The value of the investment in the Singapore subsidiary has increased because crude oil is at a higher level , and value of rig has increased . So, the opportunities available to us for monetization have increased . However , we will not be able to go ahead with monetization immediately , because there is some debt on the rig in which the Singapore subsidiary has invested . And once that debt is reduced , then we can probably go ahead with monetization , although there is no such definitive plan at the moment . So, when I say the value has gone up , if you look at our financials , we have to restate the value of the equity investment at the end of every financial year. There has been a gain of around \$2.1 million on the evaluation of the investment .

Saket Kapoor: What is the total value currently for the investment , sir?

Kaushal Bengani: Total value of equity in terms of INR is 16 crores at Maharashtra Seamless standalone level . At consolidated level , it could be closer to 300 crores .

Saket Kapoor: No, sir. Come again . 16 crore and 300 crore is different type

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Kaushal Bengani: So, at consolidated level, the investment would be at 300 crores.

Saket Kapoor: The Singapore's investment only or you are clubbing everything?

Kaushal Bengani: No, total Singapore including subsidiary, Maharashtra Seamless Singapore.

Saket Kapoor: That value is about 300 crore?

Kaushal Bengani: Yes.

Saket Kapoor: At the consolidated level?

Kaushal Bengani: Yes.

Saket Kapoor: Earlier, sir, I think Jindal Sahab has also commented on the bonus issue being value accretive step taken for the investing community. However, it has its own pros and cons. So, going ahead since I think, so we did hire the PricewaterhouseCoopers agency for this merger with USTPL with MSL. So, going ahead, we would see the management to take more steps and involved or engaged with the agency to create value for all the stakeholders, and it is very much evident with the type of kind of cash generation the company is doing and the valuation given by the market.

So, I would recommend or rather suggest on my part would be that proper agencies who look after for these value creation for the company must be hired at from the company level so that the process can be speed. So, in

order to get that

attraction, that is what it is my understanding. I mean, that process, I think, going ahead, we should also look for, I think, maybe in-house or creating a hire team also. That would be another value-addition so that the decimation of information and the right valuation could be achieved. So, these were my suggestions if it merit any, if they derive any merit, they should be deliberated on. Thank you once again, and all the best to the team going ahead.

Saket Jindal: On the point of value creation for shareholders, we have completed the bonus issue in December, and in the next Board meeting, we will come out with a dividend policy. We have done a lot of work in the past year-and-a-half in making the company simpler and more easily accessible to all stakeholders. We have put in a lot of effort to make it more investor friendly. And the only point Maharashtra Seamless Limited

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which was remaining in our perception is the dividend policy, which we will come out with in the next Board meeting.

Saket Kapoor: Right, sir. And it would be very unfair on my part not to applaud Mr. Kaushal Bengani also. He has also played a very important role in communicating and creating awareness among the investing community. So, all the best to you, Kaushalji also. Thank you, Jindal sir, for all the reply.

Moderator: Thank you. The next question is from the line of Mr. Vikash Singh from PhillipCapital (India) Private Limited. Please go ahead.

Vikash Singh: Sir, I have just couple of questions. Firstly, regarding our capex. So, how much we have spent in FY 23 nine months, the pending capex for FY23? And what are our targets for FY24 spend?

Kaushal Bengani: In FY 23, Vikash, we have not spent any significant amount towards capex which is given in the presentation. We are targeting two projects which we will execute on priority, and we have floated necessary inquiries for the same. Actual expenditure will start in next financial year.

Vikash Singh: So, only for that two new projects as the maintenance capex probably would go through in the next financial year.

Kaushal Bengani: Yes.

Vikash Singh: Understood. And secondly, I just wanted to understand our bid book size basically, the next six months, what is the visibility in terms of orders in India as well as in abroad? So, if you could give us some insights into that?

Kaushal Bengani: Order book remains strong. And going forward, we have good visibility of orders. In the export market also, especially Canada, we can start, we have started exporting OCTG products, and we want to expand further both in US and Canada. There is good demand in US and Canada on account of rig counts remaining stable. There is consistent demand on that front. And with the US government buying crude from the market, we expect this demand level to continue.

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In the domestic segment, I put out a point in my presentation that ONGC has a demand of 1 lakh tons every year, additional demand of 1 lakh tons every year which is regular. And even in our current order book, out of the total Seamless orders of Maharashtra Seamless of 1660 crores, 541 crores is from ONGC and Oil India. These orders will be executed over the next 4, 4.5 months, and we expect orders to get replenished and the strong position to continue both in United Seamless and Maharashtra Seamless.

Vikash Singh: Understood. And sir, just once again, on your steady state EBITDA per ton guidance because that 800 crore, which is the lower end seems to be quite conservative considering we can have a 10 to 20 % earnings growth next year.

Kaushal Bengani: Right. So, you are right, and I don't have any data with me. It is the bare minimum number, which will come at very low EBITDA per ton. However,

our,

steady state guidance for the current quarter would be around 18,000 for Maharashtra Seamless and around 23 to 24,000 in United Seamless. This is for the fourth quarter.

Vikash Singh: Yes. And lastly, what was the mix of the export orders this quarter?

Kaushal Bengani: In the third quarter in Maharashtra Seamless, exports was 18 % of total sales.

Vikash Singh: So, despite that we have done almost 30,000 EBITDA per ton in United Seamless.

Kaushal Bengani: Yes.

Vikash Singh: Understood. That's all for my side.

Moderator: Thank you. Our next question is from the line of Hemant Soni, individual investor. Please go ahead.

Hemant Soni: Thank you for the opportunity again. Sir, do we expect Q4 numbers to surpass Q3? And what kind of capacity utilization are we looking for in Q4? Because I think in Q3, we have 60 % capacity utilization, right?

Kaushal Bengani: In Q4, we expect the numbers to surpass that of Q3. In Q3, capacity utilization was at a lower level on account of preventive maintenance being undertaken in Maharashtra Seamless Limited

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one of our mills. We have clarified that in the notes to accounts in the financial statement and also in Slide # 10 of the presentation. Therefore, capacity utilized, since the mill will now be working with improved efficiency as per our standards, we expect much better capacity utilization in the current quarter and increased levels of production in the quarter.

Hemant Soni: Any number you can specify, sir, on the capacity utilization part for Q4?

Kaushal Bengani: Sir, they will be better. I don't want to specify the number. There will be better capacity utilization. I can say for sure. And I have given the targets in Slide # 18 of the presentation, and we are quite confident of achieving our targets. If we do not achieve our targets, then we will come very close to our target. Right now, we are despite taking preventive maintenance shutdowns in two seamless pipe mills in the past three quarters, we have achieved 69 % in Maharashtra Seamless and 68 % in Maharashtra Seamless ERW segment in three quarters.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Vikash Singh for closing comments.

Vikash Singh: On behalf of PhilipCapital, I would like to thank Maharashtra Seamless management to give us the opportunity to host the call, and I would like to hand over the dais to Maharashtra Seamless management for any closing comments. Over to you, sir.

Saket Jindal: Thank you all the investors for the queries, and I hope we deliberated and answered the necessary queries. We are confident that we will meet the expectations of the investors in the coming year and also in the future. We are constantly vigilant on the financial numbers and also the operations. We take proactive decisions in our operations day-to-day for improvements and for also in the marketing side for lucrative orders and to maximize margins, returns, control our raw material cost. And also we are doing ERP for operational efficiency, the new version of ERP. And we are also as we mentioned adding value-added products, and also we are doing ventures in license agreements for value-added products. So, we are upbeat means the domestic market ONGC and others, oil sector, there is a good demand coming for new wells as well as placement

demands . So, there is no shortfall of orders . One lakh ton in oil sector domestic is in the pipeline . So, besides I just mentioned Canada has opened up . So, the Maharashtra Seamless Limited
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industry as such is upbeat, and oil prices are holding also . So, I would say the outlook is very positive , and investors should be looking at good returns . Thanks .
Kaushal Bengani: Thank you, Mr. Jindal . Thank you, Vikas

h , and thank you , investors , for taking
time out .

Vikash Singh: Thank you, everyone .

Moderator: On behalf of PhillipCapital (India) Private Limited, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

E-Communication

MSL/SEC/SE/202 3-24 05 June 2023

BSE Limited
25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 29 May 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 29 May 2023.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q4-FY23-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary
Page 1 of 21

Maharashtra Seamless Limited
Q4 FY 23 Earnings Conference Call

29 May 2023

MANAGEMENT : MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS & FINANCE , MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

Maharashtra Seamless Limited
29 May 2023

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY23 Earnings Conference Call of Maharashtra Seamless Limited, hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Singh from PhillipCapital India Private Limited. Thank you, and over to you, Mr. Singh.

Vikash Singh : Good evening, everyone. Welcome to Maharashtra Seamless Q4 FY23 con call. From the management side, actually, we have today with us Mr. Kaushal Bengani, Deputy General Manager, Investor Relations & Finance. Unfortunately, at the last moment, Mr. D.P. Jindal and Mr. Saket Jindal both had to travel. And unfortunately, they could not attend the call today. So today, from the management side, we have only Mr. Kaushal. Without taking any much time, I'll hand over the line to Kaushal. Kaushal, over to you, please.

Kaushal Bengani : Thank you, Vikash. Good evening, and thank you all for joining our earnings call. We have concluded a fantastic financial year, with highest-ever revenue, highest-ever dispatches and highest-ever profit. Our visibility has improved manifold, and we have successfully penetrated new markets with newer import substitution and value addition products. Our financials have also reflected this development. I will briefly summarize key financial indicators. Quarter 4 FY23 was significantly better than quarter 3 FY23 as our revenue increased by 22%. EBITDA increased by 27%. PAT and EPS increased by 85% and 77%, respectively, from previous quarter. When we compare Q4 FY23 with Q4 FY22, even then it was significantly better. Our revenue

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increased by 16%. In this comparison, EBITDA increased by 60%. PAT and EPS increased by 172% and 156%, respectively, from corresponding quarter of last year.

On an annual basis, the performance has also rapidly improved. Our revenue increased by 42% on an annual basis. EBITDA increased by 72%. PAT and EPS increased by 12% and 11%, respectively, when compared to previous financial year FY22. ROCE in FY23 has also shot up to 21% from 13% in FY22. Please bear in mind that these percentages have been calculated after recasting our financials for previous year. Otherwise, these percentages would have been even higher based on previously reported financials of FY22.

Apart from financials, there are four key points, which we would like to draw attention to. The first is the amalgamation of United Seamless with Maharashtra Seamless. We received final order from NCLT Mumbai in March 2023 for this amalgamation. Consequently, financials of FY22 and FY23 had to be recast as approved appointed date of the amalgamation was 01 October 2021. As a result of this recasting, a deferred tax asset of INR 378 crores was created on 01 October 2021, which was the appointed date to incorporate carry-forward business losses and unabsorbed depreciation of INR 1,503 crores approximately.

In FY22, INR 264 crores was set off from profit. And in FY23, INR 954 crores was set off from profit, leading to a total set-off of INR 1,219 crores. Consequently, our total tax saving over two financial years was INR 307 crores approximately. The amount remaining to be set off from profit of FY24 is INR 284 crores, which will be done in the first or the second quarter of this financial year. We are also entitled to refund of INR 122 crores approximately on account of advanced tax TDS and TCS deposited in FY 22 and FY 23.

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The second point that I would like to draw attention to is the issue of bonus shares and dividend, which was done in FY 23. The bonus shares were issued in the ratio of 1:1, thereby doubling the equity capital of the company. This was done to improve liquidity and benefit our esteemed shareholders. In line with our commitment made earlier, we have maintained our dividend at 100%, thereby doubling the dividend paid out as equity capital of the company has also doubled.

The next point is regarding dividend policy. FY 23 is the first financial year after a long time where we have successfully been able to simplify our corporate structure and improve operations simultaneously in a meaningful manner. The decision to amalgamate United Seamless with Maharashtra Seamless, which was taken by our Board, has been fruitful on various accounts, with record sales and profits.

We are at all-time highs with our cash reserves and order book. Therefore, at this point, considering numerous opportunities prevailing in the market, we want to consolidate our position with our improved balance sheet and will announce a dividend policy in due course. We remain firm on our commitment to use our cash balances judiciously and in core businesses only.

The next point is regarding our inclusion in MSCI. We've been made part of the Morgan Stanley Capital Invest India Domestic Small Cap Index from 01 June 2023. This type of recognition has been made possible by efforts from all stakeholders for which we are thankful. It gives us the right impetus and reaffirms that our journey has been and will continue on the right path.

I would now like to briefly take you through the presentation. The first slide talks about segments and capacities, which I'm sure all of you are aware of. The only point to note here is that we've actively been working on the installation of finishing facilities at United Seamless, Maharashtra Seamless L imited
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which will enable us to utilize the existing capacity of 1 lakh tons per annum, and we expect this installation to be completed in FY 24.

The next few slides talk about financials of the company, which I have already spoken about. On operational performance, we have dispatched 4,36,000 tons in FY 23, compared to 3,58,000 tons in FY 22 in the seamless segment, which is an increase of 78,000 tons in the past year. Our production too has increased by 75,000 tons. ERW segment has more or less performed in line with our expectations.

The EBITDA per ton has consequently gone up from INR 12,700 to INR 20,500, which is a significant jump and is reflective of the core operations -- the strength of the core operations of the company. The next slide is regarding the EBITDA mix. A point to note here is that the seamless segment accounts for 86% of the total EBITDA that is generated by the company.

ICDs remain on a declining trend. They currently stand at INR 78 crores. And in line with our commitment made earlier, these ICDs will be realized by March 2024. They have declined by almost 50% over the past year. Our liquid investments have increased by INR 388 crores, which is a 70% increase over the past year. And we are conserving our cash at this point in time so that we are able to consolidate our position in the market better with our improved balance sheet. We are net debt-negative to the extent of INR 784 crores. Corporate guarantees are reducing in line with the guidance given earlier, and they will be fully extinguished by September 2024.

Our order book has increased to INR 2,063 crores. We expect margins to remain steady based on current trend of seamless pipes prices. This is because our order book is supported by back-to-back booking of raw materials, leading to locking-in of margins and negating the impact of

fluctuating raw material prices.
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An important point to note regarding our order book is that our revenue in Q4 FY 23 increased by 22% compared to the revenue in Q3 FY 23. However, despite increase in revenue, our order book has also increased by INR 119 crores. That is from INR 1,944 crores in January 2023 to INR 2,063 crores currently. This is indicative of the buoyancy of the market and the frequency at which orders are being replenished. There is a sales and marketing update on Slide 17. And trends in the market on Slide 18, which I would strongly urge all participants to take a few minutes out and go through as it will give them a good indication of where demand is coming from and where we are headed. In our shareholding structure, as on 31 st March, I'm pleased to inform you that promoter holding has increased. And in April and May 2023, we have had two marquee investors joining us, which would be reflected in greater details in next quarter. I would now hand over back to Vikash and request him to open for questions.

Moderator: Thank you very much, sir. We have the first question from the line of Pratiksha from Aequitas . Please go ahead.

Pratiksha : Good evening. So my first question is basically, I wanted to understand what is the execution period for the order book that has been mentioned for both Telangana and the Maharashtra business?

Kaushal Bengani : Execution period is over four months.

Pratiksha : Okay. All right. And with the capex plan, I just wanted to understand how much of the capex is going to be incurred in this year and that will be towards which project?

Kaushal Bengani : Around INR 250 crores is expected to be incurred in FY 24. For projects which has been given highest priority is the finishing line
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installation at United Seamless. The second project in order of priority is the cold drawn pipeline at Mangaon.

Pratiksha : Okay. So a total of INR 250 crores for this year , out of INR 800 crores ?

Kaushal Bengani : INR 250 crores for this year. That is correct.

Pratiksha : Okay. And we've not seen any domestic orders in the order book for the seamless segment apart from ONGC orders. The domestic order book has not seen any movement, so any particular reason?

Kaushal Bengani : We have done a reclassification because ONGC order was significant as a percentage of total order book. We have bifurcated that. The remaining 45% of the order book comprises other domestic orders and exports.

Pratiksha : Okay. And what would be -- so -- okay. All right. That's it.

Moderator: Thank you. We have the next question from the line of Divya Daga from Vijit Global Securities Private Limited. Please go ahead.

Divya Daga : First of all, congratulations for such a great number . My first question is, sir, as I saw the PPT, there is a surplus cash that is liquid investment that we have in the long term and short term of INR 950 crores. How are we expecting it to utilize?

Kaushal Bengani : We've given out a capital allocation plan. And apart from that, we have doubled the dividend, which we have paid out. At this point in time, we are conserving our cash because there are various opportunities which are prevailing in the market. And we want to be in a position to consolidate onto those opportunities as our balance sheet is very strong.

Divya Daga : Okay. My next question is in rig segment. This quarter, we have a profit of INR 727 lakhs as against negative INR 2 lakhs in quarter 3. Is it sustainable? And what number are we expecting in next -- this financial year?

Kaushal Bengani : In the rig segment, we generate quarterly EBITDA of around INR 9 crores on a regular basis. However, there is a mark -to-market, which is done on the loan taken for the exchange rate, which is in US dollars.

When dollar appreciates, our mark -to-market is negative. And when dollar depreciates, our mark -to-market is positive. So in this quarter ending March 23, there was a slight depreciation of the US dollar, which led to the positive mark -to-market, which reflects a higher profit. But this mark -to-market is notional, and there will be no actual cash outflow on account of this mark -to-market because inflows in the rig segment are also in US dollars.

Divya Daga : Okay. And what will be the number we can expect in FY 24 in this segment?

Kaushal Bengani : INR 9 crores every quarter EBITDA. So it will be INR 36 crores EBITDA for the entire year.

Divya Daga : Okay. And in this financial year, we have an operating profit margin of around 17% to 18%. Are we having any guidance for FY 24 regarding that?

Kaushal Bengani : We expect margins to remain good.

Moderator: Thank you. We have the next question from the line of Mangesh Kulkarni from Almondz Global Securities . Please go ahead.

Mangesh Kulkarni : Congratulations on a good set of numbers. I just wanted to know about this Telangana facility. Our existing capacity is 2 lakhs, and after finishing line installation, it will go up by 1 lakh, right?

Kaushal Bengani : No. Our existing capacity is to 2 lakhs, out of which we are able to utilize only 1 lakh tons.

Mangesh Kulkarni : Okay. So after...

Kaushal Bengani : So in terms of the finishing facility, we'll be able to utilize the existing capacity of 1 lakh tons, which is currently unutilized.

Mangesh Kulkarni : Okay, sir. And one more question regarding over this. You have said that since you wanted to conserve the capital for the growth opportunities, so are we looking at any inorganic growth opportunity in this?

Kaushal Bengani : Not immediately, but we want to maintain a position where if a suitable opportunity in NCLT arises, then we can capitalize on that. I would like to say that we had acquired United Seamless through the NCLT route , and we have reaped significant dividends for the company on account of that acquisition.

Mangesh Kulkarni : Yes, sir. I know that. So any other opportunities in NCLTs are currently there?

Kaushal Bengani : We are on the lookout for opportunities, but we would not want to specify names at this point because it is at a preliminary stage.

Moderator: Thank you. The next question is from the line of Ramanan V from MK Ventures. Please go ahead.

Ramanan V : Congratulations for an excellent performance. I had three questions all pertaining to margins. Now first is, of course, we have the order book. Again, as you said, it is definitely higher than what we saw in January.

Now just to understand from a pricing perspective, this is kind of similar because we had almost a peak kind of margin in the fourth quarter. So from a pricing perspective, the current order book also reflects a similar kind of pricing and margin. That is the first one.

Second question is in terms of the EBITDA that we have seen also. It's gone up from INR 12,000 to INR 20,000 -odd. Now is that -- what would -- what, according to you, would be a sustainable EBITDA margin over a longer period of time? Because we had a lot of

headwinds -- sorry, we had a lot of tailwinds benefiting us in the current year -- the previous year. Now what would be a sustainable margin that we should look to going forward on that?

And lastly, of course, again, touching on this, we have a lot of capex, which are primarily by way of value adds, okay? And how much does that help to sustain or enhance the margins?

Kaushal Bengani : Thank you. On the order book, the component of ONGC and Oil India is 55% of total order book. Traditionally, ONGC and Oil India orders are higher -margin orders compared to other orders. So that is why we expect

margins to remain steady going forward.

Regarding the EBITDA per ton increase from INR 12,700 to INR 20,500, we do not want to provide a specific number of the EBITDA per ton going forward, but we reaffirm that margins will remain steady and they will remain good.

The third point was regarding capital expenditure. We are putting in all efforts to ensure that the finishing line facility is installed at the earliest because that will help us to immediately double our production at United Seamless. So in the previous financial year, FY 23, we had produced and dispatched 88,000 tons in United Seamless. If we have a finishing line installed, then we'll be able to immediately double the production, which means that the EBITDA generated from that unit will also double, which will bring down overall cost and improve margins substantially after the finishing line is installed.

Moderator: Thank you. The next question is from the line of Ankur Agrawal from RC Wealth Solutions Private Limited. Please go ahead.

Ankur Agrawal : How much capacity utilization right now, where we are?

Kaushal Bengani : Sir, I cannot hear you.

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Moderator: Excuse me. Yes, sir. Sir, I would request you to kindly use your handset, please?

Ankur Agrawal : Yes. I'm on handset. The capacity utilization, how much?

Kaushal Bengani : Sir, our seamless capacity is 4,50,000 at Maharashtra and 2 lakh tons at Telangana, out of which 1 lakh tons is currently being utilized. For the remaining 1 lakh tons at Telangana, we are in the process of installation of a finishing line, which will help us in utilization of the 1 lakh tons.

On the ERW front, our capacity is 1,25,000 tons per year.

Moderator: Sir, the participant has left the queue. We move on to the next question, which is from the line of Nirav Shah from Gee Cee Holdings. Please go ahead.

Nirav Shah : I mean are we sharing any FY 24 guidance on the seamless and ERW volume separately?

Kaushal Bengani : We are not giving specific guidance on the volumes or margins of FY24. However, we can comfortably say that margins will remain steady and they will remain good. And on the tonnage front, we expect the tonnage dispatch to improve in the range of 5% to 10%.

Nirav Shah : Okay. On a blended basis, seamless plus ERW combined.

Kaushal Bengani : On the seamless front.

Nirav Shah : Okay. So you're saying 5%.

Kaushal Bengani : A range of 5% to 10%.

Moderator: Thank you. The next question is from the line of Pankaj Kumar from Alpha Capital. Please go ahead.

Pankaj Kumar : Congrats on a very good set of numbers. Sir, as per exchange disclosure, we are taking a maintenance shutdown at our Telangana facility. So will that impact our Q1 volumes and dispatches?

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Kaushal Bengani : Thank you. The Q1 volumes will be impacted to some extent. But the facility at United Seamless is currently dispatching around 7,000 tons to 8,000 tons per month. So to that extent, we can see an impact on the tonnage. However, at Maharashtra Seamless, we will have consistent tonnage.

Pankaj Kumar : Got it, sir. And sir, on the tax benefit, we are getting tax benefit for the last two quarters. So what kind of should we assume for the future?

Kaushal Bengani : The tax benefit was on account of a accumulated losses and unabsorbed depreciation, which were present in United Seamless. The amount of unabsorbed depreciation and accumulated losses, which remain as on 31st March 2023 is INR 284 crores.

Pankaj Kumar : So for the coming few quarters, we will be taking the benefit of this ?

Kaushal Bengani : Over next one or two quarters, it will get fully absorbed and set off against the profit.

Moderator: Thank you. The next question is from the line of Dhruv Bhimrajka from JM Financials. Please go ahead.

Dhruv Bhimrajka : Sir, can you jus

t share your views on the outlook with respect to the seamless division? Because we've seen that the outlook seems to be quite encouraging and even the order book seems to be increasing. So any view on where our order book would stand maybe by the end of this financial year by FY 24? And also, if we can share that with respect to the macro outlook, are we seeing any stress on the pricing front?

Kaushal Bengani : Our order book is at an all -time high of INR 2,063 crores. Orders are being received on a daily basis, and they are being dispatched on a daily basis. We see no problem in the feasibility of orders or in pricing. Therefore, we expect a strong order book for the rest of the financial year.

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Regarding macroeconomic trends or the efforts that we are putting in to ensure that our order book remains strong, I have detailed them in Slides 17 and Slide 18. And if you want, we can discuss them in detail off-line.

Dhruv Bhimrajka : Okay. And sir, just to ask, like add on to it. So if we are having such strong deliveries, then, sir, how can we improve our working capital cycle? Because we still have inventory days over maybe 120 days, 130 days. And overall, our working -- and our cash conversion cycle also seems to be on the higher side. So if you are having such kind of a scenario where our orders are being dispatched mainly on a -- I mean, as you mentioned, it's quite strong, then sir, where can we see the working capital cycle being improved to?

Kaushal Bengani : There is a reason for the working capital cycle to be the way it is. When we get an order, we immediately buy raw material for the order. The reason we do that is because we want to maintain our margins and prevent fluctuations in the margins on account of fluctuating raw material prices. So when you say that we have an order book of INR 2,063 crores, what that also means is that quite a large portion of that is already covered by raw material.

So against an order book of INR 2,063 crores, we have raw material of around INR 1,400 crores, INR 1,500 crores. And that is the model on which we operate, which ensures that we get stable EBITDA margins.

If you look at our EBITDA margins over the past five quarters, then they have been -- consistently been between 17% to 19% in the past four quarters, and they've been 14% in quarter 4 FY 22. So in order to maintain your EBITDA margins, we have to put in funds towards inventory, thereby making it a very capital -intensive business.

Dhruv Bhimrajka : Okay. And just on the last part, sir, as of now, as -- even the earlier participant also mentioned that we are having net cash on our books.

And you planned the capex of over INR 1,000 crores in the next few Maharashtra Seamless Limited

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years, I mean, approximately INR 2,000 crores. So with that, how are financial provision look like, if you can give some picture on that?

Kaushal Bengani : Capex is INR 852 crores . And the entire capex will be funded from internal accruals. There will be no debt of any kind, which will be taken to fund the capex .

Moderator: Thank you. The next question is from the line of Vignesh from Sequent Investments . Please go ahead.

Vignesh : Just sir, on this expansion that we have taken in Telangana, would it be right to say that I mean with the 10% -- 5% to 10% tonnage dispatch that you're guiding for FY 24, a good chunk would be coming from Telangana considering you have decided to do a capex there? I mean you have got the traction, but you kind of supplied with the current facility?

Kaushal Bengani : In FY 24, that will not be the case because in FY 24, we will be in the process of installing and commissioning the finishing line. In FY 25, we can see improved volumes on account of this finishing line.

Vignesh : What is the tentative time line for -- starting of the line

in Telangana?

Kaushal Bengani : At this point in time, we expect it to be completed within FY 24.

Vignesh : Okay. Right. My second question is on line of -- sorry. Yes, so what would be our total capex for FY 24?

Kaushal Bengani : Around INR 250 crores.

Vignesh : Okay. And does that include the solar plant and that you're planning to install?

Kaushal Bengani : No, it does not include solar at this point. There are two projects which we are focusing on. The first is the finishing line installation at Telangana and the cold drawn pipes at Mangaon.

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Moderator: Thank you. The next question is from the line of Mangesh Kulkarni from Almondz Global Securities. Please go ahead.

Mangesh Kulkarni : I just wanted -- Slide number 16 and 17, you have given very good outlook on the order -- means opportunities for our kind of business. So looking at this, what kind of order intake we expect in the year FY 24?

Kaushal Bengani : We expect consistent order intake. So at this point in time, assuming we had unlimited funds, then we can take orders going into 2024 --

calendar year 2024. We can maintain that order book. But because we work in a disciplined manner and we want to utilize funds judiciously, when we take an order, we buy raw materials immediately so that our margins are locked in. There is no dearth of orders. There is no problem in visibility of orders. This is evident because our sales in quarter 4 increased by 22% compared to the sales in quarter 3. And our order book in January was at INR 1,944 crores, and currently, our order book is at INR 2,063 crores. So whilst , sales and dispatches have increased in the past quarters, our order book has also increased. This only indicates that the market is buoyant and there is good visibility of orders.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company . Please go ahead. Mr. Kapoor, please proceed with your question. I have unmuted your line. As there is no response from the current participant, we move on to the next question, which is from the line of Amol Rao from Kitara Capital. Please go ahead.

Amol Rao : Sir, just a couple of questions. One is order book is at an all-time high. So just could share some color on if there is any more OCTG order in the order book? Because -- is this all primarily just driven by oil and gas, or is there some automobile or engineering order also, which is there in the book this time now?

Kaushal Bengani : We have orders from the boiler segment and from refineries as well. We also have some orders from certain entities, which are eventually

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used in general engineering. It is not entirely OCTG. Significant portion of the order book is ONGC and Oil India, and a large portion of the exports is OCTG products, but the balance, to a large extent, comprises boiler segment and general engineering.

Amol Rao : Would it be safe to assume that this is around 10% to 15% of the order book or slightly lesser?

Kaushal Bengani : It is more than 10% to 15%.

Amol Rao : Okay. Thanks a lot. Sir, one more question. I mean in this order book, I mean, specifically, is the quantum of exports a little lower than usual?

And if it is, is it a conscious decision on our part to -- going or divert our capital towards taking orders from the domestic segments versus the export because export could be a slightly lower -margin product at the timely?

Kaushal Bengani : Yes, you're right on both counts. It is a conscious decision. And the reason why we took the conscious decision is because ONGC and Oil India have been long -time customers of Maharashtra Seamless, and we want to...

Amol Rao : No question about it. That's capital maximization. So we are not complaining . Lastly, just on a trend on a trend -wise basis in solar in the

OCTG business. In the export markets, although, I mean, we supply primarily to the US, what are we noticing there? Is there any softness in the market , or is the market steady? Because the amount of risk hasn't moved much. But what about the demand part on the onshore segment , is that market steady?

Kaushal Bengani : Demand in the export market is steady in US and Canada. The rig counts have come down by 10 rigs or 12 rigs out of 750 rigs, 740 rigs.

But that is a minor movement considering the total number of rigs which are operating in US and Canada.

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Moderator: Thank you. We have the next question from the line of Pritesh from Lucky Investment. Please go ahead.

Pritesh : Sir, as a group, what are we doing for value creation in the separate companies? And are we sticking forward towards untangling all the costs investments that we have in the company, especially Maharashtra Seamless jointly owning some rigs with Jindal Drill? Any of those thought processes, sir?

Kaushal Bengani : We are in the process of simplifying our structure and we had started that process in 2019. Every year, we are undertaking either some large decision or some corporate action to assist in simplifying the structure and making respective companies more attractive for shareholders and investors. We are on that path. And we are consistently working towards it.

Even now when we gave these results, we have amalgamated United Seamless with Maharashtra Seamless, thereby reducing the number of subsidiaries. And if you look at financials of Maharashtra Seamless on a consolidated basis versus financials of Maharashtra Seamless from a stand -alone basis, you will now realize that there is practically no difference between these 2 financials. Almost everything is in Maharashtra Seamless, stand -alone.

So you are right, we are working on making our corporate structure more simple and more investor -friendly.

Pritesh : So now what remains in Maharashtra Seamless is, outside the pipes business, your interest in rigs? Or do you have any other interest as well?

Kaushal Bengani : We have a wind and solar division, a renewable energy division, which is largely used for captive consumption. So we have a seamless pipes segment. We have an ERW segment. We have a renewable energy segment, and we have a rig segment. On the rig segment, we had

communicated earlier that after May 2025, we will take a decision on this. It will either be sold off or hived off depending on the situation prevailing at that point in time.

Pritesh : Sell off the rig.

Kaushal Bengani : Either that or hived off in May 2025, when the current contract of the rig expires.

Pritesh : Okay. What is the outlook that you shared on the drilling rig business in terms of the rigs that you have? What kind of -- are there any contract negotiations, contract repricing that is going to set in? What kind of revised rigs are you seeing on the rigs that you own, the Maharashtra Seamless rigs?

Kaushal Bengani : So the rig that is owned by Maharashtra Seamless, it was earlier deployed at a very low rate. And currently, it is deployed at \$23,000 per day for Maharashtra Seamless. This rig is deployed onward with ONGC at \$38,000. Day rate of rig Jindal Explorer, which is the rig which Maharashtra Seamless owns improved by 60% to 70% when the contract came for repricing in 2022.

Pritesh : When is the next repricing lined up for rigs?

Kaushal Bengani : May 2025.

Pritesh : Okay. So was repriced -- the repricing is already part of your P&L today?

Kaushal Bengani : Yes.

Moderator: Thank you. We have the next question from the line of Hemant , an individual investor. Please go ahead.

Hemant : Sir, congratulations on a very good set of numbers . Sir, I had attended the Q3 FY 23 earnings call , on co

n call. There, I had asked for the
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revenue guidance for FY 24. It was told to me that it will be updated in the next call. So any target which you have in mind -- in which you have in mind for FY 24 in terms of revenue?

Kaushal Bengani : Sir, we do not want to give revenue or margin guidance on a specific basis. However, we can say that considering the market is very good, our order book is also very good. We expect good performance on our part, and our margins are expected to remain steady. On tonnage front, we can comfortably say that in the seamless segment, there will be improvement in tonnage in the range of 5% to 10%.

Hemant : Sir, one more thing, maybe not for FY 24. So we have a total capex of INR 850 crores -- INR 852 crores exactly to be lined up until FY 26. So what kind of asset turn will be -- you can -- or maybe what kind of incremental revenue we can have from INR 852 crores capex ?

Kaushal Bengani : It depends on the kind of revenue -- sorry, it depends on the kind of expenditure which will be implemented at a certain point in time.

However, in our slide, we have given line-wise bifurcation of the revenue improvement, which will take place on account of the capital expenditure.

Hemant : Okay. And I'll have a look. And one more thing...

Kaushal Bengani : Slide 14 of our presentation.

Hemant : Yes. Estimated annual return will increase by INR 800 crores. Yes.

Okay. So sir, one more thing. As for the Q2 FY 23 PPT, there was a target dispatch for FY 23 of 4,70,000 metric tons, including both Maharashtra Seamless and United Seamless , 3,65,000 for Maharashtra Seamless and 1,05,000 for United Seamless. So together, it comes to 4,70,000. And I think we have missed the number. It's the 436 -- as I mean 4,36,000. So can you briefly explain what is the reason behind there?

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Kaushal Bengani : The reason -- when that guidance was given, we had not expected to take preventive maintenance in one of our mills, in Maharashtra Seamless at Nagothane. So because of preventive maintenance, the mill was not manufacturing for one month, which led to a reduction in the quantity dispatched. However, please bear in mind that in the call for the first -- in the call for the fourth quarter of FY 22, I had given EBITDA guidance of INR 895 crores for the combined United Seamless and Maharashtra Seamless entities. Against that INR 895 crores EBITDA guidance which was given, we have achieved INR 1,038 crores, which is an improvement of more than -- of around 15% in the given EBITDA guidance.

Hemant : Correct. Correct. Sir, one more thing. Whenever we have mentioned with the estimated annual turnover increases by INR 800 crores, I was -
- I am just taking a look at the slide. So by what time line can we expect this?

Kaushal Bengani : Sir, the finishing line installation is expected to be completed in FY 24. Once that is completed, then the next financial year, you will see an increase in turnover by INR 800 crores at least because we'll be able to utilize the entire capacity of 2 lakh tons, against which we are currently able to utilize only 1 lakh ton.

Hemant : So you mean to say that the activation of the installation of 1 lakh metric ton of United Seamless will increase the turnover by INR 800 crores at full capacity?

Kaushal Bengani : Yes, sir.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today.

I would now like to hand the conference over to Mr. Kaushal Bengani, Deputy General Manager, Investor Relations & Finance, for closing comments. Over to you, sir.

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Kaushal Bengani : I would like to thank all investors for taking time out of their schedule and participating in our call. We have been working to make our organization more

investor-friendly, and we have been trying to do things which improve efficiency and profitability of the company, thereby increasing value for shareholders. We have doubled the dividend, which we've paid out. We have improved our reporting standards. To that line, we have also announced our AGM date of 28 August 2023, which is one month earlier than our usual AGM date, and we are consistently trying to improve to meet the expectations, and we will value feedback which we get. Thank you for joining us, and I'll see you again in the next investor call.

Moderator: Thank you very much, sir. On behalf of PhillipCapital India Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you .

Call: Aug 2023

E-Communication

MSL/SEC/SE/202 3-24 08 August 2023

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25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 02 August 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 02 August 2023.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q1-FY24-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary
Page 1 of 22

Maharashtra Seamless Limited
Q1 FY24 Earnings Conference Call
02 August 2023

MANAGEMENT : MR. D P JINDAL – CHAIRMAN – MAHARASHTRA SEAMLESS LIMITED
MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER ,
INVESTOR RELATIONS & FINANCE – MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL INDIA PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the Maharashtra Seamless Limited Q1 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Singh from PhillipCapital India Private Limited. Thank you, and over to you, sir.

Vikash Singh : Good evening, everyone. Welcome to Maharashtra Seamless Q1 FY '24 Earnings Con Call. From the management side today, we have with us Mr. D.P. Jindal, Chairman; and Mr. Kaushal Bengani, Deputy General Manager, Investor Relations and Finance. Without taking any more time, I would hand over the call to Mr. Kaushal Bengani for the opening remarks. Over to you, Kaushal.

Kaushal Bengani : Thank you, Vikash. Good afternoon and thank you for joining our earnings call. We are pleased to let you know that we have been able to continue our strong performance going into the new financial year. In Q1 FY '24, we have been able to improve upon our margins despite lower production on account of preventive maintenance and seasonal factors.

I will briefly summarize key financial indicators. In Q1 FY '24, our revenue decreased by 7% from Q1 FY '23. However, our EBITDA increased by 6%, PAT and EPS increased by 48% and 45% respectively, from corresponding quarter of last year. This was achieved despite lower production and dispatches and only indicates strength of our operations and business.

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Apart from financials, there are 3 key points which we would like to draw attention to. Firstly, we've become 100% debt -free in quarter 1 FY '24. We were always net debt -free and now we have become 100% gross debt -free with cash reserves in excess of INR1,000 crores. We had informed shareholders regarding prepayment of debt around a year ago and we have been able to complete that timely. Secondly, we have commenced the capital expenditure schedule, which we had given out. Our plans of capital expenditure by acquisition of land was started in Q1 FY '24 and we'll use this land for installation of finishing facilities at our Telangana unit. We are in the process of placing orders for relevant machinery and will try to complete as early as possible.

Another key point to note in Q1 FY '24 was inclusion of Maharashtra Seamless in MSCI. We were made part of the Morgan Stanley Capital Invest India Domestic Small Cap Index from the 1st of June. This type of recognition reaffirms that our journey is on the right path. The consequent doubling of foreign institutional investor holding from 2.84% to 5.96% within a span of a quarter is another feather in our cap.

I would now like to take you through the presentation. In the quarterly highlights, you will note that our EBITDA margin has improved and our PAT margin has remained the same despite lower sales. This is on account of execution of good orders and our ability to control costs.

On the next slide, I've given a quarterly comparison and you will note that our strong performance is clearly reflected. We have a revenue figure of INR1,256 crores with profit of INR216 crores. In Q1 FY '24, some portion of the accumulated losses and unabsorbed depreciation which was also utilized.

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The next slide talks about the annual highlights of Maharashtra Seamless, which was given earlier as well. Slide 8 talks about operational and financial performance. Our EBITDA in quarter 1 FY '24 is

at INR204 crores from Seamless division and INR11 crores from ERW division. This level of EBITDA is almost the same as it was in Q4 FY '23 despite lower sales. Our EBITDA per ton in the Seamless segment has improved and the lower production was on account of preventive maintenance shutdown that we have taken in our Telangana unit.

The next slide is about the EBITDA mix. In Q1 FY '24, 83% of EBITDA was generated from the Seamless segment with the balance 17% coming from ERW, Renewable and the rig segment. Going forward, we expect this to be the segmentation between each of the divisions and their contribution towards overall EBITDA should be along same lines.

Our unquoted equity preference share investments and ICDs are detailed on the next slide. You will note that ICDs have continued to decline and we expect them to be fully realised by March 2024. Our liquid investments, both long-term and short-term have increased. We are now sitting on cash reserves in excess of INR1,000 crores and we are pleased to be in this position.

After adjusting for ICD given we are closer to INR1,100 crores of net cash. There were 2 long-term loans, which were availed a few years ago in Maharashtra Seamless, both of which have been prepaid in full in October 2022 and June 2023 in view of sufficient internal accruals and rising interest rates. Corporate guarantee continues to reduce as per the schedule committed.

Our order book as on 25th July stands at INR1,725 crores with 51% of the order book coming in from the upstream segment and the balance coming in from the exports, downstream and other

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segments. We expect margins to remain steady based on current trend of seamless sites. This is because our order book is supported by back-to-back booking of raw material, leading to locking of margins and negative impact of fluctuating raw material prices.

The capital allocation schedule, which we had given earlier, which is primarily about capital expenditure is detailed on the next slide.

We have commenced installation of the finishing facility at our Telangana unit and we will try to complete this as soon as possible. There will be no requirement of any debt of any kind for going ahead with this capital expenditure plan.

The next few slides talk about the government policies, sales and marketing update and the market trends, which are currently in place. A key point to note in terms of domestic demand is that India's oil demand is projected to rise 50% to 7.2 million barrels per day in 2030 from 4.8 million barrels per day in 2019. Our natural gas demand is also projected to double to 133 bcm in 2030 from 64 bcm in 2019. India also plans to double its oil refining capacity to 450 million tons in the next 10 years to meet rising domestic fuel demand as well as to cater to the export market.

There are other factors which are prevailing in the market right now. And we would appreciate if you can take some time out to go through Slide 17 and 18, so that there will be a better understanding of the demand drivers, which we are experiencing. The shareholding structure is detailed on the next slide. FII holding has doubled, more than doubled in fact, from 2.84% to 5.96%. DII holding has also increased. Number of FIIs have also increased significantly.

Promoters continue to hold 67.8% of the total equity.
That concludes the presentation, and I would now request Vikash to take it forward from here.
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Moderator : Thank you. The first question is from the line of Samraat Jadhav from Prosperity Wealth Advisors. Please go ahead.

Samraat Jadhav : Yes. So my question is on the raw material prices whether you see an upside into the raw material prices or on a lower side? And what is the view on your export orders?

D P Jindal

: Well, I'm D.P. Jindal here. Raw metal prices -- steel price in general is going down. And how much, I'll say 10% already reduced and we are hoping that it will establish at these prices. Regarding export, last 2, 3 months, there was a slackness in the export market, particularly in U.S.A. And now we are hoping that it will go up because the rig count is also going up in U.S.A. Yes.

Samraat Jadhav : Right. So recently, when U.K. has announced some oil explorations also across -- so do we have any opportunities there?

D P Jindal : Yes, we do export to U.K. also and mainly Canada and U.S.A.

Samraat Jadhav : Okay. And this raw material prices, if it comes down, will it have a beneficial on our EBITDA margin?

D P Jindal : Yes. Like Kaushal was saying, our EBITDA margin was better in last quarter. So one of the factors was that the steel price has gone down and our order booking was at a higher price.

Moderator : The next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda : Sir, could you give some volume outlook in ERW and Seamless for FY '24? And I see that we have capacity available in Seamless. So wondering this INR850 crores of expansion that we have lined up, is it expanding any capacity?

D P Jindal : Actually, we have shown in Telangana plant 2 lakh ton. Actually, we can finish -- our plant is 2 lakh ton, but we can finish pipe only 1
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lakh ton. So we are adding only finishing facilities to finish another 1 lakh ton so that we can utilize 2 lakh ton plant there.

Pritesh Chheda : So for this finishing facility, INR850 crores investment.

D P Jindal : No, no.

Kaushal Bengani : No, finishing facilities is INR184 crores. There are other aspects of capital expenditure, which we have detailed on one of the slides in our presentation.

Pritesh Chheda : No, I am seeing that slide. So that is Slide number 14, but is it expanding any capacity?

Kaushal Bengani : Not the INR184 crores capital expenditure.

Pritesh Chheda : Sorry?

Kaushal Bengani : The INR184 crores capital -- INR184 crores capital expenditure will be for finishing facilities only. We already have capacity in United Seamless of production of 2 lakh tons, out of which we are currently able to finish only 1 lakh tons.

D P Jindal : Total capacity is 6 lakh ton.

Kaushal Bengani : 6 lakh 50,000.

D P Jindal : 6 lakh 50,000, so that will remain there. It will not expand.

Pritesh Chheda : So I understood the first 2 line items, US TPL, solar plant and heat treatment in which 100,000 finishing line, which was not able to utilize will be able to utilize 200,000, I understand that. But other than that, whatever is mentioned down with INR350 crores hot mill upgrade, OCTG line INR95 crores, all this will any of it expand any capacity?

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D P Jindal : Not in tonnage, it will expand in the value addition and maintenance of the plant and upgradation of the plant.

Pritesh Chheda : Okay. My second question was if you could share the volume outlook for Seamless tubes and ERW?

Kaushal Bengani : We expect a 5% to 10% growth in terms of tonnage. And that is the outlook which we have given earlier as well.

Pritesh Chheda : Okay. And my last question is, sir, it's nice to see the ICDs and the corporate guarantees continues to be reducing from our balance sheet. We have these oil rig investments, which we have done and some of the rigs are also then placed with either with sharing or given out to Jindal Drill . So is the group looking at reducing those transactions or investments as well and bifurcating the businesses, let's say, rigs in Jindal Drill and tubes over here? Any such thought process?

D P Jindal : Yes. We are continuously processing such thoughts, like at one time Jindal Drilling had no rig at all. All the rigs were in Si

ngapore and

investment by the group. So now Jindal Drilling owns 2 rigs at present. And it is proposed that in the next few months to consider third rig also. So we are in process that all the rigs goes to Jindal Drilling. That's right. And the investments are also sped up.

Kaushal Bengani : That will help simplification of the structure. And we had stated this earlier as well that we want to simplify our cost structure, which is why we have also amalgamated United Seamless with Maharashtra Seamless since both companies are in the same line of business.

Pritesh Chheda : Okay. So from Maharashtra Seamless, now what is the equity investment in drilling companies?

Kaushal Bengani : If you go to Slide 10, that has been detailed out.

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Pritesh Chheda : Slide 10. 10. Okay. So this is the Maharashtra Seamless Singapore.

Kaushal Bengani : Yes. There is equity investment of INR39 crores in Maharashtra Seamless Singapore and Jindal Pipes Singapore combined and preference share investment of INR215 crores in Maharashtra Seamless Singapore.

Pritesh Chheda : Okay. So this is the total investments and...

Kaushal Bengani : Total equity and preference share investment. In addition to that Maharashtra Seamless owns 1 rig.

Pritesh Chheda : In its own books? Okay. Now this is -- this 2, the Maharashtra Seamless, Jindal Pipes, this put together as 2 rigs, right?

Kaushal Bengani : No. Jindal Pipes Singapore is 1 rig. Maharashtra Seamless Singapore has equity investments in companies which own rigs.

Pritesh Chheda : Okay. Companies which own rig. Okay.

Moderator : The next question is from the line of Bhavin Chheda from Enam Holdings.

Bhavin Chheda : Excellent performance also. Just a few questions. Based on present capacity and the ongoing expansion, what would be the optimum seamless pipe production and ERW pipe production you will be able to do in 3 years' time?

Kaushal Bengani : Last financial year, we had dispatched 436,000 tons of seamless pipes and 52,000 tons of ERW pipes. Next -- current financial year, we expect a 5% to 10% growth in our tonnage. And that is the only guidance which we are able to give right now. However, we are aware that we are sitting on substantial cash and we are interested in any opportunity where we can get IRR of more than 20%. We would want to capitalize on that.

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Bhavin Chheda : Sure. Kaushal, I'm not asking on guidance. I'm saying based on the installed capacity, how much was dispatched?

Kaushal Bengani : Out of installed capacity of 650,000 tons, we have 550,000 tons active. Against 550,000, we have dispatched 436,000 tons.

Bhavin Chheda : Okay. That is including United Seamless?

Kaushal Bengani : Including United Seamless. So now we are installing finishing facilities, United Seamless, which will increase our active capacity from 550,000 to 650,000.

Bhavin Chheda : And ERW, you are not doing anything?

Kaushal Bengani : No.

D P Jindal : So next year, you can see this 436 will become 536, somewhere like that.

Bhavin Chheda : Sure, sure, sure. Okay. And the other thing on the -- in seamless pipes regarding different grades of pipe, so what would be like current mix between 0 to 7 inch, 7 to 14 inch and typical high-value products? What exactly is the current product mix like? And how much you classified to be value-added and earning very good margins? The entire portfolio is a good margin product, but I'm saying if you want to classify...

D P Jindal : Right. It depends on all -- size-wise, there is no difference. Only difference is whether it is alloy pipe or carbon steel pipe. Carbon steel has less price, alloy steel will be costly. So that is the difference.

Bhavin Chheda : Okay. Okay. And currently, what would be the export percentage in seamless pipes?

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Kaushal Bengani : Exports percentage would be around 10% to 12% in previous quarter.

Moderator : The next question is from the line of Saket Kapoor from Kapoor Company.

Saket Kapoor : Namaskar Jindal sahab, namaskar Kaushal ji. Firstly as per the closing value of order book which is INR1,725 crores, when we see last order book closing value it was INR2063. So are you seeing order booking phase to slow. If you can comment on this, what are the reasons for lower order book closing because our execution has been lower because of the factors that you have told us. So how should we look at this number?

D P Jindal : Basically, this oil sector, they place orders in bulk quantity. So last quarter, oil sector placed orders in bulk quantity which we have supplied, so in this quarter we have a little less order book. But again next quarter when ONGC will place orders, so order book will go up.

Saket Kapoor : So this is an anomaly. This is not a trend. Is there any trend changing?

D P Jindal : It is not very constant. Export is weak this quarter.

Saket Kapoor : You have mentioned that export is weak. What are the factors for export and the slow rate of export?

D P Jindal : US market mainly.

Saket Kapoor : Sir, in your presentation, you have mentioned that MSL continues to focus on getting license for premium connections, which will immediately enable it to bid in premium connection tender? Sir, if you could show some light on this, if you could explain what kind

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of market we are seeing, what are we trying to explain in terms of this business opportunity in this premium connection?

D P Jindal: In the world, 3 -4 companies have license. So, we have to take permission from them. It's a monopolistic item or patented item. And the requirement is at present we can manufacture about 25,000 tons of premium joints which is required in ONGC and if the foreign party permits we can export also. So this is the -- and the added value is quite good. So about you can say when we are selling pipe at \$1500 per ton, these premium joints are \$2500 per ton. Saket Kapoor : Sir, if I correctly remember we had earlier with Tenaris we had an agreement for this premium connection.

D P Jindal: So, we already we have already produced these pipes and we had a collaboration with Tenaris. But that joint venture is not working now. You can see one of our subsidiaries also there, Jindal Premium. So in that company we had a joint venture with Tenaris. But now we are talking with another company for the license.

Saket Kapoor : And when will that be, sir? How long will it take? Before that we won't be able to continue the sale. We won't be able to sell. That is what you are trying to explain?

D P Jindal: Without license we cannot.

Saket Kapoor : Okay. So how long will it take there for us to get through this?

D P Jindal: Well, we are trying maybe within this year, we can start.

Saket Kapoor : Okay. Sir, Kaushalji, Kaushal ji, you have 5% to 10% volume growth guide you have given, if we look at the EBITDA pattern, EBITDA pattern in the seamless segment was above INR22,000.

So, sir, the way you have mentioned INR22,758, so for the volume, you are telling, sir, according to the order booking, the EBITDA per Maharashtra Seamless Limited

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ton trajectory is also above INR22,000 plus we can expect for the seamless part because ERW is quite erratic?

Kaushal Bengani : Our margins will be good and our order book will also be good. As sir said that the order is expected, so on that basis we can say that our margin will be good.

Saket Kapoor : Yes sir, I was correct on the point of margin. I saw that the EBITDA you have posted in this quarter, of the seamless segment, that is higher than the Q4 quarter, which was your big quarter in terms of

dispatches. Means it was 22,000 plus, so we were just trying to understand the trajectory that 22,000 should be seen on the higher side or 21,000 to 22,000, assuming a base, can make a ballpark number?

D P Jindal: Meaning 20,000 is a thumb rule, you can say.

Saket Kapoor : So, the INR1,000 crores in the book, earlier it was it was informed to us that we are contemplating this you will be returning cash and increasing shareholder value and the value will increase for the promoter also. So anything on conclusion sir, that you have thought off, because over the last two quarters, I think promoter they have also not bought any further stake in the company. You have given the indication that you are interested in taking your stake up to 75%, that is the limit. There was no change in the last 2 quarters, so this INR1,000 cash in the book, how will you reward this to shareholders and what would be the timeline.

D P Jindal: No, by increasing promoter's holding, this cash is not being used.

That is promoter's money is utilised. This cash is not utilised for that. So, well, let's see, we are waiting for the opportunity and see what happens. Certainly the money is in good hands. So, we have an expansion plan and if some big opportunity is there to grab some similar industry, similar plant, so we are in lookout for that.

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Saket Kapoor : In any way you are not returning the capital, you are looking for

growth capital . You use it as a growth capital rather than returning back to the industry this is what your thought process is?

D P Jindal: Well , we want to watch whether growth opportunity is there or not.

Saket Kapoor : Right, I will join the queue for my follow -up, sir, and all the best, thank you.

Moderator : The next question is from the line of Riya Mehta from Ae quitas Investment. I'm so sorry, sir, but we are unable to hear you. No, ma'am, your audio is breaking up. Ma'am, may we request you to join the queue? We are unable to hear you.

As there is no response from the current participant, we'll move on to the next. That is from the line of Radha from B&K Securities.

Radha : Congratulations on your good results. My first question was that you -- presenter said that volumes from 4.3 0 lakh to 5.3 0 lakh , whereas you are guiding -- that is giving about 20% growth. And you also guided 5% to 10% volume growth. So just wanted more clarity on...

Kaushal Bengani : Yes. So the reason why it will go up by 1 lakh tons is because we are installing finishing facilities at our unit in Telangana.

Radha : Yes, sir, I'm talking about the sales volume.

D P Jindal : Yes. That's right. What I said 4.3 to 5.3, it may be spread in 2 years.

From today 1 year, it will be spread in 2 years.

Radha : Okay, sir. Okay. Sir, secondly, could you help me understand the EBITDA per ton profile in the ERW? We are seeing a lot of volatility in this. And primarily, that is because of the mix I understand, but could you throw some more light on this?

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Kaushal Bengani : Margins are expected to remain good. We have a good order book and the market is strong and we expect margins to remain good.

Radha : Okay. And sir, is there -- we are going to participate in upcoming projects in U.S. and Canada. So can you give some light on how the realization in EBITDA per ton is in domestic vis -a-vis export market?

Kaushal Bengani : We do not share that information.

Radha : Okay, sir. And sir, as per the relative data, we are seeing that U.S. count is 664 in July as against 755 a year ago. So on what basis are we seeing an improvement in export volume?

D P Jindal : So the rig counts which have declined, they are primarily land rigs, where consumption of pipes is lower than those rates, which operated offshore. Because the rig count currently

reflects a decline

in land rigs and a lot of our pipes are sold to offshore projects, wherein we get a good demand, which is why we believe that the export market is expected to revive very shortly.

Radha : Okay, sir. And sir, just lastly, a basic question. So on the export market, given that you're seeing higher traction from export, so as pipes are bulky products, so transportation and packaging costs for the pipes in the export market would be higher. So just wanted to understand what is the price difference between the landed cost of our products in the export market of ours versus the peers in those markets?

Kaushal Bengani : Freight costs are borne by the customer and we don't want to share specific costing.

Moderator : The next question is from the line of Riya Mehta from Ae quitas Investment.

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Riya Mehta : My first question is, what is the loss of volume due to maintenance shutdown this quarter?

Kaushal Bengani : Around 10,000 tons.

Riya Mehta : Okay. And actually, as of 30th June, basically, for drill pipe the order book number remains same. So has the production not started for drill as well as cylinder pipe?

D P Jindal : The order for drill pipe has a long delivery schedule. So we have not started execution for those pipes yet.

Riya Mehta : So when will this start? And what are the margins like for this?

Kaushal Bengani : Margins are good and we expect it to start in this quarter.

Riya Mehta : Okay. And what will be the capacity utilization of USTPL ?

Kaushal Bengani : With USTPL capacity, utilization is almost 90% because last year, we -- against the capacity of 1 lakh tons, we dispatched 88,000 tons.

Moderator : The next question is from the line of Pratiksha Daftari from Aequitas Investment.

Pratiksha Daftari : My question was covered.

Moderator : The next question is from the line of Mahesh Ganatra, an individual investor.

Mahesh Ganatra : Yes. First of all, I want to congratulate for achieving very good EBITDA margin. But the most disappointing part is the loss in sales due to shutdown in quarter 1. Now was this shutdown not -- I think it was not announced in the last conference meeting. Was it a sudden shutdown? What is the reason for that?

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Kaushal Bengani : This was a preventive maintenance shutdown. It is taken after approval of the technical in-charge of the relevant mill. As soon as the shutdown was taken, we had informed the stock exchanges.

Mahesh Ganatra : Okay. How long it lasted? How long the shutdown lasted, sir?

Kaushal Bengani : 15 days.

Mahesh Ganatra : 15 days. The loss of production was for 15 days.

Kaushal Bengani : Right.

Mahesh Ganatra : Now coming back to the forecast for the current year, which will be about 5% or 10% more in comparison to the last year. Do you think you'll be able to make up for the deficiency in the loss of production in the next 3 quarters?

Kaushal Bengani : We maintain that position. That is why we've given same guidance.

Mahesh Ganatra : All right. Yes. So that is virtually will have to our dispatch should touch almost about 375,000 MT in the next 3 quarters? So that's visible .

Kaushal Bengani : Yes.

Mahesh Ganatra : Okay. And at what stage has the process of installation of finished line at Telangana plant has reached now?

Kaushal Bengani : The installation has not started yet. We have acquired land and we are in the process of placing orders for relevant machinery.

Mahesh Ganatra : Okay. Any likelihood of starting the additional line before the end of the current year?

Kaushal Bengani : No.

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Mahesh Ganatra : No. Okay. Now yes, one minute, sir. Yes. And then you have an order book position, which has come down now to INR1,735 crores for this quarter. In spite of

your lower production and dispatches in the first quarter, why the order book is below?

Kaushal Bengani : Order book is not low. If you look at our order book, it is at almost at all-time highs. 1 year ago or 2 years ago, we used to have an order book of INR800 crores to INR1,000 crores. That has gone up to INR2,000 crores in previous quarter and it is now at INR1,725 crores. These are very high levels of order book for Maharashtra Seamless . It is only indicative of the strong positioning that we have in the market and the strength of the market.

Mahesh Ganatra : So I hope now you won't have any further shutdowns in quarter 2

and loss of production.

Kaushal Bengani : Yes.

Moderator : The next question is from the line of Harsh Saraswat, an individual investor.

Harsh Saraswat : My first question is, can you give an outlook on spend in a pre-election year, what your customers are saying? How does it look?

Kaushal Bengani : So it looks good because we continue to get orders from PSUs in the upstream and downstream segment. There is no slowdown on that path, something which we are also pleased to inform you that very shortly, we expect a good order in United Seamless from -- first order in United Seamless from a PSU after that unit was acquired by us in 2020. We expect that to take place in the pre-election year and therefore, we do not estimate any slowdown of orders from PSUs. This is also reflective of the fact that we got a n order from ONGC of around INR536 crores, backed by another order of around INR235 crores...

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D P Jindal : Rather it will increase.

Harsh Saraswat : Okay. So the spending is very strong.

D P Jindal : They want to exhaust their budget and place all the orders before election.

Harsh Saraswat : Okay. Okay. And the second question is on the export outlook. So what is happening on the global level? Is the dumping happening by China and other countries? And is the prices also crashing globally for seamless pipes?

D P Jindal : Dumping in the world market or Indian market?

Harsh Saraswat : In the world market, in U.S., Canada.

D P Jindal : There's no dumping. Because of slowdown in certain regions , rig count is low. So U.S. demand is reduced. But the indication is that in the U.S. pipe stock is reduced, so they want to buy more pipes now. And offshore rig count is also going up. So , Russia and Ukraine is still at the war. Russia cannot export and the Ukraine cannot produce these type of pipes. That's why the demand will go up again.

Harsh Saraswat : So no pricing pressure as of now globally?

D P Jindal : Price has reduced. It has gone very high. So it has softened somewhat. But the demand will be there.

Moderator : The next question is from the line of Mangesh Kulkarni from Almondz Global Securities.

Mangesh Kulkarni : Sir, I just wanted to know what steps management is taking to on this erratic margins in the ERW segments, like they are very erratic from INR8,000 to INR4,500 -- INR4,900 and all these things. So

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since you are giving the stable margin guidelines, but specifically in the ERW pipe segment, what kind of margins...

D P Jindal : Basically, we have 2 segment in ERW . One is oil sector government PSUs. So there we get a better margin. And second segment is commercial -- means deal ers market or general market. In the general market, the margin is low and P SU margin is high. When we are executing the PSU order, so our margin goes high. But sometimes we stuck or we don't have orders, then we have to supply to the general market .

Mangesh Kulkarni : Okay, sir. Yes.

D P Jindal : That is very...

Mangesh Kulkarni : Understood. Understood. So this volatility will remain in the ERW pipe segment?

D P Jindal : It will be unless we are fully booked with the PSUs. Correct.

Moderator : The next question is from the line of Ankur, an individual investor.

Ankur : So my question is, as indicated earlier that the promoter want to increase their shareholding...

Kaushal Bengani : We cannot hear you.

Moderator : Ankur, we are unable to hear you. As there's no response from the current participant, we'll move on to the next that is from the line of Vikash Singh.

Vikash Singh : Sir, I just need a couple of clarifications. Firstly, that the hot mill upgrade in Nagothane, I just wanted to know the timeline when you would start the capex of hot mill and by when you plan to finish it?

And would that also -- could that impact our current production

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lines mainly a little bit longer shutdowns for some time because of this PQ F mill upgradation?

D P Jindal : Yes, we'll take it after we complete the Telangana unit expansion. So at present, there's no action on this item.

Vikash Singh : Understood. And what is the scheduled target for Telangana mill?

D P Jindal : 1 year from now.

Vikash Singh : 1 year from now. Understood, sir . And sir, my second question is, till what level of cash balance we have more or less would be comfortable? And over and above that, we would look for deployment in either through the dividends or by other means because we are generating huge cash flows every year. So till what level of cash balance we would be comfortable and post that, we would look to redistribute that additional cash to shareholders?

D P Jindal : Well, it depends on how much growth we make, like, when we are growing. So we have -- we need more of cash flow in the working capital. Telangana unit finishing line will also increase the working capital as production will rise . And of course, that will generate profit also. And -- so we are looking for some opportunity if it can be there to acquire some plant. So it's difficult to answer the timeline .

Moderator : Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Vikash Singh for his closing comments.

Vikash Singh : On behalf of PhillipCapital, I would like to thank Maharashtra Seamless management for giving us the opportunity to host the con call. And for the closing comment, I would request Kaushal to give his closing remarks. Kaushal, over to you.

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Kaushal Bengani : Thank you, Vikash. Thank you, shareholders, for taking time out to join us on the call. We are pleased to update you about the company.

We are working towards enhancing shareholder value and we are on the right track. And going forward, we hope to provide greater returns to all our investors and improve the operations of the company so that we are able to tide through situations better. Thank you again for your time, and thank you, Mr. Jindal for taking time out from his schedule and joining us on the call. Thank you.

D P Jindal : Thank you.

Moderator : Thank you, members of the management team. Ladies and gentlemen, on behalf of PhillipCapital India Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Kaushal Bengani : Thank you.

Call: Nov 2023

E-Communication

MSL/SEC/SE/202 3-24 08 November 2023

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National Stock Exchange of India Limited
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Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 02 November 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 02 November 2023.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q2-FY24-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited
Q2 FY 24 Earnings Conference Call
02 November 2023

MANAGEMENT : MR. D P JINDAL – CHAIRMAN – MAHARASHTRA SEAMLESS LIMITED
MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS & FINANCE – MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Maharashtra Seamless Limited Q2 F Y '24 Earnings Conference Call hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be on the listen -only mode and there would be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash from PhillipCapital (India) Private Limited . Thank you, and over to you, sir.

Vikash Singh: Good evening, everyone . A warm welcome to Maharashtra Seamless Limited 2Q FY '24 Earnings Call.

From the management side , we have with us Mr. D.P. Jindal – Chairman and Mr. Kaushal Bengani – Deputy General Manager , Investor Relations & Finance.

Without taking much time, I will hand over the call to Kaushal for the opening remarks. Over to you, Kaushal.

Kaushal Bengani: Thank you, Vikash. Good afternoon , and thank you , participants , for joining our Earnings Call.

Performance of Maharashtra Seamless continues to improve following our sustained efforts to improve operations . In Q2 FY '24, we improved our margins and have achieved highest quarterly EBITDA following strong execution of orders and better marketing initiatives .

I will briefly summarize key financial indicators:

In Q2 FY '24, our revenue increased by 25% from Q1 FY '24 . EBITDA increased by 36%. PAT and EPS both increased by 19%. On comparison

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with corresponding quarter of last year , that is Q2 FY '23, our performance in Q2 FY '24 was also better .

Against corresponding quarter of last year , our revenue increased by 9% . EBITDA increased by 34%. PAT and EPS both increased by 51%.

This performance reiterates strength in our operations despite a troubled macroeconomic environment and inflationary pressures . Our ability to control costs remains unmatched as the same is achieved without compromising production and sales .

Apart from financials , there are five key points which we would like to draw attention to:

1. Commencement of capital expenditure . We have commenced our plans for capital expenditure by acquisition of land for installation of finishing facilities at our Telangana unit. We are in the process of placing orders for relevant machinery and expect installation to be completed by August to November of 2024 .

2. The second point is regarding our debt position . We became 100% gross debt free and currently have liquid investments of almost 1300 crores. I take this opportunity to communicate yet again that the liquid investments shall only be utilized for core operations and shareholder benefit . They shall not be utilized for any other activity . We have maintained this position for past two years , and there has been no change in that.

3. The third point is regarding our inclusion in Morgan Stanley Capital Invest India Domestic Small Cap Index . Apart from index rebalancing , we have received tremendous interest from foreign institutional investors who have increased their holding from

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2.84% to 7.98% within a span of 6 months . Our shareholders will be positively surprised with this development .

4. The fourth point is regarding our investor engagement , which has improved significantly . We have represented the company in two investor conferences already this year , and we expect to participate in at least three more .

5. The last point and the point which has the most significance to a lot of participants is the market demand mov

ing forward . Capital

goods and infrastructure , in general , are displaying strong demand for the medium -term. This directly impacts the seamless pipes market. In FY '25, ONGC is expected to spend between Rs. 3,000 crores to Rs. 3,500 crores on procurement of pipes . Oil India , which is another large customer , is also expected to spend between Rs. 500 crores to Rs. 700 crores . The seamless pipes market remains buoyant driven by capital expenditure and spending in oil and gas sectors .

I would now like to take you through the presentation . The first few slides talk about our capacities and about the financial highlights , which I have already touched upon .

Slide # 8 talks about the operational and financial performance in current quarter and corresponding quarters and half year. You will note that our performance has gone from strength to strength, and we are enthused to communicate this to you.

Regarding our EBITDA mix, our seamless pipes segment remains the largest contributor to overall EBITDA, contributing 87% out of total EBITDA of 333 crores .

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The next slide talks about the ICDs and the equity and preference share investments. On the ICD front, we had committed some time ago that we will realize all of them by March 2024 , and we are on track to do the same . ICDs have reduced from 78 crores in March '23 to 49 crores in September '23.

Our liquid investments have increased by 25% from March '23 to September '23. This has been on account of better execution and tax advantage . We expect to have even higher liquid investments going forward after considering capital expenditure as well.

Corporate guarantee reduction is on schedule . This corporate guarantee is expected to be fully satisfied by September 2024 . There will be no cash outflow from Maharashtra Seamless on account of this legacy guarantee .

The order book on Slide 15 stands at 1,459 crores . This appears to be a reduction from the earlier order book which was communicated in July , which was at 1,725 crores. I would like to clarify that orders of around 325 crores have been confirmed and are in pipeline . The reason why they have not been included is because the purchase order is awaited.

On the sales and marketing update , we have been going from strength to strength , and we expect more orders for various products that we manufacture , and I would request shareholders to kindly go through Slides # 17 and 18 so that they have a better assessment of where the demand is originating from and how we are poised to take advantage of the same .

The last slide talks about the shareholding structure wherein we can see that promoters have increased their stake from 67.80% to 67.86% . FII and DII holding have also increased significantly , and list of marquee investors have also been given .

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I would now hand over to Vikash to open the floor for questions .

Vikash Singh: Thank you, Kaushal.

Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Pratiksha from Aequitas Investments . Please go ahead.

Pratiksha: My first question is on the EBITDA per ton that we have for the Seamless division this quarter . So, just wanted to understand what led to the rise in EBITDA for this quarter ? Is this range of EBITDA sustainable going forward ?

Kaushal Bengani: EBITDA per ton this quarter was Rs. 27,495 . This was on account of strong execution of our order book . The oil sector contributed significantly to this. Going forward , we expect margins to remain good as the seamless pipe market is buoyant and we are well poised.

Pratiksha: So, can we assume this to be sustainable range ?

Kaushal Bengani:

ni: We can only say that margins are expected to remain good because market demand is quite good .

Pratiksha: Also, if you could tell us the execution that we did at USTPL plant in this quarter ?

Kaushal Bengani: USTPL was amalgamated with Maharashtra Seamless, and it is part of Maharashtra Seamless. So, we do not provide that separately .

Pratiksha: You mentioned about an order from IOCL that is supposed to be executed , big order from IOCL. If we could elaborate on that , and whether the complete order is a part of the order book that we have right now?

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Kaushal Bengani: So, I will just touch upon the previous point. Dispatches have increased by 20% from the previous quarter . Just to complete the point that our quarter -on-quarter performance has improved . Regarding the IOCL order , which we have mentioned , there were two orders which we received in September of '23 from Oil India and IOCL. Both were in the range of 100 to 125 crores , and we expect to fully complete both of these orders within current quarter , which is quarter three .

Pratiksha: And if you could elaborate about the pipeline for both seamless and ERW for the H2?

Kaushal Bengani: There are orders of around 325 crores which are in pipeline and which we have received , but it has not been included in the order book because issuance of purchase order is pending . They are from the dealer segment , export segment , and upstream segment .

Pratiksha: Dealer, export and?

Kaushal Bengani: Upstream.

Pratiksha: And just the last question . Going forward to this time , the order book mix is , the share of export has gone up . Do we expect this trend to continue going ahead as well ?

Kaushal Bengani: The share of exports has not gone up because exports and other segments have been consolidated when this order book was prepared . So, since we had a significant execution of ONGC and Oil India orders , it appears that the other segment has gone up , but that has remained more or less constant . Only strong execution has taken place on ONGC and Oil India front .

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor Company . Please go ahead.

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Saket Kapoor: So, in continuation , Kaushal ji just now you have said do we expect this execution phase to remain the same for H2 also?

D.P. Jindal: Yes, we will continue this way , and we would like to improve further .

Saket Kapoor: Lastly, sir, when we were working with our volume number for the year as a whole , we were guided to a minimum 5% growth . So, we are maintaining that 5% sales growth for the entire for FY '24 also?

D.P. Jindal: Yes, we maintain that.

Saket Kapoor: So, just to put the maths into work, sir, this last year, the volumes were evenly placed between 216 and 215 between H1 and H2, but this year because of the production loss in quarter one, we did H1 at 195. So, to meet our 5% volume growth guidance, if we do the calculation, it has to be around 130 to 135 for the remaining two quarters. Is that understanding for the dispatches correct? I am talking particularly for the Seamless segment only.

Kaushal Bengani: On the seamless front....so it will not be appropriate to split both segments. However, Seamless and ERW combined we will achieve 5% growth.

Saket Kapoor: And Kaushal, you mentioned about this, the activation of the new finishing line at Narketpally in the month of August to November, I think so, if I heard you correctly. So, there is a delay of four to five months. Can you explain the reason for the same and capital work in progress we have not spent anything. So, when exactly are we going to make the payment for the same?

D.P. Jindal: Well, actually, there were some delays in the procurement of the land.

So, now the land is finalized and orders for the machinery are already placed. So, we expect everything will be completed within 2024. We will start production before December.

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Saket Kapoor: And sir, land purchase, what would be the value accrued to the land purchase?

D.P. Jindal: About 13 crores or so.

Saket Kapoor: And sir, as our previous participant madam was mentioning about this sustainable EBITDA per ton, and Kaushal mentioned that it is going to be good. So, if we take into account the current texture of the current order book and the EBITDA margins that we have done for Q1, do we have the same nature profile in the order book mix that we are going to execute going ahead? Because as we do back-to-back raw material arrangement, we can outline how the profile would look like, because I think so from Q1, on a sequential quarter basis, it is up from sub 23,000 to 27,500. So, we would like to just understand the key reasons and what I have said.

D.P. Jindal: So, the picture up to now, the order books are at the good price, and the raw material prices also we are booking with the margins. Our order books are there. So, we would like to maintain the same.

Saket Kapoor: And sir, one more CAPEX about this Nagothane of 350 crores. Where are we in terms of this CAPEX money? What are the key parameters for this CAPEX? Again, we will look for new land or it is only the placing of orders for the machinery this 350 crores?

D.P. Jindal: So, in Nagothane we don't need new land. I will say in the year 2024, we will be completing all the expansion plans other than this 350. This 350 will be delayed because till now we have not taken much action here.

Kaushal Bengani: On the 350 crores expenditure.

Saket Kapoor: On the 350 crores expenditure.

D.P. Jindal: Balance all others will be completed within 2024.

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Kaushal Bengani: Calendar year 2024.

Saket Kapoor: And sir, lastly on the premium thread part, I think so earlier also Jindal Sir you have said that we are interested in JV because you are in advance stages of discussion about the same so is there any update on premium thread segment as of now for us?

D.P. Jindal: That already we are discussing and some trials in the factory is going on. So, as soon as the trials are completed, then we will enter into a joint venture.

Saket Kapoor: So, can we expect this to be completed in this financial year?

D.P. Jindal: Yes.

Saket Kapoor: And lastly, sir, on the tax advantage part post the merger, the carry

forward losses have been subsumed with the profits made for the first half.

D.P. Jindal: Yes, all that is consumed in the last quarter.

Saket Kapoor: We hope for how the promoters plan to utilize the cash going ahead since now our CAPEX also is post . We will be making the major CAPEX only down the line in sometime ahead in the next year . How will the cash be utilized and what would be the dividend distribution policy ? We hope that the Board comes up with a detailed dividend distribution policy . That would be a good idea . And also on your outlook on the buyback of shares as the valuation looks attractive provided the numbers that have been given , being done this year.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investment. Please go ahead.

Vignesh Iyer: Sir, coming back to what you said during the commentary part of it, you said ONGC is expected to spend around 3,000 to 3,500 crores and IOCL Maharashtra Seamless Limited
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around 500 , 600 crores. So, what is the expected win rate for us considering our market share

is around 50% plus?

D.P. Jindal: Certainly, we will be taking more than 50% of the business .

Vignesh Iyer: And what would be the execution timeline for this?

Kaushal Bengani: So, this expenditure is for FY '25. Execution will also be in that period .

Vignesh Iyer: Sir, we have utilized all our carry forward losses . So, what would be a steady state tax rate from here on every quarter , if you could let me know the number ?

Kaushal Bengani: It will be 25%.

Moderator: Thank you. The next question is from the line of Udit Saigal, an individual investor . Please go ahead.

Udit Saigal: In seamless , we don't seem to be doing any volume growth , whereas some volume growth is coming in ERW. So, I wanted to know what the scope is for further growth . Will it come from the ERW or the seamless till our new finishing line comes up?

Kaushal Bengani: In the quarters ending June '23 and September '23, we have dispatched as much as we had dispatched in the previous corresponding period . The reason why we did not show tonnage growth in this six-month period was because of preventive maintenance taken in one of our plants . However, we have shown EBITDA growth . Going forward , once this finishing line is installed by November of 2024 , we will start displaying significant tonnage growth as existing capacity of 1 lakh tons , which is currently inactive , will become activated .

Udit Saigal : Secondly, sir, I wanted to know , Mr. Jindal just clarified that there is a delay in the Nagothane project , but what exactly is the project ? What do we mean by hot mill upgrade ?

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Kaushal Bengani: One second . I will just interrupt . There is no delay . The capital allocation plan which has been spelled out is from financial year '24 to financial year '26. We have 3 years to complete this financial expenditure . The priority for the hot mill upgrade from hot mill to PQF of 350 crores is the lowest .

Moderator: Thank you . The next question is from the line of Ankur Savaria, an individual investor . Please go ahead.

Ankur Savaria: My question is that could you throw some light on the competitors that we have in India in the Seamless division ?

Kaushal Bengani: We have two competitors , Jindal Saw and ISMT.

Ankur Savaria: ISMT ?

Kaushal Bengani: Yes. We are market leaders . We are pioneers of this industry . We have set up this industry in India , and we currently have a 55% market share . We have been market leaders from 1991 till today .

Ankur Savaria: Sir, my next question is that about a year back , you had commented that the promoter would like to increase their share to 75%. So, is it still on

the card since there is hardly anything left with the general public ?

Kaushal Bengani: Promoters have increased stake in Maharashtra Seamless over the past two years . Earlier the stake was close to 63% . The current stake is 68%.

Promoter and Promoter Group have earlier committed that they will gradually increase their stake to 75% . That is still an open option .

Ankur Savaria: And my last question is , sir, in your presentation , you had mentioned about the demand in the natural gas sector in India . So, could you throw some light as to what are the opportunities we are having ? And do we really see a growth coming in that rapidly ?

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Kaushal Bengani: Yes, we do , because as demand for piped natural gas will increase , demand for our products will also increase .

Moderator: Thank you. The next question is from the line of Radha from B &K Securities . Please go ahead.

Radha: So, one of the previous participants had asked that why the export mix is going up in the order book . So, you mentioned that because of higher execution in India . But ac

tually , if there is higher execution in India , then it would mean that the export execution is lower . So, is there any, I mean, from the demand perspective , how is the demand India versus exports ?

Kaushal Bengani: I had clarified earlier that exports and other segments have been combined together when the order book has been presented . It appears that the export and other segments have a higher composition , but that is not the case .

The reason why that is is because earlier we had larger ONGC and Oil India orders , which have been executed in previous quarter . Currently, we have orders of close to 325 crores , which have not yet been issued to us but have been confirmed , and they are not reflected in this order book. In terms of exports , crude oil is in excess of \$90 . We are getting good inquiries from the export market. In the previous 6 months , exports was a small component of total sales . However , exports are expected to revive from the end of November onwards because of the crude oil situation .

Radha: Secondly, you were speaking something on the dispatches have increased by 20% from previous quarter . So, you are talking about the current quarter dispatches .

Kaushal Bengani: Yes. So, quarter one , we dispatched 90,000 tons of seamless . Quarter two, we have dispatched 1,06,000 .

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D.P. Jindal: This quarter also .

Kaushal Bengani: This quarter , in the third quarter also, we will dispatch more than what we have dispatched in the second quarter .

Moderator: Thank you. The next question is from the line of Amol Rao from Kitara Capital . Please go ahead.

Amol Rao: Two questions . One is on the capex front . Did I understand it correctly , with the exception of the hot mill upgrade , which is approximately 350 crores thereabouts , all other capex that is outlined by the company is underway and should complete within probably 15 to 18 months ? Is that correct ? So, that's 500 crores worth of capex over the next 15 to 18 months .

D.P. Jindal: Within a year , I will say .

Amol Rao: Within a year . That's excellent . Sir, we have registered a growth in dispatches , but, sir, is this slightly below our potential , I mean, in the sense that 10% to 15 % , 20% more is the demand that is there in the markets , but is it that there is a shipping time difference or is it that the clients are coming into order now and that 's how we are planning to ramp up our dispatches ? Is my understanding correct on that front , sir? Because crude has been at a elevated level for the last almost four or five months . That's why I am asking .

Kaushal Bengani: Yes, so what you are saying is correct . However, a nuance which has to

be considered is that when we manufacture large diameter orders versus a situation when we manufacture small diameter orders, although our mill is functioning 24 hours a day, we will end up with lower tonnage.

Amol Rao: Lower tonnage.

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Kaushal Bengani: So, in terms of tonnage, it appears that we are lower than our potential, but the same is reflected in the EBITDA that we are able to generate, the margins that we are able to generate.

Moderator: Thank you. The next question is from the line of Vikash Singh from PhillipCapital. Please go ahead.

Vikash Singh: Sir, just wanted to understand one thing. There is a lot of talk about the US market again opening up and the tariff would be watered down. We once upon a time were very large exporters to US. So, just wanted your thought process. Are we again started to looking at that market and this could be again 20%, 25% of our total volume or we would adopt a different strategy this time?

D.P. Jindal: Certainly, we are open to US market and 6 months back also,

we have

exported lot of quantity to US and Canada. So, we will certainly cope up with that situation. And U.S. market is certainly opening up and robust demand will be coming.

Vikash Singh: So, given the opportunity to sell, is it still domestic market is more profitable than the export or U.S. market would be one-off where the margins would be higher? So, how to settle this?

D.P. Jindal: No, not necessarily. It will be complementary to each other. So, domestic market will also go up when the price in U.S. is higher.

Vikash Singh: Sir, my second question pertains to the new product development. A couple of quarters back we were talking about since the volumes are kind of getting plateaued, we are in the process of developing new products which would fetch higher margins. So, could you give us some more thought if we have, what we have done so far in this regard?

D.P. Jindal: Well, we are at a very initial stage to develop this green hydrogen pipes, which will be used in producing hydrogen gases. So, a lot of pipes are

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required there. So, special green hydrogen pipes will be there. Premium corrections, that is already there. This hydrogen pipe will be a new item.

Vikash Singh: And how big this market could be?

D.P. Jindal: That market is developing, still in the research stage. So, the type of market and other things we have to see.

Vikash Singh: Sir, just one last question. We have also indicated long back that, eventually, Maharashtra Seamless is holding one rig, and we may look to sell this rig off basically. So, any, since the oil prices are already good at a good level, so any progress on that regard or given our cash flows are very strong, so we have dropped this plan?

D.P. Jindal: No, we have not dropped, but we are looking for the right time to hive off.

Vikash Singh: So, what will we do with this cash basically? Because we are any which way earning significant free cash flow from our normal operations and don't have much avenues to invest it. So, just wanted your thought process. What will we do with this excess cash?

D.P. Jindal: First, we have a plan for these 852 crores, and then we are also open for any new opportunity in the same field of business. And certainly, we will look that our investors are also benefited from this cash.

Moderator: Thank you. The next question is from the line of Vivek, an individual investor. Please go ahead.

Vivek: I am new investor in your company. So, I just wanted to understand that apart from oil and gas, are there any other sectors where our products are sold or is it exclusively oil and gas and so our fortunes are basically linked to the oil and gas sector?

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Kaushal Bengani: We manufacture Seamless and ERW pipes . Seamless pipes are used in oil and gas sector , in boiler segment , and in general engineering .

Anywhere there is drilling activity , a seamless pipe is required . In the boiler segment , our pipes are required for heat exchangers . And anywhere a new factory or a plant is installed , they require seamless pipes.

The other kind of pipes that we manufacture are ERW pipes . They are used in oil segment and water segment . Pipes which are API certified are used in the oil and gas sector , and Bureau of Indian Standard certified pipes are used in the water sector .

Vivek: So, sir, as of now , how much would be the share of oil and gas sector and the other sectors put together ?

Kaushal Bengani: 70% is our exposure to oil and gas sector , because our pipes are primarily used in drilling and transportation of oil and gas . 15% is the exposure to the boiler segment , and 15% is the exposure to the general engineering segment .

Viv

ek: And sir, with the recent pickup in capex over the last three , four quarters , are we seeing in creased inquiries from the boiler and the water segments ?

Kaushal Bengani: Yes, we are getting good inquiries from the boiler segment for seamless pipes and water segment for ERW pipes in addition to our existing regular inquiries from the oil and gas segment .

Vivek: So, sir, do you expect in the coming few years the share of the non -oil and gas sector to go up from about 30% to say 40 % , 45%?

Kaushal Bengani: It is difficult to say , because we don't have any concrete data . The only data we have in this regard on the oil and gas sector is that ONGC is expected to spend between Rs. 3,000 to Rs. 3,500 crores in FY '2 5 for Maharashtra Seamless Limited

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procurement of pipes , and Oil India is expected to spend between Rs. 500 crores to Rs. 700 crores in FY '25 for procurement of pipes .

Moderator: Thank you. Ladies and gentlemen , that was the last question for today . I now hand the conference over to Mr . Vikash for the closing comment .

Vikash Singh: On behalf of PhillipCapital, I would like to thank Maharashtra Seamless Management for giving us the opportunity to host the call, and I would hand over the dais to Mr . Kaushal Bengani for any closing remark .

Kaushal, over to you .

Kaushal Bengani: Thank you , Vikash. Thank you , shareholders , for interacting with us . We are committed in creating value for all shareholders , and we have been able to do so with your support . We will continue to work upon improving our operations and dis p atches , and I will request Mr. Jindal to give his final remark and also thank him for taking time out from his schedule for today's engagement . Sir.

D.P. Jindal: Thank you , investors . Hope we will continue like this. And one point was in the last question that why oil sector is more ? Because the oil sector can pay better prices , better margins . So, we are choosing the oil sector . Of course , there is a huge demand in water pipes , but the margins are thin . Thank you very much . Thanks.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes the conference call . Thank you for joining us , and you may now disconnect your lines .

Call: Feb 2024

E-Communication

MSL/SEC/SE/202 3-24 03 February 2024

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National Stock Exchange of India Limited
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Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 30 January 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 30 January 2024 .

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q3-FY24-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary
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Maharashtra Seamless Limited
Q3 FY24 Earnings Conference Call
30 January 2024

MANAGEMENT : MR. D.P. JINDAL – CHAIRMAN – MAHARASHTRA SEAMLESS LIMITED
MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS & FINANCE – MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL INDIA PRIVATE LIMITED

Maharashtra Seamless Limited
30 January 2024

Moderator : Ladies and gentlemen, good day, and welcome to Q3 FY '24 Earnings Conference Call for Maharashtra Seamless Limited hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Singh from PhillipCapital India Private Limited. Thank you, and over to you, Mr. Vikash.

Vikash Singh : Thank you, Manav. Good afternoon, everyone, for Maharashtra Seamless Q3 FY '24 Earnings Call. From the management side, we have with us Mr.

D P Jindal, Chairman; and Mr. Kaushal Bengani, Deputy General Manager, Investor Relations. Without taking any much time, I'll hand over the call to Mr. Kaushal for the opening remarks. Kaushal, over to you.

Kaushal Bengani : Thank you, Vikash. Good afternoon, and thank you for joining our earnings call. We are proud of our outperformance in Q3 FY '24, with the achievement of higher EBITDA and improvement in margins, both of which were accomplished in the backdrop of strong performance in second quarter of FY '24. We are pleased to inform you that our core operations have gone from strength to strength as we continue to exceed expectations by working continuously with an intent to create value for all stakeholders.

In Q3 FY '24, like we have done in earlier quarters, we have improved upon our margins and have achieved highest EBITDA following strong execution of orders and better marketing initiatives.

I will briefly summarize key financial indicators. On comparison of this corresponding quarter of last year, that is Q3 FY '23, our revenue in Q3 Maharashtra Seamless Limited
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FY '24 increased by 8%, EBITDA increased by 51%, PAT increased by 67% and EPS increased by 62%. When we do a comparison with last quarter, Q2 FY '24, although our revenue dipped slightly, however, EBITDA increased by 11%, PAT and EPS both increased around 10% on account of improvement in margins.

On reviewing our 9-month FY '24 performance versus 9-month FY '23 performance, revenue increased by 4%. EBITDA increased by 30%, PAT and EPS increased by 56%. This performance reiterates strength in our operations despite volatile macroeconomic environment and inflationary pressures. Our ability to control costs remains unmatched as the same is achieved without compromising production and sales.

Apart from financial indicators, there are five key points which we would like to draw attention to. The first is the status of capital expenditure. We have commenced our plans of capital expenditure by acquisition of land for installation of finishing facilities at our Telangana unit in previous quarter. We have placed orders for certain equipment and are in the process of placing orders for other relevant equipment. We expect this installation to be completed by December '24.

We are a 100% debt-free company. We currently have liquid investments of almost INR1,500 crores. I take this opportunity to communicate yet again that our treasury will only be utilized for core operations and shareholder benefit. They shall not be utilized for any other activity.

In Q1 FY '24, we were made part of the Morgan Stanley Capital Index India Domestic Small Cap Index. Apart from index rebalancing, we have received tremendous interest from foreign institutional investors who have increased their holding from 2.84% to 10.5% within a span of 9 months. The DII and FII holding currently stands close to 15%, which is up from 7% at the start of this financial year.

The fourth point is in relation to

he market demand. I wish to reiterate that capital goods and infrastructure in general and oil and gas specifically
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continue to witness strong demand in short to medium term. This directly impacts the seamless pipes market. Our seamless pipes market remains buoyant, driven by capital expenditure and spending in oil and gas sector as we have seen our order book being replenished and maintained at good level. Our investor engagements have also improved significantly, and we have represented Maharashtra Seamless in 4 investor conferences this year, and expect to participate in at least 2 more.

I would now like to take you through the presentation. The first few slides detail the various activities of the company. Slide 5 is about the quarterly performance over the past 5 quarters. You will note a significant jump in EBITDA and PAT margin over past 2 quarters.

The next slide is a profit and loss comparison on quarterly basis. A key point to note here would be the reduction in other expenses that we have managed in this quarter, highlighting our strong operational performance and our ability to control costs even in inflationary environments.

The next slide is about the annual performance of previous years. Slide 8 is the operational and financial performance of the company. Whilst in the third quarter, production has been slightly lower than what it was in previous quarters, sales have been more and margins have been better than previous quarters. A 9-monthly comparison of FY '24 versus FY '23 will clarify the improvement in margins that we have achieved, along with similar levels of sales. This has been on account of better marketing initiatives by our marketing team.

The next slide is about EBITDA mix of Maharashtra Seamless. As always, almost 85% to 90% of EBITDA is from the Seamless segment and that's the trend that we expect to continue. A point of interest for various participants are the ICDs, which remain on a declining trend. Currently, they are at INR14 crores and will be fully realized by March '24. This was committed by us over the past 1.5 years, and we are set to achieve this.
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Liquid investments as on December '23 are at INR1,465 crores. As is apparent from the table on this slide, liquid investments have tripled over past 2 years. Corporate guarantee continues to reduce as was committed and Slide 13 updates on the same.

The capital expenditure planned for FY '24 to FY '26 is detailed on Slide 14, which we've also communicated earlier. Entire capital expenditure will be from internal accruals, and there will be no requirement of any debt. Order book as on 26th January 2024 stands at INR1,563 crores, which is a good level. We expect margins to remain steady based on current trend of seamless pipe prices.

And a few days ago, we received a contract from IOCL, which we have communicated, indicating the buoyancy in the market. There's a sales and marketing update given on Slide 17. I would like to read a couple of points out regarding the activity, which is taking place, which will help participants understand where demand is originating from.

Orders from ONGC and Oil India are being procured and dispatched rapidly as domestic demand is robust. ONGC has made significant natural gas discoveries in the Mahanadi basin. These discoveries were made in a restricted area, which was opened up. New oil blocks, Amrit and Moonga, have also been recently discovered in Mumbai offshore.

Oil companies are drilling additional wells as E&P activities have increased. This has been driven due to elevated crude oil. Existing orders for drill pipes, which are a value addition and import substitution product are also being dispatched. We expect fresh tenders for drill pipes in FY '25 as domestic market size is around

nd 10,000 tons.

I've spoken about the IOCL orders, which we have received a few days ago. The next slide details various marketing trends, which are in place, and I would request all participants to take some time out to go through slide 17 and slide 18, so that they are able to understand the growth which Maharashtra Seamless Limited
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is possible in this market and our market leadership position in the same market.

Slide 19 talks about the key changes in the shareholding structure, which I touched upon earlier. I would now like to hand over back to Vikash and request him to open for questions.

Vikash Singh : Thank you, Kaushal.

Moderator: Thank you very much. We will now begin with the question -and-answer session. We have our first question from the line of Jatin Damania from Svan Investment Managers.

Jatin Damania : Congratulations for a great set of numbers. So I just have two questions. So basically, how is the demand for Seamless currently? And what would be the sustainable EBITDA per ton for the same because we're seeing sequential improvement?

Kaushal Bengani: Demand for pipes is good as is reflected by our existing order book of INR1,565 crores. Very recently, we got a new contract from IOCL of INR116 crores, which we have communicated. The margins that we are seeing, they are very good margins. Generally speaking, our margins have ranged from INR9,000 per ton to INR30,000 per ton.

So depending on the position of the order book and the cost of raw material, we will get the necessary margins. It is difficult to specify a number because we have short -duration order books of around 3 to 4 months, which is replenished on a daily basis.

Moderator: We have a next question from the line of Riya from Aequitas Investments.

Riya : My first question is how much percentage of the revenue is currently exports and similarly for order book?

Kaushal Bengani: Exports are less than 10% of total revenue. Whilst export demand has not picked up over the past 9 months it has not had a meaningful impact on Maharashtra Seamless Limited
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the company because the domestic demand is very good. And we've been able to sustain and improve upon our margins primarily on the basis of the domestic demand prevailing.

Riya : Got it. Also other expenses as a percentage of revenue have significantly declined in this quarter. Is there any one-off savings in cost this quarter?

Kaushal Bengani: No. Actually, what had happened was in the previous quarter, there were certain administration and selling expenses, which were on the higher side, which did not happen in this quarter as we've been able to control our costs.

Riya : This will be the normal range for other expenses?

Kaushal Bengani: Yes.

Riya : Got it. Also, in terms of orders from Oil India and ONGC, you're seeing it around INR500 crores to INR600 crores level. However, a few quarters earlier, it was at around INR1,800 crores level. So what kind of pipeline are we seeing right now?

Kaushal Bengani: Every year, Oil India and ONGC, they come out with tenders. So the tender that is awarded is usually a good -sized tender. It's part of the annual requirement of ONGC and Oil India. So when we had reported the number a few quarters earlier, as you said, we must have received the order, let's say, 20 days or 10 days prior to the date of reporting, which is why the figure was higher than it is right now.

Riya : Also in terms of going forward election is coming. So do you think the pipeline or the order inflow for some time for election would be a little dent?

D.P. Jindal: Very short time impact.

Kaushal Bengani: Shouldn't have any meaningful impact.
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Moderator: We have a next question from the line of Rahul Jindal from S amar Wealth.
Mr. Rahul, are you there?

Rahul Jindal: Am I audible?

Moderator: I would request you to use the handset. You are not audible.

Rahul Jindal: Please check now. Am I audible?

Moderator: Yes. Please go ahead.

Rahul Jindal: Sir, I wanted to know what growth opportunity do you see as a market leader for upcoming years after enactment of this antidumping duty?

Kaushal Bengani: Antidumping duty is in place till October 2026. We expect the duty to continue going forward considering the government's impetus towards Make in India and Atmanirbhar Bharat initiatives and the way domestic industry is performing in the past few years.

Rahul Jindal: Sir, any volume growth burdens?

Kaushal Bengani: We have put out a capital expenditure plan in our presentation. We currently have production capacity of 1 lakh tons, which is inactive at the Telangana unit. In order to utilize that production capacity of 1 lakh tons, we are putting in a finishing line at the Telangana unit. Once that line is in place, there will be an immediate improvement in the tonnage that we are able to produce.

Moderator: We have our next question from the line of Simran Bhatia from Almond z Financial Services Limited.

Simran Bhatia: There are two set of questions I want to ask. First, in terms of operating margin, let's say, FY '25, how we can expect it should be there? Can you answer this first question?

Kaushal Bengani: As we have mentioned earlier, we maintain short-cycle order books of around 3 to 4 months. Therefore, going into FY '25, we will not be able to
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give you an assessment of the exact number. But generally speaking, margins are good because market is good.

Simran Bhatia: Okay. Okay. And sir, my second question is that the promoter stake has increased to 68% from 63% in the past 2 years, and you are committed for 75% promoter. So when we can expect this to increase, any tentative time lines in the next couple of years or in the next couple of months?

Kaushal Bengani: There is no fixed time line. It is in interest of the promoter to increase their stake to the maximum possible level, but there is no defined time line.

Moderator: We have a next question from Sneha Talreja from Nuvama Wealth Management.

Sneha Talreja: Congratulations on good numbers. Just one question from my end. If I look at your seamless volumes on a 9-month basis, that seems to have declined. But despite that, I see EBITDA per ton increasing substantially. What are the key reasons in case you can highlight? One of the reasons I understood was savings in other expenses, which is particularly for this quarter. But on an overall basis, what are the reasons of increase in EBITDA per ton?

Kaushal Bengani: The main reason for increase in EBITDA per ton is the good domestic market that is currently in place. You will note that exports started declining from April onwards. However, our margins started to improve from April onwards compared to a situation in March when exports were good. So domestic demand is good, and that is a key growth driver for the company. Our marketing team is also befitting of our organization because they have engaged in better marketing and sales practices.

D.P. Jindal: Another point was that the raw material price has declined. So our order prices were good, but the raw material price has declined.

Sneha Talreja: Just a follow up on that. While your raw material prices have declined, what I understand is you have back-to-back orders also. How did that end

D.P. Jindal: No, it was not fully 100% back -to-back. But whatever new raw material we have purchased, that the price of steel was low.

Sneha Talreja : What percentage of your raw material requirement is back -to-back hedged?

Kaushal Bengani: We don't want to disclose tha

t, but majority of the ord ers that we have are supported by back -to-back booking of raw material which is why we are able to sustain and improve upon margins even in volatile environment.

D.P. Jindal: I tell you an example. Suppose today, we get order from ONGC or Oil India at a higher price, say, INR1 lakh per ton. So -- but the steel price has come down. So this order, we have quoted, say, 3 months back. In 3 months, the steel price has come down. So we are booking raw material at a lower price.

Sneha Talreja : Understood. Understood. That example was helpful. Just one last thing from my end. What is the current differential between -- or what is the general differential between exports margin versus domestic? W hich is a better -margin business to be in?

D.P. Jindal: Well, almost -- we compare both the market. We would like to take the same margin in the export but because of the export market is weak, so we are booking less quantity.

Sneha Talreja : Otherwise, on the margin front, both are almost similar you mean to say?

D.P. Jindal: I will say if we reduce the margin in export, we can book more quantity, but we have a domestic quantity, so we are not booking exports.

Moderator: We have a next question from the lin e of Radha from B&K Securities.

Radha : Congratulations on good performance. Sir, I wanted to understand what kind of volume growth are we targeting for the next 2 years in both seamless and ERW?

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Kaushal Bengani: On the seamless front, we are putting in a f inishing line at our Telengana unit. Once that is in place, we will see volume growth coming in. On ERW front, we will be producing similar quantities that we produced this year. So in fact, there is likely to be volume growth in the ERW segment in FY '24 versus FY '23.

Radha : Sir, I was asking about FY '25 and '26 because this -- even if...

Kaushal Bengani: It will be as it has been in FY '24 for ERW. For Seamless , it is a function of how quickly the Telangana finishing line will be in place. Considering our order book, we expect good production.

Radha : Okay. Sir, the -- actually, the Telangana line for 1 lakh tons that will come by December '24, you mentioned. So...

Kaushal Bengani: It will start by -- it will be completed by December '24 and start by January '25.

D.P. Jindal: Yes, it will affect '25, '26.

Radha : And sir, other than that we have 5.5 lakh tons of seamless. So what could be the maximum utilization that we can do with the 5.5 lakh tons?

Kaushal Bengani: It is a function of product mix.

Radha : So with the current product mix, what could be the numbers that we can achieve?

Kaushal Bengani: We can achieve higher production, but often we get different size orders and our objective is to maximize profit rather than maximize production.

Radha : And sir, secondly, this Telangana line, I believe that you can expand this to 3.5 lakh tons also in the future.

Kaushal Bengani: No, we never said that. Currently, the capacity for the Telengana unit is 2 lakh tons production capacity, out of which 1 lakh tons is the finishing

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capacity available. Since there is a bottleneck of 1 lakh tons on the finishing side, we are putting that up.

Moderator: We have our next question from the line of Amit Kumar from Determined Investments.

Amit Kumar : Just 2 questions. One is, what would be the share of export revenues on a 9-month basis? And this new Telangana finishing line that you are putting up, so next year or the year after, do you believe that domestic demand would be sort of enough to fill that capacity? Or would you again need to look at export markets?

D. P. Jindal : We will be looking for the export market mostly.

Amit Kumar : Okay. And what was the share of exports? As you said, it started declining from April. But

on a 9-month basis -- for 9 months also less than that, right?

Kaushal Bengani: Yes, yes.

Moderator: We have our next question from the line of Prince Bharena from Promptea Hospitality.

Prince Bharena : First of all, congratulations to Maharashtra Seamless. I have one question.

I wanted to know the revenue recognition policy of Maharashtra Seamless.

Is it like -- is the revenues booked as soon as the order is received? Or is it recognized as and when the inventory is dispatched?

And I have another question. Like the number of rig count is increasing in U.S. and Canada. So why is the export orders for Maharashtra Seamless not increasing?

Kaushal Bengani: Revenue recognition, as per Ind AS requirements, is on basis of dispatch.

When we dispatch the pipes, we book the invoice. On the question regarding exports, we mentioned earlier that if we decide to reduce prices,

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we can get a lot of export orders. But our objective is to maximize profit rather than any particular segment.

D.P. Jindal: And domestic demand was more, so to meet the domestic demand, so we have booked less order in the exports.

Moderator: We have our next question from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor : Namaskar, Jindal Sir. Sir, firstly, if we take the volume number for the last year in terms of -- for the seamless in particular, we did 4,31,000 of production and 4,36,000 as our sales. And as of now, we are slightly lower in terms of the run rate. We have done 3,02,000 for seamless. So what should be the probability taking into account the shorter-duration order books we have? What should we end the year, sir, on top of 4,36,000 sales volume, which we have done for FY '23?

Kaushal Bengani: In FY '23, as you said, we have dispatched 4,36,000. We were targeting a higher level or similar level in FY '24. However, we've got some good-value orders, and there was also maintenance in one of our facilities, which is why production and dispatch has been lower. If you take an average of our performance in 9 months and extrapolate it, we think we'll get that level of tonnage.

However, I would also like to point out that despite a slightly lower level of tonnage in FY '24 versus FY '23, you will see that our profit that we have been able to generate in the past 9 months is slightly less than the profit that we've been able to generate in the 12 months of FY '23.

Saket Kapoor : Yes, sir. That is clear. I was just trying to understand whether the current order book also, will it translate into higher tonnage? Or is it the similar type of orders, which we have executed in Q3 that is going ahead for Q4 also. If you could give some color on that. So that even on lower tonnage, yes.

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Kaushal Bengani: So we've -- what we have done in the first 9 months , if you can extrapolate that on a pro rata basis, then that is what we are likely to achieve . Slightly better than the pro rata levels.

Saket Kapoor : That is the volume part that you're mentioning?

Kaushal Bengani: Yes, sir.

Saket Kapoor : And also on the margin part, since you have the lower -duration order book and you know the current raw material market also shaping up. So extrapolating these 2 factors, do they give the same color mix? If we take the 9 -month average, we can come to a conclusion that margins will be in this band?

D.P. Jindal: Well, let me tell you the -- our seamless EBITDA was INR30,000. So it's difficult to maintain INR30,000. But we will certainly be averaging out, say, INR20,000. I'm not talking about quarter 4. Quarter 4 order booking is good. But in next year, we will be aiming at INR20,000, not INR30,000. INR30,000 is quite high EBITDA.

Saket Kapoor : Sir, just to harp again on it. Sir, we did 9 -month average at INR27,137.

D. P. Jindal : 9 months, okay.

Saket Kapoor : Yes, 9 months average is INR27,137. So going ahead, looking at the status of the order book, can we look forward for INR27,137 to average out for the full year or even now the mix is over -- your value added segment is executed and going ahead , we are expecting a lower EBITDA per ton for the fourth quarter?

D.P. Jindal: This quarter, of course, the order booking is at a good price. So I think we can maintain this.

Saket Kapoor : This 27 number can be maintained?

D.P. Jindal: Yes.

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Saket Kapoor : Okay. But for next year, you are saying that it will be difficult to sustain these numbers at INR27,000?

D.P. Jindal: That's right.

Saket Kapoor : Okay. But sir, what has led to this special order book value -added segment -- I mean, sir, is this for this small period, this is for timeline and after that such orders will not come back in the system? What is the specialty of this?

D.P. Jindal: I told you the market was bouncing and the prices were high and meanwhile the steel price going down. So we have got the differential benefit.

Saket Kapoor : Correct, correct. Understood sir, if we look at also for the rigs part, I think, the earlier participant also mentioned that the rig count has also improved.

And I think so and I think so, in your other company, the last rig that you have put on the charter rate, that is significantly higher.

So outlook for the one rig that Maharashtra Seamless holds also looks promising going ahead. I think the 1 year is now left, 1.5 years for this to get dehiere d. What would be the trajectory going ahead with rig business in MSL, if you could give some color?

D. P. Jindal : Now the price is around 40,000 per day. So we expect the new rig contract more than 80,000.

Saket Kapoor : 80,000. And this will be continuing -- we will continue with the rig business, as in the opening, you have mentioned that unrelated segment other than seamless segment, we don't -- we won't be investing further. So we will continue with this rig proposition, we'll have these 2 verticals going ahead also?

D. P. Jindal : Well, we have to take the appropriate decision at the right time.

Saket Kapoor : At the right time.

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Kaushal Bengani: Yes. Right.

Saket Kapoor : Correct. And sir, lastly, sir, about the shareholder . There has been a tremendous shareholder value creation that has happened over the last 2 years. And I think so, sir, now depending on the cash flow and also on your capex , we were looking forward for a dividend distribution policy or the returning of cash back to your investors.

So when can we hear something concrete on the same, sir, and where are we, sir, in midst of this thought process? I think so this has been a long pending request from investors. So, sir, what guidance do you have for this, sir?

D. P. Jindal : We are looking for a good opportunity for expansion. If that is not there, certainly, we have to give it to the shareholders.

Moderator: We have our next question from the line of Vivek Chaturvedi , a shareholder.

Vivek Chaturvedi : My questions have been answered.

Moderator: We have our next question from the line of Mr. Vikash Singh from PhillipCapital India.

Vikash Singh : Just wanted to understand our hot mill upgrade in Nagothane, which we planned for INR350 crores. How -- what is the benefit we will derive out of it in terms of tonnage or the cost savings? If you could give us some idea about this.

D.P. Jindal: Present capacity is...

Kaushal Bengani: Just one second, Vikash.

D.P. Jindal: Yes. it will give 2 benefits. One is capacity utilisation increase and the second is the quality also will be better. So capacity utilisation will be around 1 lakh ton more production.

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Vikash Singh : Effectively, we will return 7,50,000 tons of seamless pipes.

D.P. Jindal: Utilization will be 1 lakh ton more from existing .

Vikash Singh : Understood, sir. And in terms of opex , how much cost savings we can expect?

Kaushal Bengani: So there will be better utilization which will lead to economies of scale within the existing capacity.

Moderator: We have our next question from the line of Ankush Savaria , an individual investor.

Ankush Savaria: Congratulations on a good set of numbers. Sir, my question is that according to the presentation, you have shown that your capex and your working capital would be taken care of by the money that you have in liquid assets as of now. That would be in a span of next 2 years. But by then, you will also accrue cash in terms of net profit. So what are you thinking of doing with the extra money that you will generate in the next year or 2?

D.P. Jindal: Yes. We will see any opportunity if it comes in the pipe segment, so we'll take over the company or we'll expand in those lines.

Ankush Savaria: So do you have anything in eyesight? Or you are just hoping to have it?

D.P. Jindal: We are just hoping.

Ankush Savaria: So it will be great that you can increase the dividend next time so that the investors can also benefit from it.

D.P. Jindal: Certainly. We are working for investors only.

Ankush Savaria: Okay. And one more thing, sir. You've already split your shares, but still I feel that the liquidity in trading on the share is very less. So do you -- have you any -- do you have any consideration to split it further?

D.P. Jindal: Split.

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Ankush Savaria: Yes, because right now, what is happening is that while we...

D.P. Jindal: Maybe at 2,000 level.

Ankush Savaria: My last question is, sir, repeatedly you have said that the promoters are eyeing to increase their share. Do you still have it in mind or it is become

very difficult to do that now?

D.P. Jindal: Increase what?

Ankush Savaria: Increase your promoter share. Because...

D.P. Jindal: Yes, certainly, we have planned for going for 75 %.

Ankush Savaria: But the...

D.P. Jindal: Again, you say the liquidity in the market will be less than.

Ankush Savaria: Yes. That is what I am saying that right now, it is -- only 17% will be individual investors. And in case you increase by 7%, so total will be left 10% for individual investors.

D.P. Jindal: That is right.

Ankush Savaria: You will have to find some other way out, I think.

D.P. Jindal: Correct. Correct.

Ankush Savaria: Okay, sir. Congratulations on a great set of numbers and you are doing great.

D.P. Jindal: Thank you.

Moderator: We have our next question from the line of Bhavin Chheda from Enam Holdings.

Bhavin Chheda : Yes. Congratulations to the entire team for excellent performance both on the number side and on the balance sheet side. So a few questions. First, on the order book. If you are what we have been seeing for last 6 to 8 Maharashtra Seamless Limited
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quarters is normally, the order book number is up to 1 quarter or 4 months of sale as compared to 2 to 3 years back. When you particularly used to give a visibility of almost a year or so. So what's your take on this?

Do we see this will continue and your order book visibility will continue to remain at 3 to 4 months? Or any long gestation orders are also in the side? Because your presentation also mentioned that ONGC has 2 to 3 discoveries. So they will be having a long -term program on drilling and all that? And why do they do short gestation orders?

Kaushal Bengani: Earlier, let's say, till before 2020, ONGC used to come out with long-duration orders in which they would issue tender for requirement of over the year. That has changed since then. Now ONGC comes ou

t with lower

value orders for lower duration. This has been in place for the past 3, 3.5 years. And going forward, we expect good orders to come in because we are 1 of only 3 participants in the market and we are the market leader.

Bhavin Chheda : Okay. So you expect the short -duration orders to continue, particularly from the ONGC side?

Kaushal Bengani: Yes.

Bhavin Chheda : Okay. Second thing on the margins. Obviously, last few quarters, we have seen exceptionally very good margins, but not sustainable on a long -term basis. Historically, your margins used to be INR14,000, INR15,000 a ton. So what is -- what can be the new normal now? One is, depending on how the grades have changed over last 2 years and your overall sales mix includes some value -added component also taking that into consideration, what can be the new normal?

Kaushal Bengani: So we've had margins ranging from INR8,000 a ton earlier to INR30,000 a ton in the third quarter. It is difficult to specify a number because it is a function of the selling price and the price of steel at any given point in time. But generally speaking, margins are expected to remain good because market is good, and we are a market leader.

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Moderator: We have our next question from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni : Yes. I have just two questions. One is on oil and gas is contributing to how much of your total requirement? And I mean, how much of your production is consumed by oil and gas and how much is by other sectors because you have been talking of oil and gas growth. Is there any growth

happening in other sectors also?

Kaushal Bengani : Yes. Our contribution to oil and gas -- sorry, rather than contribution, our exposure to oil and gas sector is around 70%. The other segments that we cater to are boiler segment and general engineering. We see good demand in the boiler segment as well because those pipes are used in the power sector as well.

Vinay Nadkarni : Okay. And the second question is on your ERW margins per ton have kept going down compared to last year. Any particular reason?

Kaushal Bengani: ERW figures, which are reported, they are actually a function of 2 different types of ERW pipes, one for the water sector and one for the oil sector. Depending on the type of ERW pipe, which has been dispatched, the margin for the quarter is determined.

Vinay Nadkarni : Okay. So for the last 9 months...

Kaushal Bengani: Oil sector orders are higher margin than water sector orders.

Vinay Nadkarni : Okay. So the last 9 months, you have been more of water sector productive?

Kaushal Bengani: It's a mix of both.

Vinay Nadkarni : Okay. And last question on capacity utilization. Once you get your 100,000 ton capacity addition in December '24, what is the current capacity utilization? Are we above 90% or something? And how will we use that additional 100,000 tons that will come in?

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Kaushal Bengani: In terms of tonnage, we are at 70%, 75% level. However, that is not an accurate way to look at capacity utilization because if you take a situation where the production facility manufactures small-sized pipes versus an exact situation where the production facility manufactures large-diameter pipes, then at the end of the day, at the production facility where you manufacture large-diameter pipes, you will see higher tonnage versus the other situation where you'll see lower tonnage. So, if we measure capacity only in terms of tonnage, then, it will not be accurate.

A good way to look at it would be in terms of meters of pipes manufactured. Maybe at a later point in time when we have necessary data available, we'll start denoting capacity in terms of meters of pipes that we can make because that is then not influenced by the size of

the pipe. Right

now, we believe we are operating at very high capacity utilization levels.

However, that is not reflected because of the size issue, the product mix that is in place.

Vinay Nadkarni : And the 100,000 tons that gets added, you will have orders to consume that as well as 70%, 75%?

Kaushal Bengani: Yes, we want to target the export market primarily for that.

Moderator: We have a next question from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer : My question again comes on the total liquid cash that we have in our hand.

Since there is no serious kind -- look out for a company to -- outright purchase. And secondly, with so much cash, our ROEs are getting impacted and dividend -- paying dividend eventually, the investor has to pay tax at 30%, right? And also the promoter is quite interested in increasing the stake.

So you can, at current cash level, easily go for a 5% of your total float as a buyback. I mean with promoter not participating, automatically, their stake will increase to almost 70%, 71%. So why is management, as of

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now, not considering it? I mean it is helpful in every way, right? All your attributes are going to improve on the financial point of.

Kaushal Bengani: So when you make the statement that there is no serious effort in place, I take issue with that statement. That is not the case. We are actively on the lookout for opportunity. But we cannot create opportunity out of thin air

just because one doesn't exist. When we make that statement, please note that United Seamless was an acquisition which we identified and that generated significant benefit for the company.

We have also put in a lot of efforts to look at other assets such as ISMT and OCTL, but they did not materialize for no fault of the company because there are other factors in place which are beyond our control. As of now, we have enough cash for such an opportunity, and we want to conserve that cash going forward because we are taking a long-term view rather than a short-term view of just trying to improve market capitalization. What we believe is if we take a long-term view, and we are able to set up more manufacturing units at a price that is comfortable for us and is inherent of our competitive advantage, then we'll be able to generate long-term sustainable shareholder value creation.

Vignesh Iyer : Yes, surely, United Seamless was one of the very brilliant acquisitions, I would say, because the EBITDA per ton, etcetera, that generates on the product is quite high. Also, sir, on this 1 lakh capex -- 1 lakh ton capex that is going to kick in by December, is the product anything different from -- nature of the product different from what we are doing right now?

Kaushal Bengani: No. It is the same product.

D.P. Jindal: Some facilities will be there.

Kaushal Bengani: Additional products will also be there in addition to our existing product.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Vikash Singh for closing comments. Over to you, sir.

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Vikash Singh : On behalf of PhillipCapital, I would like to thank Maharashtra Seamless management for giving us the opportunity to host the call. Now I hand over the call to the management for their closing comments. Over to you.

Kaushal Bengani: Thank you, Vikash, for organizing the call and for covering Maharashtra Seamless. We appreciate your efforts specifically and we thank all shareholders for participating in the call. We request shareholders to kindly go through our presentation in detail so that you are able to understand the company better.

I would also like to thank Mr. Jindal, Chairman, for taking time out to participate in the call. We are focused on a set path, which we have

internally decided. And we want to continue on the path because we've been able to create value for everyone involved.

D.P. Jindal: Thank you, investors. Thank you, Vikash.

Moderator: On behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

E-Communication

MSL/SEC/SE/202 4-25 29 May 2024

BSE Limited
25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 22 May 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 22 May 2024 .

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q4-FY24-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary
Page 1 of 25

Maharashtra Seamless Limited
Q4 FY24 Earnings Conference Call
22 May 2024

MANAGEMENT : MR. KAUSHAL BENGANI - DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS AND FINANCE - MAHARASHTRA SEAMLESS LIMITED

Moderator: Ladies and gentlemen, welcome to Q4 FY '24 Earnings Conference Call of Maharashtra Seamless Limited, hosted by PhillipCapital (India) Private Limited. As a reminder, all participant lines will be in the listen - only mode. And there will be an opportunity for you to ask questions at the end of the presentation. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Vikash Singh from PhillipCapital (India). Thank you, and over to you, sir.

Vikash Singh: Thank you, Manav. A warm welcome to everybody on Maharashtra Seamless Q4 FY '24 con call. From the management side, we have with us today, Mr. Kaushal Bengani, Deputy General Manager, Investor Relations and Finance. Without taking any much time, I'll give the call to Kaushal for his opening remarks. Over to you, Kaushal.

Kaushal Bengani: Thank you, Vikash. Good afternoon, and thank you, shareholders, for joining our earnings call. In FY '24, we have achieved highest ever EBITDA, highest profit after tax, highest EPS, and highest margins. This performance only reiterates the strength of our core operations as we've been able to achieve all of this despite lower production and sales. In FY '24, our order execution was strong, and we continue to improve upon our marketing initiatives so as to secure high -value orders. I will briefly summarize key financial indicators.

In FY '24, our revenue declined by 4%. However, EBITDA increased by 18% to INR 1,223 crores, PAT increased by 23% to INR 975 crores, and EPS increased by 23% to INR 73 per share. Our performance in terms of tonnage, revenue and profitability was lower in Q 4 FY '24 versus Q3 FY '24 on account of a large size order, which was expected in Q4, but was delayed and received in second week of Q1 FY '25.

This led to lower tonnage being manufactured in Q4, which consequently led to lower revenue and profit. This timing mismatch should not have any longer -term impact as what could not be manufactured in the last financial year would now be made up in the current financial year FY '25. We have also actively taken steps in the previous quarter to ensure that our margin was not impacted despite lower production.

We've been able to control costs despite volatile macroeconomic environment and inflationary pressures. Apart from financials, there are five key points which we would like to draw attention to.

The first is the treasury. Our treasury is at INR 1,859 crores as on 31st March '24. The treasury level has almost doubled over the last financial year, even after large utilizations towards prepayment of debt and dividend were made. We are conserving this liquidity and will utilize the same judiciously.

Second, we've been included in various NSE indices from 28th March 2024, namely NIFTY500, NIFTY Small Cap 250 and NIFTY MidSmall Cap 400. Our FII and DII holding together has also gone up to 16% from 7% at the start of the year.

The third point is regarding ICDs and corporate guarantee. In line with the commitments made to shareholders two years ago, there are no ICDs to unrelated parties or corporate guarantees outstanding as on 31st March '24. We have come a long way from the time when this used to be the main cause of concern, and that has now been fully and completely resolved.

The fourth point is regarding dividend. The dividend amount paid for FY '22 was doubled for FY '23. Thereafter, the dividend paid for F Y '24 was

doubled again as dividend of INR 10 per share has been announced, subject to approval of shareholders against INR 5 per share for the previous financial year.

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The final point is regarding market demand. I wish to reiterate that capital goods and infrastructure in general and oil and gas specifically continue to witness strong demand for the medium term. This directly impacts the seamless pipes market.

Our seamless pipes market remained strong, driven by capital expenditure and spending in oil and gas sector as we are seeing our order book being replenished and maintained at good level. Currently, our order book is at INR 1,753 crores, of which 60% is on account of ONGC and Oil India. I would now like to take you through the presentation very quickly. The first few slides of the presentation talk about the company. The revenue for Q4 FY '24 was INR 1,259 crores. EBITDA was INR 276 crores with a margin of 23%. PAT was INR 223 crores with a margin of 18%. EPS was at INR 17 per share. On an annual level, we can see how the company has improved upon its performance from FY '21 to FY '24, and we keep going from strength to strength, subject to conditions of the market. The operational and financial indicators segment-wise primarily Seamless and ERW are given on Slide 8.

The EBITDA per ton for the Seamless segment was INR 21,619 and for the ERW segment was INR 11,803. We closed the year with an average EBITDA per ton for the Seamless segment of INR 25,793 and INR 7,315 for the ERW segment. EBITDA mix for Q4 was 76% on account of the Seamless segment. And for FY '24, 84% EBITDA was generated by the Seamless segment. Generally speaking, this trend will continue going forward.

Slide 10 talks about the unquoted equity and preference share investments in ICDs. You will note that there are no ICDs as on 31st March '24 to unrelated entities. I've already spoken about the liquid investments, which are detailed on the next couple of slides. If individuals want an additional breakup, we can provide that to them separately. There is no corporate guarantee outstanding as on 31st March '24. The timeline committed to shareholders two years ago for complete

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discharge of all corporate guarantee s was September '24. However, we have achieved this milestone six month s ahead of schedule.

Slide 14 talks about the capital expenditure plans that we have. We have commenced our capital expenditure by purchasing land at our Telangana unit and placing orders for relevant machinery. The same is in process, and we expect to complete that within this financial year. We do not require any debt to fund any capital expenditure or working capital requirements as we have a treasury of INR 1,859 crores.

Details of order book are given on the next slide. Our order book is supported by back-to-back booking of raw materials, leading to locking of margins and minimizing impact of fluctuating raw material prices.

We've also been able to dispatch some quantity of drill pipe s in the fourth quarter of last year, and we continue to manufacture and dispatch drill pipe s in current quarter as well.

The next three slides talk about the government policies in place and the sales and marketing update along with market trends, which I would request interested shareholders to kindly familiarize themselves with as that will give you an idea of where the demand is originating and how we are placed for the same.

Slide 19 talks about the shareholding structure as on 31st March '24.

There was some creeping acquisition in the fourth quarter of FY '24 with promoter holding increasing to 68%. Number of FIIs and mutual fund

schemes have also increased. That concludes the presentation, and I would now request Vikash to open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Tushar Raghatate from KamayaKya Wealth Management.

Tushar Raghatate: I jus

t wanted to mention before that there are some higher value orders .

So basically, what's the EBITDA per ton for those?

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Kaushal Bengani: We cannot disclose that figure. However, margins for high -value orders by definition, would be more than the mean margin.

Tushar Raghatate: Fair enough. And sir, what that exactly like in Q3, you had INR30,475 of EBITDA per ton, now it's came down to INR21,619. So just wanted to know that.

Kaushal Bengani: I'm not sure how to respond to that. What is your question?

Tushar Raghatate: Basically, I just wanted to understand your target EBITDA per ton margin -- EBITDA per ton for FY '25 and '26 like how are you seeing that?

Kaushal Bengani: It is difficult for us to give you a figure of EBITDA margin per ton because we operate on short -cycle order books. Currently, our order book is at INR 1,750 -odd crores, which is s lightly less than four months.

So on a four-month order book, I cannot give you margins which will fructify over next year or next couple of years. But what I can tell you is that margi ns are generally expected to remain above INR 15,000 per ton.

Tushar Raghatate: Fair enough, sir, that was helpful. And like considering your capex , like 41% of your total capex of the value is going in hot mill upgrade. And sir, when can we expect that to commercialize? Also the Telangana facility, finishing capex ?

Kaushal Bengani: Yes.

Tushar Raghatate: Should I repeat the question?

Kaushal Bengani: Yes, because I thought you were cut off.

Tushar Raghatate: Fair enough. So I just wanted to know the hot mill upgrade. So it's nearly 41% of our total capex outlay. So when can we expect that to commercialize? And also the Telangana facility commercialization month?

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Kaushal Bengani: The Telangana finishing line would be the firs t capital -- sorry, the first item of capital expenditure, which we would complete. And once that is done, then we would consider the hot mill upgrade.

Tushar Raghatate: Sir, timeline for the same?

Kaushal Bengani: Timeline for the Telangana is expected -- it has already commenced, but it is expected to be completed within this financial year.

Tushar Raghatate: Okay. And sir, INR 800 crores of revenue potential pos sibly utilized, right?

Kaushal Bengani: Yes.

Moderator: The next question is from the line of Aryan Sharma from B&K Securities.

Aryan Sharma: I have a couple of questions. So in the PPT, since sir, you have mentioned INR 852 crores of capex for FY '24 to FY '26, just wanted to get an understanding of a breakup of this capex . So how much has been sp ent in FY '24? And how much are we expecting to spend in FY '25 and '26?

Kaushal Bengani: Not much has been spent in FY '24 because the initial portion required acquisition of land which we have done, which was time -consuming, but did not require a signifi cant amount. The second stage for the Telangana finishing line facility was identification of machinery, which took a longer period than we had anticipated. We've placed orders for those machinery, but payment has not yet been due. So in FY '24, a signific ant amount has not yet been spent.

I think for the Telangana facility, all of the expenditure will happen in FY '25 as we expect to complete it within this financial year.

Aryan Sharma: Okay, sir. And could you just quantify the total capex you're planning to spend in FY '25 and remaining in FY '26 outside Telangana, if you are planning on selling something else?

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Kaushal Bengani: The Telangana facility is for INR 184 crores. So you can -- and some portion of that has already been spent in FY '24. So I think if you are modelling, then you can consider INR 200 crores capex for now. However, if that c

hanges, we will update you.

Aryan Sharma: Okay. Sir, what is the export mix in the INR 700 crores order which we have received? And a couple of questions about export as well, why both have come down? And when are we expecting it to recover?

Kaushal Bengani: In the total dispatches in FY '24, exports were around 5% to 6% and exports have not yet revived. Whenever that revival happens, we'll immediately see an impact of that. However, in the last financial year, even though exports were at 5% to 6% of total dispatches, it did not impact upon our margins as domestic demand is very good, as is evident from our existing order book.

Aryan Sharma: Okay. Sir, also, since we have a new treasury amount, like you were mentioning the beginning of the con call and so we technically have a lot of liquid cash in hand. So what is the future capital allocation policy that we are maintaining and are any inorganic opportunities being evaluated right now?

Kaushal Bengani: We are utilizing the liquid investments judiciously. We've improved upon our dividend. We have doubled the dividend that we are going to pay for FY '24, subject to approval of shareholders. Apart from that, we are always on the lookout for inorganic opportunities in core business. However, none of that is available in India. Should a suitable opportunity come up overseas, we'll immediately capitalize upon that. Apart from these two points, the cash could be utilized towards capital expenditure.

Aryan Sharma: Okay. Sir, one more question about the margins. Sir, what we have seen that in FY '24 the overall margin we have earned around INR24 per kg in EBITDA -- EBITDA per kg is around INR24. But we have guided that the future EBITDA per kg will be lower than this, at around INR18 to INR20. So why are we expecting a lower EBITDA margin?

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Kaushal Bengani: The EBITDA margin that we earned in quarter three of FY '24, was an exception of INR 30,000 per ton, which has happened maybe only once or twice in the past before Q3 FY '24, which led to an upward rise in the margin levels that we have earned in total in FY '24. In Q4, our EBITDA margin was at INR 21,000 per ton. What we are guiding is that margins will remain above INR 15,000. We are not saying that there will be a decline, but what we are saying is it is early for us to comment on long-term margins because we always work on short-cycle order books.

Aryan Sharma: Okay. Sir, one final question. Actually, in PPT, you have mentioned that the domestic market size for drill pipes is around 10,000 mt, and for subsea sour service seamless pipes to be at 35,000 mt. So how much of this market size are we targeting or to capture? And currently, in this scenario, how much is being supplied to import? What is the import market share in these two products?

Kaushal Bengani: We will target as much as is reasonably possible, but we already have a majority market share in both these segments.

Aryan Sharma: And sir how much is import currently? --

Kaushal Bengani: There are no imports. These are import substitution products.

Moderator: We have our next question from the line of Dhananjai Bagrodia from ASK Investments.

Dhananjai Bagrodia: Sir, just a couple of questions. How is the end demand market playing out right now? I know elections are done with. But overall, how are we seeing maybe focus how are we seeing in terms of inquiry going ahead?

Kaushal Bengani: There is no significant impact of elections for us, because the general elections were announced, and thereafter, we received a large order from ONGC of INR 674 crores. So we've not seen any impact of the elections on our business.

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Dhananjai Bagrodia: So how are we seeing it now in terms of going ahead, maybe by end product -- end demand market by segment, how

is that coming

along?

Kaushal Bengani: What do you mean?

Dhananjai Bagrodia: Like how is the end demand right now, in terms of which segment are you seeing good growth in? And how is that coming? Any particular customers or anything along those lines?

Kaushal Bengani: We have an order book of INR1,750 crores. We are quite comfortable with that level order book.

Dhananjai Bagrodia: Okay. And that's executable in less than a year?

Kaushal Bengani: I'm sorry.

Dhananjai Bagrodia: That's executable over less than a year.

Kaushal Bengani: Three to four months. That is the level of order book that we like to maintain, and we have that right now.

Dhananjai Bagrodia: Sure. And maybe I missed this but sir, why is depreciation been going down in terms of our expenses, is it on WDV or how is that?

Kaushal Bengani: Certain assets have been fully depreciated. And the amount of depreciation charge that is required has been fully expensed out.

Therefore, depreciation has reduced.

Moderator: The next question is from the line of Riya from Ae quitas.

Riya: My first question is in regard to the maintenance shutdown, which we will take next year. So how long that would be? And when will we take it?

Kaushal Bengani: Most likely, we'll be taking a maintenance shutdown towards last week of May or first week of June. And it will be for a --

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Moderator: Sorry, sir. We got the participant disconnected. Sorry, sir. Sorry about that. We have our next question from the line of Nikhil Agrawal from VT Capital.

Nikhil Agrawal: I just wanted to understand, billet prices are at a 1-year high. So how will it impact your margins in maybe Q1, Q2?

Kaushal Bengani: No. Billet prices are not at a 1-year high.

Nikhil Agrawal: They have increased significantly over the last two months.

Kaushal Bengani: Maybe that's a different kind of billet because the kind of billet that we use are round steel billets and the billets that you may be referring to are square billets, which we do not use.

Nikhil Agrawal: Okay. So how has been -- what has been the price trend in those type of billets?

Kaushal Bengani: There has been no significant move upwards in the price of round steel billets. And our order book is supported by back-to-back booking of raw materials. So that our margins are locked, and we are not impacted by fluctuating raw material prices.

Nikhil Agrawal: Okay. No, sir, because last year, our margins had gone up, I suppose, because billet prices had fallen down during the 45-day period between all the booking and the execution. So that's why I was -- that was the question.

Kaushal Bengani: No, not between order booking and execution.

Nikhil Agrawal: Between placing the order and the order booking, I guess, the 45 days.

Kaushal Bengani: No. Actually, the time period between submission of a tender and awarding of a tender.

Nikhil Agrawal: Yes, I meant that only.

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Kaushal Bengani: In that period, that happens, so that is a very small component of everything. But whenever that happens, the impact will be seen.

Nikhil Agrawal: Okay. So that's not a concern for us right now since the prices you're seeing.

Kaushal Bengani: No, no, no.

Nikhil Agrawal: Okay. Okay. Got it. And sir, U.S. rig counts, they have gone down, but I can see that international rig counts have gone up as a whole. So like, are we looking to supply to countries other than U.S.? I mean, Canada has gone up, but are we looking to supply to countries other than U.S.?

Kaushal Bengani: We will only do that if we are able to get good margins in those orders because U.S. and Canada are our target export markets. We want to explore other markets but not at the cost of margin. Our objective is not maintaining presence in various markets. Our objective is

to maximize

profit per ton.

Nikhil Agrawal: All right. Got it. And sir, you said the maintenance shutdown will be during the last week of May or first week of June. But how long will that be?

Kaushal Bengani: One month.

Moderator: We have the previous participant connected with us again. The next question is from the line of Riya from Aequis.

Riya: Also the large order, which we were talking about, what would be the volumes for these large orders, which are shifted to the next year?

Kaushal Bengani: The large order was the order from ONGC, which we received in the second week of April of INR674 crores.

Riya: Okay. I assume that was for the 11 months, right, that order?

Kaushal Bengani: Delivery is over a period of 44 weeks, so staggered, yes.

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Riya: Yes. Okay. And did it reduce for this particular order, or the production was also less than it could be shifted to the next -- from April onwards?

Kaushal Bengani: We only manufacture once we get an order because only after we get an order is the order for raw material placed and thereafter manufacturing starts.

Riya: Got it, sir. Also in terms of capex, we are saying that when will the capex be online? And how long do we think that time it will take for it to ramp up, the finishing line?

Kaushal Bengani: The Telangana finishing line has started and -- the capex for the Telangana finishing line has started, and we expect to complete that within this financial year. Once the installation of the line is completed, we can immediately ramp up production. So we expect volume growth to take place in FY '26.

Riya: Okay. So next year, there will be no addition from the capex side.

Kaushal Bengani: Not on the Telangana finishing line, because that would have been completed.

Moderator: The next question is from the line of Simarjeet from Almondz Financial Services.

Simarjeet: Sir, I just want to understand one thing. What can be the peak revenue one can expect from the Telangana unit once it will be fully positioned in FY '26 or by FY '27? And will this Telangana unit be margin accretive? Or you will have that sort of similar margins which we are having from others?

Kaushal Bengani: Right now, we are generating between INR800 crores to INR900 crores of revenue from the Telangana unit, but it is operating at 50% of its capacity because the remaining 50% is not being used as there is a

bottleneck on the finishing front. Once the finishing line has been installed, then we can expect revenue to go up to INR1,600 crores, Maharashtra Seamless Limited
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INR1,700 crores on an annual basis from the Telangana unit. Subject to selling price being maintained and sufficient market demand being in place and all of those other factors.

Simarjeet: Okay. Sir, are we having any plans for the pipes for the hydrogen market, something like that in our mindset, or no?

Kaushal Bengani: We are discussing that, but it is too early to make any definitive comment on that, but that has been discussed. That's all that I can say right now.

Moderator: We have our next question from the line of Prolin Nandu from Edelweiss Alternative Asset Advisors .

Prolin Nandu : So I have a couple of questions, right. One is, again, as you mentioned that INR15,000 could be the floor in terms of EBITDA per ton when it comes to seamless pipe and there was a one -off or one type of product in Q3. Now if we talk about the mix, right, I mean you have a few types of pipe, there is subsea pipe, there is drilling pipe, there is CNG pipe. So what is the range of EBITDA per ton for these different types of pipes that we have? And how much of a mix change going forward in FY '25, FY '26 can lead to the upward movement in EBITDA per ton? And will this, again, EBIT DA per ton change significantly once most of our capex has been done

ne?

Kaushal Bengani: I cannot give you product -wise EBITDA per ton. Once all capex is done, there will be higher profit and higher value addition products being manufactured. That is the whole purpose of doing capex .

Prolin Nandu: But if you can at least rank which would be the highest EBITDA per ton category within these three, 4 categories that we supply. I don't want the absolute number. The ranking will also help me to understand how our EBITDA per ton will move going forward.

Kaushal Bengani: I cannot do that. We have disclosed more than what our competitors do. I think you should refer to our presentation.

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Moderator: We have our next question from the line of Pradeep Rawat from Yogya Capital.

Pradeep Rawat: So sir, do you see any new capex being announced in the seamless tube market?

Kaushal Bengani: I'm given to believe that one of our competitors has announced capex , how much that would be and what impact it will have on the tonnage front, I don't have that information.

Pradeep Rawat: Okay. Okay. And with respect to the ISMT turnaround as well as increasing our own utilization at United Seamless, sir do you see these ramp -ups to create a situation of oversupply in the industry?

Kaushal Bengani: No, no, no.

Pradeep Rawat: Okay. So my next question is regarding the dumping. So sir, with respect to dumping, do you see any kind of dumping in any of the product lines related to seamless pipes?

Kaushal Bengani: In a few segments, which are not covered by the antidumping duty in place.

Pradeep Rawat: Okay. And if ever these antidumping duties are lifted, so the Indian producers are competitive enough to compete against the foreign producers?

Kaushal Bengani: Yes. We are one of the lowest cost manufacturer. But unfortunately, Chinese dumping exists, and we have to fight that.

Pradeep Rawat: Yes. So we were lowest cost producer earlier also, or we just became right now?

Kaushal Bengani: No, earlier as well because of inherent advantages that are present with Indian manufacturers in terms of access to cheap labour and access to

plant and equipment, which are not purchased at full price. All of those benefits of depreciation and interest and human capital do add up.
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Pradeep Rawat: Yes, Understandable. And my last question was regarding the cash that we have. So we have a planned capex of around INR800 crores, and we have in treasury around INR1,800 crores -- INR1,900 crores. So what are we planning to do with the rest of the amount?

Kaushal Bengani: We are conserving cash, and we will use it judiciously. As I mentioned earlier, if there are any inorganic opportunities available, which there are not right now, if they do come up, then we will capitalize immediately.

Pradeep Rawat: So sir, if we do spot any inorganic opportunity, so where are we planning to spend those cash in organic front? Like can you give a broad sense of idea?

Kaushal Bengani: We've already announced capital expenditure. We have doubled the dividend that was given last year and then yesterday, Board has announced that it will double the dividend which it paid last year. So essentially, over the past two years, we have quadrupled the dividend amount, which would be paid out subject to approval of shareholders. And we want to invest in core business only, where that will be and when that will be and how much that will be, will be communicated in due course when all of that materializes. But as of now, we've told you all that we know.

Moderator: We have our next question from the line of Chetan Doshi from Tulsi Capital.

Chetan Doshi: I have a couple of questions. One is in the presentation; you have mentioned that we have successfully dispatched the entire order of subsea sour service seamless pipes. Can y

ou just tell me what quantity in value -- in terms of value, how much we have dispatched and when it was dispatched? So customer is satisfied with the performance of this particular product. And I suppose it is an import substitute. So what future you've foreseen particularly in this segment in coming days?
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Kaushal Bengani: I cannot tell you the quantity, and I cannot tell you the amount. I can tell you that the customer is satisfied, and we are getting regular orders.

Chetan Doshi: Repeat order has already been placed for this particular product?

Kaushal Bengani: Yes, yes.

Chetan Doshi: And so in current financial year, what is your target for this particular segment?

Kaushal Bengani: Getting as much orders as possible, but we already have majority in this segment.

Chetan Doshi: Okay. You have no competition as far as this product goes in as far as India is concerned?

Kaushal Bengani: No, we have competition, but we already have majority.

Chetan Doshi: Major stake is with you?

Kaushal Bengani: Yes. This is an import substitution product, sir.

Chetan Doshi: Yes, that is true. Are you planning to -- the capacity is sufficient or you're planning to invest something in particular this product line?

Kaushal Bengani: Sir, we don't have to necessarily invest in the product line, but the capacity expenditure -- sorry, the capital expenditure plans that we have announced they will cover all sorts of value addition products.

Chetan Doshi: So a specific plant is not required to manufacture this particular product?

Kaushal Bengani: No, no. Because even in our current facilities, we are manufacturing this.

Moderator: The next question is from the line of Rakesh Roy from Boring AMC.

Rakesh Roy: My first question, can you share the realization part for Seamless and ERW for this quarter and last quarter, same to last year?

Kaushal Bengani: We do not share realization figures.

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Rakesh Roy: Okay. And any broadly idea how much is there nearby?

Kaushal Bengani: No.

Rakesh Roy: Okay. And sir, just you said you have the INR 1,800 -plus crores cash and you have INR 800 crores capex plus dividend increase. And you said you are looking for inorganic growth acquisition. In which geography you're looking for acquisition or any company that -- which geography you are mostly focused?

Kaushal Bengani: Earlier, we were looking within India. We were looking to acquire one of our competitors, but that did not happen. We were looking at United Seamless, and that happened successfully. We can look at any geography as long as the equipment is as per our requirement and the cost of the equipment is also as per our requirement. Geography is not so important for us because we have the ability to dismantle equipment overseas, pack them into boxes, ship them to India and assemble them and commission them within India.

Moderator: We have our next question from the line of Afzal -- is from the line of Richa from Equitymaster.

Richa: My question is...

Moderator: Sorry to interrupt, Ms. Richa, we are unable to hear you. Can you please use your handset.

Richa: Is this better?

Moderator: No. You're sounding very low.

Richa: Actually, I think this is a...

Moderator: Ms. Richa, I would request you to rejoin the queue as we are unable to hear you. We have our next question from the line of Aashav Patel from Molecule Ventures.

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Aashav Patel: Congratulations to the entire team for successfully turning around the balance sheet on all the corporate governance targets which we have given in the past. Sir, my question -- first question is that our Seamless EBITDA per ton is down from close to INR 30,000 range to INR 22,000 range. I understand you can't give the

specifics. But can you please guide us whether this was due to RM, raw material cost push which we had to take an expense in this quarter? Or was it really due to realization softening?

Kaushal Bengani: In Q3, there was a slight timing mismatch between the time the tender was submitted and the time at which the order was awarded. During that time, prices of raw material fell, which meant that we were able to generate higher margins. The margins that we generated in Q3 FY '24, they were on a higher side. And in Q4, we have corrected and come down to INR 21,000 per ton.

Going forward, we expect margins to stay upwards of INR 15,000 per ton. The reason why I cannot give you specific guidance is because we have short cycle order book of three to four months, and we expect margins for the entire year to stay above INR 15,000.

Aashav Patel: Fair enough. Fair enough. And sir, second question would be that given that coking coal has corrected meaningfully in the last six months, it is down from close to above 325 levels to 235 levels. So do we expect some -- given the lower price procurement, do you expect margin improvement a couple of quarters down the line?

Kaushal Bengani: As most of our orders are backed by raw material purchases, we don't expect significant impact of changes in raw material prices but if there is a timing difference like that happened in Q3, we will be beneficiaries of that.

Aashav Patel: Got it, sir. Sir, last question, what is -- why our ERW segment EBITDA per ton increased meaningfully by 85% quarter-on-quarter?

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Kaushal Bengani: The ERW segment is actually a blend of two sub-segments. ERW pipes are supplied to the oil sector and to the water sector. Oil sector orders are more margin accretive than water sector orders. In any given quarter, the margin that is reported for the ERW segment is a blend of these two sub-segments, whichever type of segment is serviced more in that quarter will determine how the margin plays out. Generally speaking, ERW margins are expected to be between INR 6,000 to INR 11,000 per ton, depending on the kind of product that has been dispatched in the given quarter.

Moderator: We have our next question from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Sir, do we have Mr. Jindal also on the call? I joined very late, so I missed your opening remarks.

Kaushal Bengani: No.

Saket Kapoor: Okay. So sir, you were talking about this preventive shutdown in our mills for -- happening for one month. So how will this affect our volume for the year? I think during an earlier conversation you were mentioning about that impact be negated if you could just complete that part of the answer.

Kaushal Bengani: In Q1 FY '25, we will be taking preventive maintenance shutdown in one of our mills. It will most likely be either in last week of May or first week of June. It will be for a period of one month. That is one aspect, which will lead to lower production in the first quarter of FY '25. We are also parallelly working on capital expenditure for our Telangana facility and installation of the finishing line.

If the installation of the finishing line is completed before the end of this financial year -- the current financial year, then we can see higher production in the Telangana unit. If that happens, then the loss in production in the first quarter will be negated by the increase in Maharashtra Seamless Limited

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production at the Telangana unit towards the end of FY '25, that is the option which I was proposing. If that does not happen, then there will be loss of production in FY '25 compared to the production in FY '24.

Saket Kapoor: And what should be the percentage that we should look in loss of tonnage on a ballpark number, if we do around one lakh ton in a three-month basis, so

INR35,000 to INR40,000 or should be a good number we should work out?

Kaushal Bengani: You're talking about the loss of production? So I think the loss of production in the June quarter -- the current quarter would be around 15,000 tons.

Saket Kapoor: Okay. Sir, as you mentioned about the demand outlook, you mentioned that there is no impact of elections. These are not the factors that will drive the prices and the demand. That is the understanding that since we are -- why I'm putting this question is that we are sir, today, 45 days into this quarter, we are on 22nd May and as you have given us the order book as on 15th May, that stands closer to INR1,750 crores -- INR1,770 crores. So if you could give us some more color how has the dispatches or the ballpark number being when we compare March quarter exit run rate to our 45 days into this quarter?

Kaushal Bengani: I don't think that would be appropriate because we have never done that in the past. We've never given guidance of dispatches completed within 45 days. We do not share monthly operational update. But the only thing that I can tell you for this quarter, which is the most material and most relevant since we are halfway into the quarter is that there will be a preventive maintenance shutdown, which will lead to loss of production of at least 15,000 tons.

Saket Kapoor: Right. Sir, now a point about this ONGC order part, which our earlier

participant Riya ma'am also spoke. In the press release part, it was mentioned that the deliverables will be dispatched over a period of 44 weeks. That works out to around 11 months. Wherein you alluded to the Maharashtra Seamless Limited
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point that our order book's total executable period is four months. So, if you could explain sir, what are you trying to?

Kaushal Bengani: So, it's a good point that you have raised. So order book as such is for a period of four months. If you consider that everything is manufactured within a period of three to four months by prorating the sales that you do over the year over a period of -- over the value of the order. In this particular case, the order from ONGC was split into two segments. So the initial segment is what we would have received in the fourth quarter of last financial year, which would have led to higher production and the balance portion would then be manufactured in FY '25. However, that did not actually happen. The entire order was received in FY '25.

Saket Kapoor: Sir, I still did not get -- if we take INR674 crores as the size and the execution period of 44 weeks, will this order get executed within the coming four months? Or will it percolate to the entire financial year, because 11 months from April, means --

Kaushal Bengani: This order will get executed in 44 weeks. A certain portion of the order was supposed to be executed in a shorter time period and not 44 weeks because 44 weeks is the entire time limit that ONGC gives us for execution of this order. When we have to execute is something which is decided by ONGC. So we were expecting this order to come in earlier in the previous financial year, that did not happen.

Saket Kapoor: Sir, you mentioned about the...

Moderator: Sorry to interrupt Saket sir. We would request you to rejoin the queue as there are several participants waiting. We have our next question from the line of Radha from B&K Securities.

Radha: Sir, I wanted to understand, you mentioned that U.S. and Canada are key markets for exports. So what is the market size for seamless pipes in U.S. and Canada? And also if you could tell about what is the global market size and how much is China out of it?

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Kaushal Bengani: Market size in U.S. and Canada is very big. Almost all seamless pipe manufacturing countries want to export to U.S. and Canada because of the amount of drill

ling activities that take place. People also want to export to the Middle East, but we do not export to the Middle East because of presence of China.

Generally speaking, the size of the entire seamless pipe market would be around 10 million tons. Although it is difficult to verify this figure because there are capacities in China, which are not documented and in other geographies, which are not documented in a concise manner by any one entity. I hope that answers your question.

Radha: Yes, sir that was very helpful. Just a ballpark number gives us a sense. And China would be 40% to 50% of this 10 million tons?

Kaushal Bengani: I don't have data on the basis of which I can make that statement. But China does have large capacities.

Radha: And sir, I believe Russia is one of the key players, and there's one large group -- Russian group making seamless pipes. So other than that, when we are exporting to U.S. and Canada, who would be our key competitors. And also, just a bit of any kind of indication of what could be the market size of U.S. and Canada.

Kaushal Bengani: I don't have the market size. I think you have access to more databases than I do. So maybe you will have that information if you look for it. In terms of competitors, international competitors are ArcelorMittal, JFE, Tenaris, TMK. Jindal Saw is also a competitor in the international

market. Vallourec is a competitor. I've given you six names.

Radha: And sir, Europe has an antidumping duty from China, but not for India.

So are we also exporting to Europe?

Kaushal Bengani: Very small quantity.

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Radha: So any plans to increase or any opportunity that we can see in the near term?

Kaushal Bengani: Our key markets remain U.S. and Canada because we do not want to export at the cost of margins. Our objective is to increase margin per ton, maximize it and not try to maintain presence wherever we can.

Radha: Then why do you see better margins in the U.S. market versus Europe market currently and when do you expect the exports -- sorry?

Kaushal Bengani: Because customers are willing to pay higher prices.

Radha: And when do we see the export market to revive, sir?

Kaushal Bengani: We hope it does as early as possible, but that has not happened in the last financial year.

Moderator: Ladies and gentlemen, that would be the last question for today due to time constraint. And I would now like to hand the conference over to Mr.

Vikash Singh for closing comments. Over to you, sir.

Vikash Singh: Thank you. On behalf of PhillipCapital, I would like to thank Maharashtra Seamless and Kaushal for giving us the opportunity to host the call. Kaushal now over to you for any closing remarks.

Kaushal Bengani: Thank you, shareholders, for joining us on this call. I can sense from the kind of conversation that took place that some disappointment is evident.

But please bear in mind that we are a company that has been a market leader for the past 35 years. And one quarterly result, which is lower compared to the previous quarter should not discourage shareholders.

Because if you look at our performance on an annual basis, we have improved significantly.

We have addressed numerous corporate governance issues over the past two to three years. We have remained true to our commitment of addressing at least a couple of issues within the given time period. In fact, these were the only two issues on which we gave specific time

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period, and we have been able to do that, namely the ICDs and the corporate guarantee.

On the dividend front, we have quadrupled the amount of dividend paid over the past two years. Finally, our cash balance is at an all-time high.

Our margins are exceptionally good. We would only urge you to stay connected with us and keep tracking us because

we are market leaders at

the end of the day, and we will continue to be market leaders.

I thank you again for your valuable input. And I would also like to thank Vikash for covering Maharashtra Seamless for so many years and organizing these calls. Thank you, Vikash, and thank you, shareholders.

Vikash Singh: Thank you, Kaushal.

Moderator: Thank you, sir. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

E-Communication

MSL/SEC/SE/202 4-25 04 August 2024

BSE Limited
25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 30 July 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 30 July 2024 .

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q1-FY25-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited
Q1 FY 25 Earnings Conference Call
30 July 2024

MANAGEMENT : MR. KAUSHAL BENGANI - DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS AND FINANCE , MAHARASHTRA SEAMLESS LIMITED .

MODERATORS : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Maharashtra Seamless Limited Q1 FY25 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Singh from PhillipCapital (India) Private Limited. Thank you, and over to you Mr. Singh.

Vikash Singh: Good afternoon everyone. Welcome to Maharashtra Seamless 1Q FY 25 Concall . From the Management side, we have with us Mr. Kaushal Bengani – Deputy General Manager, Investor Relations and Finance. Without taking much time, I will give the dais to Kaushal for his opening remarks . Kaushal , over to you.

Kaushal Bengani: Thank you Vikash . Good afternoon shareholders and thank you for joining our Earnings Call. In Q1 FY25 while dispatches were slightly lower than the previous quarter , our earnings was significantly impacted, both on quarter -on-quarter and year-on-year basis. This is attributed to three key reasons.

- The first reason is the fall in sales realization, which has been on account of increased competition, lower raw material prices, and some dumping from Chinese manufacturers in certain segments. We are in discussion with relevant authorities to address the issue of Chinese dumping, but that is a long-drawn process.

- Secondly, we had taken preventive maintenance shutdown in one of our mills. Based on the prevailing order book , most of the Maharashtra Seamless Limited
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manufacturing of existing high value orders and oil and gas sector orders were to be manufactured in this particular mill. However, due to the preventive maintenance shutdown, these orders were not executed, thereby impacting the earnings profile for the quarter. This mill has since resumed production at the start of Q2 FY25 and normalization of dispatches is expected in the second quarter.

- The third reason was the dispatch of high value orders which were in limited quantity . As fewer high value orders were dispatched in Q1, the entire high value inventory which was purchased against the remaining high value orders had to be marked down when raw material prices fell during the quarter. This was done in order to comply with accounting standards. When these high value orders are dispatched in subsequent quarters, the impact of marking down inventory will be nullified.

I will now briefly summarize key financial indicators :

On reviewing our Q1 FY25 performance versus Q4 FY24 despite revenue decline of only 4% , EBITDA fell by 54% to Rs.126 crores, PAT and EPS fell by 40% to Rs.136 crores and Rs.10 per share respectively. A comparison of Q1 FY25's performance with Q1 FY24 gives similar percentages for all parameters. The reason for the percentages being where they are have already been explained earlier. Apart from financials there are five key points which I would like to draw attention to :

- The first is our treasury . The treasury is at Rs.2203 crores as on 30th June 2024. It has improved more than anticipated and is generating good returns for us. In fact, in Q1 FY25 more than 1/3 rd of total earnings was from treasury segment.

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- The second point is the order book . Our order book has increased from Rs.1754 crores to Rs.1812 crores . The order book remains good as demand environment is conducive for manufacturing industry and oil and gas sector.

- The third point is regarding ICDs and corporate guarantees . In line with the co

mmittment made to shareholders two years ago , there are no ICDs to unrelated entities or corporate guarantees outstanding. We have come a long way from the time when this used to be the main cause of concern and that has been fully and completely resolved.

- The fourth point is regarding dividend . Dividend for FY 24 has been quadrupled f rom what was distributed for FY 22. Whilst a specific dividend distribution plan has not been announced yet, we remain mindful to the points raised by shareholders.

- Finally, I wish to reiterate that capital goods and infrastructure in general and oil and gas specifically continue to witness strong demand for medium term. This directly impacts the seamless pipe s market, which remains buoyant, driven by capital expenditure and spending in the oil and gas sector as we are seeing our order book being replenished and improved at good levels.

I would now request Vikash to kindly open for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Pratiksha from Aequitas Investments . Please go ahead.

Pratik sha: I just wanted to understand what was the markdown on inventory that you mentioned , can you just elaborate on that a little bit , I didn't understand why was there a marked down ?

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Kaushal Bengani: At the start of the quarter, we had high value orders which were backed by inventory purchased for those high value orders. During the quarter raw material prices fell . At the end of the quarter the inventory which was not dispatched which primarily comprised inventory which was purchased for high value orders because the specific mill in which these high value orders were to be manufactured, that mill was under preventive maintenance shutdown and so, those orders could not be dispatched . The inventory that we had for those orders had to be marked down and that is the main reason why the performance is where it is right now.

Pratik sha: Okay. So, this is basically inventory loss in the quarter because of raw material price that fell. So, how would this quarter we would have similar situation of inventory loss ?

Kaushal Bengani: So, it is not an inventory loss in the sense that people perceive it , because when you say inventory loss one im agines a speculative position which has been taken and loss has been incurred on account of that speculative activity. In our case, we had earmarked the order with inventory. However, raw material prices fell against that order and that order was not dispa tched in that quarter because the mill was under shutdown. Now the mill has resumed operations in the first week of July and when these orders will be dispatched during the current quarter and the next quarter, the inventory mark down will be nullified.

Pratiksha: Okay. And would we have a similar situation for the raw material that must be procured for the current order book?

Kaushal Bengani: It depends if raw material prices fall further, then we will have same situation. If they don 't, then we will have the reverse situation .

Pratiksha : So, while there is a possibility of reversal for the existing dispatches that were delayed, we could also have a situation on the current order book

where a similar situation of raw material price can come across, right?
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Kaushal Bengani: I don't know because it depends on whether raw material prices will fall or not, because all of our orders are backed by raw material purchases.

Pratiksha: And this shutdown that we had, what was the production loss because of the shutdown?

Kaushal Bengani: Production loss in terms of tonnage would be around 15,000 tonnes. However, what we had done was, there was quite a bit of WIP, which was with us, which we managed to finish and dispatch.

at ch.

Pratiksha: All right. And in terms of order book what would be the execution period for the drilling pipes that we have, order book of drilling pipes?

Kaushal Bengani: Very long execution period.

Pratiksha: Okay. And when it comes to cylinder pipe the order book has risen significantly, is the margin profile any better for this segment relative to the other, that the product sells....

Kaushal Bengani: Margin profile for all high value addition pipes are better than regular pipes. So, cylinder pipes are a high value addition product that we manufacture. We are one of two manufacturers of cylinder pipes, and we want to increase the contribution of the value addition pipes as a percentage of total dispatches. We have communicated this many times earlier as well and it is encouraging that what has been communicated is transpiring into reality.

Pratiksha: Okay. And in terms of the segment where you mentioned that the Chinese imports are affecting us, can you just elaborate what areas of the business affected as we are seeing maximum impact?

Kaushal Bengani: I don't want to do that right now.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. Please go ahead.

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Radha: Sir, my first question was, you mentioned that there is some pressure on the pricing. So, do you expect the pricing to remain stable for the rest half of the year or do we experience realization for this going....

Kaushal Bengani: The raw material pricing is something which I will not be able to comment about but, I don't think the selling price is expected to fall significantly from where it is right now.

Radha: Sir, you mentioned that we are seeing more imports from China, and we are taking some measures, but that would take some time to pan out. So, on the basis of that would there be more fall in realizations in subsequent quarters, considering raw material prices remain similar?

Kaushal Bengani: It is difficult to comment because what is under process is not controlled in a manner in which a reasonable forecast can be made. So, we will just have to wait and watch to how things pan out since a lot of various entities and a lot of various processes are involved.

Radha: Sir secondly, a few quarters back when we had a discussion at that time, it was mentioned that a percentage of order book is actually hedged, and some portion is kept open. So, could you specify broadly what percentage of order book is usually hedged with raw material?

Kaushal Bengani: Almost the entire order book is hedged with raw material and insignificant portion is kept open.

Radha: Just last, in the exports front so US and Canada remains our key market, so out of the 10 million tonne global demand could you specify or give us some highlight as to what would be the market size in US and Canada and any increase in opportunities are we seeing in the Saudi region as well?

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Kaushal Bengani: We don't export to the Middle East, exports have not revived, exports

have been slow for more than a year. Market size in US and Canada is very big, but they have not revived for us.

Radha: US, Canada would be 20% of the global 10 million in demand?

Kaushal Bengani: I don't know, you had asked this question in the earlier call, and I said that you have access to more databases than I do, so exact percentages is difficult for me to communicate without having seen specific data.

Radha: Okay, sir last question. What is the quantum of imports happening from China to India for the seamless pipe in tonnage terms?

Kaushal Bengani: It is impacting us, which is why our realization has fallen so significantly.

Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep

Pradeep Rawat: So, I would like to know about, you mentioned three reasons why our EBITDA dropped. So, can you broadly give weightage to all the three reasons why our EBITDA fell drastically this quarter?

Kaushal Bengani: Equal weightage for all three factors.

Pradeep Rawat: Okay. And where are we in terms of making seamless pipe for hydrogen market and how big the opportunity could be?

Kaushal Bengani: We are not supplying pipes for the hydrogen segment; those pipes are not being manufactured in the seamless segment in India.

Pradeep Rawat: Okay. And what was the production from the Telangana unit for this quarter?

Kaushal Bengani: The Telangana unit is a part of Maharashtra Seamless, specific mill wise production details are not given out.

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Pradeep Rawat: Okay. And when could we expect that Telangana unit CAPEX to be finished, when it could be commissioned and also for the hot mill upgrade in our main facility?

Kaushal Bengani: The Telangana finishing line was expected to be completed by March 2025. But, I don't think that will happen, in all probability it will be deferred by at least nine months, because we have recently placed order for some equipment, those orders have been finalized, purchase order has been issued. However, the gestation period for that order is 12 months. So, reasonably speaking, the Telangana unit expansion should get completed by December 25. However, we will update you as and when material developments take place. Please do not consider December 25 to be a hard stop but rather an outcome of where things stand right now. It can also be sooner; it depends on how the suppliers act because we have also incentivized at least one supplier to deliver quickly.

Pradeep Rawat: Yes, understood. And for the hot mill upgrade?

Kaushal Bengani: Hot mill upgrade will only happen once the Telangana finishing line is in place because we will have a loss of production whenever we take the hot mill upgrade. So, in order to compensate that loss, we need the Telangana unit to be active in full capacity. The sense which I am getting from your question is, when will volume growth come in? So, I don't think there will be any volume growth in FY25. And in FY 26, volume growth will only happen once the Telangana finishing line has been completed and is open for commercial production.

Moderator: Thank you. The next question is from the line of Jatin Damania from SVAN Investments. Please go ahead.

Jatin Damania: Sir carrying on from further participant questions in terms of the CAPEX.

So, as you indicated that the Telangana plant has been likely to be postponed to FY 26 commencement. So, is it fair to assume that of the 852 Maharashtra Seamless Limited

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crores of the CAPEX that we are going to spend, a major portion of the CAPEX will be spent in FY26, and it will be marginal in FY 25?

Kaushal Bengani: Yes, that is correct.

Jatin Damania: So, if you can quantify the numbers, that we are likely to spend in FY 25, FY26?

Kaushal Bengani: I don't want to do that right now because quite a significant period in the

year is still remaining , maybe in the Earnings Call for the next quarter. I will give you a definitive figure.

Jatin Damania: Yes, because what I have heard is of the 852 crores which as per our presentation, we decided from FY 24 to '26 but the CAPEX in FY 24 was very minimum. So, that's why wanted to check how the cash flow or the CWIP will flow from '25 to '26?

Kaushal Bengani: You are right. I will update you in the next earnings call.

Jatin Damania: Sure. And secondly, in your opening remarks you indicated because the inventory right down, there was a hit in the operating performance. Now, assuming that your capacity which was under the preventive maintenance shutdown, is back into operation in the fir

st week of July. So, as soon as we start executing that order, is it possible to reverse the entire inventory right down that we had taken?

Kaushal Bengani: Yes, definitely that is what will happen , but whether it will happen entirely in the September quarter or in the December quarter depends on when the order is executed. Some of that will definitely happen in the September quarter. And we would want all of it to happen in the September quarter so th at a normali sed level of EBIT DA per tonne is reflected going forward.

Jatin Damania: That's helpful, because if you look in the first quarter, other than the high value order execution of the high value order , our performance was

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impacted because of the execution of the low margins. Because of the preventive maintenance shutdown, I was just wondering that if just some portion of the high value order regarding Q2, there could be normalized margin, we can probably start getting it in the month of September or October onwards. So, just wanted to clarify that.

Kaushal Bengani: Okay . In my assessment of where things stand right now, as and when the high value orders get dispatched, the impact of the invent ory mark down will get nullified. I hope it happens in the second quarter itself, but we will just have to wait and see.

Moderator: Thank you. The next question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Just wanted to know , what is the average drop in raw metal prices this quarter, if we can quantify percentage ?

Kaushal Bengani: It is significant , so significant that our EBITDA per tonne fell from Rs.22,000 a tonne to Rs.9,000 per tonne.

Vinay Nadkarni: Because of drop in raw material prices, because your top line would have gone at the lower raw material prices, is it because of pass through?

Kaushal Bengani: No, absolutely not. There were three factors which impacted EBITDA per tonne, which I have already communicated earlier. One of those factors was the mark down in the inventory that we had taken in order to comply with the accounting standard. I don 't want to specify a numbe r, it is irrelevant to what you want to calculate. What is relevant is that the entire inventory mark down will get reversed when this order is dispatched.

Vinay Nadkarni: Then my worry is that 1500 0 tonnes loss that you are saying you have incurred because of the shutdown. That will impact the quarter two performance because your WIP carried you in the quarter one , in quarter two will it be impacting , as I don't see any impact in quarter one?

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Kaushal Bengani: Mill has started in first week of July.

Vinay Nadkarni: So, where does that 1500 0 go, because your production in quarter one has not been impacted at all because of the shutdown.

Kaushal Bengani: One second, we would manufacture 1,10,000 tonnes earlier , manufacture d and dispatch anywhere between 100,000 tonnes to 115,000 tonnes per quarter. In March quarter we dispatched around 95,000 tonnes. The reason for lower dispatches in the March quarter was the delay in an order which was expected in the month of March, but i t was received in the second week of April . That was for the March quarter. For the June quarter we

had taken maintenance shutdown in one of our units. That maintenance shutdown caused a loss of production of around 15,000 tonnes.

Vinay Nadkarni: Okay. The only question I had was that you have answered already, the debottlenecking of units. Thanks that's all from me.

Moderator: Thank you. The next question is from the line of Satyan Wadhwa from Profusion Investment Advisors LLP. Please go ahead

Satyan Wadhwa: Kaushal, what was the actual inventory loss or inventory marked down on the high value order, amount in rupees if you could clarify?

Clarify?

Kaushal Bengani: There was no inventory loss in the traditional sense of the term, I will have to just reiterate what I said earlier, there has been no inventory loss as is traditionally understood, all of our orders are hedged with raw materials. Most of those orders were high value orders that we had, and they were manufactured in a mill which was under preventive maintenance shutdown and those orders could not be dispatched. The inventory remained with us. During this period, what also happened was that raw material prices fell. Therefore, in order to comply with accounting standards, we had to mark down the inventory to what the raw material prices were at the end of the quarter. This will reverse itself once the order is executed.

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Satyan Wadhwa: Correct, that is fine. I was just checking what the actual mark-to-market loss, that will reverse next quarter or the quarter after anyway.

Kaushal Bengani: I am not quantifying that. There were three factors, all three factors had equal weightage and that impacted our earnings profile.

Moderator: Thank you. The next question is from the line of Deepak Mandhana from Avighna Investments. Please go ahead.

Deepak Mandhana: One of the questions has already been answered. So, I have two more questions. One is that you have mentioned in your presentation that you are actively penetrating the newer regions in terms of export for subsea service, seamless pipes. Can you tell us which countries or which regions would be these?

Kaushal Bengani: We are marketing our sour service subsea seamless pipes in the export market. However, we have not yet been successful. We have had encouraging inquiries, but none of those inquiries have actually crystallized into orders yet.

Deepak Mandhana: Okay. And geographically where are these inquiries coming from, is it Middle East, US which side?

Kaushal Bengani: We don't want to disclose because competition is also there in those sectors.

Deepak Mandhana: Okay. And secondly, in terms of the last tenders for the ERW pipes, which are for the gas and city distributions, what would be the quantum of revenue that you would foresee for this in the coming year?

Kaushal Bengani: Generally speaking, ERW pipes would be dispatched in the range of 80,000 to 1,05,000 tonnes every year. And since we are not expanding any ERW pipe capacity, our dispatch would remain within this range at all times.

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Deepak Mandhana: Okay. And the realization on the ERW pipes have also gone down or is it substantially holding up against the seamless pipes?

Kaushal Bengani: They have gone down to a lower extent than in the seamless pipe segment.

Deepak Mandhana: Okay. And do you foresee any chances of this improving in the next quarter or six months?

Kaushal Bengani: The way our earnings have panned out in the June quarter, especially the impact on account of the inventory mark down that will reverse itself I don't think realizations are expected to fall further in a material manner beyond what they already have.

Moderator: Thank you. The next question is from the line of Shruti Mulchandani from Unifi Capital. Please go ahead.

Shruti Mulchandani: I wanted to know about any update on buyback?

Kaushal Bengani: There is no update on buyback . For shareholders, what we have done in the past two years was quadruple the amount of dividend that was paid out in FY 24, versus what was announced for FY 22. As of now, there is no further update either on dividends or on buyback for the current financial year.

Shruti Mulchandani: Also, if you could give me the mix of oil and gas and water in ERW pipe for this quarter, it would be great.

Kaushal Bengani: For the first quarter, around 20% of dispatches were in the oil and gas sector

and 80% of dispatches were in the water sector which has led to lower margins in the ERW segment.

Shruti Mulchandani: Sir do you see this reversing in the coming quarter ?

Kaushal Bengani: It is a function of product mix; it is difficult to predict at the start of the quarter. The EBITDA per tonne in the ERW segment will generally be Maharashtra Seamless Limited

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between the range of Rs. 6000 to Rs.11,000 per tonne plus or minus 1000 at both ends , depending on the product mix.

Shruti Mulchandani: So, is there lower demand from the oil and gas side or any particular reason why the contribution was less?

Kaushal Bengani: I don't understand why ERW segment is that much of an area of interest because it contributes only 6% to 7% of the total EBITDA that the company will generate.

Shruti Mulchandani: Just wanted to get an idea about the demand from the oil and gas side in general .

Kaushal Bengani: A better indicator would be the position of our current order book in which 51% of our order book is from ONGC and Oil India and of the balance 49%, quite a bit is from the oil and gas sector.

Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: So, my first question is regarding our exports , so we don't sell to Middle East is that understanding right?

Kaushal Bengani: Yes.

Pradeep Rawat: So, why don't we sell to the Middle East, some of our peers are selling there and they are like benefiting from that market. So, why aren't we not exploring that market as of now ?

Kaushal Bengani: Our peers are selling different products in the Middle East; they are not selling seamless pipes. Secondly, in the Middle East market, there is an absence of anti-dumping duties on China . China being present in a large manner in the Middle East market means that there is no scope of supernormal margins. Therefore, we don't divert our energies to a market where good margins are not available.

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Pradeep Rawat: Yes, understood. And my next question is regarding the oil and gas market. So, how big this market could be for seamless pipes, and I know you have written in 100,000 tonnes per annum demand from seamless pipe, but that is for exploration. So, what could be the total demand for exploration as well as for drilling activity for seamless pipes ?

Kaushal Bengani: Globally the seamless pipes market based on certain databases is around 10 million tonnes. In India, the market is around 0.9 million tonnes.

Pradeep Rawat: And 100,000 tonne is for the exploration activity right ?

Kaushal Bengani: From ONGC and Oil India .

Pradeep Rawat: Okay. And with respect to our capital allocation, we have quite good cash balance and the ERW pipe segment is quite lucrative with respect to demand and our annualized utilization is close to 80%. So, why aren't we planning to expand in this segment?

Kaushal Bengani: I'm sorry, can you repeat that again please , we have already announced a capital expenditure plan of 852 crores.

Pradeep Rawat: For ERW pipes ?

Kaushal Bengani: Sorry, no . In ERW pipes we are not expanding because we are a seamless pipes manufacturer . ERW was a small segment that we had set up because ,

when we started expanding in the seamless pipe segment the same customers were also interested in procuring ERW pipes. So, we set up the ERW pipes unit in order to service those customers, but again that is not an area of focus right now.

Pradeep Rawat: Yes, understood. And my last question is regarding one of the player in the industry has said that large diameter welded pipes in infrastructure and building is being increasingly used against seamless pipes and in auto segment also so, are you seeing such kind of trends or is it like non-existent?

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Kaushal Bengani: "Large diameter welded pipes will always be used in various segments against seamless pipes." That's a good way of presenting the data, because seamless pipes are not manufactured beyond 22 inch and large diameter pipes are manufactured above 22 inch and they go up to 36 or 40 inches. These are completely separate segments and seamless pipes are primarily used in the oil and gas sector and not in infrastructure.

Pradeep Rawat: And in auto segment are we seeing such kind of trends?

Kaushal Bengani: No, large diameter pipes are not used in the auto sector.

Pradeep Rawat: Not large diameter in auto segment, but welded pipes?

Kaushal Bengani: We don't supply significantly to the auto sector because the demand for auto sector is primarily for low diameter seamless pipes or cold drawn seamless pipes.

Moderator: Thank you. The last question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Just two questions. One was on CAPEX for quarter one, what is the amount spent in quarter one on CAPEX?

Kaushal Bengani: There wasn't any significant expenditure on CAPEX in the first quarter. However, what we have done in the first quarter is placed orders for certain equipment which was pending for some time. They were under negotiation and those negotiations have concluded and a purchase order has been placed on the vendor.

Vinay Nadkarni: Can you give us some data on capacity utilization in this quarter?

Kaushal Bengani: Capacity utilization, one mill was under shutdown. So, capacity utilization was on the lower side.

Vinay Nadkarni: Other than that, there's no number that you could share?

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Kaushal Bengani: If against the annual capacity of 5,50,000 tonnes we manufactured and dispatched 4 lakh tonnes. But in terms of capacity, what is also important in the pipe sector is the way tonnage is impacting the capacity utilization figures, because if you have a product mix in which large diameter pipes are in higher proportion, then you will end up with higher tonnage as compared to a product mix where large diameter pipes are not in a higher proportion. That way, mills running 24 hours a day, 365 days a year, the capacities which have actually been utilized would appear to be different in both cases. Generally speaking, we remain in the range of 70% to 80%.

Vinay Nadkarni: Okay. Just last one bookkeeping question other expenses have grown significantly in this quarter around 16 crores any particular one-off expense that has been incurred or is it?

Kaushal Bengani: The preventive maintenance shutdown which was there, that had some impact on the increase in other expenses.

Vinay Nadkarni: Okay. And lastly, I know you have refused to comment on the markdown that you have taken in the mark-to-market for inventory. But your cash addition for this quarter is around 344 crores, and your cash profit looks at around 150, 152 crores I presume that the difference would be that right?

Kaushal Bengani: I am sorry, I could not hear you very well, could you repeat that, please?

Vinay Nadkarni: Yes, I am saying your cash accretion to the cash on hand is around 344 crores this quarter. And your cash profit that is your tax added back, depreciation is around 150, 154. So, would it be fair to assume that the

190 crores would be your rough mark down on your inventory?

Kaushal Bengani: No, it is not that.

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Shlok , one request for you, a few investors have messaged that they are unable to connect, can you please check the queue again and if there are any interested participants connect them.

Moderator: Okay , sir I will take those questions after . So, the next question is from the line of Pratiksha

from Aequitas Investments . Please go ahead.

Pratik sha: Yes, just one follow up wanted to clarify, when you say that 51% of our order book is from ONGC Oil India, we are talking about the total order book and not just ERW, right?

Kaushal Bengani: Correct. We have detailed the split in the slide of our presentation.

Pratik sha: Got it. And just one question , any significant reason that you want to highlight for fall in order book of ERW segment ?

Kaushal Bengani: There is no significant reason it is just the way order confirmations were issued. So, maybe there are orders in the process of being finalized, but only order confirmations have not been issued. The way we calculate order book is those orders for which order confirmations have been issued by us, but those pipes have not been dispatched from the plant. So, maybe it's a lag issue, there is no dearth of demand or any such thing on the ERW pipe front.

Pratik sha: Okay. So, does it mean order pipeline for both the segment is equally strong ?

Kaushal Bengani: That is correct. And if you take out the ERW segment and the Telangana unit then the composition of ONGC and Oil India and other oil sector orders as a percentage of the total order book will probably shoot up to 70%, 75%.

Moderator: Thank you. The next question is from the line of Amit Kumar from Determined Investments. Please go ahead.

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Amit Kumar: Just a couple of questions. This maintenance shutdown with preventive maintenance shutdown was it planned or unplanned ?

Kaushal Bengani: It was planned , it was communicated in the month of May when we did the earnings call for the fourth quarter of last year. And on the 12th of June, we communicated it to the Stock Exchange as well .

Moderator: Thank you . Ladies and gentlemen , that was the last question for today, I now hand the conference over to Mr. Vikash Singh from PhillipCapital (India) Private Limited for closing comments. Please go ahead sir.

Vikash Singh: Thank you everyone for joining the call. On behalf of PhillipCapital, I want to thank Maharashtra Seamless management for giving us the opportunity to host the call . For closing comments , I will again hand it over to Kaushal for any closing remarks.

Kaushal Bengani: Thank you Vikash, thank you shareholders for joining the earnings conference call . Our earnings profile has been impacted for the reasons which have been communicated. At least two of those reasons are temporary and one off in nature and may be a function of the accounting standards that we follow rather than a question mark on the operations of the company . The operations of the company are very good , it is also reflected by the way our order book has improved quarter -on-quarter , domestic demand is very good. We are one of three manufacturers of seamless pipes in India, we have been market leaders for the past 35 years. And while there has been a decline in margins, from the third quarter of last year, to where it is right now, I can say with the fullest of confidence that there is no problem in operations and no problem in execution. It has just been a function of quite a few things amalgamating at the same point in time and thereby causing a disproportionate effect. I hope that quite a lot of these factors will normalize in the coming quarters, and it would be good to be vindicated later on. Let 's just wait and watch for that. And

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thank you for your patience. Thank you to Vikash for organizing as he does every time and I hope to connect with you in the next quarter.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

E-Communication

MSL/SEC/SE/202 4-25 04 November 2024

BSE Limited
25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 29 October 2024

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 29 October 2024 .

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q2-FY25-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary
Page 1 of 23

Maharashtra Seamless Limited
Q2 FY25 Earnings Conference Call
29 October 2024

MANAGEMENT : MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS & FINANCE – MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

Maharashtra Seamless Limited
29 October 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Maharashtra Seamless Limited Q2 FY '25 Earnings Conference Call, hosted by PhillipCapital (India) Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Singh from Phillip Capital. Thank you, and over to you, sir.

Vikash Singh: Thank you. Good afternoon, everyone. On behalf of PhillipCapital, I invite everyone on Maharashtra Seamless Q2 FY '25 Investors Con -Call. From the management side, we have with us Mr. Kaushal Bengani, Deputy General Manager, Investor Relations and Finance.

Without taking any much time, I'll hand it over to Kaushal for his opening remarks.

Kaushal Bengani: Thank you, Vikash. Good afternoon, shareholders, and thank you for joining our earnings call. During Q2 FY '25, dispatches of seamless pipes improved meaningfully in addition to improvement in product mix. This had a direct impact on earnings which revived as was communicated in the previous earnings call.

Two key points responsible for our performance are firstly, the partial reversal in Q2 of impact of inventory markdown taken in previous quarter as more orders have been executed in Q2 and dispatches have improved. The second reason is the dispatches of high-value orders in Q2, which have been partially completed. This could not have been done in the earlier quarter as the relevant mill, which was executing these orders was under preventive maintenance.

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I will briefly summarize key financial indicators. In Q2, our revenue improved by 14% versus Q1 FY '25 to INR1,291 crores. EBITDA increased by 83% to INR231 crores. PAT and EPS increased by 65% to INR224 crores and INR16.42 per share, respectively.

Apart from financials, there are 5 key points, which I would like to draw your attention to. The first is the treasury, which is at INR2,387 crores as on 30th September 2024. It has improved more than anticipated and is generating good returns. In fact, in Q2 FY '25, a large portion of total earnings was from treasury segment.

Our order book, secondly, is at INR1,700 crores, which is in the range of INR1,500 crores to INR2,000 crores and that is the range where we want to maintain our order book at. The fluctuation in the order book is primarily on account of timing mismatch rather than anything else. The order book remains good as demand environment is conducive for manufacturing industry and oil and gas sector.

Thirdly, the ICDs and corporate guarantees, on which we had made commitments to shareholders 2 to 3 years ago. We are pleased to confirm that there are no ICDs to unrelated entities or any corporate guarantees outstanding. And this issue, which used to be a cause of concern earlier, has since been fully and completely resolved.

In the second quarter of this financial year, we have distributed dividend, which was 4x of what was distributed in FY '22. While a specific dividend distribution plan has not been announced, we remain mindful to the points raised by shareholders. At the same time, we would like the shareholders to know that dividend payout has been increasing in the past 2 financial years.

Finally, I wish to reiterate that capital goods and infrastructure in general and oil and gas specifically continue to witness strong demand for medium term. This directly impacts the seamless pipes market. Demand for seamless pipes remains buoyant, driven by capital expenditure.

spending in oil and gas sector, as we have seen our order book being replenished and maintained at good level.

I would now request Vikash to kindly open for questions.

Vikash Singh: Yes. Operator?

Moderator: Yes. Thank you very much, sir. We will now begin the question -and- answer session. The first question is from the line of Rishabh from Sacheti Family Office .

Rishabh : On your EBITDA per ton front, I think the guidance has been around INR15,000. And it's kind of -- it varies a lot quarter -by-quarter. So I just wanted to understand what are the factors which contribute to the substantial fluctuation in EBITDA per ton? And also what is our pass on system of like any change in raw material or other operating costs? How is it passed on to the customer?

Kaushal Bengani: On the fluctuation in EBITDA, it was more pronounced in the first quarter than it was in any of the other quarters in the past couple of years. The reason for the fluctuation in the first quarter, I have already elaborated in my earlier call. I'll urge you to go through the transcript of the call, which was conducted for Q1 FY '25.

The guidance which we've given of INR15,000 per ton has been on a blended basis. Considering the position that we are in and based on the existing order book, our EBITDA per ton for H1 was at INR14,159 per ton, which is in line with the guidance which was given. The sharp increase in EBITDA in the second quarter versus that of the first quarter was anticipated and was also communicated in the call for the first quarter, and we are seeing the reversal taking place in the second quarter.

Rishabh : Sure. So I wanted to understand how is the change in raw material prices and other operating costs passed on? Like what is the system, if you can just elaborate on that?

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Kaushal Bengani: When we receive an order, we book inventory against that order. The reason we do that is because we want to ensure our margins are locked, and we are not impacted by fluctuating raw material prices. That is the policy that we have followed for many years, and it's a policy which we maintain, which is why we hold the level of inventory that we do because we want to earmark our order book with raw material .

Rishabh : All right. Wonderful. My next question is how much percentage of the Indian consumption or demand of the seamless pipes is actually fulfilled by the Indian production, right? Like how much percentage is imported and how much percentage is manufactured in India?

Kaushal Bengani: Majority of the consumption in the Indian economy is fulfilled by Indian manufacturers. There is a small portion which is imported from China, and that has a negative impact on the rest of the industry.

Rishabh : Okay. So I can say around 80%, 90% is manufactured in India?

Kaushal Bengani: I don't have the exact number, but it should be in that range.

Rishabh : All right. Also, I've been reading your con -call. You mentioned about that the antidumping duty is an absolute price so that the market rates adjust to the ADD, hence, the dumping continues. Sir, what is the current antidumping duty per ton? And what is the industry's response to this absolute ADD? Like have you asked about a relative ADD or a percentage -based ADD?

Kaushal Bengani: We did. But the ADD, which was implemented was by way of a minimum import price. That remains, and we've not been able to get that changed, and I don't think that will change. The impact of a minimum import price , when the market price is generally in the range of the minimum import price , is minimal.

Rishabh : Okay. Also, sir, what is your manufacturing cost differential between our product or the India

n manufactured product and the ones manufactured in China, right? Let's say, the Indian one costs INR100 . How much does the Maharashtra Seamless Limited
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Chinese one cost? Like I want to understand what is the differential advantage that they have? And what do you think that can...

Kaushal Bengani: They do have a differential advantage here in terms of production costs, they are subsidized through some shape or form, which is either not clear or it is not the appropriate forum to discuss. But they definitely get some form of benefit, which causes the dumping into India.

Rishabh : All right. Also, on the export front, right, I have been reading that you people have been trying to get to the export market and -- but have not been very successful there. So where are we lagging on in exports? Like is it on ly on the price front or is there something on the product variety or quality front as well? And there also, let's say, we are exporting to Middle East. So what is the difference in the landing price of maybe a n Indian product versus the Chinese product? W hat is the differential there? Just some ballpark number.

Kaushal Bengani: It is not that we do not want to export. The prices in the export market are such that we run 2 risks . Number one, the general risk when any Indian manufacturer decides to export . Number two, if the prices in the export markets are lower than the prices in the Indian market, then we run a risk of antidumping duties being implemented on us by the export ed country. Therefore, we have to be mindful at what prices we can export. On the Middle East front, we don't export significantly to the Middle East, and that is not an area where we want to focus or grow.

Rishabh : No, let's say -- Middle East was just an example. Let's say you export to US or in North America. So there, what is the di fference in the landing price of ours versus the Chinese product ? That I wanted to understand?

Kaushal Bengani: Chinese products are not sold in the US.

Rishabh : Okay. So no other country exports there?

Kaushal Bengani: Lots of other countries export to the US, but there are antidumping duties on China by the US and Canada.

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Rishabh : All right. Got it. Just the last question , then I will just come in the queue. How much time -- in how much time do we expect to execute our order book? And how is our order b ook and the run rate business different?

Kaushal Bengani: Order book is generally in the range of 3 to 4 months. There is a reason why we keep an order book of 3 to 4 months. It is because we earmark the order book with inventory. The longer the order book that we keep, the more money we'll have to put into inventory. In our assessment of the business, 3 to 4 months order book is sustainable considering all factors.

Moderator: The nex t question is from the line of Nishant from Money Dee Investment Advis ors.

Nishant : First of all, congratulations on the set of numbers for this quarter. I just wanted to understand one thing. So the seamless pipe utilization has seen a recovery in Q2, with utilization levels touching 78% from, say, around 70%, but the ERW P ipes utilization level has declined. So what is the reason for that? Even the EBITDA per ton has also significantly gone down this quarter. So what is the reason for this dip?

Kaushal Bengani: Firstly, the ERW segment contributes only 7% to 8% of total annual EBITDA of Maharashtra Seamless. So any major impact on the ERW segment will have a minimal impact on Maharashtra Seamless.

Secondly, the ERW segment which is reported to shareholders is actually a combination of two different products in the ERW category. The first product is for the oil and gas sector. The second product is for

the water

sector. A mix of these two products leads to overall revenue and EBITDA that is disclosed. In the second quarter, there was a higher proportion of ERW pi pes for the water sector, which led to the level of production ,

dispatch and EBITDA.

Nishant : All right. And just one more question. So , I just wanted to understand what is the current status of the debottlenecking of the Telangana plant? I

believe that you are on line to commission this by the first half of FY '26.

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So, if you can just tell us what is the current capex that you've done out of the INR852 crores that you have planned? And what is the current status of your debottlenecking?

Kaushal Bengani: The amount expensed is not much as of now, but orders have been placed, work is going on at the site and as and when the relevant milestones are reached, payments will be made, but purchase orders have been issued and work is going on. We expect to commission it by December 2025. That is the date which I've given earlier as well.

Moderator: The next question is from the line of Jay from IK Capital. Please go ahead, sir.

Jay: As we have noticed that currently oil and gas sector is developing very much in speed and our products have been generally more over used over there. So do we have any capex plans to meet requirements out of there?

Because like currently we're debottlenecking, and after that, we should need some more plants. So any idea on like further capex or...

Kaushal Bengani: I would urge you to refer Slide 14 of the presentation. It details everything that you require.

Moderator: The next question is from the line of Mohammed from Pearl Capital . Please go ahead, sir.

Mohammed: Congratulations on the excellent Q2 results. Now with the strong order book as of October 20, which is like INR250 crores more than last year, can we expect a year -on-year increase in Q3 top line growth? And additionally, could you please provide insight i nto the projected margins for Q3? Should we anticipate this to remain above 20%?

Kaushal Bengani: On the top line, I will not be able to give you a figure. But in terms of dispatches, I think we should be able to dispatch around 100,000 to 110,000 mt of seamless pipes. And since our order book remains good, it's a good product mix. I think the guidance of INR15,000 per ton should continue for the next quarter.

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Mohammed: Now with the amount of cash available in investments, do you have any plan to buy back shares in the near future, or this money will be in investments, the amount that we have?

Kaushal Bengani: No. There is no plan as of now.

Mohammed: So the amount INR2,000 crores that you have in the treasury, this will be remaining in treasury for a long time or do you have any plan for them?

Kaushal Bengani: We have announced a capital expenditure plan. It is detailed on Slide 14 of our presentation.

Moderator: The next question is from the line of Muskan from B &K Group.

Muskan : So other income has increased sharply in 2Q, can we know what's the reason for this and what's the breakup for this other income?

Kaushal Bengani: Other income is on account of the treasury that we have. Treasury is at INR2,387 crores and most of the other income is derived from it . This treasury comprises bonds, mutual funds, fixed deposits, corporate deposits.

Muskan : Okay. All right, sir. And sir, in ERW, so there was a sharp correction in HRC prices. So is there -- did we book any inventory loss or is it only because of the adverse mix?

Kaushal Bengani: There was some markdown of inventory in the ERW segment as prices of HR coils have fallen during the second quarter. In addition to that, the impact of product m

ix was also felt as more pipes were dispatched for the water sector.

Muskan : Okay, sir. Sir, now our working capital has gone up from 121 days to 122 days. Sir, what is the reason for this?

Kaushal Bengani: Working capital has gone up because the debtors have gone up. We have had a discussion internally, and we are taking additional steps to reduce
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the debtors. We've reduced inventory, but we've not been able to reduce debtors in the previous quarter. We are working to get that done.

Muskan : Okay. So, the payable days that has gone up, are we continuing to maintain it in the future as well? The payable days has gone from 20 days to 37 days. So are we like planning to maintain in the future as well?

Kaushal Bengani: We want to improve working capital. We'll do whatever it takes, but it is difficult to specifically point out whether it will be done on inventory or on creditors or on debtors. But overall, working capital cycle reduction is something which we have discussed, and we are working on it.

Muskan : Okay, sir. And also, sir, last question. When are we expecting a ERW order book to -- for its revival?

Kaushal Bengani: It will happen in the current quarter, which is the third quarter. But you must bear in mind that the focus on ERW should be restricted to 7% of your total focus on the company because the ERW segment only contributes 7% to total earnings of the company.

Moderator: The next question is from the line of Kavish Jain from Verdure Growth Partners, LLP. Please go ahead.

Kavish Jain : Yes. So, in the previous earnings calls, you mentioned that Maharashtra Seamless is shifting focus towards value-added products to maintain the sustainable margins. So what specific actions or development has the company undertaken in the previous quarters or recently to implement this value-added product focus?

And the key thing is and given the fact that these seamless pipes are primarily transportation pipes. So, what is the incentive we give our customers so that they will pay us a premium? I mean, how does the Maharashtra Seamless differentiate its product offerings to justify the higher prices?

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Kaushal Bengani: We have developed three new products in the past 4 years: cylinder pipes, sour service subsea seamless pipes and drill pipes. These are the value-addition products where we want to focus, and these are now manufactured in India because we have developed them. Earlier, these products used to be imported. For sour service subsea seamless pipes and cylinder pipes, we are the only manufacturer in India.

Kavish Jain : Okay. And my next question would be, are there any specific territories or markets we are targeting to enhance our revenue growth?

Kaushal Bengani: I'll just touch upon the earlier point you made, seamless pipes are not used for transportation primarily. They are used mainly for drilling activity and it is a pipe which is utilized in a high pressure, high temperature environment and that is where the tensile strength of the pipe is important. For this type of application, a seamless pipe is suitable.

Kavish Jain : Okay. I just have one more question. So according to the reports, like the potential opportunity for seamless pipe industry is around INR1 lakh crores in India. So my question would be how much percentage of it can be won by Indian manufacturer like us, like what is our addressable total market?

Kaushal Bengani: In terms of tonnage, the total market in India is around 9 lakh ton.

Kavish Jain : Okay. And in terms of dollar numbers or INR numbers?

Kaushal Bengani: It is difficult to say because prices of seamless pipes are different for each type of product.

Kavish Jain

n : Okay. Can you explain that thing in more detail?

Kaushal Bengani: No.

Kavish Jain : Okay. Okay. No problem. And what is the time line of bidding of our orders?

Kaushal Bengani: What do you mean?
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Kavish Jain : Like in what time we complete our orders like in 6 months, 5 months, a year or what is the time line to complete our orders like that?

Kaushal Bengani: We have an order book of 3 to 4 months, and that is what we want to maintain.

Moderator: The next question is from the line of Miraj from Arihant Capital. Please go ahead, sir.

Miraj : Congratulations on a decent set of numbers. Just a couple of questions. One of them you already answered. So if I just move to Slide number 18, where you have mentioned that your 500 new onshore and offshore wells are drilled and conservatively, we expect 200 tons per well, which I expect -- which means that roughly 1 lakh tons of new pipes are required every year.

My first understanding -- what I wanted to understand over here is that what is the life of a seamless pipe? I mean the replaceable term, is it like 7, 8 years or beyond that?

Kaushal Bengani: There is no replacement demand in the case of seamless pipe because these pipes are extremely durable. And even in high-pressure, high temperature environment, these pipes continue for 20, 25 years without any requirement of replacement till that period is over. That is the reason why seamless pipes are required for such applications.

Further, in the case of well drilling, the seamless pipes, which are used, they are not retracted from the wells or used for any other application because once the well is exhausted, the well is sealed off and it is not economical to retract all of those pipes from the well.

Miraj : Understood. So, sir, roughly -- so from the information given, let's say, if I use a 500 new onshore and offshore wells every year, 1 lakh tons from - - fresh demand from this only. The remain -- and this is purely India because mainly ONGC and Oil India, roughly -- even if I look at ONGC numbers, it is pretty much close to that. Where is the remainder demand
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coming from? Because I believe the market that you explained, 9 lakh tons in India and...

Kaushal Bengani: So, the main drilling companies in India are ONGC and Oil India in the upstream segment. Then on the downstream segment for transportation, you have IOCL, BPCL, HPCL. Then you have the gas companies: GAIL Gas, Indraprastha Gas, Mahanagar gas. Then you have cylinder manufacturers who require cylinder pipes, like Everest Kanto and a few other cylinder manufacturers.

Then you have the power and boiler sector where requirement for seamless pipes is there because of the durability of these pipes. Our customers would be Thermax, Thyssenkrupp, Cheema Boilers. Actually to give you a summary of whatever I said earlier, of the total dispatches that we make, 70% is in the oil and gas sector, 15% is in the power and boiler sector and 15% is towards general engineering.

Miraj : General engineering, okay. Understood. Yes. And sir, as you just highlighted that in the past 4 years, you've added 3 different types of products, which is drill, subsea and cylinder pipes. If I just look at Q1 and Q2 presentations, we've done some deliveries in drill pipes and cylinder pipes.

Q1 had INR150 crores worth of order book for drill and INR200 crores worth for cylinder. I just wanted to understand the demand, how it is driven over here? And are we seeing some more orders of drill and cylinder pipes in the bid book?

Kaushal Bengani: Yes. For both drill pipes and cylinder pipes, there are more orders, which

are in the process of being finalised.

Miraj : Understood. Okay.

Because right now, we have 63 and 78. So more are coming through the bid book, right?

Kaushal Bengani: Yes.

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Miraj : Understood. Perfect. And sir, lastly, if you could highlight what the bid book figure is?

Kaushal Bengani: INR1,700 crores. It's there in the presentation.

Miraj : So that is the order book, existing order book...

Kaushal Bengani: Sorry, we are not disclosing the bid book. But order book we are disclosing, which is there in the presentation.

Miraj : Understood. And sir, do we have any...

Kaushal Bengani: Sorry, I'm interrupting. Just to give you a sense, if you map out the order book for the previous few quarters, and generally, you will get an idea of where the bid book will be because then you'll have data points to figure it out.

Miraj : Okay. Understood. I'll do that. And sir, just one last thing. If I were to look at utilizations on a current 5,50,000 ton capacity, what is the highest that we can do in a year?

Kaushal Bengani: In the entire pipe sector, the impact of production mix on the capacity utilization is significant. What I mean by that is if you have a production period in which small diameter sizes are being manufactured and you compare this production period to an identical production period in which large diameter sizes are being manufactured, then the tonnage that you will end up in, in the case of the small diameter production period would be significantly lower than the tonnage that you end up in the case of the large diameter production period giving an impression that when you make smaller sizes, you are inefficient and capacity utilization is lower, and when you make large sizes, you are extremely efficient and capacity utilization is higher.

But that is not the reality because the mill was producing continuously.

And unfortunately, that is the way the tonnage figure is reported in the Maharashtra Seamless Limited

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entire pipe sector. Generally speaking, we will remain in the range of 65% to 80% even if you account for this factor in terms of capacity utilization.

Miraj : Okay. So if I look at -- just purely for understanding purposes, I'm a bit --

I don't have enough understanding in this part. When I look at drill pipes and cylinder pipes, are these generally of large diameter or small diameter, how should one understand this?

Kaushal Bengani: They are of different sizes.

Miraj : Okay. It's mix. There's no...

Kaushal Bengani: Lower diameter for drill pipe because it's use for drilling activities, it is lower than 6 inches and cylinder pipes can be of any size depending on the size of the cylinder manufactured.

Miraj : Understood. Okay. And justone of the earlier questions, you mentioned for Q3,that's right, correct?

Kaushal Bengani: I cannot hear you.

Miraj : To answer one of the previous questions, for Q3, you mentioned that we are expecting deliveries of 1 lakh to 1,10,000 tons and EBITDA of INR15,000 per ton. I heard that right, correct?

Kaushal Bengani: Yes.

Moderator: The next question is from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Yes. Just want to, again, get your thoughts regarding the volume growth for current year. Given your positive commentary, you expect to be a flat volume for the year? And what do you expect for the next year?

Kaushal Bengani: For FY '25, volume will be flat. It should be around INR4 lakh tons to 4,10,000 tons. For FY '26, it will be slightly higher as after December '25,

the finishing line in Telangana will become active and we'll be able to utilize the capacity, which we are not able to utilize right now.
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Dhaval Shah: So it's additional 1 lakh, right? Addition...
Kaushal Bengani: One lakh tons per annum is the capacity which we are not able to utilize right now because we don't have commensurate finishing facility.
Dhaval Shah: Correct. So that will be useful for 1 quarter in '26 for you?
Kaushal Bengani: Yes.
Dhaval Shah: Okay. And anything on the quantum of dumping being done by the Chinese and other countries? Anything on that, the quantum remains the same? What steps are we taking as an industry? Overall, the growth looks very bright for the industry, based on your commentary. So what as an industry, any additional steps we take from what we discussed in the last meeting we had?
Kaushal Bengani: We are working on it. We cannot disclose what we are doing right now. I'm sure you must appreciate the confidentiality that is required in such matters. The only comfort that I can give you is that we are working on it because it impacts us the most since we are the market leader.
Dhaval Shah: Yes. And also there was some BIS norm, which is on the raw material and not on the seamless pipe, right? That's the nature for our industry. Am I understanding correct?
Kaushal Bengani: It's only on...
Dhaval Shah: Raw material.
Kaushal Bengani: Raw material, and too on specific types of raw material. Not on everything.
Moderator: The next question is from the line of Simran from Almondz Financial Services. Please go ahead.
Simran : Sir, I have just one question. Can you guide for the rest of the '25 half year for the next 2 quarters? What will be the margins one can expect in the
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Maharashtra Seamless, some guidance, if you can give? This momentum will maintain of around 80% in the next 2 quarters?
Kaushal Bengani: We have given guidance of around INR15,000 per ton. In the first 6 months, we've done around INR14,100. I think it should remain in that band only.
Simran : Okay. For the next 6 months, yes?
Kaushal Bengani: For the order book that we have, which is for 3 to 4 months.
Moderator: The next question is from the line of Rishabh from Sacheti Family Office. Please go ahead sir.
Rishabh : I understand that you are in the process of doing debottlenecking at Telangana plant. I wanted to ask what are the expected debottlenecking or preventive maintenance shutdown that we can expect in the next 12 months, right? Because you must be having some idea on maybe when it can happen and how much time will it take for that? Any idea on that front?
Kaushal Bengani: For the debottlenecking?
Rishabh : Debottlenecking and the preventive maintenance shutdown, right? Anything which can -- anything new which can happen in the next 12 months that you are aware of and you can tell us?
Kaushal Bengani: It's a good point that you are bringing up. Preventive maintenance shutdowns are taken once in 1 year or 1.5 years for 1 mill. We have 4 mills.
Rishabh : Okay. And once the shutdown starts?
Kaushal Bengani: Sorry?
Rishabh : And once the shutdown starts, how much time does it take for completing it?
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Kaushal Bengani: It takes anywhere between 15 days to 30 days depending on the condition of the mill.

Rishabh : Got it. So that is on the preventive maintenance shutdown. Any debottlenecking opportunity that you see across the mills that you have?

Kaushal Bengani: We have that. That is why we are doing the debottlenecking at Telangana.

Rishabh : No, I mean to say any further debottlenecking that is -- like Telangana one is an ongoing one. I'm asking any expectation that you have, okay, there is a debottlenecking opportunity at some of the plant?

Kaushal Bengani: We've given out the capital expenditure in our present action. That is what we want to do.

Rishabh : All right. Also on the rig business that you have, I understand that you are planning to demerge or sell it post May '25. So what is the kind of expectation that you have in the terms of realization from that sale of business? And how long will this process actually take like once you start it in May '25?

Kaushal Bengani: We don't have an expectation figure right now because that matter has not yet been discussed at Board level. It is something which we want to do, but it is subject to Board approval. When we reach that stage, suitable communication will be given.

Rishabh : Got it. One more question from my end. So I understand that you manufacture seamless pipes up to 20, 22 inch. Can you throw some light on the split of market size, right, between pipes up to 22 inch and those above 22 inches both in India and outside India? Like how much percent of the market is up to 22 inch and how much percentage is above that?

Kaushal Bengani: We manufacture seamless price from half inch to 20 inch. 20 -inch is the highest diameter of seamless pipes, which is manufactured in India.

Rishabh : Okay. And above that is only in the export market?

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Kaushal Bengani: Globally, I don't think seamless pipes are manufactured beyond 22 inch. And that is the size range, wherein the application of SAW pipes is appropriate. Because after a certain size range, the cost of manufacturing seamless pipes is much higher than the benefits that accrue from it. And therein, they use SAW pipe for transportation at higher diameters.

Rishabh : On the ERW business front, like what is the -- I understand that you are not very much focused on that, but just wanted to know, ballpark number, like what is the kind of ROCE or ROE that you have for the ERW business versus the seamless business? Like...

Kaushal Bengani: It will be poorer than what we achieve in the seamless business because the seamless business is the most profitable business that we have.

Rishabh : Any numbers on that, like how much poorer?

Kaushal Bengani: We're not giving that out. And I'm not sure why that is relevant because it contributes only 7% of total earnings. Even if earnings doubled and even then, significant impact will not be seen because the earnings for the seamless sector would also improve in that case.

Moderator: The next question is from the line of Hemant from Flick Financial

Hemant : My question was regarding the Slide 14. It is with the capex. Do you have some time lines other than like FY '24, FY '26?

Kaushal Bengani: Mr. Hemant, you're not clear. Can you please repeat? Maybe you can e-mail your question to us offline.

Hemant : Okay.

Moderator: The next question is from the line of Mohammed from Pearl Capital.

Mohammed : It's okay. My question is answered already.

Moderator: The next question is from the line of Saket from Kapoor Company.

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Saket Kapoor: Sir, we have outlined a total capex of INR852 crores and we have given the time line from FY '24 to '26, wherein we have discussed about Narketpally getting commissioned by December '25. What steps are in the anvil for the other 2 major capex at Mangaon, that is cold -drawn pipeline and the large st of all, the hot mill upgrade of INR350 crores at Nagothane. What steps are we taking to implement those within the time line set? I think we have some time overrun for Narketpally because of, I think so unavoidable circumstances or may be the reason. So if you could just give us our preparation for implementing the other expansions on time?

Kaushal Bengani: For cold -drawn pipe, the relevant equipment has been ordered. And we have segregated land, shed and water supply

for it. Those 3 processes are complete. The only requirement right now is the installation of equipment for which orders have been placed.

For the solar plant, which we want to put up in Telangana, we have written to the government of Telangana more than 8 months ago. And we were anticipating that due to a government change, we would get permission for open access, but we've still not received that permission and that permission is not given out by the government to anyone. We are trying our best to see if we can do that.

Once that open access permission is there, then we immediately want to put up a solar power plant. Finally, on the hot mill upgrade, we don't want to do that right now. Once the Telangana finishing line is completed, then we'll do it.

Saket Kapoor: Okay. And the time line for the same is 1 year, say, suppose we commissioned our Narketpally unit by December '25. So by the FY '26 end, we will be able -- or when will we start working on this INR350 crores capex? After seeing the progress for Narketpally only, we will be able to do it, that is what you are trying to...

Kaushal Bengani: Yes, yes. And we'll only be able to tell you once the Telangana finishing line is completed.

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Saket Kapoor: Okay. Kaushalji, earlier you have mentioned about that Chinese players are active in some of the products where the ADD is not there because earlier those products were not manufactured in the country. So -- and we were the only manufacturer. So that has affected our product profile. So are those imports from the Chinese player still unabated and we are facing troubles there now also or what is the update?

Kaushal Bengani: We are facing trouble. The entire industry is facing that.

Saket Kapoor: Okay. And we have gone for return to our productive duty or what steps have been -- I think you have mentioned there that we are preparing whatever can be done through research.

Kaushal Bengani: The entire industry is working jointly because it impacts everyone.

Saket Kapoor: Okay. Two small points. One about the premium thread part. I think so earlier also, it was discussed and I think we had some arrangement with Tena ris earlier for the premium segment. So what are our updates? Are we developing those products or when can we include that product profile in our basket going ahead?

Kaushal Bengani: See, we want to do it as early as possible. We are working on it. We have been working on it for more than 1.5 years now. And I think it will take another 6 months. We should be able to conclude in the next 6 months. And once the agreement is finalized, only then we'll be able to add the product to our manufacturing capability.

Once that happens, we'll let you know. It is something which we really want to do. We are aware that one of our competitors has done it quickly and successfully and they are reaping rewards for it. We also want to do it, and it is in our...

Saket Kapoor: Realm of things, yes, sir.

Kaushal Bengani: Checklist to complete at the earliest.

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Saket Kapoor: Okay. And what should be the market size? When once done, what would be the target market, which will be available to us in that product profile?

Kaushal Bengani: I don't know for the domestic sector. But what I do know is that it is a huge market from the export front because only a few players have this capability. Therefore, export market is huge for this.

Saket Kapoor: Okay. And sir, as we have seen that oil prices averages are trending lower for the last 8 to 9 months, so \$80 looks cap as of now. Even with geopolitical tension, crude has been hovering lower now of sub-\$70. So how is that according to you impacting the seamless pipes

' prices

realizations going there. I think the demand outlook you have mentioned already very well that there is ample demand from the 2 majors, ONGC and Oil India, but how would that -- any way, the sub-lower prices for oil going to affect the realization and thereby the margins for seamless pipe companies like us?

Kaushal Bengani: The fall in prices will not impact us at least for the next few months because the customers that we sell our pipes to largely consume them within India. The order book that we have, the margin for those order books are primarily locked in. If the price crash is substantial or price increase is substantial, then there will be a general impact in the industry. But if crude remains between \$60 to \$70, \$80 range, then I don't think there is a problem on margins in the longer term. Because the reason why I say that is because drilling activities in India will continue. And as long as drilling activities continue, then there will be a requirement for seamless pipes for drilling purposes.

Saket Kapoor: Right. And this is also related to the subsea pipes also or what effects subsea pipes demand the products which you are mentioning? And what holds -- the future holds for us in terms of the opportunity?

Kaushal Bengani: Subsea pipes and drill pipes are used in the oil and gas sector, and their demand will also continue as long as drilling activity is continued. For
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cylinder pipes, it is more in a different sector, that is not linked to oil and gas.

Saket Kapoor: Okay. That's perfect. And lastly, the other income, you mentioned that INR90 crores is on account of the treasury book that we are maintaining of closer to INR2,400 crores. So this number, can we look on a repetitive basis also going ahead for getting any vagaries in the market or any deployment. Since we are not contemplating any big capex for the H2 also, this number should be -- this especially mean this number going ahead also because this is going to be a constant investment.

Kaushal Bengani: I think you should take a lower figure because some of the other income is on account of unrealized gains, which is a function of market. In first quarter, we did INR60 crores. In the second quarter, we did INR 90 crores. I think if you are modeling, maybe you should consider INR75 crores going forward per quarter. And if market is significantly adverse, then it will be a lower figure; otherwise, INR75 crores.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Vikash Singh for closing comments.

Vikash Singh: On behalf of PhillipCapital, I would like to thank Maharashtra Seamless management for giving us the opportunity to host them. Now, I would like to give the call to Kaushal for his closing remarks. Over to you, Kaushal.

Kaushal Bengani: Thank you, Vikash. Thank you, shareholders, for participating in the earnings call. I'm glad that you took out the opportunity on the festive occasion of Dhanteras. Wishing you a very happy Dhanteras. Thank you, Vikash, and the moderator for enabling this call. Wishing you a happy Dhanteras as well. Thank you.

Moderator: Thank you very much, sir. On behalf of PhillipCapital (India) Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

E-Communication

MSL/SEC/SE/202 4-25 03 February 2025

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Sub.: Transcript of earnings conference call held on 28 January 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 28 January 2025.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q3-FY25-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited
Q3 FY25 Earnings Conference Call
28 January 2025

MANAGEMENT : MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS & FINANCE – MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator : Ladies and gentlemen , welcome to the Maharashtra Seamless Limited Q3 FY '25 Earnings Conference Call, hosted by PhillipCapital (India) Private Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Vikash Singh from PhillipCapital Private Limited . Thank you, and over to you, sir.

Vikash Singh: Good afternoon , everyone. Welcome to the Maharashtra Seamless Q3 FY '25 Results Con-call. From the management side, we have with us Mr. Kaushal Bengani – Deputy General Manager, Investor Relations & Finance. Without taking any time, I will hand over to Kaushal for his opening remarks .

Kaushal Bengani: Good afternoon , and thank you for joining our Earnings Call . During Q3 FY '25 , dispatches of seamless pipes improved meaningfully in addition to improvement in product mix. This was in continuation of the trend seen in Q2 FY '25 and had a direct impact on earnings which revived as was communicated in the previous two earnings calls .

Two key points responsible for our performance are the continuation of reversal in Q3 of the impact of inventory markdown taken in Q1 as more orders have been executed and dispatches have improved in Q3. During the earnings call in July 2024, the reversal in margin in next two quarters was communicated with certainty as also was the fact that financial performance during Q1 was an outlier .

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Secondly, dispatches of seamless pipes improved by 16% on a quarter -on-quarter basis in addition to higher dispatches of value addition orders which improved margin profiles.

I will briefly summarize “Key Financial ” indicators :

On reviewing our Q3 FY '25 performance versus Q2 FY '25, revenue improved by 2 % to Rs. 1,410 crores. EBITDA increased 21% to Rs. 280 crores. However, PAT declined to Rs. 190 crores from Rs. 224 crores and EPS declined to Rs. 14.19 from Rs. 16.73 per share respectively.

Despite massive improvement in operational performance, decline in PAT and EPS is solely attributable to lower returns on our treasury. The impact appears to be more pronounced in Q3 because of outsized returns in Q2.

On comparison of other income in 9 months FY '25 with 9 months FY '24, we have earned Rs. 157 crores against Rs. 97 crores , which is an increase in other income by 60%. Therefore, against an average of 32 crores per quarter in 9 months ending FY '24, we have earned an average of 52 crores per quarter in 9 months ending FY '25 .

Apart from these financial indicators , there are five key points which I would like to draw attention to.

The first is the credit rating. In December 2024, we have been upgraded by ICRA from AA to AA+. This has been the highest credit rating which the company has received in the last 10 years and sends a strong message to all stakeholders about our strengths and expertise.

The second point is regarding our treasury, which is at Rs. 2,417 crores as on 31st December 2024. It is being judiciously managed with engagement and input at highest levels.

Thirdly, our order book remains in the range of 1,500 to 2,000 crores and is at 1,674 crores as on 20th January 2025. The fluctuation within the band

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of 1,500 to 2,000 crores is primarily on account of timing mismatch rather than anything else. The order book remains good as demand environment

is conducive for manufacturing industry and oil and gas sector

r. There is no slow down.

In line with the commitment made to shareholders 3 years ago, there are no ICDs to unrelated entities or corporate guarantees outstanding. We have come a long way from the time when this used to be the main cause of concern and that has now been fully and completely resolved.

Finally, I wish to reiterate that capital goods and infrastructure in general, and oil and gas specifically, continue to witness strong demand for medium term. This directly impacts the seamless pipes market. Demand for seamless pipes remains buoyant, driven by capital expenditure and spending in oil and gas sector. As we have seen, our order book is being replenished and maintained at good levels.

I would now request Vikash to kindly open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: My question is regarding the volume guidance for FY for the current year and '26. Can you please share what is the outlook and what guidance would you like to give on the volume front?

Kaushal Bengani: On the seamless front, we have dispatched 3,24,000 tons in the 9 months ending December '24. The guidance that we can give right now is that we will reach close to 4,30,000 to 4,35,000 tons for the entire year for the seamless segment.

Moderator: The current participant has disconnected. May we continue with the next participant?

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Kaushal Bengani: Yes, please.

Moderator: The next question is from the line of Shubham Kadhi from 3A Financial Services. Please go ahead.

Shubham Kadhi: So, I had a question regarding the impairment of investments in the subsidiaries. So, it was to the extent of 800 crores. So, right now our capital employed in the big business is around 650 crores. So, do we plan to distribute the proceeds or sale to shareholders or what?

Kaushal Bengani: This is an old point. You can refer to our earlier earnings calls for further clarity. We have spoken about this at length. But it's not relevant right now.

Shubham Kadhi: And any revenue guidance that you can give for FY '26?

Kaushal Bengani: In FY '26, we are expecting the finishing line facility that we are installing at Telangana to be commissioned. Once that happens, then we can see growth in revenue. But that is only after December 2025.

Shubham Kadhi: Is it possible to quantify any number right now?

Kaushal Bengani: Our tonnage and revenue in current financial year as is disclosed can be used as benchmark for what we can do in the next financial year.

Moderator: Thank you very much. Next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: So, what is the, you mentioned about the guidance for the ERW for the current year. So, in ERW, we have done around 64,000 tons.

Kaushal Bengani: For seamless, I said 4,30,000 to 4,35,000 tons can be done. And it is a conservative guidance we want to give for the year. For ERW, I think we will end up close to 90,000 tons.

Dhaval Shah: 90,000, okay. And how does the ramp up happen once the 1 lakh ton factory, facility starts in December '25?

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Kaushal Bengani: The ramp up will start from January '26, because once it is commissioned in December '25, then we will immediately be able to utilize the inactive production capacity that we have right now.

Dhaval Shah: Yes, so as for the utilization of out of 1 lakh ton, so in '26, if the orders are at hand, how much can we utilize out of 1 lakh ton, additional 1 lakh ton?

Kaushal Bengani: I think, reasonably speaking, since it will be immediately after commissioning, you can model 15,000 tons for the quarter of December

er ,

oh, sorry, of March '26.

Dhaval Shah: Okay, March 26 . 15,000 for the one quarter. Okay.

Kaushal Bengani: 15

Dhaval Shah: Yes, Q4 '26, yes. And for the entire year, can the ramp -up happen? How would the ramp -up be , like then would be around 50,000 60,000 ?

Kaushal Bengani: I have already told you , 15,000 per quarter.

Dhaval Shah: So, that should be the run rate you are saying for the first year of operation.

Kaushal Bengani: As of now, yes, but we will update you closer to December 25.

Dhaval Shah: And the margins will be better in the new facility?

Kaushal Bengani: If production will increase, then generally operational margin will improve, but then it is also a function of what the raw material prices and what the sales realization are . So, if everything remains constant, and only production increases, then yes, margin improves.

Dhaval Shah: And last question. Now, we have been hearing about the U .S. we want to increase the production. So, what would be the indicators and the parameters we should be seeing out where the actual activity happens and we start getting orders?

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Kaushal Bengani: If there is more drilling activity in U .S. and Canada, then it will benefit all oil and gas sector players. The indicator that you can track , because apart from that indicator , I don't think there is another definitive indicator available. There is a website called aogr.com , American Oil & Gas Reporter . On that website, you are able to track weekly rig counts. That is a good indicator to assess what is happening on the drilling front in the oil and gas sector.

Dhaval Shah: And just one more on this Treasury front, so 2 ,400 crore was as of January.

And now, so are we shifting money from equity to debt funds? Have we done anything of that sort given the sharp correction what we have seen in the markets?

Kaushal Bengani: We have a strategy in place and we are working according to that strategy which we do n't want to disclose in public. The intent is very clear that we want to make money for shareholders and for the company , and there is a team in place which is looking at this. It's a dedicated team , and as I said earlier during the opening statement, instead of Rs. 32 crore per quarter , which was the performance in the comparable period of last financial year , we have done Rs. 52 crore per quarter.

Dhaval Shah: So, yes, I just wanted to understand, what is the sharp swing ? Yes, so that 90 crore has come to 1 crore. So, what is the sharp swing in this other ?

Kaushal Bengani: No, the 32 crores has also gone up to 52 crores. If you add up the other income in FY '24, 9 months FY '24, then you will get a figure of 97 crores for 9 months. which is 32 crores per quarter. And if you add up the other income for 9 months in FY '25, then you will get 157 crores , which is Rs . 52 crore per quarter.

Dhaval Shah: Yes, yes, yes.

Kaushal Bengani: Therefore, instead of doing a quarter -on-quarter comparison, I think if you do a longer period comparison, you will come to the realization that we

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have done better than what we have done last year on this . It is only that in one quarter we have done exceptionally well and in the next quarter we have not done well. Hence, the comparison is not appropriate because it's a sharp dip.

Dhaval Shah: So, this 90 crore would mean your incremental increase in your NAV, investments NAV, is it that 90 crore it means that, so how do you arrive at the 90 crore and this 1.86 crore ?

Kaushal Bengani: Fair valuation of the investments which have been undertaken.

Dhaval Shah: So, your investment fair valuation compared to the September quarter, December quarter, there is an increase of 1.86 crore is what it means.

Kaushal Bengani

ni: Mostly yes.

Moderator: Thank you very much. Next question is from the line of Mohammed

Farooq Umar from Paul Capital. Please go ahead.

Mohammed Farooq Umar: With the India's seamless pipe demand currently at 900,000 tons annually and the Maharashtra Seamless holding over 50% market share, where do we see the annual demand growing over the next three years and at what CAGR? Additionally, we believe the government has implemented sufficient mechanisms to protect domestic seamless pipe manufacturers from anti-dumping practices by Chinese players, especially in the light of U.S. imposing tariffs on Chinese products.

Kaushal Bengani: On the market size of 900,000 tons per annum, we expect the market to grow by 4% I think per year. And that is the average rate of growth because what happens is during periods of good orders, a lot of capacity comes in to play because orders are received and then generally there is a dip because it's a cyclical industry.

So, year-on-year the market doesn't definitely grow, and average rate of growth would be around 4% for the industry. This has been driven by the Maharashtra Seamless Limited

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improvement of capital expenditure in the oil and gas sector and we expect this rate of growth to be sustainable. We are also activating the production capacity which is inactive right now based on this assessment and one of our peers has also announced expansion in the capacity.

On the issue of domestic industry being protected from Chinese dumping, the level of protection that should be there is currently not in place, and we are petitioning the government to assist in protecting domestic industry from restrictive trade practices which are being engaged in.

That has also had a negative impact on margins, whilst Rs. 20,000 per ton would appear to be good margins, but that's not the full potential of the industry. Once suitable measures are in place, then we can expect to see even higher margins, but that will only happen once these measures are in place.

Mohammed Farooq Umar: So, second question is, with the cash reserve approximately 2,400 crores and only 800 crores allocated for CAPEX, what are the plans for the remaining 1,600 crores? Specifically, are there any considerations to reward the shareholders through initiatives such as share buy back or higher dividends? Additionally, despite the company's strong profitability and cash generation, the stock continues to trade relatively at a low P/E. What steps are being considered to address this valuation gap and enhance the shareholder value?

Kaushal Bengani: On the point of utilization of the treasury, the first response would be dividend. We have quadrupled the amount of dividends that we paid in FY '22 to FY '24. In that three-year period, we have quadrupled the amount of dividend that we paid.

Secondly, we have announced a capital expenditure plan of 852 crores which we have commenced.

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And thirdly, the plant and machinery that we are using, we want to ensure that in future if we have to buy new plant and machinery or if we find an inorganic growth opportunity, then we have sufficient cash to address this requirement. That is why we are conserving cash.

Regarding the fluctuations in the equity market, I think we have done a lot in the past 2.5 years to enhance shareholder value. In September quarter of 2021, we were at 2,000 crores market cap. Currently we are at 8,000 crores market cap and our market cap had gone up to 14,700 crores approximately. We are working with an intention of enhancing value for all stakeholders, and we have done good things within the company so that that is achieved. We continue to walk that journey.

Moderator: Thank you very much. Next question is from the line

of Rishi Solanki from

Green Curve Securities. Please go ahead.

Rishi Solanki: My question would be, can we see the premium thread segment product becoming a part of our manufacturing capability in the next three months

as we had anticipated, as you had said in the previous con call? And where are we in the agreement with Tenaris? And my second question would be, what about the solar plant approval in Telangana? Where are we with the negotiations with the government because it's been almost a year since you had those discussions with the Government of Telangana?

Kaushal Bengani: On the premium connection, we are not in discussion with Tenaris. We are in discussion with another foreign player. Those discussions are continuing. I cannot talk about it much, but we are in constant touch with them, and we expect to conclude shortly.

Regarding the solar power plant, we have written to the government. We followed up. Unfortunately, we have not received approval. None of the industry players in Telangana have received approval. We continue to follow up.

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Rishi Solanki: Do you have any plans of setting up a solar plant, if not in Telangana, then some other state?

Kaushal Bengani: As of now we have only announced Telangana. We can look at more solar plants in Maharashtra for captive consumption, but it is dependent on a couple of factors which we are working on. Should clarity be received, then we will let you know if an assessment of that project is required.

Moderator: Thank you. Next question is from the line of Gargi from Value Investment. Please go ahead.

Gargi: Sir, my question was that out of the 9 lakh tons of seamless pipe demand, currently how much is being imported in India?

Kaushal Bengani: Anywhere between 10 to 20% is being imported into India. It depends as the figure varies throughout the year.

Gargi: In the previous calls, there was an indication regarding the BIS implementation, et cetera. So, is there any respite from this situation, or do you expect the same going forward?

Kaushal Bengani: Could you repeat your question, please? I couldn't hear you properly.

Gargi: Sir, in the previous call, there were some indications regarding BIS implementation on the pipes, for the pipes that have been imported. So, is there any respite from this situation or any indication that the dumping from Chinese players is expected to reduce in the near future?

Kaushal Bengani: We have not given any indication on the BIS trend on pipes, but we are trying to address the issue of Chinese dumping. That effort continues.

Gargi: So, how much is exports in the order book? And is there a delta between domestic and exports margin in the United States?

Kaushal Bengani: As of now, exports is less than 10% of the total order book, and there is definitely a delta because if there is no delta on the exports front, then the

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risk we are carrying is the risk of anti-dumping duties being imposed upon us on petition by the domestic manufacturers of the country in which we are exporting because then they would petition their government that we are selling our product at lower margins in the export market.

Gargi: And sir, this 10%, if we compare it to historically, two years back, what was this number at two years back?

Kaushal Bengani: Two years back in March 2023, 30% of total dispatches were towards exports. But the fall in exports did not impact our profitability because domestic orders were very good. Domestic demand was very good.

Gargi: Sir, in this quarter, we have seen an improvement in the order book in ERW. So, what is leading to this?

Kaushal Bengani: Oil and gas expenditure.

Gargi: Sir, previously it had reduced because of lower dispatches in widening

the

CGD segment.

Kaushal Bengani: In which quarter?

Gargi: So, last quarter itself, if we compare the order book in the ERW, current quarter versus last quarter, there is a significant increase.

Kaushal Bengani: The fluctuation is on account of lumpiness in order inflow. So, suddenly

we get an order of 40 crores in one week and prior to that receipt if you report the order book, then the order book appears to be lower than it actually is. So, the impact of lumpiness in order inflow remains.

Gargi: Sir, last question is that, is there a lot of oil discovery work being done by private players in the Eastern Coast of India? Is this a correct understanding? And if it is done by the private players, then do we have approval from those players in order to get orders from the same?

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Kaushal Bengani: I am not sure about private players, but definitely from PSUs, there are activities taking place on the Eastern Coast and we expect good demand going forward.

Moderator: Thank you very much. The next question is from the line of Vikas Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi: The presentation is fantastic in terms of disclosure and updates that you put in into that. So, I had two questions, sir, and pardon me if I am repeating a question which has already been asked. So, the first one is that when you have back-to-back arrangements with both your suppliers and customers, why is there so much of a swing in the EBITDA per ton? And my second question would be that in terms of the CAPEX projects that you have outlined, in the previous call, you had mentioned that we want to do the finishing line first. So, my question is like why are the other projects waiting for the finishing line? These are my two questions.

Kaushal Bengani: Thank you for your kind words, firstly. On the point regarding the fluctuation in EBITDA per ton, there was an amalgamation of two or three factors in the first quarter of FY '25 which led to a significant decline in EBITDA per ton in the first quarter.

In the earnings call for the first quarter, I had spelled out that EBITDA per ton has been disproportionately impacted because of the two or three factors which you can read about in the transcript of that earnings call. Those factors are mostly temporary and will reverse in the second and third quarter. That is exactly what has happened.

However, optically, it appears that EBITDA per ton has moved from Rs. 9,000 per ton to Rs. 20,000 per ton, which is a huge fluctuation. But if you consider a blended EBITDA for 9 months period, then the figure is closer to Rs. 16,500. And at the start of the year, I had given a guidance of Rs. 15,000 per ton for FY '25. So, I think that should throw some light on why

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the sharp movement in EBITDA per ton has taken place in this financial year.

But overall on a 9-month basis or in other years on a 6-month basis, you will see that EBITDA per ton is generally at the level where we expect it to stay. Orders are being received. Every day orders are being dispatched. EBITDA per ton also varies quarter-on-quarter depending on the product mix that is being manufactured and dispatched. However, our profitability per order always remains at what we envisage it to be before taking that order. And that is our core strength.

The second point you raised was regarding capital expenditure. The other aspects of capital expenditure will start shortly. However, for the moment, we have only started upon the finishing line at Telangana because similar teams are involved in these types of capital expenditure projects and that team is currently involved with the Telangana unit. Once the Telangana finishing line is activated, very soon after that, we will

start on the cold

drawn pipes facility which we have mentioned in the earnings presentation.

Vikas Kasturi: If I may just ask one more question, sir, it's on the rig. So, I think by the time we speak the next time, I think it would be sometime in May or June, and that rig would, I believe our contract would be over, the three-year contract for the rig. And the return on capital as far as that investment has gone, the rig is I don't think it is subpar as compared to the overall company

average . So, any indications on what you plan to do with the rig, sir? And Yes, that is my question.

Kaushal Bengani: We don't know when the rig will be de-hired. It will either be in May or it will be post monsoon. Once we have clarity on that , then we will be able to tell you specifically what we will do because there is one more Board meeting prior to the earliest date of de-hire which is in May. The answer which you are looking for , I can probably best give you in May.

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Vikas Kasturi: And sir, in terms of corporate governance, you have done a fantastic job in terms of all the activities that you have done over the last two, three years in terms of reducing inter -corporate deposits and in general, sir, even the promoter increasing stake and so on. Sir, except for this rig part where you have given it to another group company , which has then given it to another, I think Oil India or ONGC, I forget which one . So, optically it just doesn't look in line with all your activities that you have done , sir. So, if you could just correct that part of it, it would look fantastic , sir. That is just my humble two cents to you , sir.

Kaushal Bengani: You are right , and I personally agree with you , but once suitable decisions and Board approvals are received, we will send communication on this.

Moderator: Thank you very much. Ladies and gentlemen, we will now take a last question from the line of Saket Kapoor from Kapoor Co. Please go ahead.

Saket Kapoor: Sir, firstly , just to conclude with what you said to the last participant in terms of the future of the rig business from MSL , sir, in principle, we have already articulated to the fact that we would be staying to our core business. So , whatever will be the next course of action , that would be in aligned to what we have communicated earlier. So , that understanding is correct. The Board will meet and all other stuff is definitely a time apart. But in principle, we have been communicated that since it is not the line of business for us, we will stay on course with our core business . So, that understanding is correct, sir?

Kaushal Bengani: That is correct, but I can only confirm once Board approvals are received. But you are right, that has been communicated earlier. It is still the position which I hold right now. But 100% confirmation can only be communicated once Board approvals are received .

Saket Kapoor: Sir as you have informed us like in Telengana the extra output from the finishing line that would come in 1st Quarter of FY26 so till now what is

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the amount have we spent on that line ? What amount of total expenditure has been spent on that line?

Kaushal Bengani: We have issued purchase order for the expenditure of around Rs. 72 crores out of that around Rs. 30 crores we have already spent.

Saket Kapoor: Sir as you have told us that the average of our component other income of this year is higher compare to other quarters so would we be able to maintain the same average of other income going forward because a major portion of our treasury you have invested in mutual funds. What is the nature of these mutual funds in which we have invested Rs. 1500 crores ?

Kaushal Bengani: We have debt and equity mutual funds. We have perpetual bonds, tax -free bonds,

corporate bonds, corporate fixed deposits, and fixed deposits. Our moneys are invested in these treasury instruments. The projection of other income on the basis of per quarter , I would not want to do that because variation happens like in 2nd quarter and 3rd quarter such a big fluctuation happened. But it is something which we are focusing on with a dedicated team.

Saket Kapoor: Last bookkeeping question I was seeing that nature of other expenses line item if you could explain that on what factors it is dependent upon because we have improved our tonnage quarter -on-quarter from Q2 to Q3 but other expenses are lower so if I compare to the last year then the other expenses are looking significantly higher like Rs 180 crores from the last versus Rs. 227 crores this year ?

Kaushal Bengani: Other expenses are mainly administration expenses , selling and distribution expenses or other manufacturing expenses . These are three broad heads and then below this it distributes further.

Saket Kapoor: And on the depreciation front we have seen if we compare with the last 9 months then it is lower than Rs. 10 crores what is the reason behind this ?

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Kaushal Bengani: In June 2023 our depreciation per quarter was approximately Rs. 34 crores. In quarters after that , our depreciation is Rs. 25 crores. This fall in depreciation from June 2023 to September 2023 is because some of the fixed assets of the company became so old according to books of accounts, that they were fully depreciated and no further depreciation could be charged on that.

Saket Kapoor: And lastly, sir, when we have merged the United Seamless in our Company at that time we were receiving some tax incidence advantages of carry forward losses and all so have we got all the benefits of tax outgo of that and if we could share the number of how much the advance tax has paid of the last nine months ?

Kaushal Bengani: That number I cannot share right now immediately but whatever tax benefits we had everything has been utilized by March 2024. After that whatever tax provision we have almost that amount of advance tax has been paid.

Saket Kapoor: So, whatever number of advance tax is showing we can keep that number as a base ?

Kaushal Bengani: Yes, whatever tax benefit is there that has been completely absorbed before March 2024. .

Saket Kapoor: Thank you sir for answering all the question and after next meeting there will be one clear message by the Board of how they want to reward their shareholders whenever they take the decision . Sir on the dividend policy, the budget is due after two days so what tax incidence they announce after that whatever cash you share with the investors, you have definitely increased it and you mentioned it at length but despite that if we bring a specific policy so that the investors can get a sense what portion of the cash you would share and it would not be at ad-hoc basis. Thank you sir for the great presentation and explaining everything in such great detail .

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Moderator: Thank you very much. The next question is from the line of Tiasa from Nayan M Vala Securities . Please go ahead.

Tiasa: Firstly, congratulations for the good set of numbers. So , my question is on the capacity utilization only, like after the expansion of the Telangana plant, are we expecting the seamless capacity utilization to maintain at the above 85% levels as well?

Kaushal Bengani: Yes, whatever will happen in the Telangana facility will be common because it is the same furnace which will be used for the production line. Currently we are only running one shift . Then we will start two shifts.

Tiasa: So, capacity utilization might go above 90% as well.

Kaushal Bengani: It cannot be measured right now. It will stay at the average level that it has maintained for the past three years.

Tiasa: And in ERW segment , we have seen the capacity utilizations to drastically fall to 32% levels. What are we expecting for the upcoming quarters ?

Kaushal Bengani: Capacity utilization is not a simple calculation of numerator divided by denominator into 100 in the pipe segment. The reason why it is not so is because of the nuance of product mix. In a production period if you have manufacturing of large diameter pipes versus another production period where you have manufacturing of small diameter pipes, the tonnages that you end up with is materially different. In the case of large diameter pipe, you will end up with higher tonnage. In the case of low diameter pipe, you will end up with lower tonnage. And capacities are measured in tonnage. Therefore, despite operating your production facility for 24 hours a day only on account of the different types of products which are being

manufactured, you will end up with different tonnages which are produced. Hence, when capacity utilization is being considered, then it is better to look at it from a medium-term perspective rather than a quarter-on-quarter perspective.

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It will also be better if companies are able to give capacities in meters of pipes which are manufactured because then the impact of the size of pipes is not relevant. But that is not the standard that is commonly practiced.

And therefore, we continue with tonnages.

Moderator: Thank you very much. The next question is from the line of Tushar Raghatate from KamayaKya Wealth Management. Please go ahead.

Tushar Raghatate: Sir, just wanted to know, like recently said about the increased focus on the oil. So, considering the world scenario of jackup rigs, how do you see the upcoming demand going forward? That would be my first question, sir.

Kaushal Bengani: There is no problem in demand. Our order book is good. We are getting good orders and we are dispatching appropriately. I reiterate that there is no slowdown of any kind. Results of one of our competitors have also been announced in the previous week and even they have shown no signs of slowdown. There is no slowdown in the seamless pipes segment. As and when oil and gas expenditure increases, drilling activities increase, there will be higher demand for seamless pipes, and we are well positioned to capitalize on this development.

Tushar Raghatate: Sir, in your rig business, any plan to sell that business or we are going forward with that business, rig?

Kaushal Bengani: We will let you know in the month of May when suitable Board approvals are received.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today's call. I now hand the conference over to Vikash Singh for closing comments.

Kaushal Bengani: I think maybe Vikash got disconnected. I will just submit my closing comments. Thank you shareholders for participating in the earnings call.

We remain committed to improving shareholder value and maintaining our

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market leadership position. Temporary fluctuations will not have any impact on the long-term prospects of the company. We are in a good demand cycle. Oil and gas expenditure is good and we are well positioned to capitalize on it. Thank you for your support, and I look forward to interacting with you in future.

Vikash Singh: Thank you, Kaushal.

Kaushal Bengani: Thank you.

Moderator: On behalf of Maharashtra Seamless Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

E-Communication

MSL/SEC/SE/202 5-26 03 June 2025

BSE Limited
25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 27 May 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 27 May 2025.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q4-FY25-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

Note: Digital signature not affixed due to technical problem

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Maharashtra Seamless Limited
Q4 FY25 Earnings Conference Call
27 May 2025

MANAGEMENT : MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS & FINANCE – MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Maharashtra Seamless Limited Q4 and FY '25 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash from PhillipCapital Private Limited. Thank you, and over to you, sir.

Vikash: Thank you, Shruti. Good afternoon, everyone. Welcome to Maharashtra Seamless Q4 FY '25 conference call. From the management side, we have with us Mr. Kaushal Bengani, Deputy General Manager, Investor Relations and Finance.

Without taking much time, I hand it over to Kaushal for his opening remarks. Over to you.

Kaushal Bengani: Thank you, Vikash. Good afternoon, and thank you for joining our earnings call. During Q4 FY '25, we have seen some slowdown in order bookings but have been able to still dispatch almost 118,000 tons of seamless pipes, thereby exceeding our annual growth guidance of 7% to 8%. On margins and EBITDA per ton, we have again been in the region of the guidance given.

In this quarter, our ERW segment has outperformed due to dispatches of a particular type of product getting concentrated in the last quarter. This outperformance is one-off and consequently, annual ERW margin and EBITDA per ton have been slightly above the given guidance with ERW tonnage dispatch being as envisaged. I will briefly summarize key financial points.

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On reviewing our quarter four FY '25 performance against quarter three FY '25, revenue improved by 3% to INR1,456 crores. EBITDA increased by 2% to INR285 crores. PAT increased by 28% to INR243 crores from INR190 crores in the previous quarter and EPS increased to INR18 per share from INR14 per share.

On comparing entire financial year 2025 performance with financial year 2024, although revenue remained more or less similar, earnings declined significantly despite increase of more than 10% in dispatches. This has been solely due to fall in sales realization on a year-on-year basis. The performance of our treasury and other income items have been fair.

On comparison of other income in FY '25 with FY '24, we have earned INR197 crores against INR141 crores, which is an increase in other income by 40%. Therefore, against an average of INR35 crores approximately per quarter in FY '24, we have earned an average of INR50 crores approximately per quarter in FY '25.

Apart from financials, there are five key points which I would like to draw attention to.

The first is our credit rating. We've been upgraded by ICRA in December 2024 from AA to AA+. This has been the highest credit rating, which the company has received in the last 10 years and sends a strong message to all stakeholders about our strengths and expertise. The second point is about our treasury, which is at INR2,630 crores as on 31st March 2025. It is being judiciously managed with engagement and inputs at highest levels.

The third point is regarding our order book. It is at INR1,584 crores, which is still within our range of INR1,500 crores to INR2,000 crores. We have seen some slowdown in order booking in the previous quarter.

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But in general, demand environment is conducive for manufacturing industry and oil and gas sector.

The fourth point pertains to LCDs and corporate guarantees, of which there are

none to any unrelated entities or guarantees being given to any related entities.

The final point is regarding dividend. In FY '24, we had quadrupled the dividend amount paid. In FY '25, we have maintained the same dividend despite decline in annual profit of 19%. Consequently, our dividend payout ratio has improved from 14% to 17%.

That is the entire brief. I would now request Vikash to kindly open for questions.

Moderator: Thank you very much. The first question is from line of Shubham Kadhi from 3A Financial Services. Please proceed.

Shubham Kadhi: I just wanted to know about the update on the capex regarding the cold drawn line?

Kaushal Bengani: The equipment for cold drawn line has already been ordered. It will be received by us towards the later part of this calendar year.

Shubham Kadhi: And post that, you will continue with the remaining capex, right, of around INR700 crores to INR750 crores?

Kaushal Bengani: Our other capex at Telangana is also continuing in parallel to the cold drawn.

Shubham Kadhi: No, about like the hot mill upgrade or the other capex of INR852 crores that is mentioned in the PPT, INR100 crores is of the cold drawn pipeline. Other than that...

Kaushal Bengani: Items are not being...

Shubham Kadhi: When can we expect that?

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Kaushal Bengani: Once the cold drawn is completed, then we'll update you.

Shubham Kadhi: And sir, actually, I'm new to this company. I had one bookkeeping question. Every year, you have shown impairment expense. So, what is that regarding?

Kaushal Bengani: What do you mean? Which year? I'm looking at the financial statement right now.

Shubham Kadhi: Annual report, annual reports. In each annual report, there's a plant and machinery INR186 crores expense. What is this about? Is that about USTPL?

Kaushal Bengani: It could pertain to USTPL. When we acquired it, we had to do a revaluation of the fixed assets and the stock which was there in the inventory; sorry, stock which was there in the plant at that point in time. It could pertain to that. If you can send me an e-mail, I'll get back to you more specifically.

Shubham Kadhi: And any guidance on the volume growth that we expect to achieve in FY '26 and FY '27?

Kaushal Bengani: In FY '26, I think we'll do similar volume that we did in FY '25 till our finishing line at Telangana is operational. Once that is operational, only then we'll be able to generate volume growth.

Shubham Kadhi: And do we expect better realizations on the volumes?

Kaushal Bengani: It is difficult to say because we work on short-cycle order books. Therefore, to give guidance for the rest of the year is more difficult for us than it is for other companies who have larger duration order books.

Moderator: The next question is from the line of Mohammed Farooq from Pearl Capital.

Mohammed Farooq: Over the past 3 years, we observed that the company's top line has remained flat or slightly declined. Could you please kindly share the

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key reason behind this trend? And additionally, when do you expect to see a meaningful recovery in this revenue growth? And is there any internal forecast or outlook for FY '26 that you could share?

Kaushal Bengani: We expect to maintain the level of dispatch that we have done in FY '25 in FY '26. The realization that we have seen in FY '25 has been lower, significantly lower than the realization that we've seen in FY '24. So even though we've been able to dispatch more than 10% increase in seamless pipes, the overall revenue of the company is broadly similar in FY '24 and FY '25.

This has solely been due to a fall in realization. As of now, the only guidance which we can give you right now is that

that we'll be able to

dispatch the same amount of tonnage till finishing line is operational towards the end of this calendar year, then we will see an increase in the tonnage dispatched.

Mohammed Farooq : So what's the main reason for this drop in realization? Is it due to a drop in demand or oversupply?

Kaushal Bengani: It is not really due to a drop in demand because the demand environment is broadly good. There has been a general decline in the prices of pipes across the entire industry because what had happened couple of years ago or rather 3 years ago due to the Russia -Ukraine war, there was an energy crisis for a brief period, which led to a spurt in demand for oil and gas sector products, which led to an increase in realizations, which continued for maybe a year, 1.5 years.

And thereafter, the market has normalized. But if you look at the tonnage, which the company has dispatched or which other competitors have dispatched, all of them will show an increase in FY '25 from what they have dispatched in FY '24.

Mohammed Farooq : One more question, sir. The company maintains a healthy return on capital employed of around 16%. And we note that there's a significant

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cash reserve, approximately INR2,600 crores currently parked in the bank deposits or mutual funds. While this reflects a strong financial product, may we know if there's any plan to deploy this in acquisitions or something like that will get better returns?

Kaushal Bengani: There is a plan to deploy this in acquisition opportunities. But those opportunities should be at a cost at which we are comfortable. Such opportunities are not available right now because when markets are good, then undervalued assets are not usually available. That is what we have realized after searching for some time.

Moderator: The next question is from the line of Chetan Doshi from Tulsi Capital.

Chetan Doshi: I have 2 questions. One is, see, we are having a lot of cash on our balance sheet. So are we planning for some acquisition because, as such slowdown is there. So, where will be the focus in coming year, wherein we have better realization in spite of drop in sales?

Kaushal Bengani: Realization is not within our control. We have improved the proportion of value-added products that we are dispatching in our total dispatch portfolio by developing new products and ensuring that we are a developed source with PSUs. That has already been done around 2 years ago. Right now, we are open to acquisition opportunities. But as I said earlier, it has to be at a price point at which we are comfortable because we don't want to pay or buy overvalued assets and then get caught in the wrong phase of the cycle.

Therefore, we are extremely cautious whenever we make any acquisition. As of now, we have not encountered any attractive opportunity.

Having said all of this, you must also bear in mind that our plant and machinery is very old. There is no problem in efficiency right now. But going forward, maybe 10, 15, 20 years into the future, there will come a point in time when we'll have to do major overhaul of our plant and

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machinery, for which we'll require the cash. So, we have taken the view that we want to conserve our cash or wait for an opportunity that is available at our price point.

Chetan Doshi: Right. And in the beginning remarks, you said that this ERW is one - time. So, from current year, you don't expect any orders on that segment?

Kaushal Bengani: We expect orders from that segment, but the tonnage is limited. And because the tonnage is limited and the frequency cannot be predicted, it is better to consider it as a one-off rather than a general rule because if you see

the EBITDA per ton on ERW that we have done, it is at INR9,897, which is broadly in line with what you can expect in the ERW segment when the segment is a combination of 2 sub segments, one for the water sector and one for the oil sector. In the oil sector, we make higher margins.

In the water sector, we make lower margins. And we dispatch both kinds of products. In FY '25, we have been able to dispatch slightly higher percentage of oil sector products, which is why the ERW margin is close to INR10,000. But in the previous year, it would be lower than that. So, it is at INR7,315.

Chetan Doshi: And the government sponsored program of Nal Jal Yojana not moving at the pace what we expected?

Kaushal Bengani: We are getting orders. There is no problem in terms of orders in the ERW segment, but our impetus is to dispatch those pipes on which we make the highest margin.

Moderator: The next question is from the line of Gaurav Khanna from CapGrow Capital.

Gaurav Khanna: Asking, can you throw some light on the rig business because you were planning to divest it recently, it has deployed with ONGC. Can you throw some light on it?

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Kaushal Bengani: I cannot understand what you're saying. Can you please repeat?

Gaurav Khanna: I'm saying that in the rig business, we were planning to divest it. And recently, we have deployed it with ONGC for next 3 years. So what is the outlook and what you want to say on that?

Kaushal Bengani: Rig has not been deployed with ONGC for next 3 years. Rig has received its subsequent contract with Jindal Drilling. It is under refurbishment. There was a view of getting out of the rig business, but we've not received any update from the Board in the Board meeting, which concluded yesterday.

Moderator: The next question is from the line of Vikas Kasturi from Focus Capital.

Vikas Kasturi: Sir, I had a follow-up question on the rig itself. I believe the new rate for the rig is somewhere around \$80,000 per day kind of a rate. So, would there be an update? Would Maharashtra Seamless also receive a higher rate from Jindal Drilling?

Kaushal Bengani: Unfortunately, no, the tender in which this rig had participated resulted in an L1 of \$35,000 per day approximately. And that is the rate which Jindal Drilling had to match. And therefore, there is no increase in the rental that Maharashtra Seamless will receive from Jindal Drilling. There may be a decline of a few thousand dollars per day in the rental which it receives subject to the negotiation that takes place between both companies.

Vikas Kasturi: All right, sir. And sir, just for my understanding. So, this new contract for the rig is for 3 years. Am I correct, sir?

Kaushal Bengani: Yes, it is.

Vikas Kasturi: And so does it mean that we cannot sell the rig for 3 years?

Kaushal Bengani: We are not restricted by any regulation. But since the rig will be given to Jindal Drilling on rent, we will have to take their approval and Jindal

Drilling will give it on rent to ONGC. So, we will have to take ONGC's
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approval . Approval from whoever the rig has been contracted out to that approval is required.

Moderator: The next question is from the line of Subhankar Ojha from SKS Capital.

Subhankar Ojha: So just quickly, sir, out of this INR850 crores of capex that you have announced, what's the timeline of commissioning of those?

Kaushal Bengani: We are working only on 2 items right now. One is the cold drawn project for which everything is in place, except for the plant and machinery, which has been ordered and which will be delivered to us towards the later part of this calendar year. The other item of capital expenditure is the finishing line at Telan

gana, which we had commenced last year, and there is work undergoing. Once these 2 items are completed, then we will get back to you on the timeline for the other items.

Subhankar Ojha: Okay. Okay. Got that. In terms of the INR1,584 crores of order book, how much of this is ERW, and how much is Seamless?

Kaushal Bengani: We've given a breakup on a certain slide in the presentation. Slide 15 of the presentation. The order book for ERW is INR54 crores and the order book for Seamless is INR1,530 crores.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Firstly, when we look at your capex part, you have alluded to the fact that by this calendar year, we would be trying to commission the cold drawn pipes and finishing line at Telangana. So as on 31st March '25, our capital expenditure has been only to the tune of INR23 crores for this financial year and previous year was INR32 crores. So, we have, as of now, not drawn money for the same. Can you explain, is it back-ended? The payment that we need to make?

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Kaushal Bengani: Yes, it is back-ended because the way it works is you issue a purchase order and then you give them a token advance. And then there are stage-wise payments. So, the machinery is prepared in part. And as and when the parts are physically delivered to the location, our engineers will do an inspection. Some of the inspection is done before it is dispatched from the manufacturer's unit. And once it is received, another round of inspection takes place and then payments are made .

Saket Kapoor: Sir, in your slide, Page number 16, in policy implementation, you have alluded to the fact of Ministry of Steel has revised their DMI and SP policy. So, what has effectively changed for us, I think so you have mentioned it, but if you could just throw some more light and how will this help the Seamless company, how will we benefit out of it?

Kaushal Bengani: The key benefit is that imports of Seamless pipes will decline into India because of the DMI and SP policy. The policy requires that all seamless and ERW pipes are in the Melt & Pour category. Therefore, what it means is the entire value chain from raw material to finished products has to be domestically procured in India. This means that import of pipes will decline because those pipes that do not meet this requirement cannot be used in the PSU segment.

Saket Kapoor: So entire value chain has to be domestically sourced. That is what the sum of substance should?

Kaushal Bengani: Yes. The name of the policy is Domestically Manufactured Iron & Steel Products (DMI &SP) Policy.

Saket Kapoor: Sir, as you mentioned that we work on short duration order book and the executable period is 3 to 4 months and even last year, you gave an understanding of how the EBITDA per ton would shape up in the band

of INR15,000 to INR18,000 per ton for the seamless segment, and we averaged around INR16,000. So, taking these into account, do we still hold the band? Or what should be the outlook per ton in terms of the Maharashtra Seamless Limited
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seamless pipes EBITDA per ton, the trajectory, if you could just spell out?

Kaushal Bengani: Reasonably speaking, I think INR15,000 per ton should be the guidance on our current order book.

Saket Kapoor: And last 2 points would be, sir, last 2 years, we did some planned shutdown to improve the efficiency and I think so the yield to improve the yield also. So, for the current year, do we have any such exercise outlined for any part of the current year? Or are we done with the same for at least 2 years for a longer period of time?

Kaushal Bengani: In Maharashtra, I think we will take preventive maintenance shutdown

in one of our mills, maybe in the second quarter or in the third quarter, depending on how the order book is. In Telangana, I don't think we will take any preventive maintenance shutdown in this year.

Saket Kapoor: And last point I think you spoke about the rig part also to earlier participant and also our investments, cash accruals, which we are generating into mutual funds and other activity. But taking into account the thought process in a broader sense, what should exactly be investors looking for?

I think so, the dividend payout ratio has gone up because of the decline in profits, the absolute amount being declared the same. So just wanted to understand what should investors understand in terms of the cash accrual because I think we are not into the business of deploying money into mutual funds, to just have an understanding, as alluded earlier by the promoters also that we will only participate in activities which are in line with our line of business.

In the short term, it is correct to take advantage. But over a period of time, there should be a policymaking. So, what's the thought if you would like to share?

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Kaushal Bengani: Our plant and machinery are very old, and there is no problem with the capacity or in the efficiency of these machines. But you must bear in mind that when we acquired our plant, they were at scrap value or close to scrap value. Going forward, the plants and machinery will gradually continue to depreciate and will eventually have to be fully replaced, maybe 10, 15, or 20 years later.

That back-ended capital expenditure will be significant. And since we operate in a cyclical industry, we are conserving cash for that eventuality, subject to any acquisition opportunity which may present itself. Right now, there are no acquisition opportunities because market is generally good. Even after trying for more than a year, we have not been able to find a suitable acquisition opportunity within India. So, we have taken a view that we will conserve our cash for the moment.

Saket Kapoor: Yes, your point is well taken, the cyclical nature of business. We have been running on a totally net cash position for the last 2 years. But since you yourself mentioned that it will take 10 to 15 years. So, 10 years is a very, very long time to get the recap. Maybe if the overhauling is around more than \$1 billion to get the plant done, then definitely that might kind of be needed at that time. But just a last point, if I may conclude, sir, we made the rig investment I think in the year 2020, '20 or '21.

And at that time, even the rig prices were trading at rock bottom as we mentioned that we always scout for assets, where the market is lower than the NAV. So, taking into account the current price trends in the rig recap, the management may also look out for scouting for more

opportunities in the rig business going ahead, or the cost that we have will only be deployed only for the seamless pipe opportunity. And the continuity of the rig may happen for the next term, but accounting for more assets and the rig is not going to be to MSL. This can be categorized...

Kaushal Bengani: I understand your point, sir. We will continue in the steel pipe segment only. We will not go into the rig segment any further. When we will

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exit the rig segment, that is for the Board to decide, which has not given any update yesterday.

Saket Kapoor: Correct. Correct. That is the reason why even investors are looking for reasons why the valuation for companies having such assets and net cash is so low. So, I was just working out these parameters.

Moderator: The next question is from the line of Radha from B&K Securities.

Radha: Continuing with the previous discussion, what is the replacement cost of our plant and machinery?

Kaushal Bengani: It is difficult to say because we are not looking at buying new plant and machinery right now.

Radha: Yes. So, just an estimated figure at current prices would be helpful.

Kaushal Bengani: I don't have any estimate. I think you will be a better judge since you speak with many metal industry companies.

Radha: The second is that your presentation mentions about new discoveries, Suryamani, Vajramani, et cetera. So, just a very basic question to understand how it works. So, whenever there are oil discoveries and if ONGC decides to develop the fields, then how long does it usually take for us to get the orders?

Kaushal Bengani: These discoveries that have been mentioned in the presentation, which you're referring to, they were made public a couple of days ago. Whilst we continue to hear news of discoveries being undertaken, we are slightly disappointed that they have not materialized into orders at the pace at which we expected them. That's the only thing that I can tell you right now.

The communication in respect of oil and gas expenditure is frequent and rapid, but the actual expenditure is not as frequent and as rapid, which is not to say that there is a slowdown, but the tempering of our

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expectation has to take place because ground level expenditure has not increased with the pace of the communication that is being received.

Radha: Okay. And currently, our gross assets is around INR3,700 crores. And roughly, not even 50% of the assets are depreciated. So, what makes you say that the assets are getting old, and plus we are generating a lot of cash every year, then what is the reason for conserving cash for something that will be required 10, 15 years down the line?

Kaushal Bengani: Our assets were purchased when they were 20 years old. And then we have been operating those assets for 30 years. So already, our assets are 50 years old. So, there will come a point in time when the piecemeal replacement of parts which are not functioning will not be the way forward because of obsolescence. And since we'll have to embrace new technology and even better efficiency, we will have to buy new assets.

Radha: Okay. And sir, within seamless pipes, you have multiple products, so subsea pipes, OCTG, API, et cetera, many kinds of pipes. So, what is the usual mix of these pipes for the company, and which one contributes the highest in terms of volumes and margins?

Kaushal Bengani: The oil and gas sector is our main area. Almost 70% of total dispatches are in the oil and gas sector, with the balance 30% coming from the boiler, power, and general engineering segment.

Radha: No, sir, I'm not talking about the user industry. I'm talking about the

pipes, the kind of pipes, subsea pipes, API pipes, power pipes, those kinds of pipes, which one contributes the highest in the seamless EBITDA?

Kaushal Bengani: We cannot give that information.

Moderator: The next question is from the line of Harsh Shah from Meritis Advisors.

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Harsh Shah: Sir, drawing from the conversation from the previous participant, you said that in the long-term, the EBITDA per ton expected should be around INR15,000. So, when do you expect it, so do you expect it to go to anytime soon FY '24 level of around, say, INR20,000, INR22,000 in the coming years, say, 3, 5 years down the line?

Kaushal Bengani: It is difficult for us to give long-term guidance. When the earlier participant had asked the question, I had said that based on our current order book, the margin would be around INR15,000 per ton. The current order book is for a pe

riod of 3 to 4 months. That is what I have communicated.

Moderator: The next question is from the line of Vikash from PhillipCapital.

Vikash: I just wanted to understand the current market dynamics or the growth rate, if you could have. Also, the Eastern Coast, what we talked about, there's a lot of discoveries. Any progress which you have seen so far there?

Kaushal Bengani: Market is growing at a rate of 3% to 4%, I believe. But the orders from the oil and gas sector are not growing at that rate. So, although new discoveries have taken place, I don't think they have commenced exploration aggressively. The reason why I believe that is because in the offshore drilling rig sector, the day rates for rigs have temporarily crashed, which means that there is availability of rigs, but they are not being properly utilized. Hence, exploration activities are not taking place. And that is the reality for the moment.

Vikash: Understood. My second question is we, at one point of time before tariffs in 2018, used to supply a good chunk in the U. S. market. Given present conditions, though it's still fluid, if India gets a zero for zero tax regime, how should we look at Maharashtra Seamless benefiting from it?

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Kaushal Bengani: We will definitely benefit from it because there is currently a 25% duty on all steel products. If that duty goes away, we automatically become more competitive. In the fourth quarter, we noticed an increase in exports, and that increase was there for a period of four months. So, three months of the fourth quarter and the April month.

But since then, there has been a steady decline in export inquiries, which led to the dip in our order book. We have not reached the levels of exports that we had seen in financial year 2023 when 30% of our total dispatches were exports. And that is ideally what we would like the position to be. But for now, export market is soft.

Moderator: Due to time constraints, that was the last question. I now hand the conference over to Mr. Vikash for his closing comments. Thank you, and over to you, sir.

Vikash: On behalf of PhillipCapital, I would like to thank Maharashtra Seamless management to allow us to host the call. For any closing remarks, over to you, Kaushal.

Kaushal Bengani: Thank you, Vikash, for organizing the call. We are grateful to interact with shareholders. The dip in the order book should not be seen as an indicator to write off the company. It is more of a function of what the position of the market is right now. We expect it to improve going forward. Thank you.

Moderator: Thank you. On behalf of PhillipCapital India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

E-Communication

MSL/SEC/SE/202 5-26 04 August 2025

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Sub.: Transcript of earnings conference call held on 31 July 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 31 July 2025.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q1-FY26-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited
Q1 FY26 Earnings Conference Call
31 July 2025

MANAGEMENT : MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER , INVESTOR RELATIONS & FINANCE , MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. GAURAV MEHTA – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the Maharashtra Seamless Q1 FY '26 Earnings Conference Call hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Gaurav Mehta from PhillipCapital (India) Private Limited . Thank you and over to you, sir.

Gaurav Mehta : Thank you, operator. Good afternoon, everyone. Welcome to Maharashtra Seamless Q1 FY '26 Conference Call.

From the management side, we have with us Mr. Kaushal Bengani - Deputy General Manager , Investor Relations, and Finance. Without taking much time, I hand it over to Mr. Kaushal for his opening remarks.

Over to you, sir.

Kaushal Bengani : Thank you, Gaurav. Good afternoon, shareholders, and thank you for joining our earnings call.

During Q1 FY '26, we have been able to dispatch almost 1,03,000 tons of seamless pipes. However, we have seen a marked slowdown in order booking which started in the previous quarter , but has continued for a longer period than anticipated. This has had a direct impact on the performance in the June quarter of the company. The slowdown in order booking is attributed primarily to Chinese dumping and reduced expenditure in oil and gas sector.

Our margins and EBITDA per ton have also declined and consequent to the increased Chinese dumping and slowdown of expenditure in oil and gas sector, there has been a decline in sales realization. Whilst revival in Maharashtra Seamless Limited

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order book is expected, it appears that September quarter is likely to be muted on margin front.

I will briefly summarize key financial points :

Our Q1 FY '26 performance versus Q4 FY '25 had a revenue decline of 11% to Rs. 1,303 crores. EBITDA declined by 41% to Rs. 165 crores , PAT declined by 4% to Rs. 234 crores and EPS was Rs. 17 per share. Whilst decline in EBITDA was 41%, the decline in PAT was much lower because of performance of our treasury which contributed an amount of Rs. 160 crores booked in other income.

Apart from financials, there are 3 key points which I would like to draw attention to :

- The first is our treasury, it is at Rs. 2,919 crores as on 30th June 2025. It is being judiciously managed with engagement and inputs at highest levels.
- The second is our order book which is at Rs. 1,149 crores. We have seen a slight improvement in the export segment , but it is not enough to offset the slowdown in the other segments.
- The third point is a repetition - of our credit rating which was upgraded from AA to AA+ in the previous calendar year . The reason for the repetition is that it is the highest credit rating which the company has received, and it sends a strong message to all stakeholders about our strengths and expertise despite difficult market conditions.

That is the entire brief. I would now request Gaurav to kindly open for questions.

Moderator: Thank you very much. We will now begin the question -and-answer

session. The first question is from the line of Chetan Doshi from TM Financial . Please go ahead.
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Chetan Doshi : Thank you for giving me this opportunity. I have two questions. One is , there is a sudden drop in EBITDA , so we are not able to get good pricing from the market because orders are collected much ahead of execution. It takes time. So when orders were taken, that time the pricing at which the orders were taken were low. And second thing is that we have Rs. 2,900 crores cash

and you have shown that we intend to modernize our plant and Rs. 852 crores are to be used. So when the lean period is going on, why there is no action on this subject?

Kaushal Bengani : The reason for decline in margin is attributed to fall in realization. Reason for fall in realization is increased dumping from China and slowdown in oil and gas sector regarding the level of expenditure that is taking place. On the cash deployment front, we are continuing with our finishing line project in Telangana and the cold drawn pipes project in Maharashtra. On the Telangana project, we have issued purchase orders of Rs. 80 crores and expensed around Rs. 46 crores till now and we expect that the project will get completed within the allocated budget of Rs. 184 crores. On the cold drawn pipes project front, we have received the machines which we had ordered and we are installing one of the machines in August and the second machine should also get installed by September . We should see an improvement in the quantity of cold drawn pipes dispatched from December quarter onwards.

Chetan Doshi : That is great news. One more thing, see, as far as this hot mill upgrade is there, and where we plan to do an expenditure of around Rs. 350 crores, so have we placed order on somebody or still it is to be planned out?

Kaushal Bengani : We have not started that portion of the capital expenditure plan. Once the Telangana line is completed, then we will address that.

Chetan Doshi : Thank you. I will join the queue again.

Moderator : Thank you. The next question is from the line of Ankur Shaurya, an Individual Investor. Please go ahead.
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Ankur Shaurya : Good evening, sir. My question is regarding one of the products that you said that we were about to begin or developing in our R&D which one of the competitors who has already developed. So what is the update on that , sir?

Kaushal Bengani : You are referring to premium connections?

Ankur Shaurya : Yes.

Kaushal Bengani : That process is continuing. It is a very slow process. It is continuing for more than 2 years now. You will find that hard to believe that launching a new product takes that much time , but it involves a tie -up with a foreign partner and that process is excruciatingly time consuming and that is why it is taking that much time. I cannot give you a definitive date even right now, but even today we have had an update on that project which I cannot share right now , but rest assured we are working on it . Unfortunately , I cannot give you a definite date because there are many factors which are beyond our control . And for our competitor also , when they had launched in 2022 or early 2023, they had been working on it from 2019 onwards.

Ankur Shaurya : Sir, my next question is regarding the other income. You also would agree that our other income has now become a major part of our total PAT and I have no problem with that , but the only issue is that now when we have a quarterly or a yearly result, we ourselves are not sure as to how would the company do out of the main operation or from the mutual funds or the other investment that you have. And we also see that the management is not willing to distribute the money to the shareholders in the quantum that by their good management they have earned, but you are not willing to give that to the shareholders as well because I have been a shareholder in the company for the last 5 years and for the last 3 years, we have seen that

your capex has been the same, the projected capex , but nothing has been happening on the ground and also one of the thing is that you are well covered because even if in the worst case scenario, I feel that Rs. 600 crores is something that you will yearly earn even everything goes
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haywire. So when you are we

It covered and I think a business like yours is in a maturity stage wherein either you want to grow or you want to distribute this profits that you are gaining to the shareholders. As a shareholder, I think that your company is one of the most valuable companies that I have come across with market cap of Rs. 9,000 crores, you have Rs. 3,000 crores in cash or cash equivalent but as a shareholder, I want to be a part of it but at the same point of time, I don't see what the management is trying to do with what they are accruing?

Kaushal Bengani : Your points are well noted , Mr. Ankur. We had put out the capital expenditure plan of Rs. 852 crores against which we have issued purchase orders for two projects which would be less than Rs. 150 crores to the best of estimates . And on the dividend front, we have quadrupled the amount of dividend which was paid out in FY 2024 from the level that it was in FY 2022. In FY '25, despite a decline in profitability, we maintained the level of dividend which we had paid in FY '24. Your point is that despite these two developments , there is still a comfortable level of cash with the company which is a correct point. I had mentioned in one of the earlier calls that our plant and machinery is subject to the risk of obsolescence because it is very old plant and machinery. There is no problem right now and we are doing good in terms of the ability to produce based on the current plant and machinery that we have. But there will come a time in future when we have to replace the existing technology in entirety with new technology and that is also one of the reasons why we are conserving the cash. The third point which I would like to make is that we are still trying for inorganic opportunities , but in our assessment we have not found any opportunity which makes sense , as per our method of doing business , right now.

Ankur Shaurya : Your point is well taken for us. Even I run a business, I have a factory and you would agree with me that in no point in time , the entire machinery is out of date until and unless a new technology comes in and our technology is obsolete. You are also agreeing that you are already increasing your
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manufacturing limits by the capex that you are going to do. So you will get ample opportunity if in case you don't have enough orders or let us say, your order doubles, you have enough time to increase your capacity. You can also use that capacity and improve this capacity. But I don't see that the requirement would be in next 3 -5 years . So when you know that you do not have an immediate requirement for next 3 -5 years in replacing the entire technology that you have, why would you like to keep so much amount of money with you and sir, it is not necessary for a company to grow . If in case you feel that you are comfortable, you are earning good amount of money, it is good to enjoy that and share that with the shareholders. But never will be a time when you will feel in your entire life that either you will get an opportunity or you will not get an opportunity. If in case you get an opportunity, come out with the right issue. We will be more than happy to share money with you. But for last 3 years, God has been kind that your investment has reaped benefit again and again . From Rs. 400 crores, you have come to Rs. 3,000 crores. And it is very good that God has been with you and the market has reaped benefit. Either divide the company in two parts. One should be a holding company, one should be a seamless company. Maybe I don't want to be a part of your holding company , I want to be a part of your seamless company. But now you have merged two big things together and the picture is not clear, sir. Don't mind my saying it, but the management

should take a big decision and again and again shareholders have raised this question with you and you

you have repeatedly given the same answer, but the answer doesn't satisfy me. I am sorry to say ?

Kaushal Bengani : I don't have anything to add.

Ankur Shaurya : Thank you.

Moderator : The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.

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Saket Kapoor : Namaskar , Kaushalji and thank you for this opportunity. Am I audible, sir?

Kaushal Bengani : Yes, thank you .

Moderator : Yes, sir, you are audible.

Saket Kapoor : Thank you, sir. Sir, firstly, the EBITDA pattern is now in the range of closer to 13,000 and earlier in your earlier conversation, we were looking for a bracket of say 15 ,000-18,000 to be very precise. So with this kind of order booking and the slow intake in the order, what should we penciling - in for the current year in terms of the band for your EBITDA p er ton ?

Kaushal Bengani : Current year would be difficult to guide, but I t hink we are one m onth into the 2n d quarter and order book does not look encouraging. So I don't think margins would be higher than what they are in the September quarter.

Saket Kapoor : The band will be closer to where we are today. That should be the very likelihood ?

Kaush al Bengani : Yes.

Saket Kapoor : And for the t onnage part, sir, last year, we did 442 for the seamless segment and with the commissioning of the new lines for Telangana in the December quarter and if these business environments continue, what should be the t onnages for the seamless segment that we may expect or anticipate for the entire year?

Kaushal Bengani : As of now, I think you should expect a similar level of t onnage that was achieved last year. When the Telangana line is operational, then we will see if we have to revise it at that point in time.

Saket Kapoor : Sir, you mentioned about the Chinese product dumping. I think so in your earlier interaction, you did mention that there was some specific product wherein, hello?

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Kaushal Bengani : Yes.

Saket Kapoor : There were some specific product lines which were not included in the anti-dumping which was introduced in 2022, I think so. So now we have also put forward the revision for the same, so where are we in terms of the hearing? And sir, how is the process going on in which we have put the request for anti -dumping?

Kaushal Bengani : The duty will be up for renewal in October 2026. Data preparation process has started and we want to include as many products as we can. The key product in which we have noticed dumping from China, which is one of our value addition products, is cylinder pipe s and we want to address that issue so that we can sell more tonnage of cylinder pipe s and sell them at a better margin.

Saket Kapoor : Sir, we have been predominantly of compa ny being a proxy to what ONGC and Oil India capex has been. And whatever we have heard in the public domain from the interaction with ONGC and Oil India that all have put forward the capex amount higher than what have been for the March 25 closing balance or whatever the interaction has been for the last concall, so taking that into account and the annual capex that has to go through in terms of the budget, where has been the sense that the capex from these tender issu ance are not happening the way that they should be. And they should have this, I think, their schedule is such that they do quarterly capex . So what are we hearing from them in this context?

Kaushal Bengani : Sir, tender issuance is on a slower side. Whilst we would have expected that tender issua nce would have improved, but they have not improved.

So the fall in order book is attributed only to two factors, number one, decline in expenditure in oil and gas sector and number two, Chinese dumping. I think both these factors are equally responsible for the decline in our order book.

k. And I think similar pattern should be seen for the other participants in the industry.

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Saket Kapoor : Right. Sir, last two points on the modernization.

Moderator : Sorry to interrupt, sir.

Saket Kapoor : Okay, ma'am. I will come again. Yes. I will join the queue.

Kaushal Bengani : Moderator, please allow him to finish.

Moderator : Sorry. Saket sir, you can go ahead.

Saket Kapoor : Yes. No, not an issue, ma'am. Sir, as you were mentioning about a week creating a surplus for modernization of our plants and machinery as and when the time comes for the refurbishing the same. So taking into account the work, the homework which you people must have done, what should be the replacement cost that we are spending in that may be required, say, 6-7 years down the line for which you are working from today in order to not to be in a corner when the time comes and not to be in the borrower's list rather than to be a cash rich company till then. So you must have worked out your numbers for the same, sir, in a ballpark number, if you could say ?

Kaushal Bengani : There isn't a definitive number. There are only broad estimations. And the cost of new machinery 5, 6, 7, 8, 10 years down the line is difficult to estimate. But the idea is that if we want to grow the operational capability of the company, then we want to grow in a cost conscious manner. All the capital expenditure that we have done, whenever we have added mills, we have purchased those equipments at 15 %-20% of replacement cost at that point in time. And that is one of the big reasons why we have been a cash rich company at all times and a market leader at all times. So I cannot give you a number right now, but there is certain basis for our kind of management and it has protected our position in the market and the combined wealth of shareholders on a longer term basis, which other competitors in our industry have not experienced. And whilst the other competitors have taken aggressive positions and we have taken less aggressive positions at that point in time , over a longer term, we have been

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the greater beneficiary of our decisions. So I think we will stick to that style of decision making where we have been able to demonstrate sustainability and profitability over a longer term basis.

Saket Kapoor : Right . I will join the queue for 2 more follow up questions. Thank you.

Moderator : Thank you, sir. The next question is from the line of Vikas h from ICICI Securities. Please go ahead.

Vikas h: Good evening, Kaushal.

Kaushal Bengani : Good evening, Vikas h.

Vikas h: Yes. Just one question to start with , this ONGC , they have a minimum order quantity usually for every year. Can you just tell us what percentage of that minimum order quantity they have already placed in the tender?

Kaushal Bengani : Very little percentage because we have seen a significant decline in our order book on a quarter -on-quarter basis. There has been a decline of Rs. 400 crores which has not been seen for the past , at least 12 quarters , on a quarter -on-quarter basis. New tenders are in the process of being issued and some tenders have been concluded and are in the process of negotiation. But the actual ordering is much slower than we had seen at this time in the previous calendar year.

Vikas h: Noted. So there is a hope of second half, some orders would come in ?

Kaushal Bengani : Yes, and the large order from ONGC that we had received in the earlier part of the year, we have dispatched most of it.

Vikas h: Noted that. Sir, in case of, given our order book, the regular visibility is very less, in case of these orders are further delayed, is there any

contingency plan or the other segment in terms of exports or other product mix which we can actually shell out at least to get the

fixed cost covered

up, so if you could give us some insights regarding that?

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Kaushal Bengani : Obviously if we reduce our prices by Rs. 3,000-Rs. 4,000 per ton further and which would mean a decline in EBITDA by an additional Rs. 3,000-Rs. 4,000 per ton, then we can easily run our plant and machinery. There is no problem on that front. But we want to maximize profitability and then that trade-off has led to a decline in order book.

Vikas h: Understood. And secondly, if you could tell us the impact from this 1 lakh ton Telangana plant, is there any further delay or now it is on track?

Kaushal Bengani : I think we will start by January. We will at least start some production by January 2026. If not the line in its entirety, then something will definitely start by January 2026.

Vikas h: Noted. Any other opportunities which you have come across in to your segment basically since you are sitting with cash?

Kaushal Bengani : We have not Vikas h.

Vikas h: Just one last question. Again, some participants have asked about the cash , but right now, given the current market conditions, are we keeping major portion of our cash in mutual funds or with the banks because with mutual funds, with the market fluctuation, we run the risk of getting some losses there , right? So just wanted to understand this Rs. 2,900 crores, how it is divided into treasury or banks?

Kaushal Bengani : We have given a breakup on slide 11 of the presentation wherein Rs. 514 crores is in bonds, Rs. 20 crores is corporate deposits, mutual funds is Rs. 2,339 crores, fixed deposits is Rs. 4 crores, cash as on 30th June 2025 was Rs. 42 crores . The investments in mutual funds are in equity, bond funds, gold, silver, and liquid mutual funds and also target maturity funds.

Vikas h: Noted. That is all for my side. If I have further questions, I will join back the queue .

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Moderator : Thank you. The next question is from the line of Radha from B &K Securities. Please go ahead.

Radha : Hello , sir. Thank you for the opportunity. Sir, from April onwards, the Seamless and ERW pipes had been put under the Melt & Pour. So what has been the impact of this in 1Q FY '26 ?

Kaushal Bengani : There hasn't been much of an impact for us because our order book has declined by almost Rs. 400 crores.

Radha : And, sir, in ERW, we have seen a slowdown for last 6 -7 quarters for the industry. So specific to ERW, when do you expect the demand to level in this segment?

Kaushal Bengani : Pipes in ERW segment are used in water and oil sector. So in the oil sector, there is a slowdown in expenditure which has impacted the ordering for such pipes. And in the water sector, there is slowdown on the Jal Jeevan Mission side which has also impacted the water pipe segment.

Radha : Thanks and all the best.

Kaushal Bengani : Thank you .

Moderator : Thank you. Our next question is from the line of Mohammed Farooq from Pearl Capital. Please go ahead.

Mohammed Farooq : Good afternoon, sir. I would like to hear the management's long-term strategic vision for the company. I have three questions in that. Where do you see the company over the next 5 years in terms of capacity expansion, revenue growth, and market position, both domestically and

internationally? The second one is, what are the key tailwinds supporting this vision and what headwinds or structural challenges do you foresee?

The third one is, taking all of this into account, how does the management define success for the company by 2030? Thank you.

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Kaushal Bengani : On the expansion of capacity for the company , going forward, the capital expenditure plan has been put out in slide 14 of the earnings presentation wherein we have given line -wise breaku

p of various items adding up to

Rs. 852 crores. That is the on ly capital expenditure plan that we have right now. And as and when these things are completed, then we will come out with a new plan. On the second point regarding where we see ourselves by 2030, I think we see ourselves as a market leader because we have not known any other situation for the past 35 years. There have been other competitors in the same industry who have come after us and who have left the industry in the past 35 years. And our method of doing business is different from what we have seen ou r competitors adopt which could also be a reason why all of our competitors have either been bankrupted or gone to corporate debt restructuring or gone to bankruptcy courts and then somehow managed to eke their way out. But we have always remained cash ric h and financially strong. And those are the core characteristics of our organization which we would like to preserve apart from the fact that we will continue to remain a market leader.

Mohammed Farooq : Sir, as you mentioned now, some of the competitors have gone bankrupt , is there any opportunity for acquisitions , one of them ? And second, is any of your competitors adding any capacity as of now?

Kaushal Bengani : Yes to both questions. We acquired United Seamless Tubula ar Private Limited from the IBC process in 2020 and amalgamated that entity with our company. So that was one competitor which we had taken over. There aren't any other opportunities right now in India. On the capacity expansion front, like the way we are going ahead with ca pacity expansion, one of our competitors is also doing so.

Mohammed Farooq: Can you please quantify that, like how much is that adding capacity? Any idea?

Kaushal Bengani : It is available in public domain.

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Mohammed Farooq : Thank you.

Moderator : Thank you. Our next question is from the line of Amol Rao from One Up Financial Consultants. Please go ahead.

Amol Rao : Hi, Kaushal ji. A very quick question on the rig. It comes into operation as you mentioned in the presentation in Q3. Anything that you could mention about what the day rates could be or what , if you could just give some colors on that?

Kaushal Bengani : The rig will be deployed by Jindal Drilling with ONGC at \$35,000 per day. The rate payable by Jindal Drilling to Maharashtra Seamless would be around \$17,000 -\$18,000 per day, but that is subject to approval of shareholders, which they will obtain in their upcoming annual general meeting.

Amol Rao : Got it. And Kaushalji, with capex , how much are we spending on that, if that detail could be shared?

Kaushal Bengani : On the .

Amol Rao : Refurbishment of the rig ?

Kaushal Bengani : Refurbishment of the rig. We are not sharing that.

Amol Rao : Thank you so much, sir. Thank you so much and wish you all the best, sir.

Kaushal Bengani : Thank you.

Moderator : Thank you. The next question is from the line of Chetan Doshi from TM Financial . Please go ahead.

Chetan Doshi : Thank you for giving me the opportunity. See , as far as the presentation is concerned and as far as your stake, you are increasing your stake in the company, so that shows that you are serious as far as the operations are concerned. But the presentation doesn't highlight as to where we want to

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put th is company in because the last couple of presentations you see, the

growth plan, for example, a couple of months back, we developed an import substitute and that product was going to this oil rig. But after that, no big orders received. These are all value-added products. There is no mention of that product at all in this current presentation. And what happened to this government's Har Ghar Jal Yojana? We were expecting a lot of orders from that also ?

Kaushal Bengani : Sir, if you

are tracking the company, then I think you should also track where the company's products are used. 70% of our dispatches are in the oil and gas sector, which I have pointedly mentioned in almost every earning call. So the Har Ghar Jal Yojana is not so much relevant to us.

Chetan Doshi : Do you use seamless pipes in that?

Kaushal Bengani : No, you don't use seamless pipes for household tap water connections. And on the value-addition product, please tell me which value-addition product you are referring to. I will give you an update.

Chetan Doshi : Value-added products which we developed, which was an import substitute and which was going in this drilling of rigs ?

Kaushal Bengani : Drill pipes. Drill pipes, we have an order of Rs. 27 crores. We have mentioned that in our order book.

Chetan Doshi : Yes, but I am expecting that what growth we are doing on quarter-on-quarter basis on that ?

Kaushal Bengani : Sir, I mentioned in my opening statement that there is a slowdown in oil and gas sector expenditure. No matter how much I want to grow, I cannot sell if someone doesn't want to buy.

Chetan Doshi : So when do you expect to improve on this?

Kaushal Bengani : Sir, the expenditure in the oil and gas sector is expected to improve. But I think the expenditure in the September quarter is also not as much as we

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would expect because we want to keep an order book of at least Rs. 1,500 crores. So for the order book to go back to Rs. 1,500 crore level and assuming we sell Rs. 500 crores worth of pipes every month, then in the next 2 months, we should expect orders of at least another Rs. 1,000 crores. If that does not happen, then it will be difficult to go back to the current level of order book. In fact, to maintain Rs. 1,500 crores of order book as on 30th September, we need orders right now of Rs. 1,500 crores. So the challenges in the market are impacting all participants and we are not above what happens in the market.

Chetan Doshi : Any active tender which is going on and which is expected in next August or September?

Kaushal Bengani : There are tenders in process. We cannot give you specific details, but definitely there are tenders in process.

Chetan Doshi : Something is expected in next month or maybe a month after that, right?

Kaushal Bengani : I don't know.

Chetan Doshi : We may not get it, but something will happen. Some company will be getting because if tender opening is already completed, only finalization is left out.

Kaushal Bengani : Yes, but that finalization may take 2 months. It can also take 15 days. We don't know. To commit to a timeline is difficult.

Chetan Doshi : Sir, these are from ONGC and Oil India and companies related to oil companies ?

Kaushal Bengani : Sir, all tenders are from PSU sector mainly.

Chetan Doshi : Thank you.

Moderator : Thank you. The next question is from the line of Tanmay Roy, an Individual Investor. Please go ahead.

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Tanmay Roy : Hello. Hi. Good evening. I have only two questions. One was like the order book which you were telling that it will actually slow down, but you said that if you go down on our EBITDA per ton, you might be able to get more order. That is what the understanding or am I wrong?

Kaushal Bengani : I did not say that. I said that performance in the 2nd quarter is also

expected to be muted because we are already one month into the 2nd quarter and our order book is at Rs. 1,149 crores. So we don't expect significant upward movement in EBITDA per ton for the 2nd quarter.

Tanmay Roy : And there is no sign as of now for improvement in any order books , but there are tenders ongoing . That is what it is ?

Kaushal Bengani : Yes. Correct.

Tanmay Roy : Sure. Thank you so much.

Kaushal Bengani : Thank you.

Moderator : Thank you. The next question

is from the line of Sakshi Shah from

Hathway Investments Private Limited . Please go ahead.

Vinay Nadkarni : Yes. This is Vinay Nadkarni from Hathway. Just wanted one clarification.

Last year, there was a planned shutdown. This year, in this quarter, there was no such planned shutdown , right?

Kaushal Bengani : Correct.

Vinay Nadkarni : And secondly, how have the raw material prices moved in this quarter compared to say the quarter before?

Kaushal Bengani : Raw material prices have declined by Rs. 2,500 -Rs. 4,000 per ton.

Vinay Nadkarni : That could have also impacted your realization?

Kaushal Bengani : Yes. That has also impacted our realization, depending on the type of product.

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Vinay Nadkarni : And lastly, on this order book, where you have got the order book from ONG C and oil and gas sector reduced, is there any competition which has come in? Or is it that overall there is a slowdown, what you have been mentioning?

Kaushal Bengani : Overall, there is a slowdown.

Vinay Nadkarni : There is no competition which is taking away your share?

Kaushal Bengani : No.

Vinay Nadkarni : Thanks a lot.

Moderator : Thank you. Our next question is from the line of Shaurya Shah from Equirus Securities Private Limited . Please go ahead.

Shaurya Shah : Yes. Hello, sir. So I am new to the company. So apologies if I am missing out on something. But wanted to know that, see, many of our peers are planning to expand operations and grow exports to the Middle East. So are we also having some discussions regarding growing our exports to the Middle East?

Kaushal Bengani : Our peers are not exporting seamless pipes to the Middle East. They are exporting DI pipes and SAW pipes to the Middle East.

Shaurya Shah : And the other thing is that, where do we see our ERW segment placed in the overall scheme of things after we complete all our capex. So in terms of revenue contribution, where do we ERW segment mix?

Kaushal Bengani : ERW segment is a small segment. It contributes 7 %-8% of total EBITDA. We are not growing in the ERW segment because the seamless segment is more profitable.

Shaurya Shah : Understood, sir . Those are the 2 questions.

Kaushal Bengani : Thank you.

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Moderator : Thank you. The next question is from the line of Ankur Shaurya, an Individual Investor. Please go ahead.

Ankur Shaurya : Good evening once again, sir. I have one more question regarding the other income. Sir, our other income, sorry, our mutual fund investment has increased from, let us say, Rs. 500 crores to Rs. 3,000 crores. Am I correct in assuming that if in case, some of it would have been from the profit that we earned every quarter and the amount increased would have also been because you have managed it so well that the amount increased ? Would it be safe to say that if in case we sell all the mutual funds today, there would be about Rs. 2,000 crores of unaccounted profits in the books as well ?

Kaushal Bengani : No. The mutual fund investments are restated on quarter end, every

quarter. So the mutual fund value of Rs. 2,339 crores includes the notional profit that we have accrued.

Ankur Shaurya : But if in case you don't sell it, you cannot take the profit in the books. Am I correct? Let us say, I invested in Rs. 500 crores 5 years back and today, it is Rs. 3,000 crores and until and unless I sell my mutual funds, I cannot book the profit? Am I correct?

Kaushal Bengani : That is not correct. As per Indian accounting standards, you have to do a mark to market at the end of every quarter. So whilst we have taken income, the income is notional income and we will not pay tax on it which is why you will see that our current tax has not increased so much despite an increase in other income. Only a deferred tax liability provision has been

made. When we sell the mutual funds, then we will realize the profit and on that realized profit, we will pay tax and the deferred tax liability which we had created earlier will get reversed.

Ankur Shaurya : So if in case what you are showing as other income of Rs. 140 crores, it is the increase in your investment that we have made or from last quarter? Is that the correct way to understand that?

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Kaushal Bengani : It is mostly that. It also includes realized gain. So other income is realized gain plus unrealized gain. However, we will only pay income tax right now on realized gain. We are not paying any income tax on unrealized gain.

Ankur Shaurya : But in that case, there would be a time when you sell the mutual fund. In that case, in that quarter, the income tax payable would be far more than the operational profit?

Kaushal Bengani : We don't know how that quarter will work out. What will happen is when we sell the mutual fund at a profit, then we will pay income tax on the realized profit and the deferred tax liability which we had created in earlier quarters will get reversed.

Ankur Shaurya : Thank you, sir.

Kaushal Bengani : Thank you.

Moderator : Thank you. Our next question is from the line of Sriram, an Individual Investor. Please go ahead.

Sriram : You mentioned that there is an impact of Chinese dumping, so what is the difference between our cost and their landed cost and do you think the pricing pressure will increase or it has bottomed out?

Kaushal Bengani : When the anti-dumping duty was implemented in 2016, then it was done by way of a minimum import price. In 2016, that minimum import price was prohibitive. However, when the first renewal happened in 2021 after 5 years, then the minimum import price was not increased. Because the minimum import price was not increased in 2021, in 2023, 2024, 2025, in that period, the minimum import price became less prohibitive or not prohibitive at all, which meant that products from China could be easily sold into India. The anti-dumping duty is again up for renewal in October 2026 and we will definitely petition for a higher minimum import price and a larger coverage of the products that we manufacture.

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Sriram : But this should not impact the domestic oil and gas products, right?

Because there is a preference given to domestic manufacturing?

Kaushal Bengani : Yes. It will not impact domestic projects specifically, but if the domestic customer does not engage in oil and gas expenditure, then it will have an impact on us. Completely unrelated to Chinese dumping, it is a separate factor.

Sriram : Got it, sir. Thank you.

Kaushal Bengani : Thank you.

Moderator : Thank you. The next question is from the line of Venkatesh, an Individual Research Analyst. Please go ahead.

Venkatesh : Hello, sir. My only one question what I have is, now if you look at the oil ministry saying we are finding a lot of probable oil wells, what they are

looking at. So is there any possibility that we get a better order book from this oil or you say well findings?

Kaushal Bengani : Possibility is definitely there because if you have the ability to explore and extract more oil indigenously, then ideally we should do that. But there must be some reason why that is not happening. I have also mentioned on slide 17 of my earnings presentation and I will read that short paragraph out.

"Despite fresh discoveries, tender issuance by the oil companies have reduced. This is primarily due to slowdown in oil and gas expenditure. Consequently, India's crude oil and natural gas production has fallen , particularly from mature fields. Crude oil output dropped 2.5% year-on-year in 2024 -25 and natural gas production declined by 1%. The decline in domestic production has led to a higher import bill w

ith India importing

a significant portion of its crude oil which is 88% and natural gas which is 51% needs ."

I think that gives you an idea of what I have been trying to say the entire call.

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Venkatesh : Thank you, sir . Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference to the management for closing comments.

Thank you and over to you , sir.

Kaushal Bengani : Thank you, shareholders for taking time. We have noted your feedback and as and when there is an update, we will ensure to communicate the same to you. Thank you.

Moderator : Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

E-Communication

MSL/SEC/SE/202 5-26 12 November 2025

BSE Limited
25th Floor, P.J. Towers,
Dalal Street, Mumbai -400001
National Stock Exchange of India Limited
Exchange Plaza, C -1, Block -G,
Bandra - Kurla Complex
Bandra (E), Mumbai -400051

Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 05 November 2025

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 05 November 2025.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q2-FY26-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited
Q2 FY26 Earnings Conference Call
05 November 2025

MANAGEMENT : MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER - INVESTOR
RELATIONS & FINANCE – MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Maharashtra Seamless Q2 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star, then zero on your touchstone phone. Please note that the conference is being recorded. I now hand the conference over to Mr. Vikash Singh. Thank you, and over to you, sir.

Vikash Singh: Thank you, operator. Good afternoon, everyone. On behalf of ICICI Securities, I welcome you all on Q2 FY '26 Maharashtra Seamless results call. From the management side, we have with us Mr. Kaushal Bengani, Deputy General Manager – Investor Relations and Finance. Without taking any much time, I'll hand it over to Kaushal for his opening remarks. Over to you.

Kaushal Bengani: Thank you, Vikash. Good afternoon, shareholders, and thank you for joining our earnings call. During Q2 FY '26, we have been able to dispatch 103,000 tons of seamless pipes, which is in line with the quantity dispatched in the previous quarter.

However, margins were impacted due to 3 key reasons. The first is the slowdown of expenditure in oil and gas sector, which we've pointed out earlier as well. The second is continuous Chinese dumping, which has not abated. And thirdly, there was a notional markdown of inventory to comply with Ind AS requirements. The encouraging sign in current pipe environment is that our order book has been replenished on a quarterly basis. However, significant margin revival appears difficult as of now. On the treasury front, there is a decline in other income on a quarterly basis, but on a half yearly basis, it has shot up to INR 235 crores in H1 FY '26 vis-a-vis INR 155 crores in H1 FY '25.

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I will briefly summarize key financial points. On reviewing our Q2 FY '26 performance versus Q1 FY '26, revenue declined by 5% to INR 1,234 crores. EBITDA declined by 27% to INR 123 crores. PAT declined by 44% to INR 130 crores and EPS was at INR 10 per share. Whilst EBITDA declined by 27%, the decline in PAT was higher in Q2 FY '26 because of a sharp increase in other income in the previous quarter, Q1 FY '26.

Apart from financials, there are 4 key points, which I would like to draw attention to. The first is the credit rating, which remains at AA+, and it's the highest credit rating, which the company has received in the past 11 years, 12 years. The second point is the treasury, which is at INR 3,115 crores as on 30th September '25. It is being judiciously managed with engagement and inputs at highest levels.

The third point is with reference to our order book, which has improved by 20% from previous quarter and is now at INR 1,378 crores. On the capex front, at Telangana, work is continuing. We have issued purchase orders of INR 80 crores till now and payments of INR 52 crores has been made. We expect the line to commence by the end of this financial year. That is the entire brief. I would now request Vikash to kindly open for questions.

Moderator: Thank you. The first question is from the line of Mohamed Farouk Umar from Pearl Capital. Please go ahead.

Mohamed Farouk Umar: Could you provide insight into the current challenges affecting the company's order book, especially in light of Chinese seamless pipe imports? You would also appreciate details on Chinese current production capacity and domestic demand for seamless pipes. The main reason behind the dumping in Indian market and what kind of government support the company is receiving to mitigate these effects?

Additionally, do you foresee any shift in demand that might

improve the
order situation?

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Kaushal Bengani: I refer to the comments I made in the opening statement that there is a slowdown of expenditure in the oil and gas sector. That slowdown started a few quarters ago and is continuing. We do not see any indicators to conclusively say that the slowdown is well past us. The good part that is being reflected from the communication that we've put out is that we have been able to replenish the order book. However, margins are expected to stay muted. On the Chinese dumping front, there is overcapacity in China and products are being dumped into India. We have started working on the enhancement of antidumping duty, the present antidumping duty is not so effective right now. That has also been communicated earlier. And it is in place till October 2026. Any enhancement or continuity of antidumping duty will only be known after October 2026. However, the continuous Chinese dumping has affected margins of the entire domestic industry.

Mohamed Farouk Umar: The company -- the company's current holding -- holds a significant cash reserve of INR3,000 crores, including investments, approximately this is around INR200 per share to INR250 per share and has a relative modest capital expenditure plan of around INR850 crores in the coming years?

Could you share management's perspective on the rationale behind maintaining such a large cash balance and whether there are any plans to return capital to shareholders through dividends or buybacks?

Kaushal Bengani: In the past few years, we've quadrupled the dividend, which we would pay out earlier. And I think the level of dividend, which we've given out in the past, we will maintain that. We've done that in financial year FY '25 as well.

The rationale for conserving cash has been explained many times on earlier conference calls, and I would urge you to kindly refer to transcripts of those calls. Nothing has changed since then, and we continue to retain cash.

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Mohamed Farouk Umar: Okay. The last one, given Maharashtra Seamless strong market leadership in seamless pipe, its substantial cash reserves, very low P/B ratio in the market around 9. It is interesting that the market still seems a lack of confidence in the management. Could you please elaborate on the key reason behind this market skepticism and what steps management plans to take to enhance the investor confidence?

Kaushal Bengani: We are market leaders, as you rightly pointed out. However, the entire industry is facing the effects of the slowdown of capital expenditure in oil and gas sector and the continuous Chinese dumping. Members of our peer group have also seen a decline in company valuations, and it is not something which is exclusive to our organization. The headwinds are not exclusively being faced by Maharashtra Seamless, but by the industry as a whole.

Moderator: The next question is from the line of Radha from B&K Securities.

Radha: Sir, continuing with the previous participant's question, how much capacity is there in China and how much overcapacity is there currently?

Kaushal Bengani: I'm surprised that this question is being asked by you to me when you are an industry analyst. So I'll urge you to refer to the data sources that you have because you have access to a larger database than I do.

Radha: Sir, actually, what I wanted to understand is from the overcapacity, how much imports are happening in India currently from China?

Kaushal Bengani: That is a different question. So imports are as high as 20%, 25% of the total domestic industry size, which is impacting the margin of the entire

industry.

Radha: Okay. Sir, secondly, according to the Seamless Tubes Manufacturers Association of India, the seamless capacity in India is currently 1.9 milli

on tons, whereas the demand is 1.3 million tons. So if we say 20% to 25% of the industry size, so is it the right number if you take 20% to 25% of the 1.3 million ton demand that they have stated recently?

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Kaushal Bengani: Those numbers are not correct because they refer to nameplate capacity, which is different from actual capacity. Actual production of seamless pipes in India is around 9 lakh tons. So the 20%, 25% is linked to the actual production of 9 lakh tons annually.

Radha: Understood, sir. Sir, with regards to that, now with China dumping, has there been -- what is the current market share of Maharashtra Seamless? And has there been any deterioration compared to last 3 years?

Kaushal Bengani: There has been no deterioration compared to last 3 years because we are still on track to manufacture 4 lakh tons of seamless pipes in this financial year. We have done around 206,000 tons in the first 2 quarters, and we will maintain that run rate.

Radha: Sir, but in 2 years back also, it was INR4 lakhs.

Kaushal Bengani: I'm sorry.

Radha: Sir, 2 years back also, we were doing INR4 lakhs.

Kaushal Bengani: Yes. So there has been no decline.

Radha: But the market for new players have come and market is also increasing every year.

Kaushal Bengani: Market is not growing so much. Market grows at around 2%, 3% annually, not more than that because the customers to whom we sell are oil and gas players. If oil and gas exploration is not increasing in India, then the market cannot grow.

Radha: Okay, sir. And sir, exports used to be exports primarily to U.S. used to be one of the key markets for Maharashtra Seamless. Now with the change in tariffs, how do you see the supply chains change? And where do you see it settling down in the next 6 months?

Kaushal Bengani: Exports have not been very good. They had started to revise towards the end of calendar year 2024. However, due to the anticipation of the tariff

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tantrum and the actual tariff tantrum, export orders have not conclusively improved, and that is the position as of now.

Radha: Understood, sir. Sir, in your PPT, it mentioned that previously, we used to give that out of the total order book, we have certain number of orders from drill pipes. So this time, that is not mentioned. And it also mentioned that...

Kaushal Bengani: There are no orders for drill pipes. I would urge you to please read what is mentioned in the PPT. It is mentioned that orders for drill pipes are awaited. So if there are no orders, then how do I write that there are no orders.

Radha: Yes, sir. So how much orders are you expecting?

Kaushal Bengani: We are waiting. We don't have any visibility right now.

Radha: Okay, sir. Is there any update on disposition of Jindal Explorer rigs from the books?

Kaushal Bengani: There is no update on the proposal that you mentioned. The rig is in the final stage of refurbishment and will be deployed in about 10 days' time on its new ONGC contract.

Radha: Okay. Sir, last question is with this commissioning of this new line in Telangana and considering the product mix that we have in seamless pipes, is there a headroom to go up the value chain within the seamless segment? And are we planning for any such thing in this Telangana line or in future?

Kaushal Bengani: We've gone up the value chain already. And the only reason why we are doing this in Telangana is to ensure that the existing capacity is fully utilized. The line that we are putting up in Telangana is a finishing line. We already have manufacturing capacity of 2 lakh tons in Telangana.
Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments.
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Vinay Nadkarni: Sir, just 2 quest

ions. One is the revenue from operations basically has dropped to INR1,158 crores from INR1,259 crores year-on-year. You basically pass on the cost of raw materials to the customers, right? So the decrease in raw materials would have been passed on. What explains this -- and there is no much change in your employee cost or even other expenses have been curtailed. What explains this drop in EBITDA to such a level of 27% year -- I mean, 46% year-on-year?

Kaushal Bengani: There was a notional markdown of inventory because the raw material prices have fallen. When these orders are dispatched, the effect of notional markdown will be reflected in actual profit. So there is no cash loss. It is only an accounting adjustment.

Vinay Nadkarni: And is there any quantification of this notional loss of markdowns?

Kaushal Bengani: Our realizations have not declined and the quantity of product which has been dispatched that has also not declined. So I think if you add cost of materials consumed with change of inventory of the previous quarter and of the current quarter, then the difference between these 2 figures would be largely attributed to the notional markdown.

Vinay Nadkarni: Okay. Fine. That's one. Secondly, what is the reason why there is so much of variance in EBITDA per ton in ERW between quarter-to-quarter, it just keeps changing so widely. Is there any particular reason?

Kaushal Bengani: Yes. The ERW segment is actually a composition of 2 subsegments, the oil sector ERW pipe and the water sector ERW pipe. What had happened was that the oil sector ERW pipes orders, which are API-certified pipes, those orders were dispatched in 1st quarter instead of the gradual dispatches that we usually experience.

Therefore, the ERW margin in the first quarter was significantly higher than what it was in the second quarter. In addition to the difference in product mix in both quarters, there was also the effect of the notional markdown of inventory.

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Vinay Nadkarni: Okay. So oil ERW pipes have a higher EBITDA per ton?

Kaushal Bengani: Yes. They are API-certified pipes. We manufacture both types of pipes for the oil sector and for the water sector. Margins in the water sector are lower, much lower than the margins in the oil sector.

Vinay Nadkarni: And just one last question. When I look at your capex allocation, that statement remains the same for quarters to come. Is there any -- see, in your commentary, you give me the breakup of how much has actually been utilized. Is it possible for you to mention that in the presentation itself? Or is it not?

Kaushal Bengani: We can do that, but there is no problem on that point. The issue is that the market has changed since the time we put out the capital expenditure plan. And we are looking at a situation where margins may decline by a few hundred rupees from now. So we will have to do a reassessment. Therefore, we don't put it out.

Vinay Nadkarni: So this capital allocation might change going forward in the coming quarters. Some of them might be delayed or something of that on?

Kaushal Bengani: It has already been delayed, and there may be further delay on other items of capital expenditure depending on the market conditions because the effect of Chinese dumping on the entire industry is apparent across financials of all peers.

Vinay Nadkarni: Yes, I have seen that. And lastly, on this Cold Drawn pipes, which last quarter, I think you had mentioned that it will commence production in this quarter. Any update on that?

Kaushal Bengani : There were 2 draw benches, which we had put out. One of them has commenced production. The other one will commence production in about a week from now.

Vinay Nadkarni: Okay. Will it impact the financial ?

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Kaushal Bengani: But it's a value

addition product with very low tonnage. So it will support us in an environment of declining margins.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Namaskar Kaushal ji . Sir, can you just come again for the last point, the earlier participant was mentioning about the cold drawn pipe, I am unable to understand. Can you please repeat it once more?

Kaushal Bengani: There were 2 draw benches, which we were planning to put. One has already started operation. The other one will start operation in about a week's time.

Saket Kapoor: Okay. And these are with respect to the Nagothane facility?

Kaushal Bengani: Maharashtra facility, there's a different manufacturing facility where we are doing this.

Saket Kapoor: Sir, when you have mentioned earlier also the adverse impact of the

Chinese dumping, you were -- you have explained to us that it is particularly to certain specific product. Since the antidumping is there, but some products were left at that time or they were not in the basket.

So how much do those products actually take the pie that are impacting?

What are those specific product specifications that are now being targeted

by -- especially by the Chinese? And is that product only that is in significant demand or how anti-dumping duty importance has been declined? That was my question.

Kaushal Bengani: The value addition products that we have developed after 2016 -- they are not covered by the original antidumping duty. Those products are

namely cylinder pipes, sour service subsea seamless pipes and drill pipes. These products were not manufactured in India in 2016 when the original antidumping duty was implemented. So that effect is there on the entire industry.

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In addition to that, the products on which antidumping duty was implemented, the prohibitive effect of the antidumping duty is no longer there. Therefore, the entire market is now open for Chinese dumping. And that is why we are seeing a decline in margins, mainly.

Saket Kapoor: Sir, you mentioned about the formula to figure out what was the notional loss. So have you had the numbers handy with you? Just to get an understanding that we have -- we were looking at EBITDA per ton in the vicinity of INR12,000 per ton to INR15,000 per ton, if I'm not wrong. So does that hold good for the latter half of this financial year, even after eliminating the impact of the inventory losses?

Kaushal Bengani: For the second quarter, if there were no inventory losses, which are entirely notional, I would reiterate, then we would have made margins like we did in the first quarter of this financial year or maybe slightly higher than that because our realization has not declined and the tonnage that we've dispatched, that has also not declined. Even other expenses have been curtailed.

So definitely, we would have done margins in the range of what was done in the first quarter of this financial year. The effect of this notional markdown will reverse when these products are dispatched in the next quarter. So there is a possibility that in the third quarter, margins will not decline so much if realizations hold.

Saket Kapoor: And for the second half, since we have an order book which we will be executing over a period of 4 months from now, that will cover quarter -- I think entire quarter 3 and some portion of, I think, so quarter 4 also. So you can give us some understanding that this margin holds, this would be a -- at least for what we have done for first quarter. That is a reasonable estimate.

Kaushal Bengani: I cannot confirm. You want a confirmation, I cannot give you that confirmation.

Saket Kapoor: No.
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Kaushal Bengani: I will tell you, I cannot give you that confirmation because the notional

I effect of inventory markdown or inventory valuation increase, that I cannot figure out right now what the raw material prices will be on 31st December. That accounting effect has to be considered. Otherwise, I can tell you that margins on an absolute basis have not worsened as much as is being reflected in the results. But having said that, there is also the effect of slowdown of capital expenditure in oil and gas sector and Chinese dumping.

Saket Kapoor: Right, right, sir. Sir, on the premium threading business, although some work has been underway for developing and I think so some premiumization with the Japanese player, where are we, sir, in terms of concluding that part and then introducing the products?

Kaushal Bengani: They have issued a license certificate to our wholly owned subsidiary, Jindal Premium Connections Private Limited. So work is on track.

Saket Kapoor: And what portion of the target market we will be able to access once all the formalities are done with?

Kaushal Bengani: We are working on this right now, and I don't want to disclose because this is also available to our competitors.

Saket Kapoor: Not an issue, sir. Sir, lastly, sir, on the tonnage part, as you mentioned that our tonnage has remained in this -- I'm talking only for the seamless, just to be in particular, that it was 103,000 tons for both the quarters.

And last year, sir, we had sales of 442,000 tons. So taking into account the current order booking and also you have some color on the bid pipeline also. Are we in a position to be closer to this 442,000 tons number for the year as a whole in terms of dispatches?

Kaushal Bengani: I think you should take the run rate that we've done in the first 2 quarters because it becomes increasingly difficult to sell products in an environment where the customer is not required to buy as much pipes as we want to sell because of a slowdown of expenditure in the oil and gas sector.

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Saket Kapoor: Right, sir. And lastly, sir, on this CCI part of the story, although all the updates have been -- whatever necessary updates were provided to the stock exchanges about CCI looking for some information for previous financial year. Any update on the same and for which financial year exactly the inquiry has been initiated?

Kaushal Bengani: There is no update in the sense that they came to our offices and they collected whatever data they wanted. And they have asked us for more data, which we have provided to them. That is all that I can tell you right now. But there is no effect of that on our regular business operations.

Saket Kapoor: Right, sir. And my last one would be on the other income component part. So when -- as per the accounting standard part, we need to keep the entire treasury book mark-to-market. So sir, since your presentation is very elaborate, if we could also provide us with how much actual profits have been booked and how much is the notional part, where should investors get that number?

And secondly, sir, we have also seen in some of the corporate, whether

the accounting standard permits that -- the line item is routed through the other comprehensive income also. So if that could be the same from the audit part, then this number affecting the profitability to a greater extent would be eliminated. That was my understanding and suggestion, sir.

Kaushal Bengani: On the OCI part, we have checked with our auditors who have taken a view that if the instruments in which we have invested are not on a long-term basis, then we cannot classify it through OCI. We will have to route it through other income. Because a significant portion of the treasury is linked to the equity market, we have decided not to go through OCI route because we may or may not want to capitalize on market fluctuation.

Regarding the point that you made in relation to re

alized profit and unrealized profit -- that is not required to be disclosed. However, if you still want it, then it will not be appropriate to provide you only the realized and unrealized profit on the treasury part because there are also other components like rent and interest and provisions which are written

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back and other receipts. So unless I give you all of that, you will not be able to make a thorough assessment.

Moderator: The next question is from the line of Manav Mehta.

Manav Mehta: With regards to the cash with the company, I understand company has been holding a significant amount of cash around INR3,000 crores. And earlier as well, you had explained you plan to hold the cash for some acquisition. I just want to understand the perspective of the management, whereas we have been holding cash for a while now for some future acquisition which might play out or which may not. Instead of that, why is the company not investing in some renewable projects, whereas it can generate some recurring revenues in solar or wind where we already have a vertical -- small vertical. Why don't we invest some good chunk of amount in that vertical?

Kaushal Bengani: We already have 59.5 megawatt of renewable energy capacity, out of which 1 wind and 2 solar plants are in Maharashtra and 2 solar plants are in Rajasthan.

Manav Mehta: Yes, I do understand. But we can scale it up as well, right, where we can generate recurring revenues. I mean we are earning a good chunk of profit from that as well around INR20 crores, INR27 crores per year?

Kaushal Bengani: We earn EBITDA of approximately INR60 crores from that every year.

Manav Mehta: And my question was why is the management not focusing over there?

Kaushal Bengani: We looked at the economics and unless there is some form of incentive available at the time of putting the project, it is not giving us meaningful returns.

Manav Mehta: What kind of incentive?

Kaushal Bengani: To that effect, we've petitioned the government in Telangana that we want to scale up our operations in Telangana, and therefore, we are desirous of putting a solar power plant, but open access permission has

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not yet been granted over there. That is the only renewable energy project, which we are looking at right now.

Manav Mehta: Okay. Yes. And on the capex front, I'm assuming since you mentioned we are facing some headwinds from Chinese dumping. Are we going to reduce it going ahead?

Kaushal Bengani: Let us finish what we've started, let that project end and then we'll update you.

Moderator: Next question is from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni: Just a follow-up on the inventory notional markdown. You have been on record saying that for every order that you get, you do a back-to-back arrangement for the raw material, so it gets blocked and should not

therefore -- so what was the need for this notional markdown? Any -- is this a one-off thing? Or is it audit requirement? Or was it an old...

Kaushal Bengani: It is an accounting requirement. I'll tell you what I mean. Suppose I sell pipes for INR 500. And when I get an order for INR 500, I will buy raw material. And I have bought the raw material for INR 300 at that point in time. Then the order remains unexecuted because I still have some time for delivery of that order. And in the interim period, if there is a quarterly closure and the price of raw material has fallen from INR 300 to INR 250, then the inventory that I hold for which I paid INR 300, I will have to mark it down to INR 250.

Therefore, the notional loss of INR 50 will be booked on the quarter end.

In the next quarter, when the order of INR 500, which I have taken for which inventory has been purchased at INR 300 and was subsequently

marked down to INR 250, that order is dispatched, then the profit I will earn on that order, assuming no conversion cost would be INR 250. So a loss of INR 50 in the first quarter, which is entirely notional and a profit of INR 250 in the next quarter.

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Vinay Nadkarni: INR 50 profit in the next quarter is also notional. It is actually INR200 net-net?

Kaushal Bengani: Actual profit is INR 200 only. Correct. So, on a per order basis, I have not lost any money. But due to the accounting adjustment, the effect is reflected in the financials. The accounting standard says that at the end of any reporting period, you have to value stock. Stock is valued at lower of cost or net realizable value. At the end of the quarter, with the example that I've just taken, the net realizable value of the stock of INR 300 was INR 250. Hence, the notional effect.

Vinay Nadkarni: Yes. So this will happen the reverse way when the raw material prices start going up. So yes, I understand that. Okay. Just one more broader question. As I can see, I mean, the company is honestly very well managed. So it's heartening to see all the parameters checked out. But since your overdependence on 2 major customers, which is oil and gas and those 2 of ONGC and Oil and one single product, which is seamless pipe, you get rogered because of the momentum. Is there any plan to address this issue, maybe diversify, maybe do something? Is there any thought process on that? And don't take me wrong. You may -- it is your call ultimately.

Kaushal Bengani: Sir, we don't want to diversify. We have been market leaders for the past 35 years. We want to retain that position. If you look at the history of the seamless pipe industry in India, all of our peers without exception, have either been bankrupted or they have approached bankruptcy courts. We are the only company which has not done any of this, and we have been cash rich at all times.

It is not something which has happened through luck or sheer coincidence, but due to certain principles of management, which are followed, which we want to stick to. Now these principles of management may not align with the interest of the equity shareholder on a short-term basis. But in the longer term, the benefits are available for everyone.

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Vinay Nadkarni: Absolutely. I take that point. I think this was also discussed last time, and you had mentioned the same thing. So the only threat from Chinese dumping, I don't know how long it will last. But it does drain out your -- all the efforts that you are making in running this more so well.

Moderator: The next question is from the line of Krishna Kumar from retail investor.

Krishna Kumar: My question is related to the margins. And what would be the sustainable margin? I presume that since you have taken notional losses,

that should be coming back in the coming quarters. But what should be the sustainable margin we should be looking at in this kind of depressed scenarios?

Kaushal Bengani: In the past, we used to make margins of INR 7,000 per ton, INR 8,000 per ton, then margins shot up to INR 30,000 per ton. I think that the larger band is between INR 7,000 per ton to INR 30,000 per ton and a more reasonable band is INR 8,000 per ton to INR 15,000 per ton. I don't believe on a medium-term basis, margins can be sustained at elevated levels because something or the other happens in the crude oil industry, which affects the margins of all players.

Krishna Kumar: Okay. So what will be the percentage EBITDA margin would be like 15% or something or...

Kaushal Bengani: It cannot be measured. I would urge you to go through the transcripts of the earlier calls. It is very difficult to forecast margins because we sit on an order book of 3 months to 3.5 months. Therefore,

re, for me to forecast

margins for the quarter after the 3-month quarter is not possible.

Other pipe companies, which you may encounter have order books of 7 months, 8 months, 9 months or of a longer duration. And therefore, it is easier for them to forecast. But for us, that is not the case.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.

Saket Kapoor: Sir, when we -- as you mentioned about the dumping from the Chinese counterparts. So specifically, if we look at oil exploration in the country, Maharashtra Seamless Limited

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they are mainly carried out at a major part is from ONGC and Oil India only. So with respect to the specific products, they are -- then ONGC and Oil India are buying from these Chinese players itself with reference to the product of subsea pipes and the drill pipes? Or there is no demand that is -- how is that math working since I think so some embargo is there for them only to purchase from the Indian players only?

Kaushal Bengani: This happens through the dealer route. So Chinese manufacturers sell to a dealer, the dealer then participates in the tender and sells to the eventual customer.

Saket Kapoor: Okay. So then they are able to bifurcate that part of the story also where I think some INR250 crores something worth of orders need to be only routed through the Indian players. So that goes with the dealer part, okay?

Kaushal Bengani: And sir, on the project award, I put out a new point on Slide 17 of the presentation. It says that project awards have declined 27% year-on-year and 13% in quarter 2 FY '26. It further says that although tender announcements have reached record highs, actual awarding remains delayed. We are also facing that situation and our peer group is also facing that situation.

Saket Kapoor: Okay. So I was coming to this point only, sir, then how should we look at the bid pipeline? The time it is taking to mature and the orders being finally -- AOP being hand over is getting elongated. But do we rely on the bid pipeline in terms of making the assessment of how the order tendering will be going ahead since it's now become an elongated process?

Kaushal Bengani: In order to run a mill, if direct tenders are not being received, then we have to sell more to the dealer segment where margins are lower.

Because the furnace in which billets are heated, that furnace is operating at all times. So we have to ensure that the mill keeps running.

Saket Kapoor: Okay. So we are running at optimum level?

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Kaushal Bengani: Yes, sir. The dispatches have not fallen. However, margins have been impacted. And -- in a situation where order book visibility is reduced, we are unable to bid aggressively because we have the constraint to operate

our mill. And hence, we want to capture whatever order is available.

Saket Kapoor: Okay, sir. That answers the part of the demand issue. And we have to see how the second half plays out and the budgeting aspect for the state PSU in terms of the final tendering process. So that will only give us an understanding how our order book shapes up going ahead. And for the -- in the presentation, sir, when you mentioned about the liquid investment part, if you could also quantify to us since in the annual report we have seen that a large portion of it is in the liquid funds itself.

So if you can give the breakup of mutual fund or give a note on pertaining to what is subject to the market waging means the stock prices moving up and down and how much is pertaining towards the liquid funds where there is negligible chances of any downward market-to-market. That would suffice a lot, I think. So 2,584 is what the number is for the mutual fund?

So further granular details in terms of liquid funds and the funds exposed to equity linked, that would

be very helpful. That's the only suggestion, sir. And all the best to the team, sir. And we hope that we hear much more on the capital allocation policy.

Moderator: The next question is from the line of Vikash Singh from ICICI Securities.

Vikash Singh: Just a little bit clarification. When you said that your project has already been delayed, does it also account the new 100 kt facility because of want of an order book? And secondly, usually, November onwards is the time when ONGC and other oil and gas companies start giving us the tenders for bidding? So these 2 things, if you could clarify, it would be helpful.

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Kaushal Bengani: On the Telangana project, the reason why I said that it was delayed was because it was supposed to be concluded by December 2025. However, in the previous call or the call before that, I had guided that it would be concluded by March 2026. And that is why I said that it has been delayed, not because of want of orders, but because of some additional time taken by one of our vendors in delivering essential machinery.

On the other point, which was ordering by PSUs, we are hopeful that ordering inflow will happen in the second half. But till that happens, we don't want to give a guidance that it will happen. But generally, in the past, we have seen that in any financial year, the second half of the financial year is better than the first half of that financial year, irrespective of the market condition.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached to the end of the question-and-answer session. I now would like to hand over the conference to Mr. Vikash Singh. Thank you.

Vikash Singh: Yes. Thank you, operator. On behalf of ICICI Securities, I would like to thank the management for giving us the opportunity to host them. Now I hand it over to Kaushal for his closing remarks. Over to you, sir.

Kaushal Bengani: Thank you, shareholders, for participating on a holiday, and thank you to Vikash and Madam moderator for working on a holiday. Thank you.

Moderator: Thank you. On behalf of Maharashtra Seamless and ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

E-Communication

MSL/SEC/SE/202 5-26 02 February 2026

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Stock Code: 500265 Scrip Code: MAHSEAMLES

Sub.: Transcript of earnings conference call held on 29 January 2026

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find below the link of transcript of earnings conference call held on 29 January 2026.

Link to access above transcript is as under:

<https://www.jindal.com/msl/pdf/Transcript-of-Conference-Call-Q3-FY26-Earnings-Call.pdf>

You are requested to kindly take the same on record.

Thanking you,

Yours faithfully,
For Maharashtra Seamless Limited

Ram Ji Nigam
Company Secretary

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Maharashtra Seamless Limited
Q3 FY 26 Earnings Conference Call
29 January 2026

MANAGEMENT: MR. KAUSHAL BENGANI – DEPUTY GENERAL MANAGER , INVESTOR
RELATIONS & FINANCE – MAHARASHTRA SEAMLESS LIMITED

MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Maharashtra Seamless Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Singh from ICICI Securities Limited. Thank you, and over to you, sir.

Vikash Singh: Thank you. Good afternoon, everyone. I warmly welcome all of you on Q3 FY '26 conference call for Maharashtra Seamless. From the management side today we have with us Mr. Kaushal Bengani, Deputy General Manager, Investor Relations and Finance.

Without taking any much time, I'll hand it over to Kaushal for his opening remarks. Over to you, Kaushal.

Kaushal Bengani: Thank you, Vikash. Good afternoon, shareholders, and thank you for participating in our earnings call. This was a fairly regular quarter with a slight increase in margin on the seamless pipes front, which was expected because we had communicated the same in the previous quarter. On the ERW front also, margins improved because of improvement in product mix.

On overall level, our total EBITDA was also higher. The highlight for this quarter was the Other Income, which was boosted by improvement in market sentiment and in gold and silver sector.

I would request Vikash to please open for questions so that we can go slide by slide as per the questions received.

Vikash Singh: Noted. Operator, please open for Q&A.

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Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Radha from B&K Securities.

Radha: Sir, I wanted to understand what is the current product mix between the standard and value-added products for us? And how is the margin difference between these two?

Kaushal Bengani: We've already informed in earlier calls that we'll not discuss product-wise margin. The current product mix between oil sector and other sectors is already detailed in the order book, which is mentioned on Slide 15 of the presentation. The current order book is at INR1,302 crores, of which 33% comprises ONGC and Oil India orders.

This order book is broadly similar to the order book which was present in the previous quarter. The only difference between these two order books is that the proportion of oil sector orders have increased in the most recent order book.

Radha: Okay, sir. Sir, actually, some of the peers are doing similar EBITDA per kg that they have reported with half of our volumes. So that is why this question whether in our numbers currently is the standard product mix higher than the value-added?

Kaushal Bengani: Which peer are you referring to? Because as per my understanding, there is no comparable company which is only focused on seamless pipes.

Radha: That is correct, sir. I'm only comparing with their carbon steel business.

Kaushal Bengani: So they don't report product-wise or division-wise margins. I don't think it will be possible to do a comparison. Unless you have internal data of the company, then it's a different story.

Radha: And sir, ISMT is actually reporting.

Kaushal Bengani: But then they have different types of products. So the seamless pipe product mix that we have is not the same that is undertaken by Kirloskar Ferrous.

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Radha: How is it different, sir?

Kaushal Bengani: They are more focused in the smaller size segment.

Radha: But sir, previously when we had a conversation,

you said that in terms of

diameter of pipes, we have the entire range that is required by the...

Kaushal Bengani: We have the entire range. So their proportion of smaller sizes is higher compared to our proportion of smaller sizes because we have a larger capacity and a larger size range.

Radha: What percentage of smaller pipe sizes do we have as a percentage over...

Kaushal Bengani: We are not giving that. I mentioned at the starting of the response that we will not give you product-wise, segment-wise bifurcation. And every call, I believe this question is asked of me by you and every time my response is the same that we will not give you that bifurcation.

Radha: Sir, any value-added products like casing pipes, tubing pipes, et cetera?

Can you help us understand the current market dynamics in terms of demand and supply, including the imports?

Kaushal Bengani: Casing pipes and tubing pipes are regular seamless pipes. We don't consider them value-added products. Value-added products are cold drawn pipes, cylinder pipes, drill pipes, sour service subsea seamless pipes and premium connections. I think these are the 5 key categories of value-added products, out of which we manufacture 4 of these. So in the previous quarter, there were no orders for drill pipes.

Even now we don't have orders for drill pipes. Cylinder pipes we had a good order book in the previous quarter, and even now also we have a good order book for cylinder pipes. The same goes for sour service subsea seamless pipes and cold drawn pipes. We do not manufacture premium connections right now. We have signed a royalty agreement with a foreign partner, and that work is under process. I think in about six months' time, we should be able to start production of premium connections.

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Radha: Sir, any color on the capacity that we're planning to set up in...

Kaushal Bengani: The capacity expansion plan that we have detailed in one of the slides in the presentation, out of that, we have started two projects, the cold drawn pipes project, which has been completed. And the other one is the finishing line at Telangana, in which we have issued purchase orders of INR90 crores, and we'll be able to start some portion of it in the current quarter.

Radha: No sir, I was asking about premium connections?

Kaushal Bengani: I've already told you about premium connections, that we should be able to start in about six months' time.

Radha: Yes sir, capacity for premium connections?

Kaushal Bengani: We will get back to you.

Radha: Okay. Sir, any color on the current bid pipeline or any new tenders that we are expecting in the near term?

Kaushal Bengani: We don't disclose that.

Radha: Okay, sir. Sir, last question. In the last quarter...

Kaushal Bengani: We have disclosed the order -- just one second. We have disclosed the order book. If you have been tracking the company for some time, then you should be aware that the order book that we have is always for a period of three to four months. The current order book is dated 20th January. So for the current quarter, we have disclosed our order book segment-wise.

Radha: Okay, sir. Sir, in the last quarter, you had mentioned that imports is around 20% to 25% of the domestic industry size of 9 lakh tons?

Kaushal Bengani: Correct.

Radha: Sir, has it reduced in the -- in this quarter?

Kaushal Bengani: No. No. And it has not reduced. And despite the unabated dumping from China, we have managed to maintain and improve upon our margins, and

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the tonnage that we have dispatched has not declined despite the challenging economic environment.

Radha: Primarily driven by product mix?

Kaushal Bengani: Product mix is not relevant for total dispatches.

Radha: Sir, you said margin has improved despite the

continued dumping.

Kaushal Bengani: I've said this again at the start of the call that the increase in margins was on account of reversal of the inventory markdown which was done in the earlier quarter. And that also I had pointed out in the previous quarter's call that there will be an improvement in margins in the subsequent quarter.

Moderator: The next question is from the line of Ritesh from Girik Capital.

Ritesh: Thanks a lot for the opportunity. Sir, I just wanted to know about your INR852 crores capital expenditure. By when you will plan to spend this amount?

Kaushal Bengani: We have started two projects. Once the Telangana finishing line project is completed, then we'll take up other items mentioned over there.

Ritesh: Okay. So Telangana finishing line that will increase the capacity by 1 lakh tons, right?

Kaushal Bengani: Yes.

Ritesh: Okay.

Kaushal Bengani: I'll just clarify. It will not increase the production capacity. It will increase the finishing capacity. So we already have production capacity of 2 lakh tons, which is currently unutilized because commensurate finishing facility is not in place. That bottleneck is being resolved by the finishing line which is currently being implemented.

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Ritesh: Sure, sir. But even though -- if I take FY '25 numbers, your production was 4,40,000 tons and capacity is 6 lakhs. So now from that 5 lakh the entire 6 lakh can be utilized. Is that understanding right?

Kaushal Bengani: Against, 4,41,000 tons for FY '25, capacity is 5,50,000 tons which is active and utilizable. The additional 100,000 tons is not active and not utilizable because the commensurate finishing facility for that 1 lakh tons is not in place right now. This issue is being addressed by putting in a finishing line at Telangana.

Ritesh: Okay. That clarifies a lot. Also if you can give an outlook on how are the ONGC and Oil tendering happening? Like you have mentioned that drill pipe order is awaited. What will be the order size of that?

Kaushal Bengani: Very small, because drill pipes annual market is around 8,000 to 9,000 tons for the entire country. But these are high-margin orders. That is why they are specifically pointed out in our order book.

Ritesh: Sir, in recent IIP numbers, the base metal sector has seen a good growth. And in the press release also written that steel tubes market is -- growth has been encouraging. So what are your comments on that and how that impacts our company?

Kaushal Bengani: Who has given this view? I couldn't...

Ritesh: In the yesterday IIP numbers base metal has grown by some 10%. And in the commentary, it's said that within base metal, the metal tube industry has done well. So is our company considering in the metal tube something?

Kaushal Bengani: We are part of the metal tube association, but our market is a niche market because our products are used for a specific purpose and it is dependent on government expenditure in the oil and gas sector rather than for general consumption.

Moderator: The next question is from the line of Niraj from Pransh Group.

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Niraj: My question is, you have about INR3,500 crores of liquid investment. Out of that, close to INR2,957 crores is into the mutual funds. Can you give the bifurcation? How much is you have put it into the equity mutual fund? How much is into the gold and how much of this is in the liquid scheme?

Kaushal Bengani: We are not giving that bifurcation out, and it is not required.

Niraj: Okay. So you don't want to disclose this information? The reason for this is I just wanted to know what kind of a risk capital the company is carrying in their treasury operation with regards to investment into the equities market, while how much is the risk involved -- even a quantitative number with regard

to how much of the money of this has been invested into the liquid scheme might be helpful?

Kaushal Bengani: The total portfolio return for the nine months ending December 2025 is in excess of 24%.

Niraj: No issues.

Moderator: The next question is from the line of Ankur Agrawal, an individual investor.

Ankur Agrawal: My question is -- yes, my question is regarding, sir, as of what we understand is that the demand of seamless pipe is something that you cannot create. You are dependent on the requirement of the government agencies. And as I understand, the export sector is not viable as of now as per the seamless pipe is concerned. Am I correct?

Moderator: Sorry to interrupt you, Ankur, sir. There's a lot of disturbance from your side. Can you please use your handset?

Ankur Agrawal: Yes. So my question is, sir, we are sitting on a lot of cash, company has already decided that we will not diversify in other segments. So what do you see our future growth prospects in next two to three years? What is the management deciding about future course of action, sir?

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Kaushal Bengani: We are conserving cash as of now and we are on the lookout for any inorganic opportunity that may arise, but that inorganic opportunity should be at a cost level at which we are comfortable. We will not buy assets at full value. We will buy only distressed assets, because that makes the most sense for us in our industry, which is cyclical.

In addition to that, we are focusing on treasury management and on improving our operations internally. Right now, that is the position that we can communicate.

Ankur Agrawal: So all that we can do now is hope for the demand to somehow increase and then only our revenue can increase. Is that correct, sir?

Kaushal Bengani: Yes.

Ankur Agrawal: Okay. And still the management is of the view that you do not want to increase the dividend or somehow distribute the cash to the shareholders?

Kaushal Bengani: We have quadrupled the dividend which is being paid out to the shareholders in the period from FY '22 to FY '24. And in FY '25, even with a lower profit, we maintained the quadrupled level of dividend which was paid out.

Ankur Agrawal: Sir, that is absolutely correct, but the only issue that I have is that since approximately 50% of our market cap is in cash or cash equivalent with the company. Now I'm also of the opinion that since you cannot increase the demand of the seamless pipes, to increase the value of the company I think you only have two or three options with you, sir.

If in case you are not able to increase the demand, you have ample cash, you can also increase the dividend in the proportion of the cash that you are reserving with the company. We are not saying that you are not taking right decisions or something is in your hand and you are not doing that.

But either -- if in case you have ample cash, you can distribute to the shareholders. So at least as a shareholder, we should also enjoy the efforts

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that you have put in the company and managed so much cash in such a right way, sir.

Kaushal Bengani: Okay.

Ankur Agrawal: Am I making sense, sir?

Kaushal Bengani: The interest of the equity shareholder does not necessarily have to align with the interest of the management in running an organization. We focus on long-term value creation. And when you do make the point that 50% of our market cap is backed by cash on the books, you should also bear in mind that in this seamless pipe industry every one of our peers, without exception, have either been bankrupted or gone to bankruptcy courts. We are the only player in this industry who has consistently remained a market leader for the past 35 years. So our thought process would be different from that of our peers, and it has benefited

us, which is why we

remain aligned to the thought process which has benefited us.

Ankur Agrawal: Sir -- you are absolutely correct, sir. And kudos to the management that have accumulated so much cash and you have also dealt it in the right way. But there has to be a cap on the amount of money that you think you need to reserve, because they're saying that we...

Kaushal Bengani: There is no legal requirement that there has to be a cap. There is no...

Ankur Agrawal: Absolutely correct, sir.

Kaushal Bengani: There is no cap. And we want to follow those business principles which have ensured survival and prosperity of our organization rather than those business principles which appear good maybe in the short-term or medium-term, but which may not be so applicable in the longer-term. We are the oldest player in the industry, and we have remained a market leader. You may not like what I'm saying, but the point which I'm making are clear facts, which are easily verifiable.

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Ankur Agrawal: Sir, I myself have been a shareholder in the company for last four to five years and I have followed the company, joined each and every call. It is not that you are misguiding us or what you're saying doesn't make sense to us. We are also one of the shareholders who are happy to see the growth, if not in terms of revenue, but the value of the company. But I'm sure you will understand as a shareholder we also look forward to...

Moderator: Sorry to interrupt you, sir. Sir, may I request you to come in the queue for follow-up questions.

Ankur Agrawal: Sure, sure.

Moderator: The next question is from the line of Tanmay Roy, an individual investor.

Tanmay Roy : Yes. So right now what I could see that our current capacity is not fully utilized, as you know. I mean the demand is also not that high. So even if the Telangana plant comes into effect, so if the demand stays the same, is it fair to assume that it is going to impact our profitability in coming quarters?

Kaushal Bengani: Since the Union Budget is only a few days away, maybe I'll be able to address your query better after the budget because we are dependent on government expenditure for expansion and growth. So if government expenditure does not improve, then the market will not grow, which will directly impact us. So let us see what the budget puts out and accordingly you can decide.

Tanmay Roy : Government expenditure can improve in other sectors, may not be necessary for oil and gas. So even if that stays the same -- even the expenditure, it doesn't -- if that goes up, then it will be same, right?

Kaushal Bengani: Because sustainable level of expenditure in oil and gas sector is there. But your question is in terms of growth. So for growth, we will require more expenditure in oil and gas sector.

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Tanmay Roy : Okay. Fine. The next one is, given that we have now that FTA in place

with Europe and also which might get activated in next year, '27, so will that anyway affect or help our business to grow in European countries?

Kaushal Bengani: We are still reviewing that. Exports have seen some improvement in the previous quarter. Maybe in the next quarter's call, we'll be able to update you better on this FTA point.

Tanmay Roy: Okay. Yes. So any guidance in terms of EBITDA per ton for next quarter or something for next year?

Kaushal Bengani: We do not give out guidance specifically, but the only thing that I can tell you from some experience is that we don't see margins to decline materially from here. I think it will remain in the range of INR10,000 to INR15,000 per ton.

Tanmay Roy: Okay. But after the antidumping duty, which has been put some days back, then we could see that HRC prices were going up, I mean, slightly, not too much...

Kaushal Bengani: No antidumping duty has been put. It is because only it was in...

Tanmay Roy: No, but an extension.

Kaushal Bengani: Sorry?

Tanmay Roy: That extension which they have considered...

Kaushal Bengani: Extension...

Tanmay Roy: Of 12%. 12%, 12.5%, something like that?

Kaushal Bengani: That is a safeguard duty on steel.

Tanmay Roy: Correct. Correct.

Kaushal Bengani: But that is not applicable on our industry.

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Tanmay Roy: No, that's what I'm saying. After that, that HRC price started going up. Will it affect anything on to our industry so that prices can go up?

Kaushal Bengani: Okay. Our order book is supported by back-to-back booking of raw materials. So if raw material prices will increase, then the same will be passed on to the customer. And for orders which were in place prior to the implementation of safeguard duty, we had already covered those orders with raw material.

Tanmay Roy: Okay. And right now, our oil and gas order book is around INR400 crores, right, which generally gives high EBITDA per ton?

Kaushal Bengani: Yes, 33%. So 33% of INR1,302 crores is around INR400 crores.

Tanmay Roy: And that excludes the anticipated drill pipe order, correct?

Kaushal Bengani: Yes.

Tanmay Roy: And maybe next quarter I'll ask for that now after the budget.

Moderator: The next question is from the line of Yogesh Mittal, an individual investor.

Yogesh Mittal: I have a question regarding as we are hearing and seeing the reports like the shale gas and the oil, and the peak oil output has just passed and now more means more drilling is required to get the same amount of oil and gas. Sir, can you please throw some light on your acquisition about the United Seamless Tubulaar that was done some time back? And how are you getting the feelers in the market? Or do you see that capex is coming by large global conglomerates in this space?

Kaushal Bengani: Regarding United Seamless Tubulaar, what is it that you would like to know?

Yogesh Mittal: Sir, I would like to understand the means -- like we acquired it on some basis. Is the thesis playing out? Are we getting some traction in North American or the European market where we wanted to compete with the other large players?

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Kaushal Bengani: I am confused. We never said that we want to compete in European and North American markets from our mill in United Seamless Tubulaar. That mill is working very well. We acquired it for INR477 crores, and we invested an additional INR73 crores to reactivate the mill. So against a total capital expenditure of INR550 crores, that mill generates between

INR100 crores to INR200 crores of EBITDA every year depending on the margin profile.

In addition to that, there were accumulated losses and unabsorbed depreciation in excess of INR1,500 crores in United Seamless Tubulaar Private Limited. Subsequent to merger of that company with Maharashtra Seamless, we were able to set off the profits of Maharashtra Seamless with the unabsorbed depreciation and accumulated losses of United Seamless Tubulaar, thereby saving tax of around INR375 crores. So the entire project was paid back in maybe two years. So yes, the thesis did play out, and that is the position today.

Yogesh Mittal: Sure, sir. And sir, regarding the investment by large companies in -- who are the users for our pipes, though we are mainly focused with ONGC and some other players, are we getting some traction with other large consumers in terms of the seamless pipe for new drillings in oil and gas space?

Kaushal Bengani: We have been able to replenish our order book without compromising on the tonnage that we have dispatched. So in the second quarter, we dispatched 1,03,000 tons of pipe. In the third quarter, we dispatched 1,01,000 tons of pipe. And in spite of a challenge

in a challenging economic environment

in which government expenditure was also muted, we have managed to replenish the order book.

Yogesh Mittal: Yes, sir. Sir, if I can ask something more. Sir, in last four years, we have seen there have been frequent changes for the CFO, Chief Financial Officer, in the company. Is company taking some steps that there will be more consistency going forward?

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Kaushal Bengani: The changes in the CFO was on account of various factors which were unique to each CFO. So right now, Mr. Arup Mandal is the CFO, and he's been with us for about a year and half. But in addition to the CFO point, I would also like to mention that I have been with the organization for 14 years. So I think that should give you some comfort.

Moderator: The next question is from the line of Vikash Singh from ICICI Securities.

Vikash Singh: Just one question on our premium connection side. Can you just tell me what is the current market size for that premium connection in India? And what kind of market share we are looking to acquire on that segment?

Kaushal Bengani: Premium connections would be between 50,000 to 1 lakh tons per annum depending on the amount of capital expenditure that takes place. Right now, this product is being supplied by Jindal Saw and through imports. So we will have to take some of their share in order to compete in this environment.

Vikash Singh: Noted. And my second question pertains to we -- six months back, we heard a lot of news about ONGC needs to drill almost 500 wells and accumulated demand expansion for these wells could be 100 kt in tonnage terms. So just wanted to understand, is there any progress on those stated 500 wells at all? Or if you have any idea that what's happening there, it would be relevant to know.

Kaushal Bengani: There is regular requirement of seamless pipe. However, we would have preferred if there was maybe a 5% or 10% increase because then it gives us more assurance on pricing and on replenishment. Despite a challenging economic environment in which government expenditure was low, we have managed to replenish our order book without compromising on the tonnage that we have dispatched on quarter-on-quarter basis.

I think in the budget we should expect some improvement in government expenditure, and then that will have a multiplier effect on the rest of the economy.

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Vikash Singh: Noted. That's all from my side.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments.

Kaushal Bengani: Thank you, shareholders, for participating, and thank you, Vikash, for organizing the call.

Moderator: Thank you, sir. On behalf of ICICI Securities Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.